

In the opinion of Jones Hall, A Professional Law Corporation, San Francisco, California, Bond Counsel, subject, however to certain qualifications described herein, under existing law, the interest on the Bonds is excluded from gross income for federal income tax purposes and such interest is not an item of tax preference for purposes of the federal alternative minimum tax, although, in the case of tax years beginning prior to January 1, 2018, for the purpose of computing the alternative minimum tax imposed on certain corporations, such interest earned by a corporation prior to the end of its tax year in 2018 is taken into account in determining certain income and earnings. In the further opinion of Bond Counsel, such interest is exempt from California personal income taxes. See "TAX MATTERS."

\$59,996,622.85

FRESNO UNIFIED SCHOOL DISTRICT

(Fresno County, California)

General Obligation Bonds

Election of 2016, Series A

Dated: Date of Delivery

Due: August 1, as shown on inside cover

Authority and Purpose. The Fresno Unified School District General Obligation Bonds, Election of 2016, Series A in the aggregate principal amount of \$59,996,622.85 (the "Series A Bonds") are being issued by the Fresno Unified School District (the "District") pursuant to a resolution of the Board of Education of the District adopted on April 25, 2018, certain provisions of the California Government Code, and a Paying Agent Agreement, dated as of May 1, 2018 (the "Paying Agent Agreement"), between the District and U.S. Bank National Association, as paying agent (the "Paying Agent"). The Series A Bonds were authorized at an election of the registered voters of the District held on November 8, 2016, which authorized the issuance of \$225,000,000 principal amount of general obligation bonds for the purpose of financing the acquisition, construction, upgrading, repairing and equipping of school facilities. See "THE FINANCING PLAN" and "THE SERIES A BONDS – Authority for Issuance."

Security. The Series A Bonds are general obligation bonds of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of Fresno County has the power and is obligated to annually levy *ad valorem* taxes upon all property within the District subject to taxation without limitation of rate or amount (except certain personal property which is taxable at limited rates) for the payment of principal and accreted value of and interest on the Series A Bonds. The District has other series of general obligation bonds and refunding general obligation bonds outstanding which are similarly secured by *ad valorem* property taxes. All general obligation bonds of the District are issued on a parity basis with one another. See "SECURITY FOR THE SERIES A BONDS."

Payments. The Series A Bonds are dated the date of delivery set forth above and are authorized to be issued as Current Interest Bonds and Capital Appreciation Bonds (both as defined herein). The Current Interest Bonds accrue interest from the dated date at the rates set forth on the inside cover page hereof, payable semiannually on each February 1 and August 1 until maturity (or earlier redemption), commencing August 1, 2018. The Capital Appreciation Bonds accrete interest from the dated date, compounded semiannually on February 1 and August 1 of each year, commencing August 1, 2018. Payments of principal and accreted value of and interest on the Series A Bonds will be paid by U.S. Bank National Association, St. Paul, Minnesota, as paying agent, to DTC for subsequent disbursement to DTC Participants who will remit such payments to the beneficial owners of the Series A Bonds.

Redemption. The Series A Bonds are subject to optional and mandatory sinking fund redemption prior to maturity under certain circumstances, as described herein. See "THE SERIES A BONDS – Optional Redemption" and "Mandatory Sinking Fund Redemption."

Book-Entry Only. The Series A Bonds will be issued in book-entry form only, and be initially issued and registered in the name of Cede & Co. as nominee of The Depository Trust Company ("DTC"). Purchasers will not receive physical certificates representing their interests in the Series A Bonds. See "THE SERIES A BONDS - Book-Entry-Only System."

MATURITY SCHEDULE

(See inside cover)

This cover page contains information for general reference only. It is not a summary of all the provisions of the Series A Bonds. Investors must read the entire official statement to obtain information essential to make an informed investment decision.

The Series A Bonds are offered when, as and if issued, subject to the approval as to their legality by Jones Hall, A Professional Law Corporation, San Francisco, California, Bond Counsel. Jones Hall, A Professional Law Corporation, is also acting as Disclosure Counsel to the District. Stradling Yocca Carlson & Rauth, A Professional Corporation, San Francisco, California, is serving as counsel to the Underwriters. It is anticipated that the Series A Bonds in definitive form will be available for delivery through the facilities of DTC on or about May 31, 2018.

PiperJaffray

STIFEL

RAYMOND JAMES®

MATURITY SCHEDULE

Base CUSIP†: 358232

FRESNO UNIFIED SCHOOL DISTRICT (Fresno County, California) General Obligation Bonds Election of 2016, Series A

\$38,500,000 Current Interest Series A Bonds

Maturity Date (August 1)	Principal Amount	Interest Rate	Yield	CUSIP†
2018	\$6,450,000	2.000%	1.540%	4C7
2038	4,170,000	5.000	3.160 ^C	4Q6
2039	4,580,000	5.000	3.200 ^C	4R4

\$10,480,000 - 5.000% Current Interest Term Bonds due August 1, 2041; Yield: 3.220%^C; CUSIP†: 4S2

\$12,820,000 - 4.000% Current Interest Term Bonds due August 1, 2043; Yield: 3.740%^C; CUSIP†: 4T0

**\$21,496,622.85 Initial Denominational Amount (\$37,985,000 Maturity Value)
Capital Appreciation Series A Bonds**

Maturity Date (August 1)	Initial Denominational Amount	Accretion Rate	Yield to Maturity	Maturity Value	CUSIP†
2027	\$1,973,746.50	3.240%	3.240%	\$2,650,000	4D5
2028	1,981,906.55	3.410	3.410	2,795,000	4E3
2029	1,985,872.40	3.560	3.560	2,945,000	4F0
2030	1,982,078.00	3.710	3.710	3,100,000	4G8
2031	1,975,690.40	3.840	3.840	3,260,000	4H6
2032	1,956,976.50	3.990	3.990	3,425,000	4J2
2033	1,948,310.25	4.080	4.080	3,595,000	4K9
2034	1,931,446.40	4.180	4.180	3,770,000	4L7
2035	1,921,339.00	4.250	4.250	3,955,000	4M5
2036	1,920,461.40	4.280	4.280	4,145,000	4N3
2037	1,918,795.45	4.310	4.310	4,345,000	4P8

† Copyright 2018, American Bankers Association. CUSIP data herein is provided by CUSIP Global Services ("CGS"), managed by S&P Capital IQ on behalf of The American Bankers Association. This data is not intended to create a database and does not serve in any way as a substitute for the CGS database. CUSIP numbers have been assigned by an independent company not affiliated with the District, the Municipal Advisor or the Underwriters and are included solely for the convenience of the registered owners of the applicable Series A Bonds. The CUSIP number for a specific maturity is subject to being changed after the execution and delivery of the Series A Bonds as a result of various subsequent actions including, but not limited to, a refunding in whole or in part or as a result of the procurement of secondary market portfolio insurance or other similar enhancement by investors that is applicable to all or a portion of certain maturities of the Series A Bonds. Neither the District, the Municipal Advisor nor the Underwriters assume any responsibility for the accuracy of these CUSIP data.

C: Yield to first par call date on August 1, 2026.

**FRESNO UNIFIED SCHOOL DISTRICT
FRESNO COUNTY
STATE OF CALIFORNIA**

DISTRICT BOARD OF EDUCATION

Elizabeth Jonasson Rosas, *President*
Valerie F. Davis, *Clerk*
Brooke Ashjian, *Member*
Claudia Cazares, *Member*
Christopher De La Cerda, *Member*
Lindsay Cal Johnson, *Member*
Carol Mills, J.D., *Member*

DISTRICT ADMINISTRATION

Robert G. Nelson, *Superintendent*
Ruth F. Quinto, *Deputy Superintendent/CFO, Administrative Services*
Karin Temple, *Chief Operations Officer*
Kim Kelstrom, *Executive Officer, Fiscal Services*
Alex Belanger, *Assistant Superintendent, Facilities Management and Planning*

BOND AND DISCLOSURE COUNSEL

Jones Hall, A Professional Law Corporation
San Francisco, California

FINANCIAL ADVISOR

Keygent LLC
El Segundo, California

PAYING AGENT, TRANSFER AGENT, AND BOND REGISTRAR

U.S. Bank National Association
Los Angeles, California

GENERAL INFORMATION ABOUT THIS OFFICIAL STATEMENT

Use of Official Statement. This Official Statement is submitted in connection with the sale of the Series A Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose. This Official Statement is not a contract between any bond owner and the District or the Underwriters.

No Offering Except by This Official Statement. No dealer, broker, salesperson or other person has been authorized by the District or the Underwriters to give any information or to make any representations other than those contained in this Official Statement and, if given or made, such other information or representation must not be relied upon as having been authorized by the District or the Underwriters.

No Unlawful Offers or Solicitations. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy nor may there be any sale of the Series A Bonds by a person in any jurisdiction in which it is unlawful for such person to make such an offer, solicitation or sale.

Information in Official Statement. The information set forth in this Official Statement has been furnished by the District and other sources which are believed to be reliable, but it is not guaranteed as to accuracy or completeness.

Estimates and Forecasts. When used in this Official Statement and in any continuing disclosure by the District in any press release and in any oral statement made with the approval of an authorized officer of the District or any other entity described or referenced herein, the words or phrases “will likely result,” “are expected to,” “will continue,” “is anticipated,” “estimate,” “project,” “forecast,” “expect,” “intend” and similar expressions identify “forward looking statements” within the meaning of the Private Securities Litigation Reform Act of 1995. Such statements are subject to risks and uncertainties that could cause actual results to differ materially from those contemplated in such forward-looking statements. Any forecast is subject to such uncertainties. Inevitably, some assumptions used to develop the forecasts will not be realized and unanticipated events and circumstances may occur. Therefore, there are likely to be differences between forecasts and actual results, and those differences may be material. The information and expressions of opinion herein are subject to change without notice, and neither the delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, give rise to any implication that there has been no change in the affairs of the District or any other entity described or referenced herein since the date hereof.

Involvement of Underwriters. The Underwriters have provided the following statement for inclusion in this Official Statement: The Underwriters have reviewed the information in this Official Statement in accordance with, and as a part of, their responsibilities to investors under federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

Stabilization of and Changes to Offering Prices. The Underwriters may over allot or take other steps that stabilize or maintain the market prices of the Series A Bonds at levels above those that might otherwise prevail in the open market. If commenced, the Underwriters may discontinue such market stabilization at any time. The Underwriters may offer and sell the Series A Bonds to certain securities dealers, dealer banks and banks acting as agent at prices lower than the public offering prices stated on the inside cover page of this Official Statement, and those public offering prices may be changed from time to time by the Underwriters.

Document Summaries. All summaries of the Bond Resolution, the Paying Agent Agreement or other documents referred to in this Official Statement are made subject to the provisions of such documents and qualified in their entirety to reference to such documents, and do not purport to be complete statements of any or all of such provisions.

No Securities Laws Registration. The Series A Bonds have not been registered under the Securities Act of 1933, as amended, in reliance upon exceptions therein for the issuance and sale of municipal securities. The Series A Bonds have not been registered or qualified under the securities laws of any state.

Effective Date. This Official Statement speaks only as of its date, and the information and expressions of opinion contained in this Official Statement are subject to change without notice. Neither the delivery of this Official Statement nor any sale of the Series A Bonds will, under any circumstances, give rise to any implication that there has been no change in the affairs of the District, the County, the other parties described in this Official Statement, or the condition of the property within the District since the date of this Official Statement.

Website. The District maintains a website. However, the information presented on the website is not a part of this Official Statement and should not be relied upon in making an investment decision with respect to the Series A Bonds.

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\$59,996,622.85
FRESNO UNIFIED SCHOOL DISTRICT
(Fresno County, California)
General Obligation Bonds
Election of 2016, Series A

*This Official Statement, which includes the cover page, inside cover page and appendices hereto, provides information in connection with the sale and delivery by the Fresno Unified School District (the “**District**”) of the Fresno Unified School District (Fresno County, California) General Obligation Bonds, Election of 2016, Series A, in the principal amount of \$59,996,622.85 (the “**Series A Bonds**”).*

INTRODUCTION

This Introduction is not a summary of this Official Statement. It is only a brief description of and guide to, and is qualified by, more complete and detailed information contained in the entire Official Statement, including the cover page and appendices hereto, and the documents summarized or described herein. A full review should be made of the entire Official Statement. The offering of the Series A Bonds to potential investors is made only by means of the entire Official Statement.

The District

The District was formed as an elementary school district on February 6, 1873 in Fresno County (the “**County**”). Its first school was built in 1875. The District became operative as a unified school district on July 1, 1948, following annexation of the Calwa School District to the Fresno City School District, and their consolidation with the Fresno High School District. Since 1947, the District has annexed all or parts of eight other school districts. The District presently serves students from portions of the cities of Clovis and Fresno, California, and from some unincorporated areas of the County. The District’s boundary is roughly defined by W. Herndon Avenue on the north, N. Clovis Avenue on the east, E. North Avenue on the south, and N. Brawley Avenue and S. Cornelia Avenue on the west. The District operates 104 schools and is the fourth largest public school district in California (the “**State**”) as measured by enrollment.

See “APPENDIX A - AUDITED FINANCIAL STATEMENTS OF THE DISTRICT FOR FISCAL YEAR ENDING JUNE 30, 2017” and “APPENDIX B - GENERAL AND FINANCIAL INFORMATION ABOUT THE DISTRICT” for general and financial information regarding the District, and “APPENDIX C - GENERAL INFORMATION ABOUT THE CITY OF FRESNO AND THE COUNTY OF FRESNO,” for demographic and economic information regarding the City of Fresno and the County.

Sources of Payment for the Series A Bonds

The Series A Bonds are general obligation bonds of the District payable solely from *ad valorem* property taxes. The Board of Supervisors of the County has the power and is obligated to annually levy *ad valorem* property taxes for the payment of the principal and Accreted Value of and interest on the Series A Bonds upon all property within the District subject to taxation without limitation of rate or amount (except certain personal property which is taxable at limited rates). See “SECURITY FOR THE SERIES A BONDS” herein.

Purpose of Issue

The net proceeds of the Series A Bonds will be used to finance the acquisition, construction, upgrading, repairing and equipping of school facilities as approved by District voters at an election held in the District on November 8, 2016 (the “**Bond Election**”), all as more particularly described herein. See “THE FINANCING PLAN,” “THE SERIES A BONDS - Authority for Issuance” and “SOURCES AND USES OF FUNDS” herein.

Description of the Series A Bonds

Form of Series A Bonds. The Series A Bonds are authorized to be issued as current interest bonds (the “**Current Interest Bonds**”) and capital appreciation bonds (as defined herein). The Series A Bonds mature in the years and in the amounts as set forth on the inside cover page hereof. The Series A Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee for The Depository Trust Company (“**DTC**”). Purchasers of the Series A Bonds (the “**Beneficial Owners**”) will not receive physical certificates representing their interests in the Series A Bonds. See “THE SERIES A BONDS – Description of the Series A Bonds,” “– Book-Entry Only System” below and “APPENDIX F – DTC and the Book-Entry System.”

Redemption. The Series A Bonds are subject to redemption prior to maturity as described in “THE SERIES A BONDS - Optional Redemption” and “-Mandatory Sinking Fund Redemption” herein.

Legal Matters

Issuance of the Series A Bonds is subject to the approving opinion of Jones Hall, A Professional Law Corporation, San Francisco, California, as bond counsel (“**Bond Counsel**”), to be delivered in substantially the form attached hereto as Appendix D. Jones Hall, A Professional Law Corporation, San Francisco, California, will also serve as Disclosure Counsel to the District (“**Disclosure Counsel**”). Certain legal matters will also be passed upon for Piper Jaffray & Co., Stifel, Nicolaus & Company, Incorporated, and Raymond James & Associates, Inc., (collectively the “**Underwriters**”), by their counsel, Stradling Yocca Carlson & Rauth, a Professional Corporation, San Francisco, California (“**Underwriters’ Counsel**”). Payment of the fees of Bond Counsel, Disclosure Counsel and Underwriters’ Counsel is contingent upon issuance of the Series A Bonds.

Tax Matters

Assuming compliance with certain covenants and provisions of the Internal Revenue Code of 1986, in the opinion of Bond Counsel, interest on the Series A Bonds will not be includable in gross income for federal income tax purposes although it may be includable in the calculation for certain taxes. Also, in the opinion of Bond Counsel, interest on the Series A Bonds will be exempt from the State personal income taxes. See “TAX MATTERS” herein.

Authority for Issuance of the Series A Bonds

The District received authorization at the Bond Election, by at least 55% of votes cast by the qualified electors, to issue general obligation bonds in a principal amount of \$225,000,000 (the “**2016 Authorization**”). The Series A Bonds represent the first series of bonds to be issued pursuant to the 2016 Authorization, and will be issued pursuant to certain provisions of

the Government Code of the State, commencing with Section 53506 thereof (the “**Bond Law**”), pursuant to a resolution adopted by the Board of Education of the District on April 25, 2018 (the “**Bond Resolution**”), and pursuant to a Paying Agent Agreement, dated as of May 1, 2018 (the “**Paying Agent Agreement**”), between the District and U.S. Bank National Association, as paying agent (the “**Paying Agent**”). See “THE SERIES A BONDS - Authority for Issuance” herein.

Offering and Delivery of the Series A Bonds

The Series A Bonds are offered when, as and if issued and received by the Underwriters, subject to approval as to the legality by Bond Counsel. It is anticipated that the Series A Bonds will be available for delivery through the facilities of DTC on or about May 31, 2018.

Continuing Disclosure

The District has covenanted and agreed that it will comply with and carry out all of the provisions of the Continuing Disclosure Certificate executed in connection with the Series A Bonds. The form of the Continuing Disclosure Certificate is included in Appendix E hereto. See “CERTAIN LEGAL MATTERS - Continuing Disclosure” herein for additional information regarding the Continuing Disclosure Certificate, as well as information on the District’s compliance in the previous five years with its prior undertakings.

Changes Since Preliminary Official Statement

In addition to the insertion of pricing-related information, this Official Statement contains disclosure relating to Governor’s May Revision to the 2018-19 Proposed State Budget. See “APPENDIX A - GENERAL AND FINANCIAL INFORMATION ABOUT THE DISTRICT – STATE FUNDING OF EDUCATION; RECENT STATE BUDGETS – Recent State Budgets - 2018-19 Proposed State Budget – May Revision.”

Other Information

This Official Statement speaks only as of its date, and the information contained herein is subject to change.

Copies of documents referred to herein and information concerning the Series A Bonds are available from the Superintendent of the District, Fresno Unified School District, 2309 Tulare Street, Fresno, California 93721. The District may impose a charge for copying, mailing and handling.

This Official Statement is not to be construed as a contract with the purchasers of the Series A Bonds. Statements contained in this Official Statement which involve estimates, forecasts or matters of opinion, whether or not expressly so described herein, are intended solely as such and are not to be construed as representations of fact. The summaries and references to documents, statutes and constitutional provisions referred to herein do not purport to be comprehensive or definitive, and are qualified in their entirety by reference to each of such documents, statutes and constitutional provisions.

The information set forth herein has been obtained from official sources which are believed to be reliable but it is not guaranteed as to accuracy or completeness, and is not to be

construed as a representation by the District. The information and expressions of opinions herein are subject to change without notice and neither delivery of this Official Statement nor any sale made hereunder shall, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. This Official Statement is submitted in connection with the sale of the Series A Bonds referred to herein and may not be reproduced or used, in whole or in part, for any other purpose.

END OF INTRODUCTION

THE FINANCING PLAN

The proceeds of the Series A Bonds issued pursuant to the 2016 Authorization, also known as Measure X, will be used for the purposes specified in the ballot measure approved by the District's voters. The abbreviated form (limited to 75 words or less) of Measure X is as follows:

"To attract / retain quality teachers and repair / upgrade schools by:

- *Improving classrooms, career-technical facilities, science labs, technology;*
- *Repairing deteriorating restrooms, plumbing, air conditioning, wiring;*
- *Removing asbestos / lead hazards;*
- *Upgrading security cameras, lighting, fencing, fire safety;*
- *Renovating, building, acquiring facilities / equipment;*
- *Securing State funds;*

Shall Fresno Unified School District issue \$225 million in bonds, at legal rates, requiring audits, citizens' oversight, no money for administrators' salaries, all funds spent locally?"

As part of the ballot materials presented to District voters at the Bond Election, the voters authorized a specific list of projects (the **"Project List"**) eligible to be funded with proceeds of bonds sold pursuant to the 2016 Authorization, including the Series A Bonds described herein. The District makes no representation as to the specific application of the proceeds of the Series A Bonds, the completion of any projects listed on the Project List, or whether bonds authorized by the 2016 Authorization will provide sufficient funds to complete any particular project listed in the Project List.

The Series A Bond will be the first series of bonds issued pursuant to the 2016 Authorization. The District has other general obligation bond and refunding general obligation bond issues outstanding as of this date, which are similarly secured by *ad valorem* property taxes. See "DEBT SERVICE SCHEDULES," and Appendix B under the heading "DISTRICT FINANCIAL INFORMATION – Long-Term Debt" for additional information.

THE SERIES A BONDS

Authority for Issuance

The Series A Bonds will be issued under the Bond Law, the Bond Resolution and the Paying Agent Agreement.

Description of the Series A Bonds

Form of Bonds. The Series A Bonds are being issued as Current Interest Bonds and Capital Appreciation Bonds, both as described below. The Series A Bonds mature in the years and in the amounts as set forth on the inside cover page hereof. The Bonds will be issued in book-entry form only, and will be initially issued and registered in the name of Cede & Co. as nominee of DTC. See "Book-Entry Form" below and "APPENDIX F – DTC and the Book-Entry Only System."

Current Interest Bonds.

The Current Interest Bonds shall be issued in the denominations of \$5,000 principal amount each or any integral multiple thereof. Interest on the Current Interest Bonds is payable semiannually on each February 1 and August 1, commencing August 1, 2018 (each, an **“Interest Payment Date”**). See “MATURITY SCHEDULE” on the inside cover page of this Official Statement.

Each Current Interest Bond will bear interest from the Interest Payment Date next preceding the date of registration and authentication thereof unless (i) it is authenticated as of an Interest Payment Date, in which event it will bear interest from such date, or (ii) it is authenticated prior to an Interest Payment Date and after the close of business on the fifteenth (15th) day of the month preceding the Interest Payment Date (each, a **“Record Date”**), in which event it will bear interest from such Interest Payment Date, or (iii) it is authenticated prior to July 15, 2018, in which event it will bear interest from the date of delivery of the Bonds identified on the cover page hereof. Notwithstanding the foregoing, if interest on any Current Interest Bond is in default at the time of authentication thereof, such Current Interest Bond will bear interest from the Interest Payment Date to which interest has previously been paid or made available for payment thereon. Payments of principal of and interest on the Current Interest Bonds will be paid by U.S. Bank National Association, Los Angeles, California, acting as paying agent, registrar and transfer agent (the **“Paying Agent”**) to DTC for subsequent disbursement to DTC Participants who will remit such payments to the Beneficial Owners of the Current Interest Bonds.

Capital Appreciation Bonds.

The following terms used herein are defined in the Paying Agent Agreement to have the following meanings with respect to the Capital Appreciation Bonds:

“Accreted Value” means, with respect to any Capital Appreciation Bond, the total Denominational Amount thereof and interest payable thereon as of any Compounding Date determined solely by reference to the Table of Accreted Values set forth on such Capital Appreciation Bond, which is attached to this Official Statement as Appendix H. The Accreted Value of any Capital Appreciation Bond as of any date other than a Compounding Date will be the sum of (a) the Accreted Value as of the Compounding Date immediately preceding the date as of which the calculation is being made plus (b) interest on the Accreted Value determined under the preceding clause (a), computed to the date as of which the calculation is being made at the Accretion Rate set forth on such Capital Appreciation Bond (computed on the basis of a 360-day year of twelve 30-day months).

“Accretion Rate” means the rate which, when applied to the Denominational Amount of any Capital Appreciation Bond and compounded semiannually on each Compounding Date, produces the Maturity Value of such Capital Appreciation Bond on the maturity date thereof.

“Capital Appreciation Bonds” means Series A Bonds the interest on which is compounded semiannually on each Compounding Date and is payable in full at maturity (or upon earlier redemption) as shown in the table of Accreted Value for

the Capital Appreciation Bonds and attached to this Official Statement as Appendix H.

“Closing Date” means the date upon which there is a delivery of the Series A Bonds in exchange for the amount representing the purchase price of the Series A Bonds by the Underwriters (as defined herein).

“Compounding Date” means, with respect to any Capital Appreciation Bond, each February 1 and August 1, commencing August 1, 2018, to and including the date of maturity or redemption of such Capital Appreciation Bond.

“Denominational Amount” means, with respect to any Capital Appreciation Bond, the original amount of such Capital Appreciation Bond as of the Closing Date.

“Maturity Value” means, with respect to any Capital Appreciation Bond, the Accreted Value of such Capital Appreciation Bond to be paid at maturity.

As provided in the Bond Resolution and the Paying Agent Agreement, references therein and in this Official Statement to the payment of the principal of and interest on the Series A Bonds includes payment of the Accreted Value and Maturity Value of the Capital Appreciation Bonds, unless otherwise required by the context or by the express provisions of such reference. Further, whenever in the Bond Resolution or Paying Agent Agreement or in this Official Statement, any reference is made to the rights of the owners of the Series A Bonds as measured by the principal amount of such Series A Bonds, the principal amount of the Capital Appreciation Bonds is deemed to be the Accreted Value thereof as of the date of exercise of such rights.

Each Capital Appreciation Bonds is issued in fully registered form without coupons, and the Maturity Values thereof are in denominations of \$5,000 or any integral multiple thereof (except that one Capital Appreciation Bond may be issued in a denomination the Maturity Value of which is not an integral multiple of \$5,000). Interest on the Capital Appreciation Bonds compounds on each Compounding Date at the applicable Accretion Rates set forth thereon. The Capital Appreciation Bonds will not pay interest on a periodic basis. The Accreted Value payable on any date shall be determined solely by reference to the Table of Accreted Values attached to such Capital Appreciation Bond. See “APPENDIX H– Table of Accreted Values.”

The interest portion of the Accreted Value of any Capital Appreciation Bond that is payable on the date of maturity (or earlier redemption) shall represent interest accreted and coming due on such date. The Accreted Value of any Capital Appreciation Bond at maturity shall be payable by check or draft mailed by first-class mail, in lawful money of the United State of America upon presentation and surrender of such Bond at the Office of the Paying Agent. See “APPENDIX F- DTC and the Book-Entry Only System.”

Paying Agent

U.S. Bank National Association, Los Angeles, California, will act as the Paying Agent for the Series A Bonds. As long as DTC is the registered owner of the Series A Bonds and DTC's book-entry method is used for the Series A Bonds, the Paying Agent will send any notice of redemption or other notices to owners only to DTC. Any failure of DTC to advise any DTC Participant, or of any DTC Participant to notify any Beneficial Owner, of any such notice and its content or effect will not affect the validity or sufficiency of the proceedings relating to the redemption of the Series A Bonds called for redemption or of any other action covered by such notice.

The Paying Agent, the District, the County and the Underwriters of the Series A Bonds have no responsibility or liability for any aspects of the records relating to or payments made on account of beneficial ownership, or for maintaining, supervising or reviewing any records relating to beneficial ownership, of interests in the Series A Bonds.

Optional Redemption

Current Interest Bonds. The Current Interest Bonds maturing on August 1, 2018, are not subject to optional redemption prior to maturity. The Current Interest Bonds maturing on or after August 1, 2038 are subject to redemption prior to maturity, at the option of the District, in whole or in part among maturities on such basis as shall be designated by the District and by lot within a maturity, from any available source of funds, on August 1, 2026, or on any date thereafter, at a price equal to 100% of the principal amount thereof, without premium, plus accrued interest thereon to the date of redemption.

Capital Appreciation Bonds. The Capital Appreciation Bonds are subject to redemption prior to maturity, at the option of the District, in whole or in part among maturities on such basis as shall be designated by the District and by lot within a maturity, from any available source of funds, on August 1, 2026, or on any date thereafter, at a price equal to 100% of the Accreted Value thereof, without premium.

For the purpose of selection for optional redemption, the Series A Bonds will be deemed to consist of \$5,000 portions of principal amount or Maturity Value, as applicable, and any such portion may be separately redeemed.

Mandatory Sinking Fund Redemption

The Current Interest Bonds maturing on August 1, 2041 and August 1, 2043 are term bonds (both the "**Current Interest Term Bonds**"), which are subject to mandatory sinking fund redemption on August 1 of each year in accordance with the schedules set forth below. The Current Interest Term Bonds so called for mandatory sinking fund redemption shall be redeemed in the sinking fund payments amounts and on the dates set forth below, without premium.

Current Interest Term Bonds Maturing August 1, 2041

Sinking Fund Redemption Date (August 1)	Principal Amount to be Redeemed
2040	\$5,010,000
2041 (maturity)	5,470,000

Current Interest Term Bonds Maturing August 1, 2043

Sinking Fund Redemption Date (August 1)	Principal Amount to be Redeemed
2042	\$6,170,000
2043 (maturity)	6,650,000

If some but not all of the above-described Current Interest Term Bonds have been redeemed pursuant to the optional redemption provisions for the Series A Bonds, the total amount of all future sinking fund payments shall be reduced by the aggregate principal amount of the Current Interest Term Bonds so redeemed, to be allocated among such sinking fund payments on such basis as the District may designate in a written request of the District filed with the Paying Agent.

Notice of Redemption

The Paying Agent is required to give notice of the redemption of the Series A Bonds, at the expense of the District. Notice of any redemption of Series A Bonds shall specify: (a) the Series A Bonds or designated portions thereof (in the case of redemption of the Series A Bonds in part but not in whole) which are to be redeemed, (b) the date of redemption, (c) the place or places where the redemption will be made, including the name and address of the Paying Agent, (d) the redemption price, (e) the CUSIP numbers (if any) assigned to the Series A Bonds to be redeemed, (f) the Series A Bond numbers of the Series A Bonds to be redeemed in whole or in part and, in the case of any Series A Bond to be redeemed in part only, the principal amount or Accreted Value of such Series A Bond to be redeemed, and (g) the original issue date, interest rate or Accretion Rate and stated maturity date of each Series A Bond to be redeemed in whole or in part. Such notice may be conditional and shall further state that on the specified date there shall become due and payable upon each Series A Bond or portion thereof being redeemed the redemption price thereof, and that from and after such date, interest thereon shall cease to accrue or accrete. In addition, the redemption notice shall state that the District has the right to rescind the notice as provided below.

The Paying Agent on behalf and at the expense of the District shall mail (by first class mail) notice of any redemption to the respective Owners of any Series A Bonds designated for redemption at their respective addresses appearing on the bond registration books of the Paying Agent, at least 30 but not more than 60 days prior to the date fixed for redemption. Neither the failure to receive, failure to send any notice of redemption nor any defect in any such redemption notice so given shall affect the sufficiency of the proceedings for the redemption of the affected Series A Bonds.

From and after the date fixed for redemption, if notice of such redemption has been duly given and funds available for the payment of the principal and accreted value of and interest (and premium, if any) on the Series A Bonds so called for redemption have been duly provided,

the Series A Bonds called for redemption will cease to be entitled to any benefit under the Series A Paying Agent Agreement other than the right to receive payment of the redemption price, and no interest will accrue or accrete thereon on or after the redemption date specified in the notice.

Partial Redemption of Series A Bonds

Upon the surrender of any Series A Bond redeemed in part only, the Paying Agent shall execute and deliver to the Owner thereof a new Series A Bond of like tenor, series and maturity and of authorized denominations equal in transfer amounts to the unredeemed portion of the Series A Bond surrendered. Such partial redemption shall be valid upon payment of the amount required to be paid to such Owner, and the County and the District shall be released and discharged thereupon from all liability to the extent of such payment.

Right to Rescind Notice of Redemption

The District has the right to rescind any notice of the optional redemption of Series A Bonds by written notice to the Paying Agent on or prior to the date fixed for redemption. Any notice of redemption shall be cancelled and annulled if for any reason funds will not be or are not available on the date fixed for redemption for the payment in full of the Series A Bonds then called for redemption. The District and the Paying Agent have no liability to the Series A Bond owners or any other party related to or arising from such rescission of redemption. The Paying Agent shall mail notice of such rescission of redemption in the same manner as the original notice of redemption was sent under the Paying Agent Agreement.

Defeasance

Any or all of the Series A Bonds may be paid by the District, in whole or in part, in any one or more of the following ways:

- (a) by paying or causing to be paid the principal or Accreted Value or redemption price of and interest on such Series A Bonds, as and when the same become due and payable;
- (b) by irrevocably depositing, in trust, at or before maturity, money or securities in the necessary amount (as provided in the Paying Agent Agreement) to pay or redeem such Series A Bonds; or
- (c) by delivering such Series A Bonds to the Paying Agent for cancellation by it.

Whenever in the Paying Agent Agreement it is provided or permitted that there be deposited with or held in trust by the Paying Agent money or securities in the necessary amount to pay or redeem any Series A Bonds, the money or securities so to be deposited or held may be held by the Paying Agent or by any other fiduciary. Such money or securities may include money or securities held by the Paying Agent in the funds and accounts established under the Paying Agent Agreement and will be:

- (i) lawful money of the United States of America in an amount equal to the principal amount or Accreted Value of such Series A Bonds and all unpaid interest thereon to maturity, except that, in the case of Series A Bonds which

are to be redeemed prior to maturity and in respect of which notice of such redemption is given as provided in the Paying Agent Agreement or provision satisfactory to the Paying Agent is made for the giving of such notice, the amount to be deposited or held will be the principal amount or Accreted Value or redemption price of such Series A Bonds and all unpaid interest thereon to the redemption date; or

- (ii) Federal Securities (not callable by the issuer thereof prior to maturity) the principal of and interest on which when due, in the opinion of a certified public accountant delivered to the District, will provide money sufficient to pay the principal or Accreted Value or redemption price of and all unpaid interest to maturity, or to the redemption date, as the case may be, on the Series A Bonds to be paid or redeemed, as such principal, Accreted Value or redemption price and interest become due, provided that, in the case of Series A Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption is given as provided in the Paying Agent Agreement or provision satisfactory to the Paying Agent Agreement is made for the giving of such notice.

Upon the deposit, in trust, at or before maturity, of money or securities in the necessary amount (as described above) to pay or redeem any outstanding Series A Bond (whether upon or prior to its maturity or the redemption date of such Series A Bond), then all liability of the County and the District in respect of such Series A Bond will cease and be completely discharged, except only that thereafter the owner thereof will be entitled only to payment of the principal and Accreted Value of and interest on such Series A Bond by the Paying Agent on behalf of the District, and the District will remain liable for such payment, but only out of such money or securities deposited with the Paying Agent for such payment.

As used in the foregoing provisions, the term “**Federal Securities**” means United States Treasury notes, bonds, bills or certificates of indebtedness, or any other obligations the timely payment of which is directly or indirectly guaranteed by the full faith and credit of the United States of America.

Book-Entry Only System

The Series A Bonds will be registered initially in the name of “Cede & Co.,” as nominee of DTC, which has been appointed as securities depository for the Series A Bonds, and registered ownership may not be transferred thereafter except as provided in the Paying Agent Agreement. Purchasers will not receive certificates representing their interests in the Series A Bonds. Principal of the Series A Bonds will be paid by the Paying Agent to DTC, which in turn is obligated to remit such principal to its participants for subsequent disbursement to Beneficial Owners of the Series A Bonds as described herein. See “APPENDIX F – DTC and the Book-Entry System.”

Registration, Transfer and Exchange of Series A Bonds

If the book entry system is discontinued, the District shall cause the Paying Agent to maintain and keep at its principal corporate trust office all books and records necessary for the registration, exchange and transfer of the Series A Bonds.

If the book entry system is discontinued, the person in whose name a Series A Bond is registered on the Bond Register shall be regarded as the absolute owner of that Series A Bond. Payment of the principal or Accreted Value of and interest on any Series A Bond shall be made only to or upon the order of that person; neither the District, the County nor the Paying Agent shall be affected by any notice to the contrary, but the registration may be changed as provided in the Paying Agent Agreement.

Series A Bonds may be exchanged at the principal corporate trust office of the Paying Agent in Los Angeles, California for a like aggregate principal amount or Maturity Value of Series A Bonds of authorized denominations and of the same series and maturity. Any Series A Bond may, in accordance with its terms, but only if (i) the District determines to no longer maintain the book entry only status of the Series A Bonds, (ii) DTC determines to discontinue providing such services and no successor securities depository is named or (iii) DTC requests the District to deliver Series A Bond certificates to particular DTC Participants, be transferred, upon the books required to be kept pursuant to the provisions of the Paying Agent Agreement, by the person in whose name it is registered, in person or by his or her duly authorized attorney, upon surrender of such Series A Bond for cancellation at the office of the Paying Agent, accompanied by delivery of a written instrument of transfer in a form approved by the Paying Agent, duly executed.

No exchanges of Series A Bonds shall be required to be made (a) fifteen days prior to an Interest Payment Date or the date established by the Paying Agent for selection of Series A Bonds for redemption until the close of business on the Interest Payment Date or day on which the applicable notice of redemption is given or (b) with respect to a Series A Bond after such Series A Bond has been selected or called for redemption in whole or in part.

DEBT SERVICE SCHEDULES

The Series A Bonds. The following table shows the debt service schedule with respect to the Series A Bonds (assuming no optional redemptions).

FRESNO UNIFIED SCHOOL DISTRICT Debt Service Schedule General Obligation Bonds Election of 2016, Series A

Bond Year Ending (August 1)	<u>Current Interest Bonds</u>		<u>Capital Appreciation Bonds</u>		Total Annual Debt Service
	Principal	Current Interest	Initial Principal	Accreted Interest	
2018	\$6,450,000.00	\$271,670.28	--	--	\$6,721,670.28
2019	--	1,474,300.00	--	--	1,474,300.00
2020	--	1,474,300.00	--	--	1,474,300.00
2021	--	1,474,300.00	--	--	1,474,300.00
2022	--	1,474,300.00	--	--	1,474,300.00
2023	--	1,474,300.00	--	--	1,474,300.00
2024	--	1,474,300.00	--	--	1,474,300.00
2025	--	1,474,300.00	--	--	1,474,300.00
2026	--	1,474,300.00	--	--	1,474,300.00
2027	--	1,474,300.00	\$1,973,746.50	\$676,253.50	4,124,300.00
2028	--	1,474,300.00	1,981,906.55	813,093.45	4,269,300.00
2029	--	1,474,300.00	1,985,872.40	959,127.60	4,419,300.00
2030	--	1,474,300.00	1,982,078.00	1,117,922.00	4,574,300.00
2031	--	1,474,300.00	1,975,690.40	1,284,309.60	4,734,300.00
2032	--	1,474,300.00	1,956,976.50	1,468,023.50	4,899,300.00
2033	--	1,474,300.00	1,948,310.25	1,646,689.75	5,069,300.00
2034	--	1,474,300.00	1,931,446.40	1,838,553.60	5,244,300.00
2035	--	1,474,300.00	1,921,339.00	2,033,661.00	5,429,300.00
2036	--	1,474,300.00	1,920,461.40	2,224,538.60	5,619,300.00
2037	--	1,474,300.00	1,918,795.45	2,426,204.55	5,819,300.00
2038	4,170,000.00	1,474,300.00	--	--	5,644,300.00
2039	4,580,000.00	1,265,800.00	--	--	5,845,800.00
2040	5,010,000.00	1,036,800.00	--	--	6,046,800.00
2041	5,470,000.00	786,300.00	--	--	6,256,300.00
2042	6,170,000.00	512,800.00	--	--	6,682,800.00
2043	6,650,000.00	266,000.00	--	--	6,916,000.00
Total:	\$38,500,000.00	\$33,625,370.28	\$21,496,622.85	\$16,488,377.15	\$110,110,370.28

Combined Debt Service Schedule. The following table shows the combined debt service schedule with respect to the District's outstanding general obligation bonds and the Series A Bonds, each assuming no optional redemptions. See Appendix B under the heading "DISTRICT FINANCIAL INFORMATION – Long-Term Debt" for additional information.

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FRESNO UNIFIED SCHOOL DISTRICT
Combined Debt Service Schedule
General Obligation Bonds

Date (8/1)	1999 Refunding Series C	2002 Refunding Series A	2004 Refunding Series B	2010 Refunding	2012 Refunding Series A	2012 Refunding Series B	Election 2001 Series F	Election 2001 Series G	Election 2010 Series A	Election 2010 Series B	Election 2010 Series C	Election 2010 Series D	2015 Refunding	Election 2010 Series E	Election 2010 Series F	2016 Refunding Series A *	2016 Refunding Series B *	Election 2016 Series A	Total
2018	\$ 3,255,688	\$ 5,777,450	\$ 4,233,050	\$ 1,534,350	\$ 3,541,594	\$ 5,220,585	\$ 2,978,113	\$ -	\$ 1,154,455	\$ 1,497,250	\$ 1,707,200	\$ 1,897,400	\$ 1,059,250	\$ 2,161,944	\$ 840,050	\$ 2,475,850	\$ 1,649,600	\$6,721,670	\$47,705,498
2019	3,255,975	5,800,900	4,235,550	1,526,300	3,553,944	5,240,125	2,976,538	-	1,154,455	1,974,850	1,707,200	1,897,400	1,060,200	2,890,344	840,050	2,475,850	1,649,600	1,474,300	43,713,580
2020	3,247,413	5,824,500	4,235,925	1,525,950	3,531,119	3,953,425	2,974,963	-	1,154,455	3,047,250	1,707,200	1,897,400	1,039,000	3,547,094	840,050	2,475,850	1,649,600	1,474,300	44,125,493
2021	3,254,410	5,817,950	4,243,675	1,519,400	2,749,694	2,411,550	2,973,386	150,000	1,154,455	4,229,850	1,707,200	1,897,400	1,037,600	3,063,344	840,050	2,475,850	1,649,600	1,474,300	42,649,714
2022	3,241,378	5,825,800	4,238,550	1,107,600	2,758,644	-	2,971,816	950,000	3,401,453	-	1,707,200	1,897,400	1,073,900	1,614,344	840,050	2,475,850	1,649,600	1,474,300	37,227,884
2023	-	5,841,400	4,230,800	-	4,263,769	-	2,970,240	950,000	3,834,233	-	1,707,200	1,897,400	1,067,150	1,614,344	840,050	2,475,850	1,649,600	1,474,300	34,816,335
2024	-	5,839,000	4,230,194	-	2,687,969	-	2,968,675	1,320,000	3,794,385	-	-	1,897,400	2,654,938	2,509,344	840,050	2,475,850	1,649,600	1,474,300	34,341,704
2025	-	5,838,000	4,234,894	-	4,328,719	-	2,987,071	1,750,000	4,254,975	-	-	1,897,400	990,688	2,544,344	840,050	2,475,850	1,649,600	1,474,300	35,265,889
2026	-	2,385,900	4,229,881	-	4,312,719	-	-	5,710,000	4,444,560	-	-	1,897,400	845,088	2,704,344	840,050	2,475,850	1,649,600	1,474,300	32,969,691
2027	-	-	1,743,694	-	4,300,244	-	-	7,925,000	4,882,518	-	-	1,897,400	255,588	2,764,344	840,050	2,475,850	1,649,600	1,474,300	32,858,586
2028	-	-	-	-	2,433,688	-	-	9,810,000	5,035,268	-	-	1,897,400	2,128,088	2,959,344	840,050	2,475,850	1,649,600	1,474,300	33,498,587
2029	-	-	-	-	2,426,938	-	-	10,325,000	5,059,870	-	-	1,897,400	2,134,550	3,214,344	1,085,050	2,475,850	1,649,600	1,474,300	34,687,901
2030	-	-	-	-	2,417,375	-	-	10,870,000	-	-	-	3,757,400	1,143,675	2,564,344	2,330,250	5,115,850	2,304,600	1,474,300	35,077,794
2031	-	-	-	-	-	-	-	15,655,000	-	-	-	3,952,400	-	2,539,344	2,342,750	5,368,850	2,524,600	1,474,300	37,117,244
2032	-	-	-	-	-	-	-	16,590,000	-	-	-	4,087,400	-	2,624,344	2,375,750	5,602,600	2,659,600	1,474,300	38,838,994
2033	-	-	-	-	-	-	-	17,175,000	-	-	-	4,227,400	-	2,712,731	2,424,950	5,851,200	2,809,600	1,474,300	40,270,181
2034	-	-	-	-	-	-	-	17,785,000	-	-	-	4,372,400	-	2,796,588	2,479,550	6,114,400	2,964,600	1,474,300	41,756,838
2035	-	-	-	-	-	-	-	18,420,646	-	-	-	4,527,400	-	2,889,338	2,534,150	6,381,000	3,124,600	1,474,300	43,306,434
2036	-	-	-	-	-	-	-	19,073,224	-	-	-	4,682,400	-	2,991,838	2,578,700	6,665,200	3,284,600	1,474,300	44,895,261
2037	-	-	-	-	-	-	-	19,748,457	-	-	-	4,847,400	-	3,088,638	2,635,100	6,955,600	3,454,600	1,474,300	46,549,095
2038	-	-	-	-	-	-	-	20,451,390	-	-	-	5,017,400	-	3,189,038	2,692,900	7,256,200	3,624,600	1,474,300	47,875,828
2039	-	-	-	-	-	-	-	21,175,992	-	-	-	5,187,400	-	3,297,638	2,751,950	7,570,800	3,804,600	1,474,300	49,634,180
2040	-	-	-	-	-	-	-	21,923,482	-	-	-	4,022,400	-	4,438,838	3,127,100	7,893,000	3,994,600	1,474,300	51,446,220
2041	-	-	-	-	-	-	-	22,700,000	-	-	-	4,052,900	-	4,676,038	3,218,750	8,231,600	4,184,600	1,474,300	53,320,188
2042	-	-	-	-	-	-	-	-	4,942,300	-	-	4,942,300	-	5,719,856	-	-	12,549,600	6,682,800	29,894,556
2043	-	-	-	-	-	-	-	-	4,865,050	-	-	4,865,050	-	5,619,381	-	-	13,679,600	6,916,000	31,080,031
2044	-	-	-	-	-	-	-	-	5,009,200	-	-	5,009,200	-	5,784,781	-	-	14,279,600	-	25,073,581
2045	-	-	-	-	-	-	-	-	5,169,200	-	-	5,169,200	-	5,929,919	-	-	14,889,400	-	25,988,519
2046	-	-	-	-	-	-	-	-	5,351,000	-	-	5,351,000	-	-	-	-	15,459,600	-	20,810,600
2047	-	-	-	-	-	-	-	-	-	-	-	22,989,200	-	-	-	-	-	-	22,989,200
Total	\$ 16,254,863	\$ 48,950,900	\$ 39,856,213	\$ 7,213,600	\$ 43,306,413	\$ 16,825,685	\$ 23,800,802	\$ 260,458,191	\$ 39,325,082	\$ 10,749,200	\$ 10,243,200	\$ 123,829,050	\$ 16,489,713	\$ 92,450,125	\$ 41,817,500	\$ 108,716,500	\$ 129,388,200	\$ 110,110,370	\$ 1,139,785,605

*Debt service payments on the 2016 Refunding Bonds, Series A and B to and including their crossover dates of August 1, 2021 and 2023, respectively, are payable from escrow funds. Gross interest, not net of interest paid from the escrow, is shown in the foregoing table. Interest on the Election 2010, Series B and C Bonds, which is payable from ad valorem property taxes prior to the respective crossover dates, is also included in the foregoing table.

SOURCES AND USES OF FUNDS

The sources and uses of funds with respect to the Series A Bonds are as follows:

Sources	Amount
Initial Principal Amount	\$59,996,622.85
Net Original Issue Premium	2,703,122.50
Total Sources:	\$62,699,745.35
Uses	
Building Fund	\$59,996,622.85
Debt Service Fund	2,335,529.96
Cost of Issuance ⁽¹⁾	367,592.54
Total Uses:	\$62,699,745.35

(1) Costs of issuance include legal fees, financial advisory fees, Underwriters' discount, printing costs, rating agency fees and other miscellaneous costs and expenses of issuing the Series A Bonds.

APPLICATION OF PROCEEDS OF SERIES A BONDS

Building Fund

The net proceeds from the sale of the Series A Bonds, to the extent of the initial principal and denominational amounts thereof and less the amount reserved for the payment of permissible costs of issuance, as indicated in the table above, will be paid to the County to the credit of the fund created and established in the Paying Agent Agreement and known as the "Fresno USD Building Fund, Election of 2016, Series A" (the "**Series A Building Fund**"), which will be accounted for as separate and distinct from all other District and County funds. The proceeds will be used solely for the purposes for which the Series A Bonds are being issued and for payment of permissible costs of issuance. All interest and other gains arising from the investment of amounts deposited to the Series A Building Fund shall be retained in the Series A Building Fund and used for the purposes thereof.

Debt Service Fund

The accrued interest and premium, if any, received by the County from the sale of the Series A Bonds, together with the collections of *ad valorem* property taxes for the payment of the Series A Bonds, will be deposited in an interest and sinking fund for the Series A Bonds, known as the "Fresno USD Debt Service Fund, Election of 2016, Series A" (the "**Series A Debt Service Fund**"), which is maintained by the County and which is created by statute for the payment of principal and Accreted Value of and interest on the Series A Bonds when due. Interest earnings on the investment of monies held in the Series A Debt Service Fund will be retained in the Series A Debt Service Fund and used by the County to pay the principal and Accreted Value of and interest on the Series A Bonds when due.

Investment of Proceeds of Series A Bonds

Under California law, the District is generally required to pay all monies received from any source into the County Treasury to be held on behalf of the District. The proceeds of the Series A Bonds to be deposited in the Series A Building Fund and the Series A Debt Service Fund initially will be deposited in the County Treasury, which is administered by the County Auditor-

Controller/Treasurer-Tax Collector (the “**County Treasurer**”). See “APPENDIX G – FRESNO COUNTY INVESTMENT POLICY AND INVESTMENT REPORT.”

For further information concerning the County’s investment policy, including quarterly reports, the County’s website (Treasurer’s Division) may be accessed at <http://www.co.fresno.ca.us/departments/auditor-controller-treasurer-tax-collector>. The information contained within the website may not be current and is not incorporated in this Official Statement by reference.

SECURITY FOR THE SERIES A BONDS

Ad Valorem Taxes

Bonds Payable from Ad Valorem Property Taxes. The Series A Bonds are general obligations of the District, payable solely from *ad valorem* property taxes levied and collected by the County. The County is empowered and is obligated to annually levy *ad valorem* taxes for the payment of the Series A Bonds and the interest thereon upon all property within the District subject to taxation by the District, without limitation of rate or amount (except certain personal property which is taxable at limited rates). The levy may include an allowance for an annual reserve established for the purpose of avoiding fluctuating tax levies. The County, however, is not obligated to establish such a reserve. In no event is the District obligated to pay principal and Accreted Value of and interest and redemption premium, if any, on the Series A Bonds out of any funds or properties of the District other than *ad valorem* taxes levied upon all taxable property in the District; provided, however, nothing in the Bond Resolution prevents the District from making advances of its own moneys howsoever derived to any of the uses or purposes permitted by law.

Other Bonds Payable from Ad Valorem Property Taxes. The District has other general obligation bond and refunding bond issues outstanding which are payable from *ad valorem* taxes. In addition to the general obligation bonds issued by the District, there is other debt issued by entities with jurisdiction in the District, which is payable from *ad valorem* taxes levied on parcels in the District. See “PROPERTY TAXATION – Assessed Valuation – Typical Tax Rates” and “- Direct and Overlapping Debt Obligations” below.

Levy and Collection. The County will levy and collect such *ad valorem* taxes in such amounts and at such times as is necessary to ensure the timely payment of debt service on the Series A Bonds. Such taxes, when collected, will be deposited into the Series A Debt Service Fund, which is maintained by the County and which is irrevocably pledged for the payment of principal and Accreted Value of and interest on the Series A Bonds when due.

District property taxes are assessed and collected by the County in the same manner and at the same time, and in the same installments as other *ad valorem* taxes on real property, and will have the same priority, become delinquent at the same times and in the same proportionate amounts, and bear the same proportionate penalties and interest after delinquency, as do the other *ad valorem* taxes on real property.

Statutory Lien on Ad Valorem Tax Revenues. Pursuant to Senate Bill 222 effective January 1, 2016, voter-approved general obligation bonds which are secured by *ad valorem* tax collections, including the Series A Bonds, are secured by a statutory lien on all revenues received pursuant to the levy and collection of the *ad valorem* property tax imposed to service those bonds. Said lien attaches automatically and is valid and binding from the time the bonds are executed and

delivered. The lien is enforceable against the District, its successors, transferees, and creditors, and all others asserting rights therein, irrespective of whether those parties have notice of the lien and without the need for any further act.

This statutory lien, by its terms, secures not only the Series A Bonds, but also any other bonds of the District issued after January 1, 2016 and payable, both as to principal and interest, from the proceeds of *ad valorem* taxes that may be levied pursuant to paragraphs (2) and (3) of subdivision (b) of Section 1 of Article XIII A of the California Constitution. The statutory lien provision does not specify the relative priority of obligations so secured or a method of allocation in the event that the revenues received pursuant to the levy and collection of such *ad valorem* taxes are insufficient to pay all amounts then due and owing that are secured by the statutory lien.

Annual Tax Rates. The amount of the annual *ad valorem* tax levied by the County to repay the Series A Bonds will be determined by the relationship between the assessed valuation of taxable property in the District and the amount of debt service due on the Series A Bonds. Fluctuations in the annual debt service on the Series A Bonds and the assessed value of taxable property in the District may cause the annual tax rate to fluctuate.

Economic and other factors beyond the District's control, such as economic recession, deflation of property values, a relocation out of the District or financial difficulty or bankruptcy by one or more major property taxpayers, or the complete or partial destruction of taxable property caused by, among other eventualities, drought, earthquake, flood, fire or other natural disaster, could cause a reduction in the assessed value within the District and necessitate a corresponding increase in the annual tax rate.

Debt Service Fund

The County will establish the Series A Debt Service Fund for the Series A Bonds, which will be established as a separate fund to be maintained distinct from all other funds of the County and the County Office of Education. All taxes levied by the County for the payment of the principal of (or in the case of Capital Appreciation Bonds, the Accreted Value of) and interest and premium (if any) on the Series A Bonds will be deposited in the Debt Service Fund promptly upon its receipt. The Debt Service Fund is pledged for the payment of the principal of (or in the case of Capital Appreciation Bonds, the Accreted Value of) and interest and premium (if any) on the Series A Bonds when and as the same become due. The County will transfer amounts in the Debt Service Fund to the Paying Agent to the extent necessary to pay the principal of (or in the case of Capital Appreciation Bonds, the Accreted Value of) and interest and premium (if any) on the Series A Bonds as the same becomes due and payable, for subsequent disbursement by the Paying Agent to DTC Participants who will remit such payments to the Beneficial Owners of the Series A Bonds.

Any moneys remaining in the Debt Service Fund after the Series A Bonds and the interest thereon have been paid by the District, shall be transferred to any other interest and sinking fund for general obligation bond indebtedness of the District, and in the event there is no such debt outstanding, shall be transferred to the District's general fund upon the order of the County Auditor, as provided in Section 15234 of the Education Code.

Not a County Obligation

The Series A Bonds are payable solely from the proceeds of an *ad valorem* tax levied and collected by the County, for the payment of principal and Accreted Value of and interest on the Series A Bonds. Although the County is obligated to collect the *ad valorem* tax for the payment of the Series A Bonds, the Series A Bonds are not a debt of the County.

PROPERTY TAXATION

Property Tax Collection Procedures

In California, property which is subject to *ad valorem* taxes is classified as “secured” or “unsecured.” The “secured roll” is that part of the assessment roll containing State assessed public utilities’ property and real property, the taxes on which create a lien on such property sufficient, in the opinion of the county assessor, to secure payment of the taxes. A tax levied on unsecured property does not become a lien against such unsecured property, but may become a lien on certain other property owned by the taxpayer. Every tax which becomes a lien on secured property has priority over all other liens arising pursuant to State law on such secured property, regardless of the time of the creation of the other liens. Secured and unsecured property are entered separately on the assessment roll maintained by the county assessor. The method of collecting delinquent taxes is substantially different for the two classifications of property.

Property taxes on the secured roll are due in two installments, on November 1 and February 1 of each fiscal year. If unpaid, such taxes become delinquent on December 10 and April 10, respectively, and a 10% penalty attaches to any delinquent payment, plus any additional amount determined by the treasurer. In addition, property on the secured roll with respect to which taxes are delinquent is declared tax defaulted on or about June 30 of the fiscal year. Such property may thereafter be redeemed by payment of the delinquent taxes and a delinquency penalty, a \$15 redemption fee and a redemption penalty of 1-1/2% per month to the time of redemption. The exclusive means of enforcing the payment of delinquent taxes in respect of property on the secured roll is the sale of the property securing the taxes for the amount of taxes which are delinquent. If taxes are unpaid for a period of five years or more, the property is subject to sale by the County.

Property taxes are levied for each fiscal year on taxable real and personal property situated in the taxing jurisdiction as of the preceding January 1. A bill enacted in 1983, SB813 (Statutes of 1983, Chapter 498), however, provided for the supplemental assessment and taxation of property as of the occurrence of a change of ownership or completion of new construction. Thus, this legislation eliminated delays in the realization of increased property taxes from new assessments. As amended, SB813 provided increased revenue to taxing jurisdictions to the extent that supplemental assessments of new construction or changes of ownership occur subsequent to the January 1 lien date and result in increased assessed value.

Property taxes on the unsecured tax roll as of July 31 become delinquent if unpaid on the following August 31, following receipt of an unsecured tax bill which is mailed on or before July 31. A delinquency penalty of 10% is added on September 1. Taxes added to the unsecured tax roll after July 31, if unpaid are delinquent and subject to a penalty of 10% on the last day of the month succeeding the month of enrollment. In the case of unsecured property taxes, an additional penalty of 1.5% per month begins to accrue when such taxes remain unpaid on the last day of the second month after the 10% penalty attaches. The taxing authority has four ways of collecting

unsecured personal property taxes: (1) a civil action against the taxpayer; (2) filing a certificate in the office of the county clerk specifying certain facts in order to obtain a judgment lien on certain property of the taxpayer; (3) filing a certificate of delinquency for record in the county recorder's office, in order to obtain a lien on certain property of the taxpayer; and (4) seizure and sale of personal property, improvements or possessory interests belonging or assessed to the assessee.

Taxation of State-Assessed Utility Property

The State Constitution provides that most classes of property owned or used by regulated utilities be assessed by the State Board of Equalization ("**SBE**") and taxed locally. Property valued by the SBE as an operating unit in a primary function of the utility taxpayer is known as "unitary property," a concept designed to permit assessment of the utility as a going concern rather than assessment of each individual element of real and personal property owned by the utility taxpayer. State-assessed unitary and "operating nonunitary" property (which excludes nonunitary property of regulated railways) is allocated to the counties based on the situs of the various components of the unitary property. Except for unitary property of regulated railways and certain other excepted property, all unitary and operating nonunitary property is taxed at special county-wide rates and tax proceeds are distributed to taxing jurisdictions according to statutory formulae generally based on the distribution of taxes in the prior year.

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Assessed Valuation

Assessed Valuation History. Shown in the following table are the assessed valuations for the District in recent years.

FRESNO UNIFIED SCHOOL DISTRICT Assessed Valuation Fiscal Year 1999-00 through Fiscal Year 2017-18

<u>Fiscal Year</u>	<u>Locally Secured</u>	<u>Utility</u>	<u>Unsecured</u>	<u>Total</u>	<u>Annual % Change</u>
1999-00	\$10,503,280,238	\$18,639,570	\$1,002,330,160	\$11,524,249,968	--
2000-01	10,894,763,571	18,629,888	1,055,494,039	11,968,887,498	3.86%
2001-02	11,235,189,369	19,810,824	1,105,339,956	12,360,340,149	3.27
2002-03	11,530,332,812	18,856,165	1,256,526,405	12,805,715,382	3.60
2003-04	12,218,746,060	17,145,727	1,181,889,225	13,417,781,012	4.78
2004-05	13,288,115,639	16,510,163	1,392,778,068	14,697,403,870	9.54
2005-06	14,567,077,884	19,701,339	1,128,091,518	15,714,870,741	6.92
2006-07	16,336,534,091	18,882,002	1,078,610,289	17,434,026,382	10.94
2007-08	17,860,306,168	10,049,230	1,468,847,888	19,339,203,286	10.93
2008-09	18,096,123,123	10,031,305	1,131,717,067	19,237,871,495	(0.52)
2009-10	16,821,305,558	10,220,120	1,397,221,919	18,228,747,597	(5.25)
2010-11	16,251,873,452	9,775,567	1,338,256,165	17,599,905,184	(3.45)
2011-12	15,736,053,796	9,295,415	1,277,259,183	17,022,608,394	(3.28)
2012-13	15,468,119,802	9,228,652	1,312,579,890	16,789,928,344	(1.37)
2013-14	16,011,599,123	9,221,278	1,246,492,822	17,267,313,223	2.84
2014-15	16,934,846,890	9,169,082	1,266,985,241	18,211,001,213	5.47
2015-16	17,658,842,282	9,965,012	1,277,661,521	18,946,468,815	4.04
2016-17	18,309,912,965	9,922,336	1,368,773,825	19,688,609,126	3.92
2017-18	19,076,931,954	9,906,178	1,362,448,214	20,449,286,346	3.86

Source: California Municipal Statistics, Inc. for fiscal years 1999-00 through 2017-18.

Factors Relating to Increases/Decreases in Assessed Value. As indicated in the previous table, assessed valuations are subject to change in each year. Increases or decreases in assessed valuation result from a variety of factors including but not limited to general economic conditions, supply and demand for real property in the area, government regulations such as zoning, and natural disasters such as earthquakes, fires, floods and droughts. Notable natural disasters in recent years include drought conditions throughout the State, which ended in 2017 due to record-level precipitation in late 2016 and early 2017, with the exception of Fresno, Kings, Tulare and Tuolumne counties, where emergency drinking water projects are currently in place to address diminished groundwater supplies.

In addition, wildfires have occurred in recent years in different regions of the State, and recently Governor Jerry Brown, on October 12, 2017 declared states of emergency in Napa, Sonoma and Yuba Counties, and again on December 4, 2017 and December 7, 2017, declared states of emergency in Los Angeles and Ventura Counties, and San Diego and Santa Barbara Counties, respectively. Related flooding and mudslides also occurred in January 2018. The District cannot predict or make any representations regarding the effects that wildfires, flooding, mudslides or any other natural disasters and related conditions that may have occurred or may occur has had or may have on the value of taxable property within the District, or to what extent the effects said types of disasters might have on economic activity in the District or throughout the State.

Assessed Valuation By Jurisdiction. The following table sets forth assessed valuation in the District by jurisdiction.

**FRESNO UNIFIED SCHOOL DISTRICT
2017-18 Assessed Valuation by Jurisdiction**

<u>Jurisdiction:</u>	<u>Assessed Valuation in District</u>	<u>% of District</u>	<u>Assessed Valuation of Jurisdiction</u>	<u>% of Jurisdiction in District</u>
City of Fresno	\$17,080,521,766	83.53%	\$34,453,902,554	49.57%
City of Clovis	436,058,478	2.13	10,255,657,303	4.25
Unincorp. Fresno County	<u>2,932,706,102</u>	<u>14.34</u>	22,410,446,146	13.09
Total District	\$20,449,286,346	100.00%		
 Fresno County	 \$20,449,286,346	 100.00%	 \$74,685,966,186	 27.38%

Source: California Municipal Statistics, Inc.

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Assessed Valuation by Land Use. The following table summarizes secured assessed valuation and parcels by land use in the District for the 2017-18 fiscal year.

FRESNO UNIFIED SCHOOL DISTRICT
Local Secured Property
2017-18 Assessed Valuation and Parcels by Land Use

	2017-18 Assessed Valuation ⁽¹⁾	% of Total	No. of Parcels	% of Total	No. of Taxable Parcels	% Total
Non-Residential:						
Agricultural	\$ 4,210,914	0.02%	17	0.02%	17	0.02%
Commercial	4,065,244,267	21.31	4,569	4.69	4,540	4.68
Vacant Commercial	109,077,778	0.57	874	0.90	843	0.87
Industrial	1,099,957,602	5.77	1,297	1.33	1,284	1.32
Vacant Industrial	87,002,768	0.46	615	0.63	598	0.62
Recreational	36,720,130	0.19	39	0.04	39	0.04
Government/Social/Institutional	177,388,939	0.93	452	0.46	293	0.30
Vacant Other	30,563,121	0.16	136	0.14	129	0.13
Miscellaneous	<u>2,149,943</u>	<u>0.01</u>	<u>157</u>	<u>0.16</u>	<u>155</u>	<u>0.16</u>
Subtotal Non-Residential	\$5,612,315,462	29.42%	8,156	8.37%	7,898	8.15%
Residential:						
Single Family Residence	\$11,064,720,724	58.00%	79,083	81.12%	79,053	81.56%
Mobile Home	53,564,364	0.28	1,541	1.58	1,541	1.59
Mobile Home Park	78,373,593	0.41	26	0.03	26	0.03
2-4 Residential Units	100,300,871	0.53	740	0.76	739	0.76
5+ Residential Units/Apartments	2,051,531,736	10.75	6,172	6.33	6,164	6.36
Miscellaneous Residential	39,313,188	0.21	149	0.15	149	0.15
Vacant Residential	<u>76,812,016</u>	<u>0.40</u>	<u>1,627</u>	<u>1.67</u>	<u>1,353</u>	<u>1.40</u>
Subtotal Residential	\$13,464,616,492	70.58%	89,338	91.63%	89,025	91.85%
Total	\$19,076,931,954	100.00%	97,494	100.00%	96,923	100.00%

(1) Local secured assessed valuation; excluding tax-exempt property.
Source: California Municipal Statistics, Inc.

Assessed Valuation of Single Family Residential Parcels. Shown below is the assessed valuation of single family homes in the District in 2017-18, in \$25,000 increments. The median assessed value of a single family home was \$116,533 in 2017-18.

FRESNO UNIFIED SCHOOL DISTRICT
Per Parcel 2017-18 Assessed Valuation of Single Family Homes

	<u>No. of Parcels</u>	<u>2017-18 Assessed Valuation</u>	<u>Average Assessed Valuation</u>	<u>Median Assessed Valuation</u>		
Single Family Residential	79,053	\$11,064,720,724	\$139,966	\$116,533		
<u>2017-18 Assessed Valuation</u>	<u>No. of Parcels⁽¹⁾</u>	<u>% of Total</u>	<u>Cumulativ e % of Total</u>	<u>Total Valuation</u>	<u>% of Total</u>	<u>Cumulative % of Total</u>
\$0 - \$24,999	635	0.803%	0.803%	\$ 12,168,406	0.110%	0.110%
\$25,000 - \$49,999	7,056	8.926	9.729	283,818,234	2.565	2.675
\$50,000 - \$74,999	11,575	14.642	24.371	720,793,913	6.514	9.189
\$75,000 - \$99,999	12,431	15.725	40.096	1,085,345,667	9.809	18.998
\$100,000 - \$124,999	11,383	14.399	54.495	1,276,273,611	11.535	30.533
\$125,000 - \$149,999	9,370	11.853	66.348	1,280,567,857	11.573	42.107
\$150,000 - \$174,999	7,508	9.497	75.845	1,212,726,727	10.960	53.067
\$175,000 - \$199,999	5,377	6.802	82.647	1,002,664,830	9.062	62.129
\$200,000 - \$224,999	3,669	4.641	87.288	776,142,546	7.015	69.143
\$225,000 - \$249,999	2,794	3.534	90.823	660,852,204	5.973	75.116
\$250,000 - \$274,999	1,863	2.357	93.179	487,075,799	4.402	79.518
\$275,000 - \$299,999	1,288	1.629	94.809	368,498,877	3.330	82.848
\$300,000 - \$324,999	924	1.169	95.977	287,099,191	2.595	85.443
\$325,000 - \$349,999	553	0.700	96.677	185,501,233	1.677	87.119
\$350,000 - \$374,999	509	0.644	97.321	183,753,731	1.661	88.780
\$375,000 - \$399,999	343	0.434	97.755	132,613,907	1.199	89.979
\$400,000 - \$424,999	295	0.373	98.128	121,410,623	1.097	91.076
\$425,000 - \$449,999	199	0.252	98.380	86,931,085	0.786	91.862
\$450,000 - \$474,999	144	0.182	98.562	66,589,257	0.602	92.463
\$475,000 - \$499,999	154	0.195	98.757	74,956,095	0.677	93.141
\$500,000 and greater	983	1.243	100.000	758,936,931	6.859	100.000
Total	79,053	100.000%		\$11,064,720,724	100.000%	

(1) Improved single family residential parcels. Excludes condominiums and parcels with multiple family units.
Source: California Municipal Statistics, Inc.

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Typical Tax Rates. Typical tax rates for fiscal years 2013-14 through 2017-18 for a tax rate area within the City of Fresno portion of the District (Tax Rate Area 5-001) are set forth in the following table.

FRESNO UNIFIED SCHOOL DISTRICT
Typical Total Tax Rates – TRA 5-001 (City of Fresno)
Fiscal Years 2013-14 through 2017-18
(Dollars Per \$100 of Assessed Valuation)

	2013-14	2014-15	2015-16	2016-17	2017-18
General Tax Rate	\$1.000000	\$1.000000	\$1.000000	\$1.000000	\$1.000000
City of Fresno Pension Tax	.032438	.032438	.032438	.032438	.032438
Fresno Unified School District	.188834	.188860	.188860	.188864	.188864
State Center Community College District	<u>.009602</u>	<u>.009308</u>	<u>.008064</u>	<u>.008480</u>	<u>.025934</u>
Total Tax Rate	\$1.230874	\$1.230606	\$1.229362	\$1.229782	\$1.247236

Source: California Municipal Statistics, Inc.

Reassessments and Appeals of Assessed Value

There are general means by which assessed values can be reassessed or appealed that could adversely impact property tax revenues within the District.

Appeals may be based on Proposition 8 of November 1978, which requires that for each January 1 lien date, the taxable value of real property must be the lesser of its base year value, annually adjusted by the inflation factor pursuant to Article XIII A of the State Constitution, or its full cash value, taking into account reductions in value due to damage, destruction, depreciation, obsolescence, removal of property or other factors causing a decline in value. See “CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS – Article XIII A of the California Constitution” in Appendix B.

Under California law, property owners may apply for a Proposition 8 reduction of their property tax assessment by filing a written application, in form prescribed by the State Board of Equalization, with the County board of equalization or assessment appeals board. In the County, the application is to be directed to the County assessment appeals board. In most cases, the appeal is filed because the applicant believes that present market conditions (such as residential home prices) cause the property to be worth less than its current assessed value.

Any reduction in the assessment ultimately granted as a result of such appeal applies to the year for which application is made and during which the written application was filed. These reductions are subject to yearly reappraisals and are adjusted back to their original values, adjusted for inflation, when market conditions improve. Once the property has regained its prior value, adjusted for inflation, it once again is subject to the annual inflationary factor growth rate allowed under Article XIII A.

A second type of assessment appeal involves a challenge to the base year value of an assessed property. Appeals for reduction in the base year value of an assessment, if successful, reduce the assessment for the year in which the appeal is taken and prospectively thereafter. The base year is determined by the completion date of new construction or the date of change of ownership. Any base year appeal must be made within four years of the change of ownership or new construction date.

Proposition 8 reductions may also be unilaterally applied by the County Assessor. The District cannot predict the changes in assessed values that might result from pending or future appeals by taxpayers or by reductions initiated by the County Assessor. Any reduction in aggregate District assessed valuation due to appeals, as with any reduction in assessed valuation due to other causes, will cause the tax rate levied to repay the Series A Bonds to increase accordingly, so that the fixed debt service on the Series A Bonds (and other outstanding general obligation bonds) may be paid.

Property Tax Collections

Historical secured tax levy collections and delinquencies in the District with respect to the one percent general fund apportionment are summarized in the following table.

FRESNO UNIFIED SCHOOL DISTRICT Secured Tax Charges and Delinquencies

<u>Fiscal Year</u>	<u>Secured Tax Charge ⁽¹⁾</u>	<u>Amount Delinquent June 30</u>	<u>% Delinquent June 30 of such Fiscal Year</u>
2003-04	\$134,379,322	\$ 3,091,338	2.30%
2004-05	160,904,807	7,301,862	4.54
2005-06	167,001,232	4,444,572	2.66
2006-07	195,184,006	7,959,057	4.08
2007-08	212,055,215	11,053,873	5.21
2008-09	201,744,552	8,708,429	4.32
2009-10	202,619,719	7,036,950	3.47
2010-11	195,875,634	5,968,758	3.05
2011-12	188,855,635	4,519,853	2.39
2012-13	186,268,610	4,255,016	2.28
2013-14	201,983,687	4,372,242	2.16
2014-15	212,963,686	4,495,731	2.11
2015-16	221,402,930	3,410,788	1.54
2016-17	232,409,836	4,764,545	2.05

(1) All taxes collected by the County within the District.

Source: California Municipal Statistics, Inc.

The District's total secured tax collections and delinquencies are apportioned on a County-wide basis, according to the District's designated tax rate amount. Therefore, the total secured tax levies, as well as collections and delinquencies reported, do not represent the actual secured tax levies, collections and delinquencies of taxpayers within the tax areas of the District. In addition, the District's total secured tax levy does not include special assessments, supplemental taxes or other charges which have been assessed on property within the District or other tax rate areas of the County.

Notwithstanding the delinquency information set forth above, the County has adopted the Alternative Method of Distribution of Tax Levies and Collections and of Tax Sale Proceeds (the "**Teeter Plan**") as provided for in the State Revenue and Taxation Code, which requires the County to pay 100% of secured property taxes due to local agencies in the fiscal year such taxes are due, including the District. Under these provisions, each county operating under the Teeter Plan establishes a delinquency reserve and assumes responsibility for all secured delinquencies, assuming that certain conditions are met.

Because of this method of tax collection, the K-12 districts located in counties operating under and participating in the Teeter Plan are assured of 100% collection of their secured tax

levies if the conditions established under the applicable county's Teeter Plan are met. However, such districts are no longer entitled to share in any penalties due on delinquent payments or in the interest which accrues on delinquent payments.

The Teeter Plan is to remain in effect unless the Board of Supervisors orders its discontinuance or unless, prior to the commencement of any fiscal year of the County (which commences on July 1), the Board of Supervisors has received a petition for its discontinuance joined in by resolutions adopted by two thirds of the participating revenue districts in the County, in which event the Board of Supervisors is required to order discontinuance of the Teeter Plan effective at the commencement of the subsequent fiscal year.

The Board of Supervisors may, by resolution adopted not later than July 15 of the fiscal year for which it is to apply after holding a public hearing on the matter, discontinue the procedures under the Teeter Plan with respect to any tax levying agency or assessment levying agency in the County if the rate of secured tax delinquency in that agency in any year exceeds 3% of the total of all taxes and assessments levied on the secured rolls for that agency. In the event that the Teeter Plan was terminated, the amount of the levy of *ad valorem* taxes in the District would depend upon the collections of the *ad valorem* property taxes and delinquency rates experienced with respect to the parcels within the District.

So long as the Teeter Plan remains in effect with respect to the District, the District's receipt of revenues with respect to the levy of *ad valorem* property taxes will not be dependent upon actual collections of the *ad valorem* property taxes by the County.

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Largest Secured Property Taxpayers in District

The following table shows the 20 largest secured property taxpayers in the District as determined by secured assessed valuation in fiscal year 2017-18.

The more property (by assessed value) which is owned by a single taxpayer in the District, the greater amount of tax collections are exposed to weaknesses in the taxpayer's financial situation and ability or willingness to pay property taxes. Each taxpayer listed below is a unique name listed on the tax rolls. The District cannot determine from County assessment records whether individual persons, corporations or other organizations are liable for tax payments with respect to multiple properties held in various names that in aggregate may be larger than is suggested by the table below.

FRESNO UNIFIED SCHOOL DISTRICT Top Twenty Secured Property Taxpayers Fiscal Year 2017-18

	<u>Property Owner</u>	<u>Primary Land Use</u>	<u>2017-18 Assessed Valuation</u>	<u>% of Total ⁽¹⁾</u>
1.	Macerich Fresno LP	Shopping Center	\$ 146,923,366	0.77%
2.	RIP Fig Garden LP	Shopping Center	109,975,939	0.58
3.	Capri Sun Inc.	Industrial	63,967,763	0.34
4.	M L Street Properties LLC	Office Building	55,364,137	0.29
5.	George V. Andros	Office Building	52,613,749	0.28
6.	USGP Fresno IRS LLC	Office Building	50,541,595	0.26
7.	Gap Inc.	Industrial	45,078,009	0.24
8.	Government Properties Income Trust LLC	Office Building	44,388,823	0.23
9.	Pelco Inc.	Industrial	42,975,600	0.23
10.	Winco Foods LLC	Commercial	41,594,993	0.22
11.	Lyons Magnus Inc.	Industrial	40,057,002	0.21
12.	FFDA Properties LLC	Commercial	39,494,984	0.21
13.	Bottling Group LLC	Industrial	39,201,695	0.21
14.	Wal-Mart Real Estate Business Trust	Commercial	37,545,590	0.20
15.	HCP CRS2 Fresno CA LP	Rest Home	36,077,023	0.19
16.	Fancher Creek LP	Apartments	34,382,172	0.18
17.	Wasatch Pool Holdings LLC	Apartments	33,821,314	0.18
18.	BRE SSP Property Owner LLC	Hotel/Motel	30,958,398	0.16
19.	Torrey Ridge LP	Apartments	30,844,014	0.16
20.	Reflections Fresno LP	Apartments	<u>29,970,518</u>	<u>0.16</u>
			\$1,005,776,684	5.27%

(1) 2017-18 local secured assessed valuation: \$19,076,931,954.

Source: California Municipal Statistics, Inc.

Direct and Overlapping Debt Obligations

Set forth below is a direct and overlapping debt report (the “**Debt Report**”) prepared by California Municipal Statistics, Inc. and dated as of April 1, 2018. The Debt Report is included for general information purposes only. The District has not reviewed the Debt Report for completeness or accuracy and makes no representation in connection therewith.

The Debt Report generally includes long-term obligations sold in the public credit markets by public agencies whose boundaries overlap the boundaries of the District in whole or in part. Such long-term obligations generally are not payable from revenues of the District (except as indicated) nor are they necessarily obligations secured by land within the District. In many cases, long-term obligations issued by a public agency are payable only from the general fund or other revenues of such public agency.

FRESNO UNIFIED SCHOOL DISTRICT Statement of Direct and Overlapping Bonded Debt Dated as of April 1, 2018

2017-18 Assessed Valuation: \$20,449,286,346

<u>DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT:</u>	<u>% Applicable</u>	<u>Debt 4/1/18</u>
State Center Community College District	25.190%	\$ 40,584,869
Fresno Unified School District	100.000	<u>466,721,944</u>⁽¹⁾
TOTAL DIRECT AND OVERLAPPING TAX AND ASSESSMENT DEBT		\$507,306,813
<u>DIRECT AND OVERLAPPING GENERAL FUND DEBT:</u>		
Fresno County General Fund Obligations	27.380%	\$ 11,346,272
Fresno County Pension Obligation Bonds	27.380	80,648,543
Fresno Unified School District General Fund Obligations	100.000	<u>16,245,000</u>⁽²⁾
City of Fresno General Fund and Judgment Obligations	49.575	90,703,388
City of Fresno Pension Obligation Bonds	49.575	65,359,680
City of Clovis Certificates of Participation	4.252	423,998
Clovis Veterans Memorial District General Fund Obligations	1.645	<u>57,082</u>
TOTAL DIRECT AND OVERLAPPING GENERAL FUND DEBT		\$264,783,963
<u>OVERLAPPING TAX INCREMENT DEBT (Successor Agency):</u>		\$2,174,544
COMBINED TOTAL DEBT		\$774,265,320 ⁽³⁾

Ratios to 2017-18 Assessed Valuation:

Direct Debt (\$466,721,944)	2.28%
Total Direct and Overlapping Tax and Assessment Debt	2.48%
Combined Direct Debt (\$482,966,944)	2.36%
Combined Total Debt	3.79%

Ratios to Redevelopment Incremental Valuation (\$1,836,837,429):

Total Overlapping Tax Increment Debt	0.12%
--	-------

(1) Excludes the Series A Bonds to be sold as described herein.

(2) Represents the District's rental payment obligations in connection with the Central Valley Support Services Joint Powers Agency's lease revenue bonds. See Appendix B hereto, under the heading “DISTRICT FINANCIAL INFORMATION - Long-Term Debt - Other Long Term Debt of the District.”

(3) Excludes tax and revenue anticipation notes, enterprise revenue, mortgage revenue and non-bonded capital lease obligations.

Source: California Municipal Statistics, Inc.

TAX MATTERS

Federal Tax Status. In the opinion of Jones Hall, A Professional Law Corporation, San Francisco, California, Bond Counsel, subject, however to the qualifications set forth below, under existing law, the interest on the Series A Bonds is excluded from gross income for federal income tax purposes and such interest is not an item of tax preference for purposes of the federal alternative minimum tax, although, in the case of tax years beginning prior to January 1, 2018, for the purpose of computing the alternative minimum tax imposed on certain corporations, such interest earned by a corporation prior to the end of its tax year in 2018 is taken into account in determining certain income and earnings.

The opinions set forth in the preceding paragraph are subject to the condition that the District comply with all requirements of the Internal Revenue Code of 1986, as amended (the "**Tax Code**") relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Series A Bonds. The District has made certain representations and covenants in order to comply with each such requirement. Inaccuracy of those representations, or failure to comply with certain of those covenants, may cause the inclusion of such interest in gross income for federal income tax purposes, which may be retroactive to the date of issuance of the Series A Bonds.

Tax Treatment of Original Issue Discount and Premium. If the initial offering price to the public at which a Series A Bond is sold is less than the amount payable at maturity thereof, then such difference constitutes "original issue discount" for purposes of federal income taxes and State of California personal income taxes. If the initial offering price to the public at which a Series A Bond is sold is greater than the amount payable at maturity thereof, then such difference constitutes "original issue premium" for purposes of federal income taxes and State of California personal income taxes. *De minimis* original issue discount and original issue premium are disregarded.

Under the Tax Code, original issue discount is treated as interest excluded from federal gross income and exempt from State of California personal income taxes to the extent properly allocable to each owner thereof subject to the limitations described in the first paragraph of this section. The original issue discount accrues over the term to maturity of the Series A Bond on the basis of a constant interest rate compounded on each interest or principal payment date (with straight-line interpolations between compounding dates). The amount of original issue discount accruing during each period is added to the adjusted basis of such Series A Bonds to determine taxable gain upon disposition (including sale, redemption, or payment on maturity) of such Series A Bond. The Tax Code contains certain provisions relating to the accrual of original issue discount in the case of purchasers of the Series A Bonds who purchase the Series A Bonds after the initial offering of a substantial amount of such maturity. Owners of such Series A Bonds should consult their own tax advisors with respect to the tax consequences of ownership of Series A Bonds with original issue discount, including the treatment of purchasers who do not purchase in the original offering, the allowance of a deduction for any loss on a sale or other disposition, and the treatment of accrued original issue discount on such Series A Bonds under federal individual alternative minimum taxes.

Under the Tax Code, original issue premium is amortized on an annual basis over the term of the Series A Bond (said term being the shorter of the Series A Bond's maturity date or its call

date). The amount of original issue premium amortized each year reduces the adjusted basis of the owner of the Series A Bond for purposes of determining taxable gain or loss upon disposition. The amount of original issue premium on a Series A Bond is amortized each year over the term to maturity of the Series A Bond on the basis of a constant interest rate compounded on each interest or principal payment date (with straight-line interpolations between compounding dates). Amortized Series A Bond premium is not deductible for federal income tax purposes. Owners of premium Series A Bonds, including purchasers who do not purchase in the original offering, should consult their own tax advisors with respect to State of California personal income tax and federal income tax consequences of owning such Series A Bonds.

California Tax Status. In the further opinion of Bond Counsel, interest on the Series A Bonds is exempt from California personal income taxes.

Other Tax Considerations. Current and future legislative proposals, if enacted into law, clarification of the Tax Code or court decisions may cause interest on the Series A Bonds to be subject, directly or indirectly, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent beneficial owners from realizing the full current benefit of the tax status of such interest. The introduction or enactment of any such legislative proposals, clarification of the Tax Code or court decisions may also affect the market price for, or marketability of, the Series A Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether, if enacted, such legislation would apply to bonds issued prior to enactment.

The opinions expressed by Bond Counsel are based upon existing legislation and regulations as interpreted by relevant judicial and regulatory authorities as of the date of such opinion, and Bond Counsel has expressed no opinion with respect to any proposed legislation or as to the tax treatment of interest on the Series A Bonds, or as to the consequences of owning or receiving interest on the Series A Bonds, as of any future date. Prospective purchasers of the Series A Bonds should consult their own tax advisors regarding any pending or proposed federal or state tax legislation, regulations or litigation, as to which Bond Counsel expresses no opinion.

Owners of the Series A Bonds should also be aware that the ownership or disposition of, or the accrual or receipt of interest on, the Series A Bonds may have federal or state tax consequences other than as described above. Other than as expressly described above, Bond Counsel expresses no opinion regarding other federal or state tax consequences arising with respect to the Series A Bonds, the ownership, sale or disposition of the Series A Bonds, or the amount, accrual or receipt of interest on the Series A Bonds.

Form of Opinion. A copy of the proposed form of opinion of Bond Counsel for the Series A Bonds is attached hereto as APPENDIX D.

CERTAIN LEGAL MATTERS

Continuing Disclosure

The District will covenant for the benefit of holders and Beneficial Owners of the Series A Bonds to provide certain financial information and operating data relating to the District by not later than nine (9) months following the end of the District's fiscal year (which currently would be by March 31 each year based upon the June 30 end of the District's fiscal year), commencing March 31, 2019, with the report for the 2017-18 fiscal year (the **"Annual Report"**), and to provide notices of the occurrence of certain enumerated events. The Annual Report and any event notices will be filed by the District with the Municipal Securities Rulemaking Board (the **"MSRB"**). The specific nature of the information to be contained in an Annual Report or other notices is set forth below under the caption "APPENDIX E - Form of Continuing Disclosure Certificate." These covenants will be made in order to assist the Underwriters in complying with Securities and Exchange Commission's Rule 15c2-12(b)(5) (the **"Rule"**).

The District has existing disclosure undertakings that have been made pursuant to the Rule in connection with the issuance of the District's outstanding general obligation bonds and other indebtedness (see information in Appendix B under the heading "DISTRICT FINANCIAL INFORMATION – Long-Term Debt"). In connection with its continuing disclosure obligation undertaken at the time of issuance of the Central Valley Support Services Joint Powers Agency 2011 General Obligation Revenue Bonds (Taxable Direct-Pay) (Fresno Unified School District Qualified School Construction Bonds), the District did not include in its annual supplemental filing for fiscal year ending June 30, 2013 the amount by which the federal subsidy payments was offset by the federal government due to sequestration. Such information has subsequently been provided. In addition, there was one instance in the previous five years in which the District filed notices of insured rating upgrades late, being the May 21, 2013 Moody's upgrade of MBIA/NATL with respect to 1999 GO Refunding Bonds, Series C and 2002 GO Refunding Bonds, Series A. Identification of these instances of noncompliance is not to be construed as an acknowledgment that such noncompliance was material.

In order to assist it in complying with its disclosure undertakings for its outstanding bonds and the Series A Bonds, the District has engaged Keygent LLC, to serve as its dissemination agent with respect to each of its disclosure undertakings.

The County does not have any obligation or incur any liability whatsoever with respect to the performance of the District's duties regarding continuing disclosure.

Absence of Material Litigation

No litigation is pending or threatened concerning the validity of the Series A Bonds, and a certificate to that effect will be furnished to purchasers at the time of the original delivery of the Series A Bonds. The District is not aware of any litigation pending or threatened that (i) questions the political existence of the District, (ii) contests the District's ability to receive *ad valorem* property taxes or to collect other revenues or (iii) contests the District's ability to issue and retire the Series A Bonds.

Litigation and Investigation Relating to School Construction

Litigation Relating to Lease-Leaseback. In November 2010, a local taxpayer filed a civil action in Fresno County Superior Court (*Davis v. Fresno Unified School District et al.*) challenging the legality of a contract for the construction of certain school facilities between the District and a construction company under a lease-leaseback arrangement, without competitive bidding, which complaint also included a conflict of interest claim against the contractor. Demurrers were sustained by the trial court on each of the seven causes of action alleged in the complaint, and judgment in favor of the District and the contractor was entered in September 2013.

The plaintiff appealed to the California Court of Appeal for the Fifth Appellate District. In a decision filed on June 1, 2015, the Appellate Court upheld the Superior Court's decision to dismiss certain of the causes of actions, specifically confirming that the plaintiff had not stated a valid cause of action for breach of fiduciary duty by the District's Board, that the contractor was not a "public official" subject to the conflict of interest provisions in the Political Reform Act of 1974, and that the use of lease-leaseback arrangements are not limited to situations where the school district does not have sufficient funds to cover the cost of building new facilities. With respect to the remaining causes of action, the Appellate Court reversed the Superior Court's judgment, finding that the plaintiff had alleged sufficient facts to support such causes of action. In its opinion, the Appellate Court held, among other things, that in order for a lease-leaseback contract for the construction of school facilities to qualify for an exception from competitive bidding, it must be a true lease, and the leasing arrangement must include a financing component. In addition, the Court held that certain provisions of California law relating to conflicts of interest can apply to corporate consultants such as the construction company, allowing the conflict of interest cause of action by the plaintiff to survive. The California Supreme Court denied review of the Appellate Court's decision on August 26, 2015.

The case has been remanded to the trial court level where the remaining causes of action can be litigated and ultimately decided. In May 2016, the District's motion for judgment on the pleadings based on lack of standing of the plaintiff was denied. The District has not received notice of any further findings, decisions or other actions relating to the foregoing. The District cannot predict the outcome of said litigation, when or if further pursued.

While the outcome of such litigation could have the effect of altering the manner in which school construction projects are undertaken by the District and other school districts in the State of California, the outcome of such litigation does not and will not adversely affect the validity of the Bonds, the District's ability to receive *ad valorem* property taxes in order to pay debt service with respect to the Bonds or the ability of the District to comply with applicable requirements of federal tax law.

Dept. of Justice Investigation (2015). On August 28, 2015, the District was served a federal grand jury subpoena relating to a United States Department of Justice investigation into potential violations of federal law. The subpoena required the District to produce certain documentation in its possession or control to the grand jury relating to the lease-leaseback contracting method, the selection of contractors and consultants for school projects approved by a lease-leaseback contracting method and the use of Measure Q (2010 Bond Authorization) bond funds for school facility construction projects. The alleged violations of federal law are not more specifically identified in the subpoena. The District produced the documents in response to the subpoena and has cooperated fully with the investigation. The District has not received further requests from the Department of Justice. The District cannot predict the outcome of the proceedings, if any, which may result from the grand jury investigation. The District is not aware of any allegations with respect to the validity of any of its bonds issued or to be issued pursuant to Measure Q, the District's ability to receive *ad valorem* property taxes in order to pay debt service with respect to bonds issued or to be issued pursuant to Measure Q, the ability of the District to comply with applicable requirements of federal tax law or the ability of the District to proceed with the construction of voter-approved school facility projects.

The District has not received notice of any further investigation or actions relating to the foregoing.

RATING

Moody's Investors Services ("**Moody's**") has assigned a rating of "Aa3" to the Series A Bonds. Such rating reflects only the views of Moody's and an explanation of the significance of such rating may be obtained only from Moody's. There is no assurance that such rating will continue for any given period of time or that it will not be revised downward or withdrawn entirely by Moody's, if in the judgment of such rating agency circumstances so warrant. Any such downward revision or withdrawal of such rating may have an adverse effect on the market price of the Series A Bonds.

Generally, rating agencies base their ratings on information and materials furnished to them (which may include information and material from the District which is not included in this Official Statement) and on independent investigations, studies and assumptions by the rating agencies.

UNDERWRITING

Piper Jaffray & Co. ("**Piper**"), on behalf of itself, Stifel, Nicolaus and Company, Incorporated ("**Stifel**") and Raymond James & Associates, Inc. ("**Raymond James**") (collectively, the "**Underwriters**"), has agreed to purchase the Series A Bonds under a bond purchase agreement at a purchase price of \$62,332,152.81 (which is equal to the principal amount of \$59,996,622.85 represented by the Series A Bonds, plus net original issue premium of \$2,703,122.50, less an Underwriters' discount of \$132,592.54, less \$235,000.00 to be applied by Piper to pay certain costs of issuance of the Series A Bonds).

The bond purchase agreement relating to the Series A Bonds provides that the Underwriters will purchase all of the Series A Bonds (if any are purchased) and provides that the Underwriters' obligation to purchase is subject to certain terms and conditions, including the approval of certain legal matters by counsel.

The Underwriters may offer and sell Series A Bonds to certain securities dealers and others at prices lower than the offering prices stated on the inside cover page hereof. The offering prices may be changed by the Underwriters.

Stifel has indicated that its Fabric of Society program provided a scholarship in May 2016 to a graduating senior attending Bullard High School.

FINANCIAL ADVISOR

The District has retained Keygent LLC, El Segundo, California, as its Financial Advisor (the “**Financial Advisor**”) in connection with the authorization and delivery of the Series A Bonds. The payment of the Financial Advisor's fees for services rendered with respect to the sale of the Series A Bonds is contingent upon the authorization and delivery of the Series A Bonds. The Financial Advisor assumes no responsibility for the information, covenants and representations contained in any of the legal documents with respect to the federal income tax status of the Series A Bonds, or the possible impact of any present, pending or future actions taken by any legislative or judicial bodies.

ADDITIONAL INFORMATION

The reference herein to the Bond Resolution, the Paying Agent Agreement and the Continuing Disclosure Certificate are brief outlines of certain provisions thereof. Such outlines do not purport to be complete and for full and complete statements of such provisions reference is made to said documents. Copies of the documents mentioned under this heading are available from the Underwriters and following delivery of the Series A Bonds will be on file at the offices of the Paying Agent in Los Angeles, California.

References are also made herein to certain documents and reports relating to the District; such references are brief summaries and do not purport to be complete or definitive. Copies of such documents are available upon written request to the District, and the District reserves the right to charge a reasonable fee for reproduction and delivery of any requested copies of such documents.

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the District and the purchasers or Owners of any of the Series A Bonds.

EXECUTION

The execution and delivery of this Official Statement have been duly authorized by the District.

FRESNO UNIFIED SCHOOL DISTRICT

By: /s/ Ruth F. Quinto
Deputy Superintendent/CFO,
Administrative Services

APPENDIX A

**AUDITED FINANCIAL STATEMENTS OF THE DISTRICT
FOR FISCAL YEAR ENDING JUNE 30, 2017**

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FRESNO UNIFIED SCHOOL DISTRICT

FINANCIAL STATEMENTS

June 30, 2017

FRESNO UNIFIED SCHOOL DISTRICT
FINANCIAL STATEMENTS
WITH SUPPLEMENTARY INFORMATION
For the Year Ended June 30, 2017

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INDEPENDENT AUDITOR'S REPORT

Audit Committee and Board of Education
Fresno Unified School District
Fresno, California

Report on the Financial Statements

We have audited the accompanying financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Fresno Unified School District, as of and for the year ended June 30, 2017, and the related notes to the financial statements, which collectively comprise Fresno Unified School District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinions

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, each major fund, and the aggregate remaining fund information of Fresno Unified School District, as of June 30, 2017, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

(Continued)

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the *Management's Discussion and Analysis* on pages 5 to 22 and the General Fund Budgetary Comparison Schedule, the Schedule of Other Postemployment Benefits (OPEB) Funding Progress, the Schedule of the District's Proportionate Share of the Net Pension Liability, and the Schedule of the District's Contributions on pages 73 to 78 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by Governmental Accounting Standards Board who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise Fresno Unified School District's basic financial statements. The accompanying schedule of expenditures of federal awards as required by Title 2 U.S. Code of Federal Regulations (CFR) Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, Chief Financial Officer's Report and the other supplementary information listed in the table of contents are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The Deputy Superintendent/Chief Financial Officer's Report, schedule of expenditure of federal awards and other supplementary information as listed in the table of contents are the responsibility of management and were derived from and relate directly to the underlying accounting and other records used to prepare the basic financial statements. Such information, except for the Deputy Superintendent/Chief Financial Officer's Report and the Schedule of Financial Trends and Analysis, has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the schedule of expenditure of federal awards and other supplementary information as listed in the table of contents, except for the Deputy Superintendent/Chief Financial Officer's Report and Schedule of Financial Trends and Analysis, are fairly stated, in all material respects, in relation to the basic financial statements as a whole.

The Deputy Superintendent/Chief Financial Officer's Report and the Schedule of Financial Trends and Analysis have not been subjected to the auditing procedures applied in the audit of the basic financial statements, and accordingly, we do not express an opinion or provide any assurance on them.

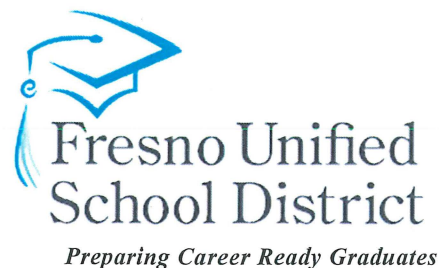
Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated November 30, 2017 on our consideration of Fresno Unified School District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering Fresno Unified School District's internal control over financial reporting and compliance.

A handwritten signature in black ink that reads "Crowe Horwath LLP". The signature is written in a cursive, flowing style.

Crowe Horwath LLP

Sacramento, California
November 30, 2017



BOARD OF EDUCATION

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SUPERINTENDENT

Robert G. Nelson

December 13, 2017

Board of Trustees
Fresno Unified School District
Fresno, California 93721

Dear Trustees:

I am pleased to present the financial statements for the Fresno Unified School District (the District) for the fiscal year ended June 30, 2017, with the Independent Auditors' Reports on those financial statements and the Federal and State Compliance audits. These financial statements have been prepared in conformance with the principles and standards for financial reporting set forth by the Governmental Accounting Standards Board (GASB), and confirm that the District is fiscally sound as defined by the State Controller's Office, with a General Fund balance of \$155,814,837.

The California Education Code requires the governing board provide for an annual audit made by certified public accountants licensed by the State Board of Accountancy. The licensed firm of Crowe Howarth LLP rendered the attached auditors' reports. I believe that the data, as presented, is accurate in all material respects, that it is a fair presentation of the financial position and the results of the District's operations, and that the audit satisfies the requirements of the Education Code.

The District has prepared its financial statements since 2001 using the financial reporting requirements as prescribed by Governmental Accounting Standards Board Statement No. 34, Basic Financial Statements – and Management's Discussion and Analysis – for State and Local Governments (GASB No. 34). GASB No. 34 requires that Management provide a narrative introduction, overview, and analysis to accompany the Basic Financial Statements in the form of a Management's Discussion and Analysis (MD&A). This letter of transmittal is designed to complement the MD&A and should be read in conjunction with it. The MD&A can be found immediately following the report of the independent auditors.

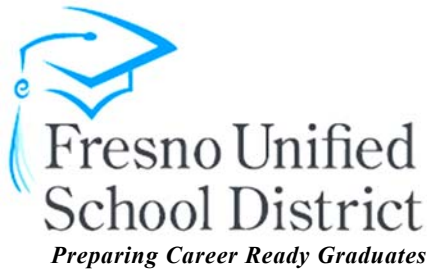
The financial statements for the year ended June 30, 2016 present the District's sound financial condition and, along with the MD&A as well as the included note disclosures, provide the reader with an understanding of the District's financial affairs.

Respectfully Submitted,

Ruth F. Quinto
Deputy Superintendent/Chief Financial Officer

Management Discussion and Analysis

June 30, 2017



The management of the Fresno Unified School District (the District), offers readers of the District's financial statement this narrative overview and analysis of the financial activities of the District for the fiscal year which ended June 30, 2017. We encourage readers to consider the information presented here in conjunction with the District's financial statements, which follow this section, and the additional information that is furnished in the letter of transmittal at the front of this report. This discussion and analysis provide a comparison between fiscal year 2016/17 and fiscal year 2015/16.

FINANCIAL HIGHLIGHTS

- The primary government has a net position deficit in governmental activities totaling \$441 million at June 30, 2017.
- The total net position of the District improved by \$5 million during fiscal year 2016/17. This is mainly due to an increase in the general fund unrestricted balance offset by the issuance of Measure Q, Series F Bond, continued investments into capital assets, an increase in post-retirement benefits, and increased net pension liabilities.
- Fund balance of the District's governmental funds increased by \$187 million resulting in an ending fund balance of \$421 million. The increase was due to a combination of the issuance of Measure Q, Series F and the crossover refunding of bonds offset by the construction of additional capital projects and savings in the General Fund primarily from approved one-time costs that were carried over into 2017/18. The crossover refunding proceeds were deposited into an irrevocable trust fund until the original bonds are due beginning in 2021.
- At the end of the 2016/17 fiscal year, the fund surplus in the District's Unrestricted General Fund increased by \$60.7 million resulting in an ending fund balance of \$147.9 million. This was mainly due to an increase in LCFF revenues, offset by a decrease in other state revenue, and decreased expenditures in books and supplies and transfers out to other sources, and carryover of programmed expenditures not completed in 2016/17 including the proposed salary increase, textbooks and one-time facility projects.
- Governmental Accounting Standards Board (GASB) Statement No. 68 recognizes the District's portion of the states California State Teachers' Retirement System (CalSTRS) and California Public Employees' Retirement System (CalPERS) pension liabilities, deferred inflows, deferred outflows and pension expenses at June 30, 2017. The District is recognizing a net decrease of \$20 million in the net position as a result of the changes in net pension liability related deferred outflows and inflow of resources.
- GASB Statement No. 45 requires an actuarial valuation of the District's Retiree Health Benefits Plan. The District is required to recognize the Annual Retirement Contribution (ARC) on an annual basis for 30 years. The annual Other Post Employment Benefit (OPEB) cost of \$75.5 million for 2016/17 offset with the 2016/17 actual healthcare costs of \$39.0 million for District retirees and

Management Discussion and Analysis

June 30, 2017

covered dependents. In addition, \$3.5 million transferred into an irrevocable trust from the General and Self Insurance Funds. The change of \$32.9 million is included as an increase to the OPEB liability. This is the tenth year the District has recognized a liability balance related to OPEB, which at June 30, 2017 was \$383 million.

- In 2017/18, GASB Statement No. 75 will require a full recognition of the post-employment liability balance and the requirement to recognize the ARC annually will expire.
- The District's long-term obligations increased by \$309 million to \$1.784 billion mainly due to an increase of pension liabilities, the issuance of Measure Q, Series F, the refunding of Measure Q, Series A and B, and GASB Statement No. 45 Retiree Health offset with continued payments to the general obligation bond debt.
- The District maintained a positive financial position for 2016/17 as reflected by Moody's credit rating of Aa3 issued in August 2016. In its report to potential investors, Moody's Investors Services noted the district's "stable financial position and strong management and governance team." The rating report incorporates the district's "trend of improvement in the district's financial position".

OVERVIEW OF THE FINANCIAL STATEMENTS

Management's discussion and analysis presents an introduction to the District's basic financial statements. Comparison to the prior year's activity is provided in this document. The basic financial statements are comprised of three components:

1. Government-wide financial statements
2. Fund financial statements
3. Notes to the basic financial statements

This report also contains required supplementary information and other supplementary information in addition to the basic financial statements themselves.

Government-wide Financial Statements

The government-wide financial statements are designed to provide the reader of the District's Annual Financial Report a broad overview of the financial activities in a manner similar to a private sector business. The government-wide financial statements include the *Statement of Net Position* and the *Statement of Activities*.

- The *Statement of Net Position* presents information about all of the District's assets and liabilities. The difference between assets plus deferred outflows of resources and liabilities plus deferred inflows of resources is reported as net position. Over time, changes in net position may serve as a useful indicator whether the financial position of the District is improving or deteriorating.
- The *Statement of Activities* presents information showing how the net position of the District changed during the current fiscal year. Changes in net position are recorded in the statement of activities when the underlying event occurs, regardless of the timing of related cash flows. Thus, revenues and expenses are reported in this statement even though the resulting cash flow may be recorded in a future period.

The *Government-wide Financial Statements* consolidate governmental and internal service activities that are supported from taxes and intergovernmental revenues. The District's Government-wide Statements include the following types of funds: General, Special Revenue, Capital Project, Debt Service and Internal Service Funds.

Management Discussion and Analysis

June 30, 2017

The *Government-wide Financial Statements* also include information on component units that are legally separate from the District (known as the primary government). The District is the agent, or *fiduciary*, for certain funds.

The District is responsible for ensuring that the assets reported in these funds are used for their intended purposes. All of the District's fiduciary activities are reported in a separate *Statement of Fiduciary Assets and Liabilities*.

We exclude these activities from the District's *Government-wide Financial Statements* because the District cannot use these assets to finance its operations.

Fund Financial Statements

Fund Financial Statements are designed to demonstrate compliance with finance-related legal requirements. A fund is a grouping of related accounts that is used to maintain control over resources that have been segregated for specific objectives. *Fund Financial Statements* for the District include governmental funds and proprietary funds.

Governmental funds account for essentially the same information reported in the governmental activities of the *Government-wide Financial Statements*. However, unlike the government-wide statements, the *Governmental Fund Financial Statements* focus on near-term financial resources and fund balances. Such information may be useful in evaluating the financing requirements in the near term.

Since the governmental funds and the governmental activities report information using the same functions, it is useful to compare the information presented. Because the focus of each report differs, reconciliation is provided on the fund financial statements to assist the reader in comparing the near-term requirements with the long-term needs.

The District maintains 11 different governmental funds. At June 30, 2017, the major funds are the General Fund, the Bond Interest and Redemption Fund, and the Building Fund. They are presented separately in the *Fund Financial Statements* with the remaining governmental funds combined into a single aggregated presentation labeled *All Non-Major Funds*. Individual fund information for the non-major funds is presented in the Supplementary Information section.

The District adopts an annual appropriated budget for each of the governmental funds. A budgetary comparison schedule for the General Fund is included in the *Fund Financial Statements* to demonstrate compliance with the adopted budget.

The District maintains one type of proprietary funds which is the Self Insurance Fund.

The *Fund Financial Statements* of the proprietary fund provide the same information as the *Government-wide Financial Statements* only in more detail. The internal service fund is used to accumulate and allocate costs internally among the governmental functions.

Individual internal service fund information is presented in the *Fund Financial Statements* as the Statement of Fund Net Position, Statement of Revenues, Expenses, and Changes in Fund Net Position, and Statement of Cash Flows – Proprietary Fund. These statements consolidate the District's internal service funds including the Property and Liability Fund, Workers' Compensation Fund, Health Fund, and the Defined Benefits Fund.

Notes to the Basic Financial Statements

The notes to the basic financial statements provide additional information that is essential to a full understanding of the data provided in the basic financial statements.

Management Discussion and Analysis

June 30, 2017

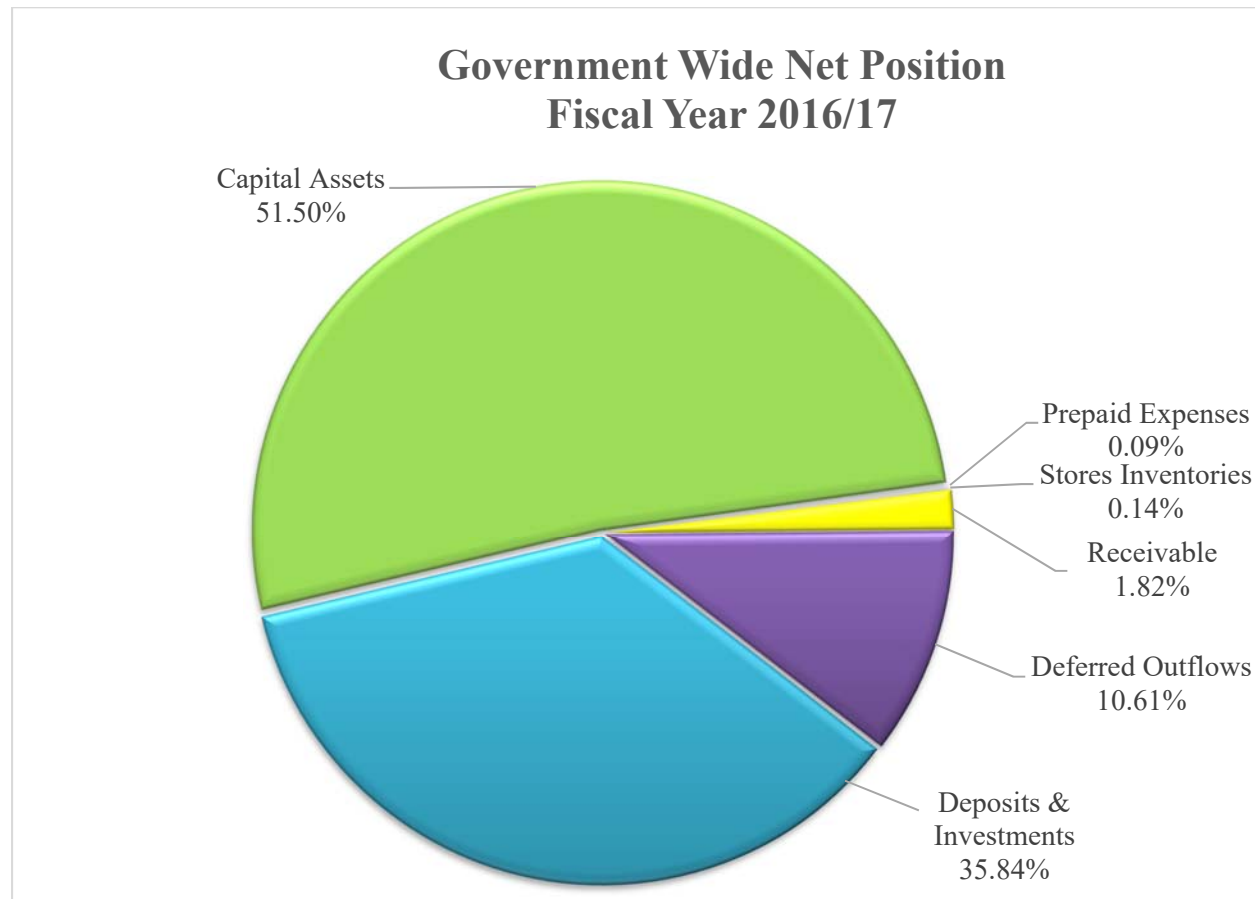
Other Information

In addition to the basic financial statements and accompanying notes, this report also contains other supplemental information concerning the District's non-major governmental funds.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Statement of Net Position

	Governmental Activities		
	2017	2016	Change
Current and other assets	\$ 577,606,995	\$ 406,949,604	41.94%
Capital assets	785,066,638	768,582,512	2.14%
Total Assets	\$1,362,673,633	\$1,175,532,116	15.92%
Deferred Outflows	161,711,762	82,537,729	95.92%
Current liabilities	151,719,108	170,174,604	(10.85%)
Long-term liabilities	1,783,729,652	1,474,833,962	20.94%
Total Liabilities	\$1,935,448,760	\$1,645,008,566	17.66%
Deferred Inflows	29,957,000	58,827,000	(49.08%)
Net invested in			
capital assets	186,530,977	363,461,951	(48.68)
Restricted	221,110,224	78,200,914	182.75%
Unrestricted	(848,661,566)	(887,428,586)	(4.37%)
Total Net Position	\$(441,020,365)	\$(445,765,721)	(1.06%)



Government-wide Net Position

The assets of the District are classified as follows: cash, investments, receivables, prepaid expenses, stores inventory, and capital assets. Current and other assets are available to provide resources for the near-term operations of the District. The majority of the current assets are the result of state apportionment and property tax resources.

Capital assets are used in the operations of the District. These assets include land, land improvements, buildings, equipment, and work-in-process.

Current and long-term liabilities are classified based on anticipated liquidation either in the near-term or in the future. Current liabilities include accounts payable, unearned revenue and self-insurance claims liabilities. The liquidation of current liabilities is anticipated to be either from current available resources, current assets or new resources that became available during the 2016/17 fiscal year. Long-term liabilities such as general obligation bonds, energy loans and compensated absences will be liquidated from resources that will become available after the 2016/17 fiscal year.

The Crossover Refunding of General Obligation Bonds Measure Q, Series A and B increased long-term liabilities by \$120 million and is offset by investments held in the irrevocable escrow trust fund with a fiscal agent until the bonds are due and payable. At this time, the investments held in escrow will be utilized to pay off the refunding bonds.

The liabilities and deferred inflows of the primary government activities exceed the assets and deferred outflows by \$441 million. Total net position of the primary government does not include internal balances. Internal balances are interfund payables and receivables within the governmental activities. The amounts reported in the accounts are eliminated to avoid the "gross up" effect on the assets and liabilities.

Management Discussion and Analysis

June 30, 2017

A net investment of \$785 million in land, land improvements, buildings, equipment and work-in-process to provide the services to the District's 70,799 public school students represents 58% of the District's total assets. The table and chart above summarizes the District's government-wide net position.

The Cafeteria Fund's ending fund balance at June 30, 2017 was \$16.5 million, an increase of \$5.7 million. Key elements that highlight the activities in fiscal year 2016/17 are as follows:

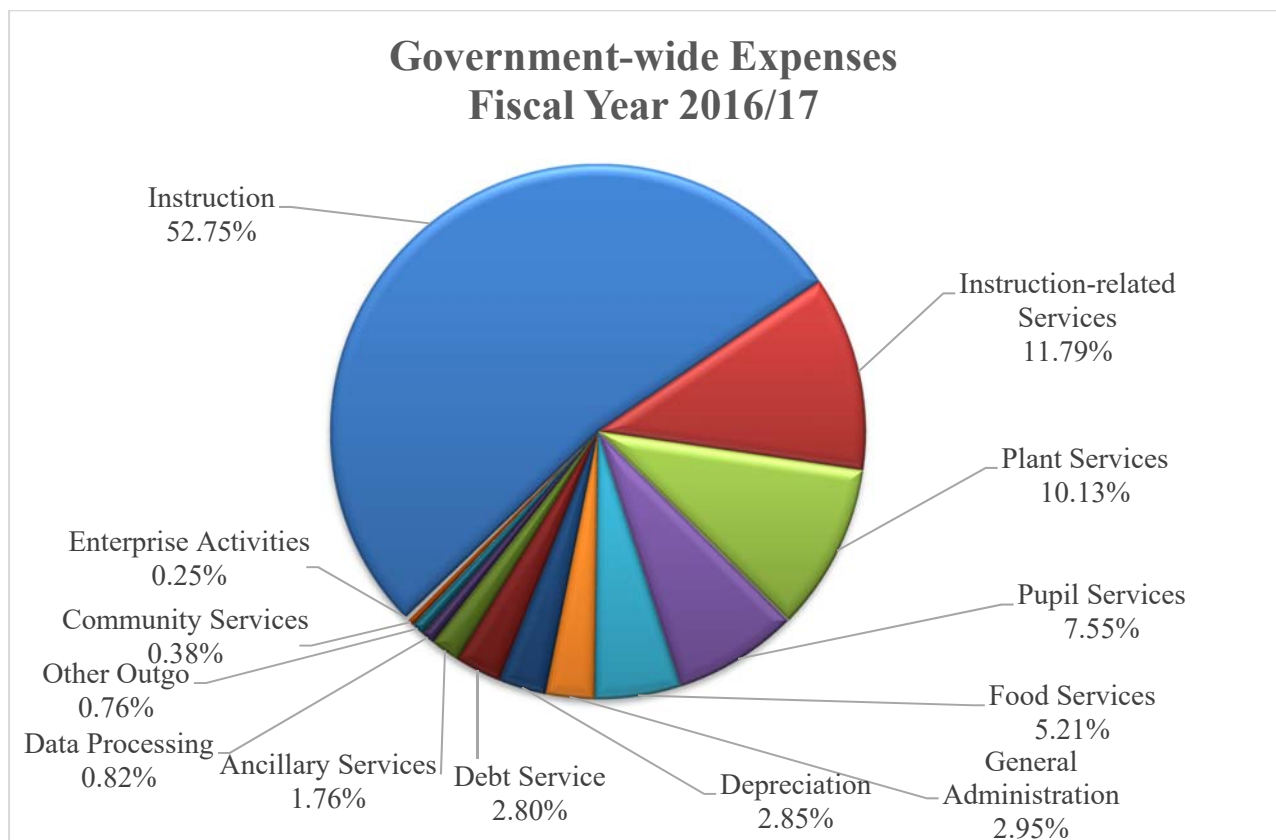
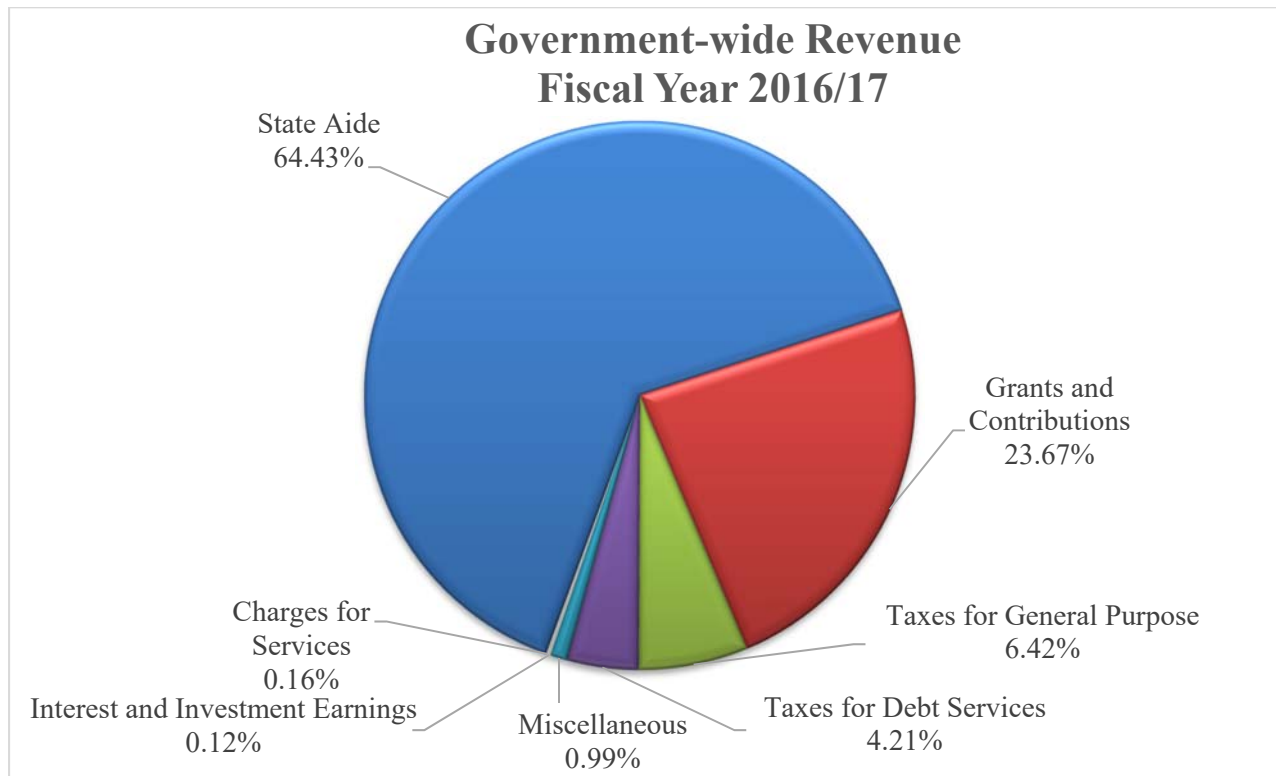
- Over 24,200 breakfasts, 57,800 lunches and 13,100 snacks per day were served, equating to 17,146,000 meals annually, which is an increase of 46,000 meals from the prior year.
- The District continues to participate in the National School Lunch and School Breakfast Programs under the Community Eligibility Provision (CEP), which allows all students at every site to receive a healthy breakfast, lunch, and snack every day at no charge.
- Meals are served at 107 locations, utilizing 551 full and part-time employees. The meals served have increased enabling the program to operate on the federal and state reimbursement without additional contribution from the unrestricted general fund.
- The lease payments for the nutrition center will expire in 2028.
- The fund balance has increased by \$3.0 million as a result of the successful expansion of the SuperSnack after school meal program. The program is in its 3rd year at 77 schools and Food Services will continue to expand participation and menu offerings in this meal program.

Management Discussion and Analysis

June 30, 2017

Statement of Activities

	Governmental Activities		
	2017	2016	Change
Program Revenues			
Charges for Services	\$1,633,212	\$2,687,440	39.23%
Operating Grants & Contributions	236,283,200	232,822,613	1.49%
General Revenues			
Taxes and Subventions	106,506,764	98,482,258	8.15%
Federal and State Aid, Unrestricted	643,244,542	622,241,374	3.38%
Interest and Investment Earnings	1,199,314	3,121,704	61.58%
Other General Revenues	9,553,095	10,530,829	(9.28%)
Total Revenues	<u>\$998,420,127</u>	<u>\$969,886,218</u>	<u>2.94%</u>
Expenses			
Instruction	\$524,192,098	\$523,726,144	0.09%
Instructional Related	117,186,630	118,080,047	(0.76%)
Student Support Services	126,742,817	116,270,069	9.01%
General Administrative	37,440,958	36,349,838	3.00%
Maintenance and Operations	100,649,072	102,904,083	(2.19%)
Depreciation	28,302,546	29,537,204	(4.18%)
Other	59,160,650	54,973,740	7.62%
Total Expenses	<u>\$993,674,771</u>	<u>\$981,841,124</u>	<u>1.21%</u>
Change in Net Position	<u>\$ 4,745,356</u>	<u>\$ (11,954,907)</u>	<u>(139.7%)</u>



Management Discussion and Analysis

June 30, 2017

Governmental activities – Capital Project Funds for the District provide the same type of information presented in the government-wide financial statements, but in greater detail. The following highlights significant activity in the District's capital project funds for fiscal year 2016/17.

- The County School Facilities Fund spent \$37.4 million on projects (Measure Q - \$36.6 million, Measure K - \$300,000, and Measure X - \$500,000).
- The County School Facilities Fund's major projects and activities included the following:
 - Construction and Maintenance major projects and activities totaling \$33.8 million:
 - Bullard High \$ 11.6 million
 - Figarden Elementary \$ 6.9 million
 - Turner Elementary \$ 5.8 million
 - New Southeast Site \$ 3.5 million
 - Baird Elementary \$ 2.1 million
 - Duncan High \$ 0.6 million
 - Slater Elementary \$ 0.5 million
 - Robinson Elementary \$ 0.5 million
 - 14 other sites \$ 2.3 million
 - Modernization Projects included the following sites totaling \$3.6 million:
 - McLane High \$ 0.6 million
 - Roosevelt High \$ 0.5 million
 - Duncan High \$ 0.5 million
 - Instructional Media Center \$ 0.5 million
 - Adult Education \$ 0.3 million
 - Elementary Marquees \$ 0.3 million
 - Rata High \$ 0.1 million
 - Tenaya Middle \$ 0.1 million
 - Ewing Elementary \$ 0.1 million
 - 54 other sites totaling \$ 0.6 million

Financial Analysis of the District's Governmental Funds

As noted earlier, the District uses fund accounting to ensure and demonstrate compliance with finance related legal requirements.

The General Fund is the chief operating fund of the District. Student enrollment increased by 57 students during the fiscal year. The average daily funded attendance for fiscal year 2016/17 increased 132 ADA from the 2015/16 fiscal year. This increase amounts to approximately \$1.34 million.

The Bond Interest and Redemption Fund have adequate resources accumulated to make the principal and interest payments.

General Fund Budgetary Highlights

The General Fund budget is composed of the unrestricted and restricted fund budgets. Restricted funds are grants or entitlements that have specified rules on how the funds can be spent. Unrestricted funds may be used as determined by the Board. Education Code 41011 requires unified districts to spend at least 55% towards classroom compensation. In 2016/17, Fresno Unified spent 56.69% towards classroom compensation.

Management Discussion and Analysis

June 30, 2017

Over the course of the year, the District revised the annual operating budget three times. These budget amendments are authorized per Education Code 42601 and fall into the following categories:

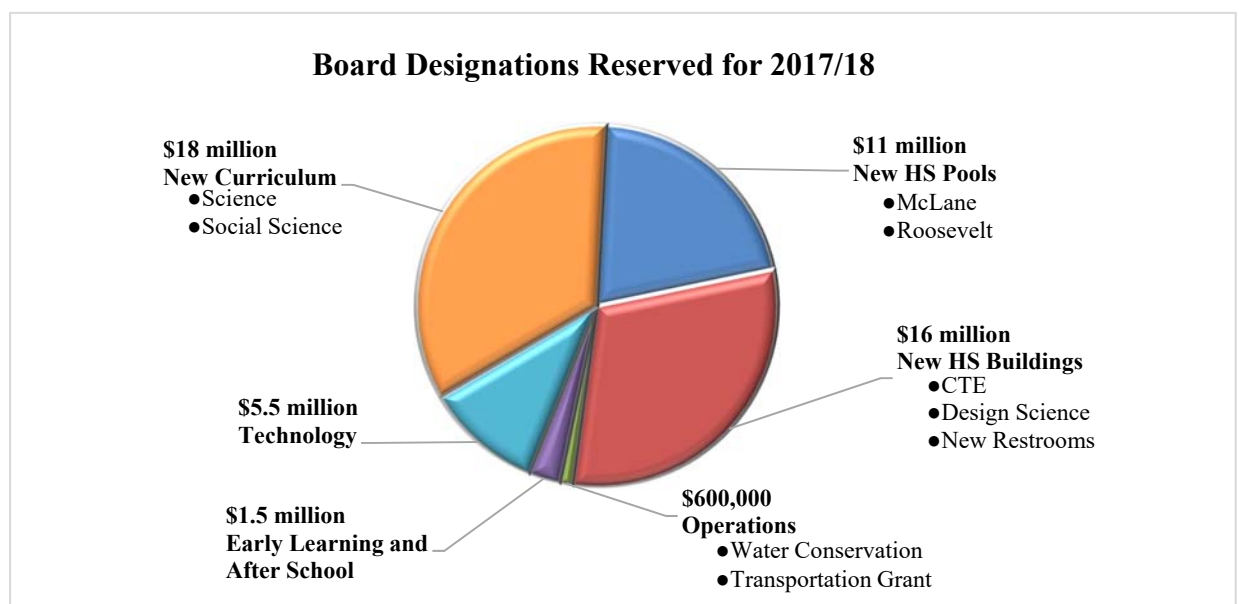
- Changes made to recognize revenue anticipated/received from sources outside the District
- Changes made to recognize expenses

The District is required to present year-end projections at two different intervals (December and March).

The District as a general rule requires restricted budgets to stay within their State and/or Federal allocation. The major exceptions include Special Education, Ongoing & Major Maintenance account, Medi-Cal, Regional Occupation Program, and transportation grants. In addition to the State and/or Federal allocation, the District contributes Unrestricted General Fund resources to the programs.

The adopted unrestricted ending balance at year-end for the 2016/17 budget was \$60 million. The actual ending balance was \$148 million. The difference of \$88 million is mainly due to the following:

- State lottery funds increased by \$1 million in 2015/16
- Actual expenditures in 2015/16 were lower than the adopted budget by \$11 million mainly due to:
 - Lower than anticipated expenditures in salaries, school site allocations and utilities
 - One-time savings from new programs such as Career Technical Education, Kids Invent, Focus/Designated Schools and Goal 2
 - Unanticipated reimbursements in transportation and maintenance
- Actual carryover in 2015/16 of one-time projects were higher than the adopted budget by \$7.5 million mainly for facilities, maintenance and professional learning
- An increase in LCFF revenues of \$4.5 million due to unanticipated increases in “gap” funding from the state, an increase in unduplicated pupil percentage and an increase in ADA
- The Board designated funds in the adopted budget for future projects or projects in process:
 - \$11 million for New Pools at McLane and Roosevelt High Schools
 - \$5.5 million for Technology Routers and Switches
 - \$16 million for New High School Buildings
 - \$7 million for Career Technical Education
 - \$6 million for Design Science
 - \$3 million for Renovated Restrooms
 - \$1.5 million for New Early Learning Restrooms and After School Programs
 - \$18 million for New Science and History Curriculum and Implementation
 - \$500,000 for Water Conservation Projects
 - \$100,000 for Transportation Grant Implementation
 - \$11 million for the current last, best, and final salary negotiations



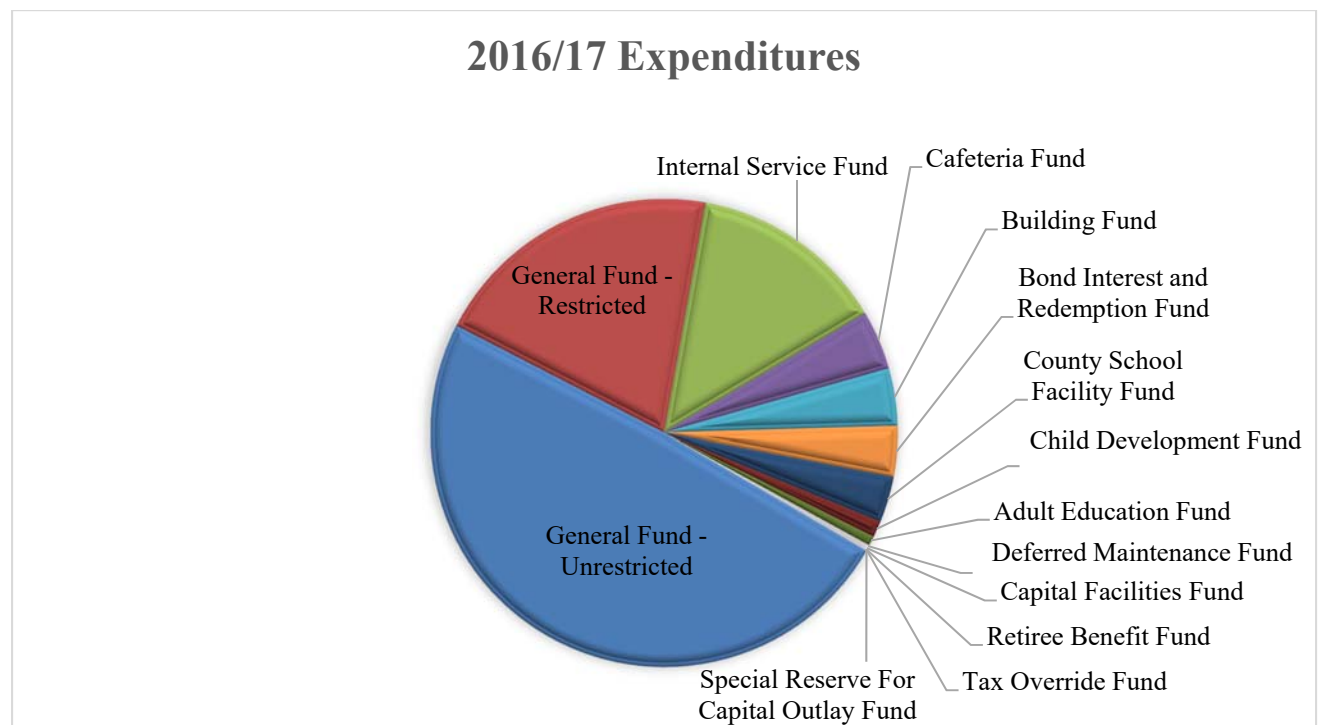
Management Discussion and Analysis

June 30, 2017

Total expenditures for 2016/17 were \$1.175 billion, representing an increase from 2015/16 of \$3 million as listed below (in millions):

Expenditures	2016/17 Unaudited Actuals	2015/16 Unaudited Actuals	Difference	% Change
General Fund - Unrestricted	\$ 579.1	\$ 593.0	\$ (13.9)	(2.3%)
General Fund - Restricted	237.9	233.8	4.1	1.7%
Internal Service Fund	160.5	153.0	7.5	4.9%
Cafeteria Fund	48.1	49.0	(0.9)	(1.9%)
Building Fund	46.7	39.6	7.1	18.1%
Bond Interest and Redemption Fund	40.8	38.7	2.1	5.4%
County School Facility Fund	37.4	36.7	0.7	1.8%
Child Development Fund	13.2	12.9	0.3	2.3%
Adult Education Fund	7.6	7.1	0.5	7.6%
Deferred Maintenance Fund	2.5	5.0	(2.5)	(49.2%)
Capital Facilities Fund	1.3	3.6	(2.3)	(63.9%)
Special Reserve For Capital Outlay Fund	0.5	0.1	0.4	275.5%
Retiree Benefit Fund ^(A)	0.0	0.0	0.0	0.0%
Tax Override Fund	0.0	0.0	0.0	0.0%
Total	\$ 1,175.6	\$ 1,172.5	\$ 3.1	0.26%

^(A) The Retiree Benefit Fund is not included in the District's financial statements. The funds in the CEBRT are held in trust and will be administered by the CalPERS as an agent multiple-employer plan. The District's contributions to the irrevocable trust is included in the CEBRT, which is included in the CalPERS CAFR.



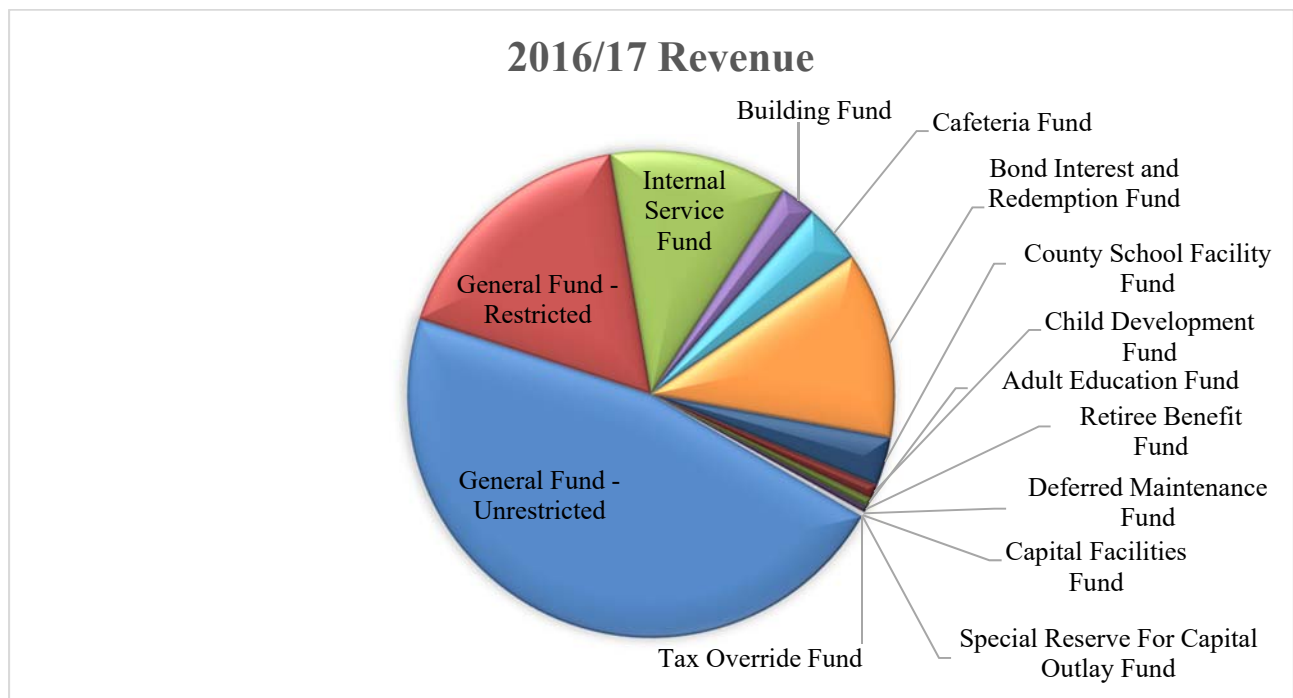
Management Discussion and Analysis

June 30, 2017

Total revenue for 2016/17 was \$1.37 billion, an increase from 2015/16 of \$144 million as listed below (in millions):

Revenue	2016/17 Unaudited Actuals	2015/16 Unaudited Actuals	Difference	% Change
General Fund - Unrestricted	\$ 639.8	\$ 617.3	\$ 22.5	3.6%
General Fund - Restricted	237.0	239.6	(2.6)	(1.1%)
Internal Service Fund	162.6	157.4	5.2	3.3%
Building Fund	32.3	57.2	(24.9)	(43.6%)
Cafeteria Fund	53.9	49.6	4.3	8.6%
Bond Interest and Redemption Fund	170.0	40.4	129.6	320.7%
County School Facility Fund	44.2	35.6	8.6	24.2%
Child Development Fund	13.2	12.9	0.3	2.3%
Adult Education Fund	7.9	7.9	0.0	(0.2%)
Retiree Benefit Fund ^(A)	5.8	4.4	1.4	33.3%
Deferred Maintenance Fund	2.5	3.1	(0.6)	(19.2%)
Capital Facilities Fund	1.0	1.0	0.0	4.3%
Special Reserve For Capital Outlay Fund	0.4	0.4	0.0	13.6%
Tax Override Fund	0.0	0.0	0.0	0.0%
Total	\$ 1,370.6	\$ 1,226.8	\$ 143.8	11.7%

^(A) The Retiree Benefit Fund is not included in the District's financial statements. The funds in the CEBRT are held in trust and will be administered by the CalPERS as an agent multiple-employer plan. The District's contributions to the irrevocable trust is included in the CEBRT, which is included in the CalPERS CAFR.



Management Discussion and Analysis

June 30, 2017

Capital Assets and Long Term Liabilities

Governmental Activities,

Capital Assets	2017	2016	\$ Change	% Change
Land	\$ 64,805,162	\$ 61,136,569	\$ 3,668,593	6.00%
Work-in-process	81,813,842	57,358,063	24,455,779	42.64%
Land improvements	86,604,940	83,497,246	3,107,694	3.72%
Buildings	905,313,865	893,247,992	12,065,873	1.35%
Equipment	30,848,892	29,405,873	1,443,019	4.91%
Capital Assets, cost	1,169,386,701	1,124,645,743	44,740,958	3.98%
Accumulated Depreciation	(384,320,063)	(356,063,231)	(28,256,832)	7.94%
Governmental Activities Capital Assets, net	<u>\$ 785,066,638</u>	<u>\$ 768,582,512</u>	<u>\$ 16,484,126</u>	<u>2.14%</u>

The District's investment in capital assets for its governmental activities as of June 30, 2017 was \$785 million (net of accumulated depreciation).

Capital assets include land, land improvements, buildings, equipment, and work-in-progress. Capital assets continued to grow in the governmental activities as District-wide construction continued as a result of utilization of Measure "Q" funds.

Summary of Long Term Liabilities

	2017	2016	\$ Change	% Change
Governmental Activities				
General Obligation Bonds	\$ 610,112,608	\$ 482,376,915	\$ 127,735,693	26.48%
Accreted Interest	40,074,237	30,474,668	9,599,569	31.50%
PG&E Energy Loans	330,324	447,408	(117,084)	(26.17%)
Unamortized Premium	16,139,339	5,273,557	10,865,782	206.04%
Other Postemployment Benefits	383,534,858	350,625,879	32,908,979	9.39%
Compensated Absences	2,995,286	3,289,535	(294,249)	(8.95%)
Net Pension Liability	730,543,000	602,346,000	128,197,000	21.28%
Governmental Long-Term Liabilities	<u>\$ 1,783,729,652</u>	<u>\$ 1,474,833,962</u>	<u>\$ 308,895,690</u>	<u>20.94%</u>

At June 30, 2017, the District had a total outstanding bonded debt of \$610 million backed by the full faith and credit of the District. Additionally, GASB 68 requires the District to recognize the Net Pension Liability. The amount outstanding at June 30, 2017 was \$731 million.

Total long-term debt for the District increased by \$309 million. The change in the long term debt was due mainly to the issuance of General Obligation Bonds of \$30 million, two General Obligation Bonds series Crossover Refunding of \$120 million, a net increase in the pension liability of \$128 million, a net increase in the OPEB liability of \$29 million, an increase in accreted interest of \$9 million, and an increase in unamortized premiums of \$11 million offset by payments to the General Obligation Bonds of \$22 million.

State statutes limit the amount of general obligation debt that the District may issue. At the end of the current fiscal year, the legal debt limit was 2.46%.

Economic Factors and Budgets and Rates for 2017/18

Management Discussion and Analysis

June 30, 2017

The annual process to develop the District's budget begins in January, following the Governor's proposed State budget. Since most of the District's revenue comes from the State, the District carefully derives assumptions from the Governor's priorities and calculates funding levels based upon enrollment projections. The 2017/18 Proposed Budget includes recommendations that continue to balance the Board of Education's investment in extensive student programs, competitive employee compensation, and prudent fiscal responsibility.

On June 14, 2017, the Board approved an Adopted Budget for fiscal year 2017/18. The Adopted Budget included an 8.31% unrestricted reserve.

- The major State assumptions are:
 - The Local Control Funding Formula (LCFF) "gap" funding level estimated at 43.97% which equates to approximately \$22.3 million
 - Statutory cost-of-living adjustment of 1.56%
 - The cash flow projected a positive balance of \$126 million on June 30, 2018
 - Educational Protection Account continues as required by Proposition 30 (November 2012) which represents 12% of the Local Control Funding Formula of \$84 million
 - The District is projected to be funded on the current year ADA
 - LCFF Supplemental and Concentration funding of \$166 million
- The local assumptions are as follows:
 - The Elementary School Aligned Instructional System: Designated sites, instructional aids including kindergarten aids, police chaplains and campus assistant to increase safety, custodial and clerical supports, and administrative support
 - The Middle School Aligned Instructional System: Innovative professional learning teams, transition, and campus culture support; safety investments include a school neighborhood resource officer, probation officer, and campus assistants; custodial support; clerical support and administrative support
 - The High School Aligned Instructional System: Professional learning, librarian, student engagement, campus culture director, and athletic director support; safety investments include school neighborhood resource officers, probation officers, and campus assistants; custodial support including PE custodians, pool custodians, and auditorium custodians; clerical supports including a library technician; and administrative support
 - School site allocations of \$28 million in addition to \$21 million for instructional classroom support, after-school activities/athletics, and library supplies, and equipment and coaching contracts
 - Funding for Goal 2 activities was expanded to include an increase in the number of coaching stipends to expand opportunities for students and the creation of a High School Uniform Sports program which established a partnership with Special Olympics to promote social inclusion by joining students receiving special education services with general education peers in soccer, basketball, and track
 - Expansion of the District's Art Collaborative project which incorporates approximately 40 teachers engaged in professional learning, supplies for student projects, and gallery space to display students' work at Gallery One at ArtHop events
 - Special Education was increased with additional staffing for Adult Transition programs, speech services, and additional funds to support special education teachers to attend the induction program with the Fresno County Superintendent of Schools
 - Social Emotional support increases for additional psychologists to coordinate early intervention efforts for general education students, support culture/climate efforts, and reduce student psychologist ratio to align with state average

Management Discussion and Analysis

June 30, 2017

- Health Services expansion of staff to support School Based Health Centers at three schools, an additional nursing position at Patiño School of Entrepreneurship, the Adult Transition Program due to increased enrollment, and two additional Credentialed School Nurses and 19 Licensed Vocational Nurses to provide a licensed healthcare professional every day at all sites
- Elimination of two open communication positions
- Keeping student technology current by purchasing and/or refreshing existing computers to ensure full class sets of computers in core subjects, including Math, ELA and elementary school classrooms, as well as classified staff to provide the necessary support and to perform computer imaging, deployment, refresh tracking, and repairs
- Dual immersion expansion at Wawona and Rowell schools for two kindergarten and two pre-school classrooms at each site
- SAT, AP, and IB examination fees will continue to be provided at no cost for all Fresno Unified students and includes access to the reading comprehension test for middle school students
- Transportation support for an additional relief driver, and one bus mechanic, as well as the increased cost for the First Student transportation contract
- Maintenance and Operations support for the increased cost of utilities, two additional custodians, and an upgrade from a custodian position to auditorium manager
- Career Technical Education support to increase the CTE pathways at high schools and provide equipment for new pathways
- Academic counseling supports for intermediate music programs
- Music investments in TK through third grade classrooms to provide standards based music instruction to better prepare students for high schools where classroom music would benefit students in language acquisition and prepare students for intermediate music programs
- Hmong dual immersion support for a teacher on special assignment to develop Hmong curriculum and teach after school programs to assigned schools
- Student voice support to work with community partners in cultivating student voice in schools with a focus on underrepresented youth
- May Revision Budget Additions
 - Elementary library investments for all library technicians from six to eight hours to improve access to the libraries
 - Academic achievement support through extended learning opportunities with teacher tutor supports for high need students at all grade levels to increase academic achievement
 - Alternative education programs restructuring to include oversight, increase social emotional support, increase classroom teachers, professional development, student online education opportunities, and increase supplies
 - African American program expansion through a new office focusing on the acceleration of academic and social-emotional achievement for African American students
 - Expansion of academic counseling and social emotional support to foster and homeless students
 - College Preparation Support implementation investments in service providers to support study skills and academic interventions at sites targeting high need students
 - Leadership and social emotional supports for schools with high needs enrollment

Management Discussion and Analysis

June 30, 2017

- Utilization of one-time resources
 - Education Programs: Common core professional development, extended day programs, textbooks for Social Studies and English Learners, and Spanish instructional materials for new dual immersion programs
 - Plant Maintenance and Operations: New high school pools at McLane and Roosevelt High Schools, Design Science facility project, high school restrooms, early learning restrooms, water conservation, transportation grant project support, 24 low emission buses, one additional bus for Goal 2 activities, Phase I of energy efficiency irrigation project, competitive mats for cheer at Bullard, Edison, Fresno, Hoover, McLane, Roosevelt, and Sunnyside High Schools, facility and equipment needed for Board Area Trustee Liaisons (new positions), facilities for new dual immersion programs at Wawona, and other facilities projects
- Multi-Year Items
 - Future textbook adoptions for curricular areas such as Social Studies and Science including AP and English Learners
 - STRS and PERS increased employer rates:

Year	STRS Employer Rate	PERS Employer Rate	Annual Increase to District Contribution	Annual District Contribution
2017/18	14.43%	15.531%	\$7.7 million	\$62.7 million
2018/19	16.28%	18.1%	\$8.6 million	\$71.3 million
2019/20	18.13%	20.8%	\$8.7 million	\$80.1 million

- An Unrestricted General Fund contribution of \$1.5 million and a \$2 million contribution from the Health Fund to the OPEB irrevocable trust for all years
 - Increases in minimum wage each year up to \$15 per hour in 2023 equating to a \$118,000 in 2017/2018, \$295,000 in 2018/19, and \$3.7 million in 2019/2020
- Benefit Rates
 - In accordance with the current employee bargaining agreements, and including the district's current bargaining offer to increase health and welfare benefits, the district's contribution to the health fund for 2017/18 increases by an additional \$1,144 over 2016/17 to \$17,789. The increase includes \$800 per active participant for the portion related to bargaining and \$344 for the portion in accordance with the current employee bargaining agreements, equating to \$8.4 million in additional resources toward the Health Fund. In addition, for each active eligible employee, the district's contribution to the health fund is estimated to increase by \$233 in 2018/19, and an additional \$351 in 2019/20, equating to \$1.6 million and \$2.5 million, respectively.
 - Workers' Compensation maintains the Liability Insurance rates to fund the reserve level at 78% for 2017/18
 - The Liability insurance rate will decrease from 1.12% to .93% due to a decrease in the estimated annual liability expenditure growth in 2017/18 as compared to an abnormally high liability exposure in 2016/17 causing the funding rate to rise in 2016/17

Management Discussion and Analysis

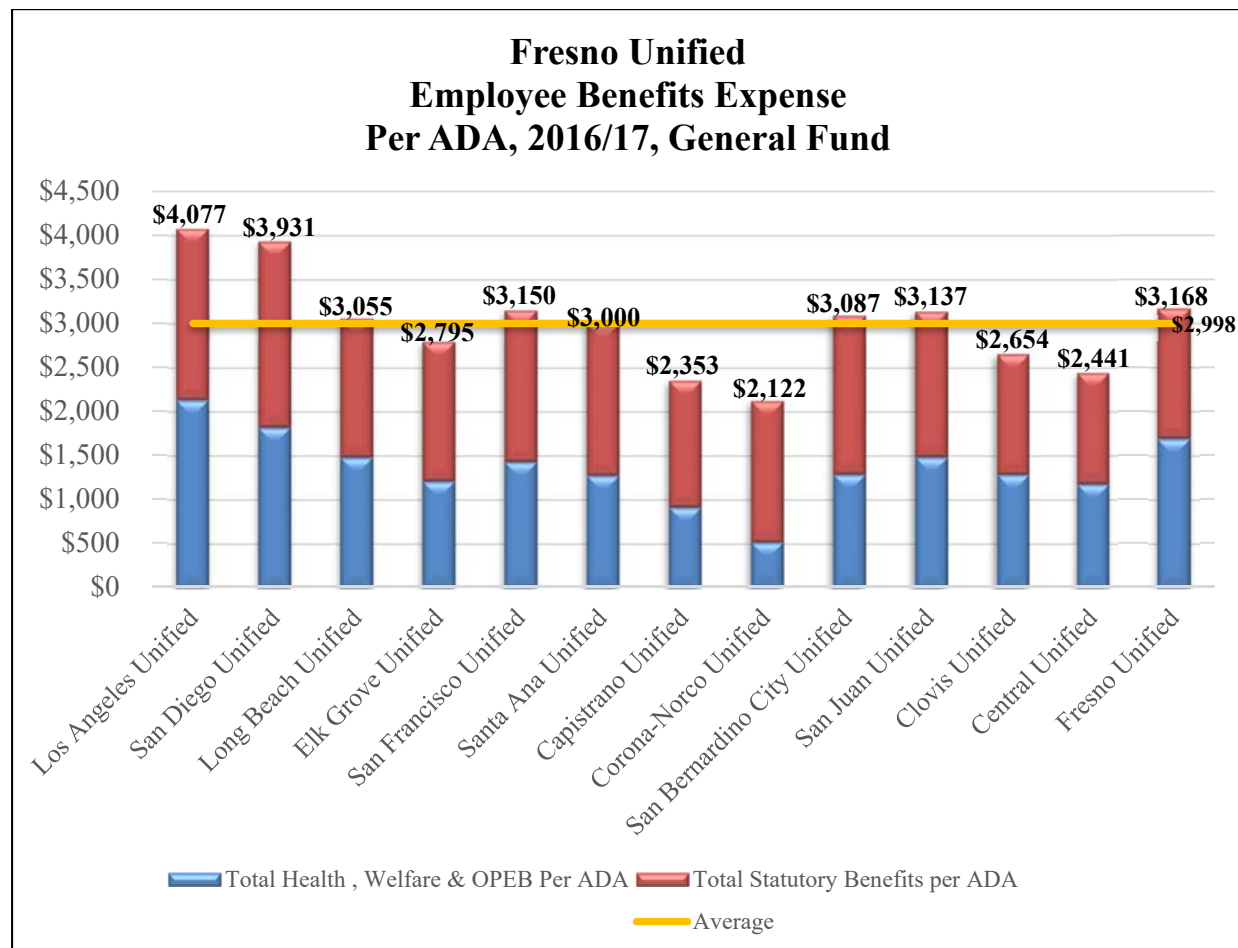
June 30, 2017

Post-Employment Medical Benefits

The District provides post-employment medical benefits to all District employees (employed before July 1, 2005) and their dependents with a minimum of 16 years of service and employees who retire at least 57½ years of age. For employees hired on or after July 1, 2005, the District provides five years of post-employment medical benefits to District employees and their dependents with a minimum of 25 years of service and employees who retire at least 60 years of age. GASB 43 and GASB 45 are governmental accounting standards that direct how state and local governments will account for these benefits.

The District's most recent actuarial study calculated the total gross liability for post-employment benefits to be \$965 million in May 2016. The previous actuarial completed in March 2014 totaled \$820 million. The District established an irrevocable trust in 2013/14. The Trust Fund increased by \$5.8 million and at the end of 2016/17 had an ending fund balance of \$36.4 million. In 2017/18, the District plans to transfer \$3.5 million to the irrevocable trust.

Fresno Unified ranks third when comparing spending per ADA for total employee benefits, at \$3,168, an increase of \$95 per ADA in 2015/16, which was \$3,073 per ADA. If the district were at the state average of \$2,998 per ADA, it would generate a savings of \$11.3 million annually.



Management Discussion and Analysis

June 30, 2017

Pension Liability

The District contributes to the California State Teachers' Retirement System (CalSTRS) and California Public Employees' Retirement Systems (CalPERS) on behalf of employees. GASB 68 is a governmental accounting standard that directs how state and local governments will account for these pensions. GASB 68 requires all employers to recognize the long-term pension liability on their financial statements. The District has contributed the statutory contribution and does not make any investment decisions on the fund, these plans are governmental controlled plans.

Contacting the District's Financial Management

This financial report is designed to provide our citizens, taxpayers, customers, investors, and creditors with a general overview of the District's finances and to demonstrate the District's accountability for the resources it receives. If you have questions about this report or need additional financial information, contact the District's Office of Administrative Services at (559) 457-6226.

BASIC FINANCIAL STATEMENTS

FRESNO UNIFIED SCHOOL DISTRICT
STATEMENT OF NET POSITION
June 30, 2017

	Governmental <u>Activities</u>
ASSETS	
Cash and investments (Note 2)	\$ 420,099,939
Investments	126,190,715
Receivables	27,773,560
Prepaid expenses	1,388,146
Stores inventory	2,154,635
Non-depreciable capital assets (Note 4)	146,619,004
Depreciable capital assets, net of accumulated depreciation (Note 4)	<u>638,447,634</u>
Total assets	<u>1,362,673,633</u>
DEFERRED OUTFLOWS OF RESOURCES	
Deferred outflows of resources - pensions (Notes 8 and 9)	157,903,874
Deferred loss from refunding of debt	<u>3,807,888</u>
Total deferred outflows	<u>161,711,762</u>
LIABILITIES	
Accounts payable and other current liabilities	86,840,609
Unearned revenue	8,612,124
Self-insurance claims liability (Note 5)	56,266,375
Long-term liabilities (Note 6):	
Due within one year	34,641,441
Due after one year	<u>1,749,088,211</u>
Total liabilities	<u>1,935,448,760</u>
DEFERRED INFLOWS OF RESOURCES	
Deferred inflows of resources - pensions (Notes 8 and 9)	<u>29,957,000</u>
NET POSITION	
Net investment in capital assets	186,530,977
Restricted:	
Legally restricted programs	25,529,241
Capital projects	24,106,205
Debt service	159,659,824
Self insurance	11,814,954
Unrestricted	<u>(848,661,566)</u>
Total net position	<u>\$ (441,020,365)</u>

See accompanying notes to financial statements.

FRESNO UNIFIED SCHOOL DISTRICT
STATEMENT OF ACTIVITIES
For the Year Ended June 30, 2017

		Program Revenues			Net (Expense) Revenues and Changes in Net Position
	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions	Governmental Activities
Governmental activities:					
Instruction	\$ 524,192,098	\$ 809,624	\$ 111,718,428	\$ -	\$ (411,664,046)
Instruction-related services:					
Supervision of instruction	47,145,550	255,884	25,826,653	-	(21,063,013)
Instructional library, media and technology	11,825,112	-	335,939	-	(11,489,173)
School site administration	58,215,968	125,674	5,805,150	-	(52,285,144)
Pupil services:					
Home-to-school transportation	18,485,887	-	2,007,849	-	(16,478,038)
Food services	51,745,875	177,992	53,368,811	-	1,800,928
All other pupil services	56,511,055	67,558	21,810,203	-	(34,633,294)
General administration:					
Data processing	8,135,150	-	5,368	-	(8,129,782)
All other general administration	29,305,808	35,758	6,794,627	-	(22,475,423)
Plant services	100,649,072	157,877	2,809,692	-	(97,681,503)
Ancillary services	17,463,903	-	4,105,051	-	(13,358,852)
Community services	3,739,165	2,201	955,067	-	(2,781,897)
Enterprise activities	2,553,042	644	223,090	-	(2,329,308)
Interest on long-term liabilities	27,872,136	-	-	-	(27,872,136)
Other outgo	7,532,400	-	517,272	-	(7,015,128)
Depreciation (unallocated) (Note 4)	28,302,550	-	-	-	(28,302,550)
Total governmental and business-type activities	<u>\$ 993,674,771</u>	<u>\$ 1,633,212</u>	<u>\$ 236,283,200</u>	<u>\$ -</u>	<u>(755,758,359)</u>
General revenues:					
Taxes and subventions:					
Taxes levied for general purposes					64,124,293
Taxes levied for debt service					42,020,078
Taxes levied for other specific purposes					362,393
Federal and state aid not restricted to specific purposes					643,244,542
Interest and investment earnings					1,199,314
Interagency revenues					94,192
Miscellaneous					9,458,903
Total general revenues					<u>760,503,715</u>
Change in net position					4,745,356
Net position, July 1, 2016					<u>(445,765,721)</u>
Net position, June 30, 2017					<u>\$ (441,020,365)</u>

See accompanying notes to financial statements.

FRESNO UNIFIED SCHOOL DISTRICT
BALANCE SHEET
GOVERNMENTAL FUNDS
June 30, 2017

	General Fund	Building Fund	Bond Interest and Redemption Fund	All Non-Major Funds	Total Governmental Funds
ASSETS					
Cash and investments:					
Cash in County Treasury	\$ 208,812,898	\$ 67,680,890	\$ 33,354,807	\$ 34,901,109	\$ 344,749,704
Cash in revolving fund	88,929	-	-	-	88,929
Cash on hand and in banks	406,553	-	-	6,501,073	6,907,626
Collections awaiting deposit	-	-	-	12,601	12,601
Investments	-	-	126,190,715	-	126,190,715
Receivables	17,511,221	294,762	114,302	9,645,004	27,565,289
Prepaid expenditures	368,475	-	-	1,630	370,105
Due from other funds	3,096,697	671,530	-	6,504,060	10,272,287
Stores inventory	<u>1,418,428</u>	<u>-</u>	<u>-</u>	<u>736,207</u>	<u>2,154,635</u>
Total assets	<u>\$ 231,703,201</u>	<u>\$ 68,647,182</u>	<u>\$ 159,659,824</u>	<u>\$ 58,301,684</u>	<u>\$ 518,311,891</u>
LIABILITIES AND FUND BALANCES					
Liabilities:					
Accounts payable	\$ 67,442,891	\$ -	\$ -	\$ 6,717,677	\$ 74,160,568
Unearned revenue	8,391,524	-	-	220,600	8,612,124
Due to other funds	<u>53,949</u>	<u>4,334,223</u>	<u>-</u>	<u>9,656,536</u>	<u>14,044,708</u>
Total liabilities	<u>75,888,364</u>	<u>4,334,223</u>	<u>-</u>	<u>16,594,813</u>	<u>96,817,400</u>
Fund balances:					
Nonspendable	1,875,832	-	-	737,837	2,613,669
Restricted	7,928,575	64,312,959	159,659,824	40,969,034	272,870,392
Assigned	64,188,465	-	-	-	64,188,465
Unassigned	<u>81,821,965</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>81,821,965</u>
Total fund balances	<u>155,814,837</u>	<u>64,312,959</u>	<u>159,659,824</u>	<u>41,706,871</u>	<u>421,494,491</u>
Total liabilities and fund balances	<u>\$ 231,703,201</u>	<u>\$ 68,647,182</u>	<u>\$ 159,659,824</u>	<u>\$ 58,301,684</u>	<u>\$ 518,311,891</u>

See accompanying notes to financial statements.

FRESNO UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE GOVERNMENTAL FUNDS BALANCE SHEET
TO THE STATEMENT OF NET POSITION
June 30, 2017

Total fund balances - Governmental Funds \$ 421,494,491

Amounts reported for governmental activities in the statement of net position are different because:

Capital assets used for governmental activities are not financial resources and, therefore, are not reported as assets in governmental funds. The cost of the assets is \$1,169,386,701 and the accumulated depreciation is \$384,320,063 (Note 4). 785,066,638

Long-term liabilities are not due and payable in the current period and, therefore, are not reported as liabilities in the funds. Long-term liabilities at June 30, 2017 consisted of (Note 6):

General Obligation Bonds	\$ (610,112,608)	
Unamortized premiums	(16,139,339)	
Accreted interest	(40,074,237)	
PG&E energy savings loans	(330,324)	
Other postemployment benefits (Note 10)	(383,534,858)	
Net pension liability (Notes 8 and 9)	(730,543,000)	
Compensated absences	<u>(2,995,286)</u>	
		(1,783,729,652)

Internal service funds are included in the government-wide financial statements. 11,814,954

Losses on refundings of debt are categorized as deferred outflows and are amortized over the shorter life of the refunded or refunding of the debt. 3,807,888

In government funds, deferred outflows and inflows of resources relating to pensions are not reported because they are applicable to future periods. In the statement of net position, deferred outflows and inflows of resources relating to pensions are reported (Notes 8 and 9).

Deferred outflows of resources relating to pensions	157,903,874	
Deferred inflows of resources relating to pensions	<u>(29,957,000)</u>	
		127,946,874

Unmatured interest on long-term liabilities is recognized in the period incurred. (7,421,558)

Total net position - governmental activities \$ (441,020,365)

See accompanying notes to financial statements.

FRESNO UNIFIED SCHOOL DISTRICT
STATEMENT OF REVENUES, EXPENDITURES
AND CHANGE IN FUND BALANCES
GOVERNMENTAL FUNDS
For the Year Ended June 30, 2017

	General Fund	Building Fund	Bond Interest and Redemption Fund	All Non-Major Funds	Total Governmental Funds
Revenues:					
Local Control Funding Formula (LCFF):					
State apportionment	\$ 616,402,822	\$ -	-	\$ -	\$ 616,402,822
Local sources	<u>61,358,140</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>61,358,140</u>
Total LCFF	<u>677,760,962</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>677,760,962</u>
Federal sources	74,761,024	-	-	51,153,178	125,914,202
Other state sources	107,179,798	-	450,653	21,473,039	129,103,490
Other local sources	<u>15,495,977</u>	<u>1,285,821</u>	<u>39,063,625</u>	<u>3,670,053</u>	<u>59,515,476</u>
Total revenues	<u>875,197,761</u>	<u>1,285,821</u>	<u>39,514,278</u>	<u>76,296,270</u>	<u>992,294,130</u>
Expenditures:					
Current:					
Certificated salaries	357,105,787	-	-	7,339,165	364,444,952
Classified salaries	113,871,995	-	-	17,735,706	131,607,701
Employee benefits	209,941,329	-	-	14,344,812	224,286,141
Books and supplies	44,244,868	-	-	24,085,022	68,329,890
Contract services and operating expenditures	83,805,622	1,013,290	-	10,952,689	95,771,601
Other outgo	4,519,116	-	-	-	4,519,116
Capital outlay	2,965,645	-	-	34,006,080	36,971,725
Debt service:					
Principal retirement	117,084	-	22,345,295	-	22,462,379
Interest	<u>-</u>	<u>-</u>	<u>18,252,864</u>	<u>-</u>	<u>18,252,864</u>
Total expenditures	<u>816,571,446</u>	<u>1,013,290</u>	<u>40,598,159</u>	<u>108,463,474</u>	<u>966,646,369</u>
Excess (deficiency) of revenues over (under) expenditures	<u>58,626,315</u>	<u>272,531</u>	<u>(1,083,881)</u>	<u>(32,167,204)</u>	<u>25,647,761</u>
Other financing sources (uses):					
Transfers in	3,816,892	-	-	46,800,084	50,616,976
Transfers out	(2,539,730)	(45,698,983)	(189,842)	(2,188,421)	(50,616,976)
Proceeds from issuance general obligation bonds	-	30,010,000	120,070,988	-	150,080,988
Debt issuance premium	<u>-</u>	<u>989,290</u>	<u>10,391,659</u>	<u>-</u>	<u>11,380,949</u>
Total other financing sources (uses)	<u>1,277,162</u>	<u>(14,699,693)</u>	<u>130,272,805</u>	<u>44,611,663</u>	<u>161,461,937</u>
Net change in fund balances	59,903,477	(14,427,162)	129,188,924	12,444,459	187,109,698
Fund balances, July 1, 2016	<u>95,911,360</u>	<u>78,740,121</u>	<u>30,470,900</u>	<u>29,262,412</u>	<u>234,384,793</u>
Fund balances, June 30, 2017	<u>\$ 155,814,837</u>	<u>\$ 64,312,959</u>	<u>\$ 159,659,824</u>	<u>\$ 41,706,871</u>	<u>\$ 421,494,491</u>

See accompanying notes to financial statements.

FRESNO UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND
CHANGE IN FUND BALANCES - GOVERNMENTAL FUNDS -
TO THE STATEMENT OF ACTIVITIES
For the Year Ended June 30, 2017

Net change in fund balances - Total Governmental Funds \$ 187,109,698

Amounts reported for governmental activities in the statement of activities are different because:

Acquisition of capital assets is an expenditure in the governmental funds, but increases capital assets in the statement of net position (Note 4). \$ 44,786,676

Depreciation of capital assets is an expense that is not recorded in the governmental funds (Note 4). (28,302,550)

Proceeds from debt are recognized as other financing sources in the governmental funds, but increases the long-term liabilities in the statement of net position (Note 6). (150,080,988)

In governmental funds, debt issued at a premium is recognized as an other financing source. In the government-wide statements debt issued at a premium is amortized as interest over the life of the debt (Note 6). (10,865,782)

Repayment of principal on long-term liabilities is an expenditure in the governmental funds, but decreases the long-term liabilities in the statement of net position (Note 6). 22,462,379

Accreted interest is an expense that is not recorded in the governmental funds (Note 6). (9,599,569)

Interest on long-term liabilities is recognized in the period it is incurred, in governmental funds it is only recognized when it is due. (105,559)

Activities of the internal service fund are reported with governmental activities. 2,108,749

Losses on refundings of debt are categorized as deferred outflows and are amortized over the shortened life of the refunded or refunding of the debt. (429,310)

In governmental funds, other postemployment benefits are recognized when employers contributions are made. In the government-wide statements, other post-employment benefits are recognized on the accrual basis (Notes 6 and 10). (32,908,979)

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES AND
CHANGE IN FUND BALANCES - GOVERNMENTAL FUNDS -
TO THE STATEMENT OF ACTIVITIES
For the Year Ended June 30, 2017

In government funds, pension costs are recognized when employer contributions are made. In the statement of activities, pension costs are recognized on the accrual basis. This year, the difference between accrual-basis pension costs and actual employer contributions was (Notes 8 and 9).

\$ (19,723,658)

In the statement of activities, expenses related to compensated absences are measured by the amounts earned during the year. In the governmental funds, expenditures are measured by the amount of financial resources used (Note 6).

294,249 \$ (182,364,342)

Change in net position of governmental activities

\$ 4,745,356

See accompanying notes to financial statements.

FRESNO UNIFIED SCHOOL DISTRICT
STATEMENT OF NET POSITION - PROPRIETARY FUND
SELF-INSURANCE FUND - GOVERNMENTAL ACTIVITIES
June 30, 2017

ASSETS

Current assets:

Cash and investments (Note 2):	
Cash in County Treasury	\$ 66,341,079
Cash on hand and in banks	2,000,000
Receivables	208,271
Due from other funds (Note 3)	3,792,573
Prepaid expenditures	<u>1,018,041</u>
 Total current assets	 <u>73,359,964</u>

LIABILITIES

Current liabilities:

Accounts payable	5,258,483
Due to other funds (Note 3)	20,152
Self insurance claims liability (Note 5)	<u>56,266,375</u>
 Total current liabilities	 <u>61,545,010</u>

NET POSITION

Net position - restricted for self-insurance	<u><u>\$ 11,814,954</u></u>
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See accompanying notes to financial statements.

FRESNO UNIFIED SCHOOL DISTRICT
STATEMENT OF CHANGE IN
NET POSITION - PROPRIETARY FUND
SELF-INSURANCE FUND - GOVERNMENTAL ACTIVITIES
For the Year Ended June 30, 2017

Operating revenues:	
Self-insurance premiums	<u>\$ 161,798,469</u>
Operating expenses:	
Classified salaries	1,291,481
Employee benefits	614,133
Books and supplies	46,007
Contract services	<u>156,500,435</u>
Total operating expenses	<u>158,452,056</u>
Operating income	<u>3,346,413</u>
Non-operating revenue (expense):	
Interest income	762,336
OPEB expense	<u>(2,000,000)</u>
Total non-operating (expense) revenue	<u>(1,237,664)</u>
Change in net position	2,108,749
Net position, July 1, 2016	<u>9,706,205</u>
Net position, June 30, 2017	<u><u>\$ 11,814,954</u></u>

See accompanying notes to financial statements.

FRESNO UNIFIED SCHOOL DISTRICT
STATEMENT OF CASH FLOWS - PROPRIETARY FUND
SELF-INSURANCE FUND - GOVERNMENTAL ACTIVITIES
For the Year Ended June 30, 2017

Cash flows from operating activities:	
Cash received from self-insurance premiums	\$ 167,602,505
Cash received from user charges	7,472,774
Cash paid for employee benefits	(160,988,857)
Cash paid for salaries	(1,905,614)
Cash paid for other expenses	<u>(46,007)</u>
Net cash provided by operating activities	<u>12,134,801</u>
Cash flows from noncapital financing activities:	
OPEB expense	<u>(2,000,000)</u>
Cash flows from investing activities:	
Interest income received	<u>727,601</u>
Increase in cash and investments	10,862,402
Cash and investments, July 1, 2016	<u>57,478,677</u>
Cash and investments, June 30, 2017	<u><u>\$ 68,341,079</u></u>
Reconciliation of operating income to net cash used in operating activities:	
Operating income	\$ <u>3,346,413</u>
Adjustments to reconcile operating income to net cash used in operating activities:	
Decrease (increase) in:	
Receivables	
Amount due from other funds	13,276,810
Prepaid expenditures	845,069
Increase in:	
Accounts payable	51,331,592
Amount due to other funds	(281,881)
Unpaid claims and claim adjustment expenses	<u>(56,383,202)</u>
Total adjustments	<u>8,788,388</u>
Net cash provided by operating activities	<u><u>\$ 12,134,801</u></u>

See accompanying notes to financial statements.

FRESNO UNIFIED SCHOOL DISTRICT
STATEMENT OF FIDUCIARY ASSETS AND LIABILITIES
AGENCY FUND
June 30, 2017

	Agency Fund Student Body
ASSETS	
Cash and investments (Note 2):	
Cash in County Treasury	\$ 416,853
Cash on hand and in bank	1,764,410
Stores inventory	<u>43,681</u>
Total assets	<u><u>\$ 2,224,944</u></u>
LIABILITIES	
Due to student groups	<u><u>\$ 2,224,944</u></u>

See accompanying notes to financial statements.

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

Fresno Unified School District (the "District") accounts for its financial transactions in accordance with the policies and procedures of the California Department of Education's *California School Accounting Manual*. The accounting policies of the District conform to accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board. The following is a summary of the more significant policies:

Reporting Entity: The Board of Education is the level of government which has governance responsibilities over all activities related to public school education in the Fresno Unified School District. The Board is not included in any other governmental "reporting entity" as defined by the Governmental Accounting Standards Board since Board members have decision-making authority, the power to designate management, the responsibility to significantly influence operations and primary accountability for fiscal matters.

The District receives funding from local, state and federal government sources and must comply with all the requirements of these funding source entities.

Basis of Presentation - Financial Statements: The basic financial statements include a Management's Discussion and Analysis (MD & A) section providing an analysis of the District's overall financial position and results of operations, financial statements prepared using full accrual accounting for all of the District's activities, including infrastructure, and a focus on the major funds.

Basis of Presentation - Government-Wide Financial Statements: The Statement of Net Position and the Statement of Activities displays information about the reporting government as a whole. Fiduciary funds are not included in the government-wide financial statements. Fiduciary funds are reported only in the Statement of Fiduciary Assets and Liabilities.

The Statement of Net Position and the Statement of Activities are prepared using the economic resources measurement focus and the accrual basis of accounting. Revenues, expenses, gains, losses, assets and liabilities resulting from exchange and exchange-like transactions are recognized when the exchange takes place. Revenues, expenses, gains, losses, assets and liabilities resulting from nonexchange transactions are recognized in accordance with the requirements of Governmental Accounting Standards Board Cod. Sec. N50.118-.121.

Program revenues: Program revenues included in the Statement of Activities derive directly from the program itself or from parties outside the District's taxpayers or citizenry, as a whole; program revenues reduce the cost of the function to be financed from the District's general revenues.

Allocation of indirect expenses: The District reports all direct expenses by function in the Statement of Activities. Direct expenses are those that are clearly identifiable with a function. Depreciation expense and interest on general long-term liabilities are considered indirect expenses and are reported separately on the Statement of Activities.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Basis of Presentation - Fund Accounting: The accounts of the District are organized on the basis of funds, each of which is considered to be a separate accounting entity. The operations of each fund are accounted for with a separate set of self-balancing accounts that comprise its assets, liabilities, fund equity, revenues, and expenditures or expenses, as appropriate. District resources are allocated to and accounted for in individual funds based upon the purpose for which they are to be spent and the means by which spending activities are controlled.

A - Major Funds

1 - General Fund:

The General Fund is the general operating fund of the District and accounts for all revenues and expenditures of the District not encompassed within other funds. All general tax revenues and other receipts that are not allocated by law or contractual agreement to some other fund are accounted for in this fund. General operating expenditures and the capital improvement costs that are not paid through other funds are paid from the General Fund.

2 - Building Fund:

The Building Fund is a capital project fund used to account for resources used for the acquisition of capital facilities by the District.

3 - Bond Interest and Redemption Fund:

The Bond Interest and Redemption Fund is a debt service fund used to account for resources used for the payment of general long-term liabilities principal, interest and related costs.

B - Other Funds

1 - Special Revenue Funds:

The Special Revenue Funds are used to account for the proceeds of specific revenue sources that are legally restricted to expenditures for specific purposes. This includes the Adult Education, Child Development, Cafeteria, and Deferred Maintenance Funds.

2 - Capital Project Funds:

The Capital Project Funds are used to account for resources used for the acquisition of capital facilities by the District. This includes the Capital Facilities, County School Facilities and Special Reserve for Capital Outlay Projects Funds.

3 - Debt Service Fund:

The Tax Override Fund is a Debt Service Fund, which is used to account for the accumulation of resources for, and the payment of, general long-term liabilities principal, interest and related costs.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

4 - Self Insurance Fund:

The Self-Insurance Fund is an internal service fund which is used to account for the District's property and liability claims, workers' compensation claims, and health benefits to current and retired employees, including medical, vision, dental and long-term sick leave. Included in the Self-Insurance Fund's nonoperating activities are contributions to fund the irrevocable OPEB trust fund and interest income.

5 - Student Body Fund:

The The Student Body Fund is an Agency Fund for which the District acts as an agent. All cash activity and assets of the various student bodies of the District are accounted for in the Student Body Fund.

Basis of Accounting: Basis of accounting refers to when revenues and expenditures or expenses are recognized in the accounts and reported in the basic financial statements. Basis of accounting relates to the timing of the measurement made, regardless of the measurement focus applied.

Accrual: Governmental activities in the government-wide financial statements and the proprietary and fiduciary fund financial statements are presented on the accrual basis of accounting. Revenues are recognized when earned and expenses are recognized when incurred.

Modified Accrual: The governmental funds financial statements are presented on the modified accrual basis of accounting. Under the modified accrual basis of accounting, revenues are recorded when susceptible to accrual; i.e., both measurable and available. "Available" means collectible within the current period or within 60 days after year end. Expenditures are generally recognized under the modified accrual basis of accounting when the related liability is incurred. The exception to this general rule is that principal and interest on general obligation long-term liabilities, if any, is recognized when due.

Budgets and Budgetary Accounting: By state law, the Board of Education must adopt a final budget by July 1. A public hearing is conducted to receive comments prior to adoption. The Board of Education complied with these requirements.

Receivables: Receivables are made up principally of amounts due from the State of California for Local Control Funding Formula and Categorical programs. The District has determined that no allowance for doubtful accounts was needed as of June 30, 2017.

Stores Inventory: Stores inventory in the General and Cafeteria Funds consists mainly of consumable supplies and instructional materials held for future use and are valued at average cost. Inventories are recorded as expenditures at the time individual inventory items are transferred from the warehouse to schools and offices.

Capital Assets: Capital assets purchased or acquired, with an original cost of \$15,000 or more, are recorded at historical cost or estimated historical cost. Contributed assets are reported at acquisition value for the contributed asset. Additions, improvements and other capital outlay that significantly extend the useful life of an asset are capitalized. Other costs incurred for repairs and maintenance are expensed as incurred. Capital assets are depreciated using the straight-line method over 2 - 50 years depending on asset types.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Interfund Activity: Interfund activity is reported as either loans, services provided, reimbursements or transfers. Loans are reported as interfund receivables and payables as appropriate and are subject to elimination upon consolidation. Services provided, deemed to be at market or near market rates, are treated as revenues and expenditures/expenses. Reimbursements are when one fund incurs a cost, charges the appropriate benefiting fund and reduces its related cost as a reimbursement. All other interfund transactions are treated as transfers. Transfers between governmental or proprietary funds are netted as part of the reconciliation to the government-wide financial statements.

Deferred Outflows/Inflows of Resources: In addition to assets, the statement of net position includes a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net position that applies to a future period(s), and as such will not be recognized as an outflow of resources (expense/expenditures) until then. The District has recognized a deferred loss on refunding reported, which is in the statement of net position. A deferred loss on refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shortened life of the refunded or refunding debt. Additionally, the District has recognized a deferred outflow of resources related to the payments made subsequent to the measurement date for the pensions.

In addition to liabilities, the statement of net position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net position that applies to a future period(s) and as such, will not be recognized as an inflow of resources (revenue) until that time. The District has recognized a deferred inflow of resources related to the recognition of the pension liability reported which is in the statement of net position.

Pensions: For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the State Teachers' Retirement Plan (STRP) and Public Employers Retirement Fund B (PERF B) and additions to/deductions from STRP's and PERF B's fiduciary net position have been determined on the same basis as they are reported by STRP and PERF B. For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with the benefit terms. Certain investments are reported at fair value. The following is a summary of pension amounts in the aggregate:

	<u>STRP</u>	<u>PERF B</u>	<u>Total</u>
Deferred outflows of resources	<u>\$102,429,146</u>	<u>\$ 55,474,728</u>	<u>\$157,903,874</u>
Deferred inflows of resources	<u>\$ 24,506,000</u>	<u>\$ 5,451,000</u>	<u>\$ 29,957,000</u>
Net pension liability	<u>\$549,121,000</u>	<u>\$181,422,000</u>	<u>\$730,543,000</u>
Pension expense	<u>\$ 81,515,385</u>	<u>\$ 25,136,815</u>	<u>\$106,652,200</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Compensated Absences: Compensated absences benefits are recorded as a liability of the District. The liability of \$2,995,286 is for the earned but unused benefits.

Accumulated Sick Leave: Sick leave benefits are accumulated for each employee. The employees do not gain a vested right to accumulated sick leave. Accumulated employee sick leave benefits are not recognized as liabilities of the District since cash payment of such benefits is not probable. Therefore, sick leave benefits are recorded as expenditures in the period that sick leave is taken.

Unearned Revenue: Revenue from federal, state, and local special projects and programs is recognized when qualified expenditures have been incurred. Funds received but not earned are recorded as unearned revenue until earned.

Net Position: Net position is displayed in three components:

1. Net Investment in Capital Assets – Consists of capital assets including restricted capital assets, net of accumulated depreciation and reduced by the outstanding balances (excluding unspent bond proceeds) of any bonds, mortgages, notes, or other borrowings that are attributable to the acquisition, construction, or improvement of those assets.
2. Restricted Net Position - Restrictions of the ending net position indicate the portions of net position not appropriable for expenditure or amounts legally segregated for a specific future use. The restriction for legally restricted programs represents the portion of net position restricted to specific program expenditures. The restriction for debt service represents the portion of net position available for the retirement of debt. The restriction for capital projects represents the portion of net position restricted for capital projects. The restriction for self insurance represents the portion of net position restricted for the District's property and liability claims, workers' compensation claims and health benefits to current and retired employees. It is the District's policy to use restricted net position first when allowable expenditures are incurred.
3. Unrestricted Net Position – All other net position that do not meet the definitions of "restricted" or "net investment in capital assets".

Fund Balance Classifications: Governmental Accounting Standards Board Codification Sections 1300 and 1800, *Fund Balance Reporting and Governmental Fund Type Definitions* (GASB Cod. Sec. 1300 and 1800) implements a five-tier fund balance classification hierarchy that depicts the extent to which a government is bound by spending constraints imposed on the use of its resources. The five classifications, discussed in more detail below, are nonspendable, restricted, committed, assigned and unassigned.

A - Nonspendable Fund Balance:

The nonspendable fund balance classification reflects amounts that are not in spendable form, such as revolving fund cash, prepaid expenditures and stores inventory.

B - Restricted Fund Balance:

The restricted fund balance classification reflects amounts subject to externally imposed and legally enforceable constraints. Such constraints may be imposed by creditors, grantors, contributors, or laws or regulations of other governments, or may be imposed by law through constitutional provisions or enabling legislation. These are the same restrictions used to determine restricted net position as reported in the government-wide, proprietary fund, and fiduciary fund statements.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

C - Committed Fund Balance:

The committed fund balance classification reflects amounts subject to internal constraints self-imposed by formal action of the Board of Education. The constraints giving rise to committed fund balance must be imposed no later than the end of the reporting period. The actual amounts may be determined subsequent to that date but prior to the issuance of the financial statements. Formal action by the Board of Education is required to remove any commitment from any fund balance. At June 30, 2017, the District had no committed fund balances.

D - Assigned Fund Balance:

The assigned fund balance classification reflects amounts that the District's Board of Education has approved to be used for specific purposes, based on the District's intent related to those specific purposes. The Board of Education can designate personnel within the District to assign fund balances. At June 30, 2017, the District had assigned a portion of the fund balance for the General Fund.

E - Unassigned Fund Balance:

In the General Fund only, the unassigned fund balance classification reflects the residual balance that has not been assigned to other funds and that is not restricted, committed, or assigned to specific purposes.

In any fund other than the General Fund, a positive unassigned fund balance is never reported because amounts in any other fund are assumed to have been assigned, at least, to the purpose of that fund. However, deficits in any fund, including the General Fund that cannot be eliminated by reducing or eliminating amounts assigned to other purposes are reported as negative unassigned fund balance.

Fund Balance Policy: The District has an expenditure policy relating to fund balances. For purposes of fund balance classifications, expenditures are to be spent from restricted fund balances first, followed in order by committed fund balances (if any), assigned fund balances and lastly unassigned fund balances.

While GASB Cod. Sec. 1300 and 1800 do not require districts to establish a minimum fund balance policy or a stabilization arrangement, GASB Cod. Sec. 1300 and 1800 do require the disclosure of a minimum fund balance policy and stabilization arrangements, if they have been adopted by the Board of Education. On July 30, 2008, the Board approved Board Policy 3100 establishing levels for the general fund reserve for economic uncertainties of five percent to ten percent of total expenditures.

Property Taxes: Secured property taxes are attached as an enforceable lien on property as of January 1. Taxes are due in two installments on or before December 10 and April 10. Unsecured property taxes are due in one installment on or before August 31. The County of Fresno bills and collects taxes for the District. Tax revenues are recognized by the District when received.

Encumbrances: Encumbrance accounting is used in all budgeted funds to reserve portions of applicable appropriations for which commitments have been made. Encumbrances are recorded for purchase orders, contracts, and other commitments when they are written. Encumbrances are liquidated when the commitments are paid. All encumbrances are liquidated at June 30.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES (Continued)

Eliminations and Reclassifications: In the process of aggregating data for the Statement of Net Position and the Statement of Activities, some amounts reported as interfund activity and balances in the funds were eliminated or reclassified. Interfund receivables and payables were eliminated to minimize the "grossing up" effect on assets and liabilities within the governmental activities column.

Estimates: The preparation of basic financial statements in conformity with accounting principles generally accepted in the United States of America requires management to make estimates and assumptions. These estimates and assumptions affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenditures or expenses during the reporting period. Accordingly, actual results may differ from those estimates.

New Accounting Pronouncements: In June 2015, the GASB issued GASB Statement No. 75, Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions, which replaces the requirements of GASB Statement No. 45, Accounting and Financial Reporting by Employers for Postemployment Benefits Other Than Pensions. GASB Statement No. 75 requires governments to report a liability on the face of the financial statements for the OPEB that they provide. Governments that are responsible only for OPEB liabilities related to their own employees and that provide OPEB through a defined benefit OPEB plan administered through a trust that meets specified criteria will report a net OPEB liability, which is the difference between the total OPEB liability and assets accumulated in the trust and restricted to making benefit payments. Governments that participate in a cost-sharing OPEB plan that is administered through a trust that meets the specified criteria will report a liability equal to their proportionate share of the collective OPEB liability for all entities participating in the cost-sharing plan. Governments that do not provide OPEB through a trust that meets specified criteria will report the total OPEB liability related to their employees. GASB Statement No. 75 carries forward from GASB Statement No. 45 the option to use a specified alternative measurement method in place of an actuarial valuation for purposes of determining the total OPEB liability for benefits provided through OPEB plans in which there are fewer than 100 plan members (active and inactive). This option was retained in order to reduce costs for smaller governments. GASB Statement No. 75 requires governments in all types of OPEB plans to present more extensive note disclosures and required supplementary information (RSI) about their OPEB liabilities. Among the new note disclosures is a description of the effect on the reported OPEB liability of using a discount rate and a healthcare cost trend rate that are one percentage point higher and one percentage point lower than assumed by the government. The new RSI includes a schedule showing the causes of increases and decreases in the OPEB liability and a schedule comparing a government's actual OPEB contributions to its contribution requirements. Some governments are legally responsible to make contributions directly to an OPEB plan or make benefit payments directly as OPEB comes due for employees of other governments. In certain circumstances (called special funding situations) GASB Statement No. 75 requires these governments to recognize in their financial statements a share of the other government's net OPEB liability. This statement is effective for the District's fiscal year ending June 30, 2018. Earlier application is encouraged. Management has not determined what impact this statement will have on its financial statements.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 2 - CASH AND INVESTMENTS

District cash and investments at June 30, 2017 consisted of the following:

	<u>Governmental Activities</u>		<u>Fiduciary Activities</u>	
	<u>Governmental Funds</u>	<u>Proprietary Fund</u>	<u>Total</u>	<u>Agency Fund</u>
Pooled Funds:				
Cash in County Treasury	\$ 344,749,704	\$ 66,341,079	\$ 411,090,783	\$ 416,853
Deposits:				
Cash on hand and in banks	6,907,626	2,000,000	8,907,626	1,764,410
Cash in revolving fund	88,929	-	88,929	-
Cash awaiting deposits	<u>12,601</u>	<u>-</u>	<u>12,601</u>	<u>-</u>
Total deposits	<u>7,009,156</u>	<u>2,000,000</u>	<u>9,009,156</u>	<u>1,764,410</u>
Investments	<u>126,190,715</u>	<u>-</u>	<u>126,190,715</u>	<u>-</u>
Total cash and investments	<u>\$ 477,949,575</u>	<u>\$ 68,341,079</u>	<u>\$ 546,290,654</u>	<u>\$ 2,181,263</u>

Pooled Funds: In accordance with Education Code Section 41001, the District maintains substantially all of its cash in the interest bearing Fresno County Treasurer's Pooled Investment Fund. The District is considered to be an involuntary participant in an external investment pool. The fair value of the District's investment pool is reported in the financial statements at amounts based upon the District's pro-rata share of the fair value provided by the County Treasurer for the entire portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by the County Treasurer, which is recorded on the amortized cost basis.

Because the District's deposits are maintained in a recognized pooled investment fund under the care of a third party and the District's share of the pool does not consist of specific, identifiable investment securities owned by the District, no disclosure of the individual deposits and investments or related custodial credit risk classifications is required.

In accordance with applicable state laws, the Fresno County Treasurer may invest in derivative securities with the State of California. However, at June 30, 2017, the Fresno County Treasurer has represented that the Pooled Investment Fund contained no derivatives or other investments with similar risk profiles.

Deposits - Custodial Credit Risk: The District limits custodial credit risk by ensuring uninsured balances are collateralized by the respective financial institution. Cash balances held in banks are insured up to \$250,000 by the Federal Deposit Insurance Corporation (FDIC) and are collateralized by the respective financial institution. At June 30, 2017, the carrying amount of the District's accounts was \$10,719,546 and the bank balances were \$11,076,841. The total uninsured bank balance at June 30, 2017 was \$9,791,025.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 2 - CASH AND INVESTMENTS (Continued)

Cash balances held in credit unions are insured by the National Credit Union Association. At June 30, 2017, the carrying amount of the District's accounts was \$41,419 and the bank balance was \$41,419, all of which was insured.

Investments: In October 2016, the District issued crossover refunding bonds and the bond proceeds were deposited into an irrevocable escrow fund to be funded, invested and held. Amounts held in the escrow fund will be applied to (a) pay interest due on the 2016 Refunding Bonds to and including the crossover date, and (b) on the crossover date, pay the redemption price of the refunded prior bonds. The amounts Investments at June 30, 2017 are reported at fair value and consisted of the following:

	<u>Rating</u>	<u>2017</u>
Investments:		
U.S. Treasury Notes	Aaa	\$ 125,728,810
Foreign Issues	N/A	<u>461,905</u>
Total investments		<u><u>\$ 126,190,715</u></u>

Investment security ratings reported as of June 30, 2017 are defined by Moody's.

The following presents information about the District's assets measured at fair value on a recurring basis as of June 30, 2017, and indicates the fair value hierarchy of the valuation techniques utilized by the District to determine such fair value based on the hierarchy:

Level 1 – Quoted market prices or identical instruments traded in active exchange markets.

Level 2 – Significant other observable inputs such as quoted prices for identical or similar instruments in markets that are not active, and model-based valuation techniques for which all significant assumptions are observable or can be corroborated by observable market data.

Level 3 – Significant unobservable inputs that reflect a reporting entity's own assumptions about the methods that market participants would use in pricing an asset or liability.

The District is required or permitted to record the following assets at fair value on a recurring basis:

	<u>2017</u>			
<u>Description</u>	<u>Fair Value</u>	<u>Level 1</u>	<u>Level 2</u>	<u>Level 3</u>
U.S. Treasury Notes	\$ 125,728,810	\$ -	\$ 125,728,810	\$ -
Foreign Issues	<u>461,905</u>	<u>-</u>	<u>461,905</u>	<u>-</u>
	<u><u>\$ 126,190,715</u></u>	<u><u>\$ -</u></u>	<u><u>\$ 126,190,715</u></u>	<u><u>\$ -</u></u>

The District's investments are generally classified in Level 2 of the fair value hierarchy because they are valued using broker or dealer quotations, or alternative pricing sources with reasonable level of price transparency. The types of investments valued based on observable inputs includes U.S. Treasury Notes and Foreign Issues are classified within level 2 of the fair value hierarchy.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 2 - CASH AND INVESTMENTS (Continued)

The District had no non-recurring assets and no liabilities at June 30, 2017 which were required to be disclosed using the fair value hierarchy

Investment Interest Rate Risk: The District's investment policy does not limit investment maturities as a means of managing its exposure to fair value losses arising from increasing interest rates.

Maturities of investments held at June 30, 2017 consist of the following:

	<u>Maturity</u>			
	<u>Fair Value</u>	<u>Less Than One Year</u>	<u>One Year through Five Years</u>	<u>Six Years through Ten Years</u>
Investment securities:				
U.S. Treasury Notes	\$ 125,728,810	\$ 955,723	\$ 68,871,122	\$ 55,901,965
Foreign Issues	<u>461,905</u>	<u>-</u>	<u>-</u>	<u>461,905</u>
Total	<u>\$ 126,190,715</u>	<u>\$ 955,723</u>	<u>\$ 68,871,122</u>	<u>\$ 56,363,870</u>

Investment Credit Risk: The District's investment policy limits investment choices to obligations of the United States Treasury, sweep accounts and trustee banks and guaranteed investment contracts. At June 30, 2017, all investments represented U.S. Treasury Notes and Foreign Issue Notes which were issued, registered and held by the Escrow Agent.

Concentration of Investment Credit Risk: At June 30, 2017, the District had \$125,728,810 in investments that represent more than five percent of the Fund's net investments:

Credit Risk: The District does not have a formal investment policy that limits its investment choices other than the limitations of state law.

Interest Rate Risk: The District does not have a formal investment policy that limits the cash and investment maturities as a means of managing their exposure to fair value arising from increasing interest rates. At June 30, 2017, the District had no significant interest rate risk related to investments held.

Concentration of Credit Risk: The District does not place limits on the amount they may invest in any one issuer. At June 30, 2017, the District had no concentration of credit risk.

Interfund Activity: Transactions between funds of the District are recorded as transfers, except for the Retiree Benefits Trust Fund activity which is recorded as expenditures of the General Fund and Self Insurance Fund. The unpaid balances at year end, as a result of such transactions, are shown as due to and due from other funds.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 3 - INTERFUND TRANSACTIONS

Interfund Receivables/Payables: Individual fund interfund receivable and payable balances at June 30, 2017 were as follows:

<u>Fund</u>	<u>Interfund Receivables</u>	<u>Interfund Payables</u>
<u>Governmental Activities</u>		
Major Fund:		
General	\$ 3,096,697	\$ 53,949
Building	671,530	4,334,223
Non-Major Funds:		
Adult Education	308,222	1,487,602
Child Development	1,756,532	1,978,572
Cafeteria	-	6,158,095
Deferred Maintenance	188,070	-
Capital Facilities	-	16,882
County School Facilities	3,913,139	-
Special Reserve for Capital Outlay Projects	338,097	7,044
Tax Override	-	8,341
Proprietary Fund:		
Self-Insurance	<u>3,792,573</u>	<u>20,152</u>
Total	<u>\$ 14,064,860</u>	<u>\$ 14,064,860</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 3 - INTERFUND TRANSACTIONS (Continued)

Transfers: Transfers consists of operating transfers from funds receiving revenue to funds through which the resources are to be expended.

Transfers for the 2016-2017 fiscal year were as follows:

Transfer from the Building Fund to the County School Facilities Fund to contribute to the local share by project.	\$ 44,070,512
Transfer from the General Fund to the Deferred Maintenance Fund for the State Deferred Allocation as received in the General Fund.	2,539,259
Transfer from the Building Fund to the General Fund to contribute to Restricted Routine Maintenance.	1,628,471
Transfer from the Cafeteria Fund to the General Fund for indirect cost.	1,570,434
Transfer from Child Development Fund to the General Fund for indirect costs.	417,252
Transfer from the Bond Interest & Redemption Fund to the Special Reserve for Capital Outlay Projects Fund for monies held for bonds that are no longer outstanding.	189,842
Transfer from Adult Education Fund to the General Fund for indirect costs.	171,272
Transfer from Capital Facilities Fund to the General Fund for indirect costs.	29,463
Transfer from the General Fund to the Tax Override Fund for tax adjustments.	<u>471</u>
	<u><u>\$ 50,616,976</u></u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 4 - CAPITAL ASSETS

A schedule of changes in capital assets for the year ended June 30, 2017 is shown below:

	Balance July 1, 2016	Transfers and Additions	Transfers and Deletions	Balance June 30, 2017
<u>Governmental Activities</u>				
Non-depreciable:				
Land	\$ 61,136,569	\$ 3,668,593	\$ -	\$ 64,805,162
Work-in-process	57,358,063	43,343,657	18,887,878	81,813,842
Depreciable:				
Land improvements	83,497,246	3,107,694	-	86,604,940
Buildings	893,247,992	12,111,591	45,718	905,313,865
Equipment	<u>29,405,873</u>	<u>1,443,019</u>	<u>-</u>	<u>30,848,892</u>
Totals, at cost	<u>1,124,645,743</u>	<u>63,674,554</u>	<u>18,933,596</u>	<u>1,169,386,701</u>
Less accumulated depreciation:				
Land improvements	(37,170,352)	(3,797,350)	-	(40,967,702)
Buildings	(299,123,414)	(22,426,580)	(45,718)	(321,504,276)
Equipment	<u>(19,769,465)</u>	<u>(2,078,620)</u>	<u>-</u>	<u>(21,848,085)</u>
Total accumulated depreciation	<u>(356,063,231)</u>	<u>(28,302,550)</u>	<u>(45,718)</u>	<u>(384,320,063)</u>
Governmental activities capital assets, net	<u>\$ 768,582,512</u>	<u>\$ 35,372,004</u>	<u>\$ 18,887,878</u>	<u>\$ 785,066,638</u>

Depreciation expense was charged to governmental activities for the year ended June 30, 2017 as follows:

Governmental activities:	
Unallocated	<u>\$ 28,302,550</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 5 - SELF-INSURANCE

The District has established a self-insurance fund to account for the risk of loss for property and liability, workers' compensation, and employee health benefits. For the year ended June 30, 2017, the District was self-insured up to \$2,000,000 for each workers' compensation claim and \$350,000 for each liability and property claim. The District purchased commercial excess insurance for claims above the self-insured retention.

The property and liability claims liability of \$1,323,166 is based on an actuarial projected estimate at June 30, 2017, discounted at 0.5%. The workers' compensation claims liability of \$36,150,333 is based on an actuarial projected estimate at June 30, 2017, discounted at 1.5%. The health claims liability of \$18,792,876 is based on an actuarial projected estimate at June 30, 2017, discounted at 3.0% - 6.0%. The liability for all programs include a component for unallocated loss adjustment expenses. Settled claims resulting from these risks have not exceeded insurance coverage in any of the past three fiscal years. Changes in the claims liability for the years ended June 30, 2017 and 2016 were as follows:

	Property and <u>Liability</u>	Workers' Compen- <u>sation</u>	<u>Health</u>	<u>Total</u>
Claims liability at June 30, 2015	\$ 869,754	\$ 36,443,705	\$ 16,885,055	\$ 54,198,514
Inurred claims	3,406,821	8,735,206	136,056,794	148,198,821
Paid claims	<u>(3,363,333)</u>	<u>(7,514,104)</u>	<u>(135,136,696)</u>	<u>(146,014,133)</u>
Claims liability at June 30, 2016	<u>913,242</u>	<u>37,664,807</u>	<u>17,805,153</u>	<u>56,383,202</u>
Inurred claims	3,724,793	3,113,715	146,221,395	153,059,903
Paid claims	<u>(3,314,869)</u>	<u>(4,628,189)</u>	<u>(145,233,672)</u>	<u>(153,176,730)</u>
Claims liability at June 30, 2017	<u>\$ 1,323,166</u>	<u>\$ 36,150,333</u>	<u>\$ 18,792,876</u>	<u>\$ 56,266,375</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 6 - LONG-TERM LIABILITIES

General Obligation Bonds

<u>Issue</u>	<u>Interest Rate %</u>	<u>Date of Issuance</u>	<u>Maturity Date</u>	<u>Amount of Original Issuance</u>	<u>Outstanding July 1, 2016</u>	<u>Issued Current Year</u>	<u>Redeemed Current Year</u>	<u>Outstanding June 30, 2017</u>
1999 Series C	4.5 - 5.125%	1999	2023	40,640,000	16,895,000	-	2,315,000	14,580,000
2002 Series A	2.25 - 6.0%	2002	2027	64,485,000	41,980,000	-	3,350,000	38,630,000
2004 Refunding 1995 Series B	1.70 - 5.25%	2004	2028	58,040,000	34,280,000	-	2,540,000	31,740,000
2001 Series F	5.48%	2009	2026	29,429,022	22,454,509	-	1,750,295	20,704,214
2010 Refunding	2.0 - 4.0%	2010	2023	12,040,000	9,050,000	-	1,245,000	7,805,000
2010 Measure Q Series A	4.726 - 5.876%	2011	2030	29,561,373	28,861,373	-	-	28,861,373
2001 Measure K Series G	5.39 - 11.814%	2011	2042	55,570,915	55,570,915	-	-	55,570,915
2010 Measure Q Series B	2.0 - 5.25%	2011	2042	50,434,849	43,289,849	-	-	43,289,849
2012 GO Refunding Series A	1.0 - 4.5%	2012	2031	39,895,000	37,705,000	-	1,995,000	35,710,000
2012 GO Refunding Series B	0.805 - 4.5%	2012	2022	32,390,000	23,590,000	-	3,875,000	19,715,000
2010 Measure Q Series C	2% - 5.5%	2012	2047	54,997,540	45,105,385	-	-	45,105,385
2010 Measure Q Series D	3.56% - 5.11%	2014	2048	59,996,789	54,306,789	-	-	54,306,789
2015 GO Refunding Bonds	2.0% - 5.0%	2015	2031	14,555,000	14,290,000	-	595,000	13,695,000
2010 Series E Current Interest	2.0% - 5.0%	2015	2046	49,565,000	49,565,000	-	4,680,000	44,885,000
2010 Series E Capital Appreciation	2.0% - 5.0%	2015	2032	5,433,095	5,433,095	-	-	5,433,095
2016 GO Refunding Series A	3.13% - 3.6%	2016	2041	60,480,000	-	60,480,000	-	60,480,000
2010 Series F	2.0% - 4.0%	2016	2041	30,010,000	-	30,010,000	-	30,010,000
2016 GO Refunding Series B	4.0% - 5.0%	<u>2016</u>	<u>2046</u>	<u>59,590,988</u>	<u>-</u>	<u>59,590,988</u>	<u>-</u>	<u>59,590,988</u>
				<u>\$747,114,571</u>	<u>\$482,376,915</u>	<u>\$150,080,988</u>	<u>\$ 22,345,295</u>	<u>\$610,112,608</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 6 - LONG-TERM LIABILITIES (Continued)

The annual payments required to amortize the 1999, Series C, General Obligation Bonds outstanding as of June 30, 2017, are as follows:

Year Ending June 30,	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 2,445,000	\$ 842,815	\$ 3,287,815
2019	2,590,000	697,380	3,287,380
2020	2,740,000	543,242	3,283,242
2021	2,910,000	380,255	3,290,255
2022	3,075,000	207,090	3,282,090
2023	<u>820,000</u>	<u>24,190</u>	<u>844,190</u>
	<u>\$ 14,580,000</u>	<u>\$ 2,694,972</u>	<u>\$ 17,274,972</u>

The annual payments required to amortize the 2002, Series A, General Obligation Bonds outstanding as of June 30, 2017, are as follows:

Year Ending June 30,	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 3,545,000	\$ 2,308,800	\$ 5,853,800
2019	3,810,000	2,095,200	5,905,200
2020	4,060,000	1,866,300	5,926,300
2021	4,305,000	1,622,100	5,927,100
2022	4,580,000	1,363,200	5,943,200
2023-2027	<u>18,330,000</u>	<u>2,524,200</u>	<u>20,854,200</u>
	<u>\$ 38,630,000</u>	<u>\$ 11,779,800</u>	<u>\$ 50,409,800</u>

The annual payments required to amortize the 2004 Refunding, Series 95B, General Obligation Bonds outstanding as of June 30, 2017, are as follows:

Year Ending June 30,	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 2,675,000	\$ 1,614,926	\$ 4,289,926
2019	2,815,000	1,480,926	4,295,926
2020	2,960,000	1,339,926	4,299,926
2021	3,120,000	1,191,676	4,311,676
2022	3,275,000	1,035,426	4,310,426
2023-2027	16,735,000	2,489,475	19,224,475
2028	<u>160,000</u>	<u>4,200</u>	<u>164,200</u>
	<u>\$ 31,740,000</u>	<u>\$ 9,156,555</u>	<u>\$ 40,896,555</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 6 - LONG-TERM LIABILITIES (Continued)

In December 2009, the District issued Qualified School Construction Bonds (QSCB) through the Central Valley Support Services Joint Powers Agency (CVSS) with proceeds of \$41,397,820. Also in December 2009, the District issued 2001, Series F, General Obligation Bonds with proceeds of \$29,429,022. The proceeds from Series F were sold to CVSS for the purpose of completing the District's obligation to repay the outstanding QSCB balance. The District incurred \$720,142 in expenses related to the cost of issuance of the QSCB and Series F. The remaining proceeds from the QSCB totaling \$11,248,656 was deposited in the District Building Fund for use on District construction projects approved under Measure K.

<u>Year Ending June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 1,844,675	\$ 1,084,442	\$ 2,929,117
2019	1,944,234	980,588	2,924,822
2020	2,049,242	871,127	2,920,369
2021	2,160,006	755,752	2,915,758
2022	2,276,840	634,138	2,910,978
2023-2026	<u>10,429,217</u>	<u>1,182,720</u>	<u>11,611,937</u>
	<u>\$ 20,704,214</u>	<u>\$ 5,508,767</u>	<u>\$ 26,212,981</u>

In October 2010, the District issued 2010 General Obligation Refunding Bonds totaling \$12,040,000. The proceeds of the 2010 General Obligation Refunding Bonds were used to refund portions of the 2001, Series D, General Obligation Bonds. The District also received a premium of \$789,371 which will be amortized over 20 years. The annual payments required to amortize the 2010 General Obligation Refunding Bonds payable, outstanding as of June 30, 2017, are as follows:

<u>Year Ending June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 1,280,000	\$ 243,550	\$ 1,523,550
2019	1,310,000	202,825	1,512,825
2020	1,345,000	161,125	1,506,125
2021	1,385,000	120,175	1,505,175
2022	1,420,000	71,000	1,491,000
2023	<u>1,065,000</u>	<u>21,300</u>	<u>1,086,300</u>
	<u>\$ 7,805,000</u>	<u>\$ 819,975</u>	<u>\$ 8,624,975</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 6 - LONG-TERM LIABILITIES (Continued)

In October 2011, the District issued QSCBs through CVSS with proceeds of \$39,770,000. Also in October 2011, the District issued 2010, Series A, General Obligation Bonds with proceeds of \$29,561,373. The proceeds from Series A were sold to CVSS for the purpose of completing the District's obligation to repay the outstanding QSCB balance. The District incurred \$665,000 in expenses related to the cost of issuance of the QSCB and Series A. The remaining proceeds from the QSCB totaling \$9,543,627 was deposited in the District Building Fund for use on District construction projects approved under Measure Q.

<u>Year Ending June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ -	\$ 1,154,455	\$ 1,154,455
2019	-	1,154,455	1,154,455
2020	-	1,154,455	1,154,455
2021	-	1,154,455	1,154,455
2022	-	1,154,455	1,154,455
2023-2027	15,013,050	4,416,294	19,429,344
2028-2030	<u>13,848,323</u>	<u>852,366</u>	<u>14,700,689</u>
	<u>\$ 28,861,373</u>	<u>\$ 11,040,935</u>	<u>\$ 39,902,308</u>

The annual payments required to amortize the 2001 Series G, Capital Appreciation General Obligation Bonds payable, outstanding as of June 30, 2017, are as follows:

<u>Year Ending June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2022	\$ 48,704	\$ 101,296	\$ 150,000
2023-2027	4,456,991	6,223,009	10,680,000
2028-2032	16,703,020	37,881,980	54,585,000
2033-2037	18,709,635	70,334,235	89,043,870
2038-2042	<u>15,652,565</u>	<u>90,346,756</u>	<u>105,999,321</u>
	<u>\$ 55,570,915</u>	<u>\$ 204,887,276</u>	<u>\$ 260,458,191</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 6 - LONG-TERM LIABILITIES (Continued)

The annual payments required to amortize the 2010 Series B, Current Interest General Obligation Bonds payable, outstanding as of June 30, 2017, are as follows:

Year Ending June 30,	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 210,000	\$ 816,450	\$ 1,026,450
2019	685,000	798,550	1,483,550
2020	1,190,000	761,050	1,951,050
2021	2,310,000	691,050	3,001,050
2022	3,585,000	573,150	4,158,150
2023-2027	<u>12,839,116</u>	<u>5,172,371</u>	<u>18,011,487</u>
	<u>\$ 20,819,116</u>	<u>\$ 8,812,621</u>	<u>\$ 29,631,737</u>

The annual payments required to amortize the 2010 Series B, Capital Appreciation General Obligation Bonds payable, outstanding as of June 30, 2017, are as follows:

Year Ending June 30,	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2028-2031	\$ 5,962,074	\$ 12,672,926	\$ 18,635,000
2032-2036	8,331,696	28,435,178	36,766,874
2037-2041	6,926,096	36,860,072	43,786,168
2042	<u>1,250,867</u>	<u>8,469,133</u>	<u>9,720,000</u>
	<u>\$ 22,470,733</u>	<u>\$ 86,437,309</u>	<u>\$ 108,908,042</u>

The annual payments required to amortize the 2012 Refunding General Obligation Bonds, Series A, outstanding as of June 30, 2017, are as follows:

Year Ending June 30,	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 2,095,000	\$ 1,403,494	\$ 3,498,494
2019	2,180,000	1,315,269	3,495,269
2020	2,285,000	1,217,531	3,502,531
2021	2,365,000	1,112,906	3,477,906
2022	1,690,000	1,021,669	2,711,669
2023-2027	14,425,000	3,632,616	18,057,616
2028-2031	<u>10,670,000</u>	<u>710,623</u>	<u>11,380,623</u>
	<u>\$ 35,710,000</u>	<u>\$ 10,414,108</u>	<u>\$ 46,124,108</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 6 - LONG-TERM LIABILITIES (Continued)

The annual payments required to amortize the 2012 Refunding General Obligation Bonds, Series B, outstanding as of June 30, 2017, are as follows:

<u>Year Ending June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 3,995,000	\$ 514,090	\$ 4,509,090
2019	4,750,000	410,355	5,160,355
2020	4,890,000	276,775	5,166,775
2021	3,750,000	142,487	3,892,487
2022	<u>2,330,000</u>	<u>40,775</u>	<u>2,370,775</u>
	<u>\$ 19,715,000</u>	<u>\$ 1,384,482</u>	<u>\$ 21,099,482</u>

The annual payments required to amortize the 2010 Measure Q, Series C, outstanding as of June 30, 2017, are as follows:

<u>Year Ending June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ -	\$ 1,707,200	\$ 1,707,200
2019	-	1,707,200	1,707,200
2020	-	1,707,200	1,707,200
2021	-	1,707,200	1,707,200
2022	-	1,707,200	1,707,200
2023-2027	-	8,536,000	8,536,000
2028-2032	1,596,752	11,639,248	13,236,000
2033-2037	3,800,876	19,255,124	23,056,000
2038-2042	3,399,393	23,896,607	27,296,000
2043-2047	<u>36,308,364</u>	<u>41,923,303</u>	<u>78,231,667</u>
	<u>\$ 45,105,385</u>	<u>\$ 113,786,282</u>	<u>\$ 158,891,667</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 6 - LONG-TERM LIABILITIES (Continued)

The annual payments required to amortize the 2010 GO Bond Series D, outstanding as of June 30, 2017, are as follows:

Year Ending June 30,	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ -	\$ 1,897,400	\$ 1,897,400
2019	-	1,897,400	1,897,400
2020	-	1,897,400	1,897,400
2021	-	1,897,400	1,897,400
2022	-	1,897,400	1,897,400
2023-2027	-	9,487,000	9,487,000
2028-2032	1,834,969	11,567,031	13,402,000
2033-2037	4,716,101	17,180,899	21,897,000
2038-2042	7,200,719	15,824,231	23,024,950
2043-2047	18,450,000	6,482,700	24,932,700
2048	<u>22,105,000</u>	<u>442,100</u>	<u>22,547,100</u>
	<u>\$ 54,306,789</u>	<u>\$ 70,470,961</u>	<u>\$ 124,777,750</u>

The annual payments required to amortize the 2015 Refunding General Obligation Bonds, outstanding as of June 30, 2017, are as follows:

Year Ending June 30,	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 610,000	\$ 433,400	\$ 1,043,400
2019	635,000	414,725	1,049,725
2020	655,000	392,100	1,047,100
2021	660,000	365,800	1,025,800
2022	685,000	345,750	1,030,750
2023-2027	5,285,000	1,265,106	6,550,106
2028-2031	<u>5,165,000</u>	<u>406,106</u>	<u>5,571,106</u>
	<u>\$ 13,695,000</u>	<u>\$ 3,622,987</u>	<u>\$ 17,317,987</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 6 - LONG-TERM LIABILITIES (Continued)

The annual payments required to amortize the 2010 Series E, Current Interest General Obligation Bonds payable, outstanding as of June 30, 2017, are as follows:

<u>Year Ending June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 500,000	\$ 1,846,944	\$ 2,346,944
2019	330,000	1,831,944	2,161,944
2020	1,065,000	1,825,344	2,890,344
2021	1,775,000	1,772,094	3,547,094
2022	1,380,000	1,683,344	3,063,344
2023-2027	-	8,071,719	8,071,719
2028-2032	-	8,071,719	8,071,719
2033-2037	6,360,000	7,654,838	14,014,838
2038-2042	12,630,000	6,060,188	18,690,188
2043-2046	<u>20,845,000</u>	<u>2,208,938</u>	<u>23,053,938</u>
	<u>\$ 44,885,000</u>	<u>\$ 41,027,072</u>	<u>\$ 85,912,072</u>

The annual payments required to amortize the 2010 Series E, Capital Appreciation General Obligation Bonds payable, outstanding as of June 30, 2017, are as follows:

<u>Year Ending June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2023-2027	\$ 2,070,526	\$ 844,474	\$ 2,915,000
2028-2032	<u>3,362,569</u>	<u>2,607,431</u>	<u>5,970,000</u>
	<u>\$ 5,433,095</u>	<u>\$ 3,451,905</u>	<u>\$ 8,885,000</u>

In October 2016, the District issued the 2016 Refunding General Obligation Bonds, Series A and Series B (Crossover Refunding) in the amount of \$60,480,000 and \$59,590,988, respectively. Proceeds from the Refunding Bonds will be applied for the purpose of advance refunding, on a crossover basis, certain maturities of the District's General Obligation Bonds, Election of 2010, Series B and General Obligation Bonds, Election of 2010, Series C.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 6 - LONG-TERM LIABILITIES (Continued)

The annual payments required to amortize the 2016 Refunding General Obligation Bonds, Series A, outstanding as of June 30, 2017, are as follows:

Year Ending June 30,	Principal	Interest	Total
2018	\$ -	\$ 2,475,850	\$ 2,475,850
2019	-	2,475,850	2,475,850
2020	-	2,475,850	2,475,850
2021	-	2,475,850	2,475,850
2022	-	2,475,850	2,475,850
2023-2027	-	12,379,250	12,379,250
2028-2032	5,665,000	12,105,625	17,770,625
2033-2037	21,175,000	9,015,900	30,190,900
2038-2041	<u>33,640,000</u>	<u>3,594,400</u>	<u>37,234,400</u>
	<u>\$ 60,480,000</u>	<u>\$ 49,474,425</u>	<u>\$ 109,954,425</u>

The annual payments required to amortize the 2016 Refunding General Obligation Bonds, Series B, outstanding as of June 30, 2017, are as follows:

Year Ending June 30,	Principal	Interest	Total
2018	\$ -	\$ 1,649,600	\$ 1,649,600
2019	-	1,649,600	1,649,600
2020	-	1,649,600	1,649,600
2021	-	1,649,600	1,649,600
2022	-	1,649,600	1,649,600
2023-2027	-	8,248,000	8,248,000
2028-2032	975,143	8,802,857	9,778,000
2033-2037	3,586,816	11,256,184	14,843,000
2038-2042	4,813,857	14,249,143	19,063,000
2043-2046	<u>50,215,172</u>	<u>19,817,828</u>	<u>70,033,000</u>
	<u>\$ 59,590,988</u>	<u>\$ 70,622,012</u>	<u>\$ 130,213,000</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 6 - LONG-TERM LIABILITIES (Continued)

The annual payments required to amortize the 2010 Election of 2010, Series F, outstanding as of June 30, 2017, are as follows:

<u>Year Ending June 30,</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2018	\$ 4,120,000	\$ 881,250	\$ 5,001,250
2019	-	840,050	840,050
2020	-	840,050	840,050
2021	-	840,050	840,050
2022	-	840,050	840,050
2023-2027	-	4,200,250	4,200,250
2028-2032	3,295,000	4,088,500	7,383,500
2033-2037	9,425,000	2,800,275	12,225,275
2038-2042	<u>13,170,000</u>	<u>1,058,250</u>	<u>14,228,250</u>
	<u>\$ 30,010,000</u>	<u>\$ 16,388,725</u>	<u>\$ 46,398,725</u>

PG&E Energy Savings Loans: The District signed a long-term agreement with Pacific Gas and Electric (PG&E) to install energy efficient light fixtures at various District sites. The following is a schedule of future payments for PG&E Energy Savings Loans:

<u>Year Ending June 30,</u>	<u>Annual Payments</u>
2018	\$ 96,933
2019	90,216
2020	90,216
2021	51,804
2022	<u>1,155</u>
Total payments remaining	<u>\$ 330,324</u>

Schedule of Changes in Long-Term Liabilities: A schedule of changes in long-term liabilities for the fiscal year ended June 30, 2017 is shown below:

<u>Governmental Activities</u>	<u>Balance July 1, 2016</u>	<u>Additions</u>	<u>Deletions</u>	<u>Balance June 30, 2017</u>	<u>Amounts Due Within One Year</u>
General Obligation Bond	\$ 482,376,915	\$ 150,080,988	\$ 22,345,295	\$ 610,112,608	\$ 23,319,675
Unamortized premiums	5,273,557	11,380,949	515,167	16,139,339	552,725
Accreted interest	30,474,668	9,599,569	-	40,074,237	10,672,108
PG&E energy savings loans	447,408	-	117,084	330,324	96,933
Other postemployment benefits (Note 10)	350,625,879	75,502,379	42,593,400	383,534,858	-
Net pension liability (Notes 8 and 9)	602,346,000	128,197,000	-	730,543,000	-
Compensated absences	<u>3,289,535</u>	<u>-</u>	<u>294,249</u>	<u>2,995,286</u>	<u>-</u>
Totals	<u>\$ 1,474,833,962</u>	<u>\$ 374,760,885</u>	<u>\$ 65,865,195</u>	<u>\$ 1,783,729,652</u>	<u>\$ 34,641,441</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 6 - LONG-TERM LIABILITIES (Continued)

Payments on the General Obligation Bonds are made from the Bond Interest Redemption Fund. Payments on the PG&E Energy Savings Loans are made from the General Fund. Payments on the compensated absences, other postemployment benefits and net pension liability are made from the fund for which the related employee worked.

NOTE 7 - FUND BALANCES

Fund balances, by category, at June 30, 2017 consisted of the following:

	General Fund	Building Fund	Bond Interest and Redemption Fund	All Non-Major Funds	Total
Nonspendable:					
Revolving cash fund	\$ 88,929	\$ -	\$ -	\$ -	\$ 88,929
Prepaid expenditures	368,475	-	-	1,630	370,105
Stores inventory	<u>1,418,428</u>	<u>-</u>	<u>-</u>	<u>736,207</u>	<u>2,154,635</u>
Subtotal nonspendable	<u>1,875,832</u>	<u>-</u>	<u>-</u>	<u>737,837</u>	<u>2,613,669</u>
Restricted:					
Unspent categorical revenues	7,928,575	-	-	-	7,928,575
Adult education	-	-	-	1,075,850	1,075,850
Cafeteria	-	-	-	15,786,979	15,786,979
Capital projects	-	64,312,959	-	24,106,205	88,419,164
Debt service	<u>-</u>	<u>-</u>	<u>159,659,824</u>	<u>-</u>	<u>159,659,824</u>
Subtotal restricted	<u>7,928,575</u>	<u>64,312,959</u>	<u>159,659,824</u>	<u>40,969,034</u>	<u>272,870,392</u>
Assigned:					
Textbooks	16,100,000	-	-	-	16,100,000
Facility Projects					
One-Time	12,919,474	-	-	-	12,919,474
Salary Negotiations	11,300,000	-	-	-	11,300,000
New CTE School	6,000,000	-	-	-	6,000,000
Design Science					
Facility Program	6,000,000	-	-	-	6,000,000
Technology One-Time Funds	5,122,506	-	-	-	5,122,506
Ongoing Routine					
Maintenance One-Time Funds	3,057,996	-	-	-	3,057,996
Professional Learning					
Carryover	1,439,450	-	-	-	1,439,450
Fresno High CTE	1,000,000	-	-	-	1,000,000
Other assignments	<u>1,249,039</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>1,249,039</u>
Subtotal assigned	<u>64,188,465</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>64,188,465</u>
Unassigned:					
Designated for economic uncertainty	<u>81,821,965</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>81,821,965</u>
Total fund balances	<u><u>\$155,814,837</u></u>	<u><u>\$ 64,312,959</u></u>	<u><u>\$159,659,824</u></u>	<u><u>\$ 41,706,871</u></u>	<u><u>\$421,494,491</u></u>

(Continued)

NOTE 8 – NET PENSION LIABILITY – STATE TEACHERS' RETIREMENT PLAN

General Information about the State Teachers' Retirement Plan

Plan Description: Teaching-certified employees of the District are provided with pensions through the State Teachers' Retirement Plan (STRP) – a cost-sharing multiple-employer defined benefit pension plan administered by the California State Teachers' Retirement System (CalSTRS). The Teachers' Retirement Law (California Education Code Section 22000 et seq.), as enacted and amended by the California Legislature, established this plan and CalSTRS as the administrator. The benefit terms of the plans may be amended through legislation. CalSTRS issues a publicly available financial report that can be obtained at <http://www.calstrs.com/comprehensive-annual-financial-report>.

Benefits Provided: The STRP Defined Benefit Program has two benefit formulas:

- CalSTRS 2% at 60: Members first hired on or before December 31, 2012, to perform service that could be creditable to CalSTRS.
- CalSTRS 2% at 62: Members first hired on or after January 1, 2013, to perform service that could be creditable to CalSTRS.

The Defined Benefit Program provides retirement benefits based on members' final compensation, age and years of service credit. In addition, the retirement program provides benefits to members upon disability and to survivors/beneficiaries upon the death of eligible members. There are several differences between the two benefit formulas which are noted below.

CalSTRS 2% at 60

CalSTRS 2% at 60 members are eligible for normal retirement at age 60, with a minimum of five years of credited service. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service. Early retirement options are available at age 55 with five years of credited service or as early as age 50 with 30 years of credited service. The age factor for retirements after age 60 increases with each quarter year of age to 2.4 percent at age 63 or older. Members who have 30 years or more of credited service receive an additional increase of up to 0.2 percent to the age factor, known as the career factor. The maximum benefit with the career factor is 2.4 percent of final compensation.

CalSTRS calculates retirement benefits based on a one-year final compensation for members who retired on or after January 1, 2001, with 25 or more years of credited service, or for classroom teachers with less than 25 years of credited service if the employer elected to pay the additional benefit cost prior to January 1, 2014. One-year final compensation means a member's highest average annual compensation earnable for 12 consecutive months calculated by taking the creditable compensation that a member could earn in a school year while employed on a fulltime basis, for a position in which the person worked. For members with less than 25 years of credited service, final compensation is the highest average annual compensation earnable for any three consecutive years of credited service.

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 8 – NET PENSION LIABILITY – STATE TEACHERS' RETIREMENT PLAN (Continued)

CalSTRS 2% at 62

CalSTRS 2% at 62 members are eligible for normal retirement at age 62, with a minimum of five years of credited service. The normal retirement benefit is equal to 2.0 percent of final compensation for each year of credited service. An early retirement option is available at age 55. The age factor for retirement after age 62 increases with each quarter year of age to 2.4 percent at age 65 or older.

All CalSTRS 2% at 62 members have their final compensation based on their highest average annual compensation earnable for three consecutive years of credited service.

Contributions: Required member, employer and state contribution rates are set by the California Legislature and Governor and detailed in Teachers' Retirement Law. Contribution rates are expressed as a level percentage of payroll using the entry age normal actuarial cost method.

A summary of statutory contribution rates and other sources of contributions to the Defined Benefit Program are as follows:

Members - Under CalSTRS 2% at 60, the member contribution rate was 10.25 percent of applicable member earnings for fiscal year 2016-2017. Under CalSTRS 2% at 62, members contribute 50 percent of the normal cost of their retirement plan, which resulted in a contribution rate of 9.205 percent of applicable member earnings for fiscal year 2016-2017.

In general, member contributions cannot increase unless members are provided with some type of "comparable advantage" in exchange for such increases. Under previous law, the Legislature could reduce or eliminate the 2 percent annual increase to retirement benefits. As a result of AB 1469, effective July 1, 2014, the Legislature cannot reduce the 2 percent annual benefit adjustment for members who retire on or after January 1, 2014, and in exchange for this "comparable advantage," the member contribution rates have been increased by an amount that covers a portion of the cost of the 2 percent annual benefit adjustment.

Effective July 1, 2014, with the passage of AB 1469, member contributions for those under the 2% at 60 benefit structure increase from 8.0 percent to a total of 10.25 percent of applicable member earnings, phased in over the next three years. For members under the 2% at 62 benefit structure, contributions will increase from 8.0 percent to 9.205 percent of applicable member earnings, again phased in over three years, if there is no change to normal cost.

Employers – 12.58 percent of applicable member earnings.

In accordance with AB 1469, employer contributions will increase from 8.25 percent to a total of 19.1 percent of applicable member earnings phased in over seven years starting in 2014. The legislation also gives the board limited authority to adjust employer contribution rates from July 1, 2021 through June 2046 in order to eliminate the remaining unfunded actuarial obligation related to service credited to members prior to July 1, 2014. The board cannot adjust the rate by more than 1 percent in a fiscal year, and the total contribution rate in addition to the 8.25 percent cannot exceed 12 percent.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 8 – NET PENSION LIABILITY – STATE TEACHERS' RETIREMENT PLAN (Continued)

The CalSTRS employer contribution rate increases effective for fiscal year 2016-2017 through fiscal year 2045-46 are summarized in the table below:

<u>Effective Date</u>	<u>Prior Rate</u>	<u>Increase</u>	<u>Total</u>
July 01, 2016	8.25%	4.33%	12.58%
July 01, 2017	8.25%	6.18%	14.43%
July 01, 2018	8.25%	8.03%	16.28%
July 01, 2019	8.25%	9.88%	18.13%
July 01, 2020	8.25%	10.85%	19.10%
July 01, 2046	8.25%	Increase from prior rate ceases in 2046-47	

The District contributed \$44,207,146 to the plan for the fiscal year ended June 30, 2017.

State - 8.828 percent of the members' creditable earnings from the fiscal year ending in the prior calendar year.

Also as a result of AB1469, the additional state appropriation required to fully fund the benefits in effect as of 1990 by 2046 is specific in subdivision (b) of Education Code Section 22955.1. The increased contributions end as of fiscal year 2046-2047. The CalSTRS state contribution rates effective for fiscal year 2016-17 and beyond are summarized in the table below.

As shown in the subsequent table, the state rate will increase to 4.811 percent on July 1, 2017, to continue paying down the unfunded liabilities associated with the benefits structure that was in place 1990 prior to certain enhancements in benefits and reductions in contributions.

<u>Effective Date</u>	<u>Base Rate</u>	<u>AB 1469 Increase For 1990 Benefit Structure</u>	<u>SBMA Funding</u>	<u>Total State Appropriation to DB Program</u>
July 01, 2016	2.017%	4.311%	2.50%	8.828%
July 01, 2017	2.017%	4.811%(2)	2.50%	9.328%
July 2018 to June 30, 2046	2.017%	(3)	2.50%	(3)
July 01, 2046 and thereafter	2.017%	(3)	2.50%	4.517%(3)

(1) This rate does not include \$72 million reduction with Education Code 22954

(2) During its April 2017 meeting, the board of CalSTRS exercised its limited authority to increase the state contribution rate by 0.5 percent of the payroll effective July 1, 2017.

(3) The CalSTRS board has limited authority to adjust state contribution rates from July 1, 2017, through June 30, 2046 in order to eliminate the remaining unfunded actuarial obligation associated with the 1990 benefit structure. The board cannot increase the rate by more than 0.50 percent in a fiscal year, and if there is no unfunded actuarial obligation, the contribution rate imposed to pay for the 1990 benefit structure would be reduced to 0 percent. Rates in effect prior to July 1, 2014, are reinstated if necessary to address any remaining 1990 unfunded actuarial obligation from July 1, 2046, and thereafter.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 8 – NET PENSION LIABILITY – STATE TEACHERS' RETIREMENT PLAN (Continued)

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2017, the District reported a liability for its proportionate share of the net pension liability that reflected a reduction for State pension support provided to the District. The amount recognized by the District as its proportionate share of the net pension liability, the related State support, and the total portion of the net pension liability that was associated with the District were as follows:

District's proportionate share of the net pension liability	\$ 549,121,000
State's proportionate share of the net pension liability associated with the District	<u>312,634,000</u>
Total	<u><u>\$ 861,755,000</u></u>

The net pension liability was measured as of June 30, 2017, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2015. The District's proportion of the net pension liability was based on the District's share of contributions to the pension plan relative to the contributions of all participating school districts and the State. At June 30, 2016, the District's proportion was 0.679 percent, which was a decrease of 0.017 percent from its proportion measured as of June 30, 2015.

For the year ended June 30, 2017, the District recognized pension expense of \$81,515,385 and revenue of \$27,263,669 for support provided by the State. At June 30, 2017, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>
Difference between expected and actual experience	\$ -	\$ 13,395,000
Changes of assumptions	-	-
Net differences between projected and actual earnings on investments	43,655,000	-
Changes in proportion and differences between District contributions and proportionate share of contributions	14,567,000	11,111,000
Contributions made subsequent to measurement date	<u>44,207,146</u>	<u>-</u>
Total	<u><u>\$ 102,429,146</u></u>	<u><u>\$ 24,506,000</u></u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 8 – NET PENSION LIABILITY – STATE TEACHERS' RETIREMENT PLAN (Continued)

\$44,207,146 reported as deferred outflows of resources related to pensions resulting from contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2018. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Years Ended June 30,	
2018	\$ (820,475)
2019	\$ (820,475)
2020	\$ 24,772,651
2021	\$ 14,991,567
2022	\$ (1,382,933)
2023	\$ (3,024,335)

Differences between expected and actual experience, changes in assumptions and changes in proportion and differences between District contributions and proportionate share of contributions are amortized over a closed period equal to the average remaining service life of plan members, which is 7 years as of the June 30, 2016 measurement date. Deferred outflows and inflows related to differences between projected and actual earnings on plan investments are netted and amortized over a closed 5-year period.

Actuarial Methods and Assumptions: The total pension liability for the STRP was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2015, and rolling forward the total pension liability to June 30, 2016. The financial reporting actuarial valuation as of June 30, 2015, used the following actuarial methods and assumptions, applied to all prior periods included in the measurement:

Valuation Date	June 30, 2015
Experience Study	July 1, 2006, through June 30, 2010
Actuarial Cost Method	Entry age normal
Investment Rate of Return	7.60%
Consumer Price Inflation	3.00%
Wage Growth	3.75%
Post-retirement Benefit Increases	2.00% simple for DB Not applicable for DBS/CBB

CalSTRS uses custom mortality tables to best fit the patterns of mortality among its members. These custom tables are based on RP2000 series tables adjusted to fit CalSTRS experience. RP2000 series tables are an industry standard set of mortality rates published by the Society of Actuaries. See CalSTRS July 1, 2006 – June 30, 2010 experience analysis and June 30, 2015 Actuarial Program Valuation for more information.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 8 – NET PENSION LIABILITY – STATE TEACHERS' RETIREMENT PLAN (Continued)

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. The best estimate ranges were developed using capital market assumptions from CalSTRS general investment consultant as an input to the process. The actuarial investment rate of return assumption was adopted by the board in 2012 in conjunction with the most recent experience study. For each future valuation, CalSTRS consulting actuary reviews the return assumption for reasonableness based on the most current capital market assumptions. Best estimates of 20-year geometric real rates of return and the assumed asset allocation for each major asset class used as input to develop the actuarial investment rate of return are summarized in the following table:

<u>Asset Class</u>	<u>Assumed Asset Allocation</u>	<u>Long-Term* Expected Real Rate of Return</u>
Global Equity	47%	6.30%
Private Equity	13	9.30
Real Estate	13	5.20
Inflation Sensitive	4	3.80
Fixed Income	12	0.30
Absolute Return / Risk Mitigating Strategies	9	2.90
Cash / Liquidity	2	(1.00)

* 20-year geometric average

Discount Rate: The discount rate used to measure the total pension liability was 7.60 percent. The projection of cash flows used to determine the discount rate assumed that contributions from plan members and employers will be made at statutory contribution rates in accordance with the rate increase per Assembly Bill 1469. Projected inflows from investment earnings were calculated using the long-term assumed investment rate of return (7.60 percent) and assuming that contributions, benefit payments, and administrative expense occur midyear. Based on those assumptions, the STRP's fiduciary net position was projected to be available to make all projected future benefit payments to current plan members. Therefore, the long-term assumed investment rate of return was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the District's Proportionate Share of the Net Pension Liability to Changes in the Discount Rate: The following presents the District's proportionate share of the net pension liability calculated using the discount rate of 7.60 percent, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.60 percent) or 1-percentage-point higher (8.60 percent) than the current rate:

	<u>1% Decrease (6.60%)</u>	<u>Current Discount Rate (7.60%)</u>	<u>1% Increase (8.60%)</u>
District's proportionate share of the net pension liability	<u>\$790,309,000</u>	<u>\$549,121,000</u>	<u>\$348,805,000</u>

Pension Plan Fiduciary Net Position: Detailed information about the pension plan's fiduciary net position is available in the separately issued CalSTRS financial report.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 9 – NET PENSION LIABILITY – PUBLIC EMPLOYER’S RETIREMENT FUND B

General Information about the Public Employer’s Retirement Fund B

Plan Description: The schools cost-sharing multiple-employer defined benefit pension plan Public Employer’s Retirement Fund B (PERF B) is administered by the California Public Employees’ Retirement System (CalPERS). Plan membership consists of non-teaching and non-certified employees of public schools (K-12), community college districts, offices of education, charter and private schools (elective) in the State of California.

The Plan was established to provide retirement, death and disability benefits to non-teaching and noncertified employees in schools. The benefit provisions for Plan employees are established by statute. CalPERS issues a publicly available financial report that can be obtained at <https://www.calpers.ca.gov/docs/forms-publications/cafr-2016.pdf>.

Benefits Provided: The benefits for the defined benefit plans are based on members’ years of service, age, final compensation, and benefit formula. Benefits are provided for disability, death, and survivors of eligible members or beneficiaries. Members become fully vested in their retirement benefits earned to date after five years (10 years for State Second Tier members) of credited service.

Contributions: The benefits for the defined benefit pension plans are funded by contributions from members and employers, and earnings from investments. Member and employer contributions are a percentage of applicable member compensation. Member contribution rates are defined by law and depend on the respective employer’s benefit formulas. Employer contribution rates are determined by periodic actuarial valuations or by state statute. Actuarial valuations are based on the benefit formulas and employee groups of each employer. Employer contributions, including lump sum contributions made when agencies first join the PERF, are credited with a market value adjustment in determining contribution rates.

The required contribution rates of most active plan members are based on a percentage of salary in excess of a base compensation amount ranging from zero dollars to \$863 monthly.

Required contribution rates for active plan members and employers as a percentage of payroll for the year ended June 30, 2017 were as follows:

Members - The member contribution rate was 6.0 or 7.0 percent of applicable member earnings for fiscal year 2016-2017.

Employers - The employer contribution rate was 13.888 percent of applicable member earnings.

The District contributed \$15,457,728 to the plan for the fiscal year ended June 30, 2017.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At June 30, 2017, the District reported a liability of \$181,422,000 for its proportionate share of the net pension liability. The net pension liability was measured as of June 30, 2016, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2015. The District’s proportion of the net pension liability was based on the District’s share of contributions to the pension plan relative to the contributions of all participating school districts. At June 30, 2016, the District’s proportion was 0.919 percent, which was an increase of 0.014 percent from its proportion measured as of June 30, 2015.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 9 – NET PENSION LIABILITY – PUBLIC EMPLOYER’S RETIREMENT FUND B (Continued)

For the year ended June 30, 2017, the District recognized pension expense of \$25,136,815. At June 30, 2017, the District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Difference between expected and actual experience	\$ 7,803,000	\$ -
Changes of assumptions	-	5,451,000
Net differences between projected and actual earnings on investments	28,151,000	-
Changes in proportion and differences between District contributions and proportionate share of contributions	4,063,000	-
Contributions made subsequent to measurement date	<u>15,457,728</u>	<u>-</u>
Total	<u><u>\$ 55,474,728</u></u>	<u><u>\$ 5,451,000</u></u>

\$15,457,728 reported as deferred outflows of resources related to pensions resulting from contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ended June 30, 2018. Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized in pension expense as follows:

Years Ended
June 30,

2018	\$ 6,684,267
2019	\$ 6,684,267
2020	\$ 13,850,266
2021	\$ 7,347,200

Differences between expected and actual experience, changes in assumptions and changes in proportion and differences between District contributions and proportionate share of contributions are amortized over a closed period equal to the average remaining service life of plan members, which is 4 years as of the June 30, 2015 measurement date. Deferred outflows and inflows related to differences between projected and actual earnings on plan investments are netted and amortized over a closed 5-year period.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 9 – NET PENSION LIABILITY – PUBLIC EMPLOYER’S RETIREMENT FUND B (Continued)

Actuarial Methods and Assumptions: The total pension liability for the Plan was determined by applying update procedures to a financial reporting actuarial valuation as of June 30, 2015, and rolling forward the total pension liability to June 30, 2015. The financial reporting actuarial valuation as of June 30, 2015, used the following actuarial methods and assumptions, applied to all prior periods included in the measurement:

Valuation Date	June 30, 2015
Experience Study	June 30, 1997, through June 30, 2011
Actuarial Cost Method	Entry age normal
Investment Rate of Return	7.65%
Consumer Price Inflation	2.75%
Wage Growth	Varies by entry age and service
Post-retirement Benefit Increases	Contract COLA up to 2.00% until Purchasing Power Protection Allowance Floor on Purchasing Power applies 2.75% thereafter

The mortality table used was developed based on CalPERS specific data. The table includes 20 years of mortality improvements using Society of Actuaries Scale BB. For more details on this table, please refer to the 2014 experience study report.

All other actuarial assumptions used in the June 30, 2015 valuation were based on the results of an actuarial experience study for the period from 1997 to 2011, including updates to salary increase, mortality and retirement rates. Further details of the Experience Study can be found at CalPERS’ website.

The table below reflects long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation.

<u>Asset Class</u>	<u>Long-Term* Assumed Asset Allocation</u>	<u>Expected Real Rate of Return</u>
Global Equity	51%	5.25%
Global Debt Securities	20	0.99
Inflation Assets	6	0.45
Private Equity	10	6.83
Real Estate	10	4.50
Infrastructure & Forestland	2	4.50
Liquidity	1	(0.55)

* 10-year geometric average

Discount Rate: The discount rate used to measure the total pension liability was 7.65 percent. A projection of the expected benefit payments and contributions was performed to determine if assets would run out. The test revealed the assets would not run out. Therefore the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability for the Plan. The results of the crossover testing for the Plan are presented in a detailed report that can be obtained at CalPERS’ website.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 9 – NET PENSION LIABILITY – PUBLIC EMPLOYER’S RETIREMENT FUND B (Continued)

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected cash flows of the Plan. Such cash flows were developed assuming that both members and employers will make their required contributions on time and as scheduled in all future years. Using historical returns of all the Plan’s asset classes, expected compound (geometric) returns were calculated over the short-term (first 10 years) and the long-term (11-60 years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and rounded down to the nearest one quarter of one percent.

Sensitivity of the District’s Proportionate Share of the Net Pension Liability to Changes in the Discount Rate: The following presents the District’s proportionate share of the net pension liability calculated using the discount rate of 7.65 percent, as well as what the District’s proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1-percentage-point lower (6.65 percent) or 1-percentage-point higher (8.65 percent) than the current rate:

	1% Decrease (6.65%)	Current Discount Rate (7.65%)	1% Increase (8.65%)
District’s proportionate share of the net pension liability	<u>\$ 270,683,000</u>	<u>\$ 181,422,000</u>	<u>\$ 107,095,000</u>

Pension Plan Fiduciary Net Position: Detailed information about the pension plan’s fiduciary net position is available in the separately issued CalPERS financial report.

NOTE 10 - OTHER POSTEMPLOYMENT BENEFITS

In addition to the pension benefits described in Notes 8 and 9, the District provides post employment health care benefits to all employees and their dependents who have served the District for 16 years under a single employer defined benefit OPEB plan. The plan does not issue separate financial statements. Health care benefits are provided to employees for life if their hire date was prior to July 1, 2005. All employees hired after July 1, 2005 will continue to receive health benefits after retirement if at least age 60 at retirement, and have served the District for 25 years. Benefits will be received up to the age of Medicare coverage.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 10 - OTHER POSTEMPLOYMENT BENEFITS (Continued)

The District established an irrevocable trust under the California Employer's Retiree Benefit Trust Program (CERBT) to prefund the costs of other postemployment benefits. The funds in the CERBT are held in trust and will be administered by the California Public Employees' Retirement System (CalPERS) as an agent multiple-employer plan. Benefit provisions are established and may be amended by District labor agreements which are approved by the Board of Education. The District's contributions to the irrevocable trust is included in the CERBT, which is included in the CalPERS CAFR. Copies of the CalPERS' CAFR may be obtained from the CalPERS Executive Office – 400 P Street – Sacramento, CA 95814.

The CERBT fund, which is an Internal Revenue Code (IRC) Section 115 Trust, is set up for the purpose of (i) receiving employer contributions to prefund health and other post-employment benefits for retirees and their beneficiaries, (ii) invest contributed amounts and income therein, and (iii) disburse contributed amounts and income therein, if any, to pay for costs of administration of the fund and to pay for health care costs or other post-employment benefits in accordance with the terms of the District's OPEB plan.

For the year ended June 30, 2017, the District's contribution to the CERBT investment trust fund totaled \$3,500,000. At June 30, 2017, the balance of the CERBT investment fund was \$36,358,826.

The District's annual other postemployment benefit (OPEB) cost (expense) is calculated based on the annual required contribution of the employer (ARC), an amount actuarially determined in accordance with the parameters of GASB Cod. Sec. P50.108-.109. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years. The following table shows the components of the District's annual OPEB cost for the year, the amount actually contributed to the plan, and changes in the District's net OPEB obligation:

Annual required contribution	\$ 72,682,659
Interest on net OPEB obligation	21,037,553
Adjustment to annual required contribution	<u>(18,217,833)</u>
Annual OPEB cost (expense)	75,502,379
Contributions made	<u>(42,593,400)</u>
Increase in net OPEB obligation	32,908,979
Net OPEB obligation - beginning of year	<u>350,625,879</u>
Net OPEB obligation - end of year	<u><u>\$ 383,534,858</u></u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 10 - OTHER POSTEMPLOYMENT BENEFITS (Continued)

The District's annual OPEB cost, the percentage of annual OPEB cost contributed to the plan, and the net OPEB obligation for the year ended June 30, 2017 and preceding two years were as follows (dollar amounts in thousands):

<u>Fiscal Year Ended</u>	<u>Annual OPEB Cost</u>	<u>Percentage of Annual OPEB Cost Contributed</u>	<u>Net OPEB Obligation</u>
June 30, 2015	\$ 67,918,805	53.9%	\$ 312,438,148
June 30, 2016	\$ 72,682,659	47.5%	\$ 350,625,879
June 30, 2017	\$ 75,502,379	56.4%	\$ 383,534,858

As of July 1, 2015, the most recent actuarial valuation date, the actuarial accrued liability for benefits was \$964.6 million, and the actuarial value of assets was \$26.2 million, resulting in an unfunded actuarial liability (UAAL) of \$938.4 million and a funded ratio of 2.7 percent. The covered payroll (annual payroll of active employees covered by the Plan) was \$426 million, and the ratio of the UAAL to the covered payroll was 220 percent. The OPEB plan is currently operated as a pay-as-you-go plan.

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and the healthcare cost trend. Amounts determined regarding the funded status of the plan and the annual required contributions of the employer are subject to continual revision as actual results are compared with past expectations and new estimates are made about the future. The schedule of funding progress, included in Required Supplementary Information following this section, presents multiyear trend information about whether the actuarial value of plan assets is increasing or decreasing over time relative to the actuarial accrued liabilities for benefits.

Projections of benefits for financial reporting purposes are based on the substantive plan (the plan as understood by the employer and the plan members) and include the types of benefits provided at the time of each valuation and the historical pattern of sharing of benefit costs between the employer and plan members to that point. The actuarial methods and assumptions used include techniques that are designed to reduce the effects of short-term volatility in actuarial accrued liabilities and the actuarial value of assets, consistent with the long-term perspective of the calculations.

In the July 1, 2015 actuarial valuation, the projected unit credit actuarial cost method was used. The actuarial assumptions included a 6.0 percent investment rate (net of administrative expenses), which is a blended rate of the expected long-term investment returns on plan assets and on the employer's own investments calculated based on the funded level of the plan on the valuation date, and an annual healthcare cost trend rate of 8.0 percent initially, reduced by decrements to an ultimate rate of 5.0 percent after 3 years. Both rates included a 3.0 percent inflation assumption. The actuarial value of assets was determined using techniques that spread the effects of short-term volatility in the market value of investments over a five-year period. The UAAL is being amortized as a level percentage of projected payroll on an open basis. The remaining amortization period at June 30, 2017, was 28 years.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 11 - JOINT POWERS AGREEMENT

The District is a member with other school districts of a Joint Powers Authority, Central Valley Support Services (CVSS), to provide support services to educational agencies in the Central Valley of California. CVSS is governed by a board consisting of one district representative selected by each member district's superintendent, one member of the operations staff of each member district and the Treasurer of CVSS. The CVSS Board controls the operations of CVSS, independent of any influence by the member districts beyond their representation on the Board. The following is a summary of financial information of CVSS as of June 30, 2016 (the most recent information available):

Total assets	\$ 82,396,086
Deferred outflows of resources	\$ 20,338,158
Total liabilities	\$ 101,973,164
Net position	\$ 761,080
Total revenues	\$ 4,749,307
Total expenses	\$ 4,306,424

The relationship between Fresno Unified School District and the Joint Powers Authority is such that it is not a component unit of the District for financial reporting purposes.

NOTE 12 - CONTINGENCIES

Contingent Liabilities: The District is subject to legal proceedings and claims which arise in the ordinary course of business. In the opinion of management, the amount of ultimate liability with respect to these actions will not materially affect the financial position or results of operations of the District.

Also, the District has received federal and state funds for specific purposes that are subject to review or audit by the grantor agencies. Although such audits could generate expenditure disallowances under terms of the grants, it is believed that any required reimbursements will not be material.

Construction Commitments: As of June 30, 2017, the District has \$8.4 million in outstanding commitments on construction contracts.

NOTE 13 - FINANCIAL RESPONSIBILITY

The District has maintained a balanced approach to addressing the reduced State funding over the past years and utilized the same approach for the new funding made available in 2012/13 with the passage of Proposition 30. This multi-year, balanced approach has enabled the district to maintain a positive financial position.

In 2005/06, lifetime health benefits were limited to reduce the post-retirement liability and the district formed the Joint Health Management Board (JHMB), consisting of district and labor partners with the primary objective of maintaining a positive reserve in the Health Fund while retaining affordable health care.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO FINANCIAL STATEMENTS
June 30, 2017

NOTE 13 - FINANCIAL RESPONSIBILITY (Continued)

The District continues to maintain a positive reserve in the current and future years as shown in the 2017/18 adopted budget and includes a conservative reserve to plan for the implementation of the Local Control Funding Formula. The District has maintained a positive financial position since 2006/07 as reflected by Moody's continued affirmation of the District's credit rating of Aa3 since 2010 during a time when other agencies have been lowered.

The District continues to monitor and budget for the current and future years to ensure financial stability and conservatively evaluate reserves to mitigate the effects of the prolonged state economic crisis.

REQUIRED SUPPLEMENTARY INFORMATION

FRESNO UNIFIED SCHOOL DISTRICT
GENERAL FUND
BUDGETARY COMPARISON SCHEDULE
For the Year Ended June 30, 2017

	<u>Budget</u>			<u>Over/ (Under) Budget</u>
	<u>Original</u>	<u>Final</u>	<u>Actual</u>	
Revenues:				
Local Control Funding Formula (LCFF):				
State apportionment	\$ 624,190,461	\$ 625,547,484	\$ 616,402,822	\$ (9,144,662)
Local sources	<u>49,335,389</u>	<u>49,335,389</u>	<u>61,358,140</u>	<u>12,022,751</u>
Total LCFF	<u>673,525,850</u>	<u>674,882,873</u>	<u>677,760,962</u>	<u>2,878,089</u>
Federal sources	81,967,282	90,091,274	74,761,024	(15,330,250)
Other state sources	113,291,270	120,319,874	107,179,798	(13,140,076)
Other local sources	<u>17,788,734</u>	<u>20,210,799</u>	<u>15,495,977</u>	<u>(4,714,822)</u>
Total revenues	<u>886,573,136</u>	<u>905,504,820</u>	<u>875,197,761</u>	<u>(30,307,059)</u>
Expenditures:				
Current:				
Certificated salaries	378,108,015	375,803,415	357,105,787	18,697,628
Classified salaries	110,080,976	113,965,587	113,871,995	93,592
Employee benefits	224,177,110	223,447,276	209,941,329	13,505,947
Books and supplies	54,844,380	59,033,215	44,244,868	14,788,347
Contract services and operating expenditures	106,657,937	100,701,496	83,805,622	16,895,874
Other outgo	12,353,717	12,807,175	4,519,116	8,288,059
Capital outlay	14,515,614	30,131,664	2,965,645	27,166,019
Debt service:				
Principal retirement	<u>-</u>	<u>-</u>	<u>117,084</u>	<u>(117,084)</u>
Total expenditures	<u>900,737,749</u>	<u>915,889,828</u>	<u>816,571,446</u>	<u>99,318,382</u>
(Deficiency) excess of revenues (under) over expenditures	<u>(14,164,613)</u>	<u>(10,385,008)</u>	<u>58,626,315</u>	<u>69,011,323</u>
Other financing sources (uses):				
Transfers in	5,569,739	5,821,029	3,816,892	(2,004,137)
Transfers out	<u>(6,326,409)</u>	<u>(5,956,499)</u>	<u>(2,539,730)</u>	<u>3,416,769</u>
Total other financing uses	<u>(756,670)</u>	<u>(135,470)</u>	<u>1,277,162</u>	<u>1,412,632</u>
Net change in fund balance	(14,921,283)	(10,520,478)	59,903,477	70,423,955
Fund balance, July 1, 2016	<u>95,911,360</u>	<u>95,911,360</u>	<u>95,911,360</u>	<u>-</u>
Fund balance, June 30, 2017	<u>\$ 80,990,077</u>	<u>\$ 85,390,882</u>	<u>\$ 155,814,837</u>	<u>\$ 70,423,955</u>

See accompanying notes to required supplementary information.

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF OTHER POSTEMPLOYMENT BENEFITS (OPEB)
FUNDING PROGRESS
For the Year Ended June 30, 2017

<u>Schedule of Funding Progress</u>						
<u>Actuarial Valuation Date</u>	<u>Actuarial Value of Assets</u>	<u>Actuarial Accrued Liability (AAL)</u>	<u>Unfunded Actuarial Accrued Liability (UAAL)</u>	<u>Funded Ratio</u>	<u>Covered Payroll</u>	<u>UAAL as a Percentage of Covered Payroll</u>
July 1, 2009	\$ -	\$ 981,000,000	\$ 981,000,000	0%	\$ 444,000,000	221%
July 1, 2012	\$ -	\$ 956,000,000	\$ 956,000,000	0%	\$ 377,000,000	254%
July 1, 2013	\$ -	\$ 820,000,000	\$ 820,000,000	0%	\$ 386,000,000	212%
July 1, 2015	\$ 26,247,632	\$ 964,604,739	\$ 938,357,107	2.72%	\$ 426,000,000	220%

See accompanying notes to required supplementary information.

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE
SHARE OF THE NET PENSION LIABILITY
For the Year Ended June 30, 2017

State Teachers' Retirement Plan
Last 10 Fiscal Years

	<u>2015</u>	<u>2016</u>	<u>2017</u>
District's proportion of the net pension liability	0.666%	0.696%	0.679%
District's proportionate share of the net pension liability	\$ 389,455,000	\$ 468,883,000	\$ 549,121,000
State's proportionate share of the net pension liability associated with the District	<u>235,171,000</u>	<u>247,987,000</u>	<u>312,634,000</u>
Total net pension liability	<u>\$ 624,626,000</u>	<u>\$ 716,870,000</u>	<u>\$ 861,755,000</u>
District's covered payroll	296,840,000	323,258,000	338,357,000
District's proportionate share of the net pension liability as a percentage of its covered payroll	131.20%	145.05%	162.29%
Plan fiduciary net position as a percentage of the total pension liability	76.52%	74.02%	70.04%

The amounts presented for each fiscal year were determined as of the year-end that occurred one year prior.

All years prior to 2015 are not available.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S PROPORTIONATE
SHARE OF THE NET PENSION LIABILITY
For the Year Ended June 30, 2017

Public Employer's Retirement Fund B
Last 10 Fiscal Years

	<u>2015</u>	<u>2016</u>	<u>2017</u>
District's proportion of the net pension liability	0.845%	0.905%	0.919%
District's proportionate share of the net pension liability	\$ 95,928,000	\$ 133,463,000	\$ 181,422,000
District's covered payroll	\$ 88,704,000	\$ 100,241,000	\$ 110,204,000
District's proportionate share of the net pension liability as a percentage of its covered payroll	108.14%	133.14%	164.62%
Plan fiduciary net position as a percentage of the total pension liability	83.38%	74.02%	73.89%

The amounts presented for each fiscal year were determined as of the year-end that occurred one year prior.

All years prior to 2015 are not available.

See accompanying notes to required supplementary information.

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S CONTRIBUTIONS
For the Year Ended June 30, 2017

State Teachers' Retirement Plan
Last 10 Fiscal Years

	<u>2015</u>	<u>2016</u>	<u>2017</u>
Contractually required contribution	\$ 28,705,329	\$ 36,305,716	\$ 44,207,146
Contributions in relation to the contractually required contribution	\$ 28,705,329	\$ 36,305,716	\$ 44,207,146
District's covered payroll	\$ 323,258,000	\$ 338,357,000	\$ 351,408,000
Contributions as a percentage of covered payroll	8.88%	10.73%	12.58%

All years prior to 2015 are not available.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF THE DISTRICT'S CONTRIBUTIONS
For the Year Ended June 30, 2017

Public Employer's Retirement Fund B
Last 10 Fiscal Years

	<u>2015</u>	<u>2016</u>	<u>2017</u>
Contractually required contribution	11,799,345	13,055,815	15,457,728
Contributions in relation to the contractually required contribution	\$ 11,799,345	\$ 13,055,815	\$ 15,457,728
District's covered payroll	\$ 100,241,000	\$ 110,204,000	\$ 111,303,000
Contributions as a percentage of covered payroll	11.77%	11.85%	13.89%

All years prior to 2015 are not available.

See accompanying notes to required supplementary information.

FRESNO UNIFIED SCHOOL DISTRICT
NOTE TO REQUIRED SUPPLEMENTARY INFORMATION
June 30, 2017

NOTE 1 - PURPOSE OF SCHEDULES

A - Budgetary Comparison Schedule

The District employs budget control by object codes and by individual appropriation accounts. Budgets are prepared on the modified accrual basis of accounting in accordance with accounting principles generally accepted in the United States of America as prescribed by the Governmental Accounting Standards Board. The budgets are revised during the year by the Board of Education to provide for revised priorities. Expenditures cannot legally exceed appropriations by major object code. The originally adopted and final revised budgets for the General Fund are presented as Required Supplementary Information. The basis of budgeting is the same as GAAP.

B - Schedule of Other Postemployment Benefits Funding Progress

The Schedule of Funding Progress presents multi-year trend information which compares, over time, the actuarially accrued liability for benefits with the actuarial value of accumulated plan assets.

C - Schedule of the District's Proportionate Share of the Net Pension Liability

The Schedule of the District's Proportionate Share of the Net Pension Liability is presented to illustrate the elements of the District's Net Pension Liability. There is a requirement to show information for 10 years. However, until a full 10-year trend is compiled, governments should present information for those years for which information is available.

D - Schedule of District Contributions

The Schedule of District Contributions is presented to illustrate the District's required contributions relating to the pensions. There is a requirement to show information for 10 years. However, until a full 10-year trend is compiled, governments should present information for those years for which information is available.

E - Changes of Benefit Terms

There are no changes in benefit terms reported in the Required Supplementary Information.

F - Changes of Assumptions

The discount rate for Public Employer's Retirement Fund B was 7.50, 7.65 and 7.65 percent in June 30, 2013, 2014 and 2015 actuarial reports, respectively. There were no changes in assumptions reported for the State Teachers' Retirement Plan.

SUPPLEMENTARY INFORMATION

FRESNO UNIFIED SCHOOL DISTRICT
COMBINING BALANCE SHEET
ALL NON-MAJOR FUNDS
June 30, 2017

	Adult Education Fund	Child Develop- ment Fund	Cafeteria Special Revenue Fund	Deferred Maintenance Fund	Capital Facilities Fund	County School Facilities Fund	Reserve for Capital Outlay Projects Fund	Tax Override Fund	Total
ASSETS									
Cash in County Treasury	\$ 794,697	\$ 688,626	\$ 9,690,251	\$ 215,244	\$ 1,754,025	\$ 16,787,815	\$ 4,962,142	\$ 8,309	\$ 34,901,109
Cash on hand and in banks	5,286	-	6,495,787	-	-	-	-	-	6,501,073
Cash collections awaiting deposit	-	-	-	-	12,601	-	-	-	12,601
Receivables	1,601,965	14,965	7,953,967	556	6,074	47,710	19,735	32	9,645,004
Prepaid expenditures	1,630	-	-	-	-	-	-	-	1,630
Due from other funds	308,222	1,756,532	-	188,070	-	3,913,139	338,097	-	6,504,060
Stores inventory	-	-	736,207	-	-	-	-	-	736,207
Total assets	<u>\$ 2,711,800</u>	<u>\$ 2,460,123</u>	<u>\$ 24,876,212</u>	<u>\$ 403,870</u>	<u>\$ 1,772,700</u>	<u>\$ 20,748,664</u>	<u>\$ 5,319,974</u>	<u>\$ 8,341</u>	<u>\$ 58,301,684</u>
LIABILITIES AND FUND BALANCES									
Liabilities:									
Accounts payable	\$ 146,718	\$ 260,951	\$ 2,194,931	\$ 403,870	\$ 451,243	\$ 3,253,115	\$ 6,849	\$ -	\$ 6,717,677
Unearned revenue	-	220,600	-	-	-	-	-	-	220,600
Due to other funds	<u>1,487,602</u>	<u>1,978,572</u>	<u>6,158,095</u>	<u>-</u>	<u>16,882</u>	<u>-</u>	<u>7,044</u>	<u>8,341</u>	<u>9,656,536</u>
Total liabilities	<u>1,634,320</u>	<u>2,460,123</u>	<u>8,353,026</u>	<u>403,870</u>	<u>468,125</u>	<u>3,253,115</u>	<u>13,893</u>	<u>8,341</u>	<u>16,594,813</u>
Fund balances:									
Nonspendable	1,630	-	736,207	-	-	-	-	-	737,837
Restricted	<u>1,075,850</u>	<u>-</u>	<u>15,786,979</u>	<u>-</u>	<u>1,304,575</u>	<u>17,495,549</u>	<u>5,306,081</u>	<u>-</u>	<u>40,969,034</u>
Total fund balances	<u>1,077,480</u>	<u>-</u>	<u>16,523,186</u>	<u>-</u>	<u>1,304,575</u>	<u>17,495,549</u>	<u>5,306,081</u>	<u>-</u>	<u>41,706,871</u>
Total liabilities and fund balances	<u>\$ 2,711,800</u>	<u>\$ 2,460,123</u>	<u>\$ 24,876,212</u>	<u>\$ 403,870</u>	<u>\$ 1,772,700</u>	<u>\$ 20,748,664</u>	<u>\$ 5,319,974</u>	<u>\$ 8,341</u>	<u>\$ 58,301,684</u>

FRESNO UNIFIED SCHOOL DISTRICT
COMBINING STATEMENT OF REVENUES, EXPENDITURES AND CHANGE IN FUND BALANCES
ALL NON-MAJOR FUNDS
For the Year Ended June 30, 2017

	Adult Education Fund	Child Develop- ment Fund	Cafeteria Special Revenue Fund	Deferred Maintenance Fund	Capital Facilities Fund	County School Facilities Fund	Reserve for Capital Outlay Projects Fund	Tax Override Fund	Total
Revenues:									
Federal sources	\$ 1,396,790	\$ 380,532	\$ 49,375,856	\$ -	\$ -	\$ -	\$ -	\$ -	\$ 51,153,178
Other state sources	5,472,576	12,601,377	3,399,086	-	-	-	-	-	21,473,039
Other local sources	<u>1,032,724</u>	<u>196,918</u>	<u>1,106,743</u>	<u>2,307</u>	<u>1,005,454</u>	<u>96,240</u>	<u>230,138</u>	<u>(471)</u>	<u>3,670,053</u>
Total revenues	<u>7,902,090</u>	<u>13,178,827</u>	<u>53,881,685</u>	<u>2,307</u>	<u>1,005,454</u>	<u>96,240</u>	<u>230,138</u>	<u>(471)</u>	<u>76,296,270</u>
Expenditures:									
Current:									
Certificated salaries	2,550,910	4,788,255	-	-	-	-	-	-	7,339,165
Classified salaries	1,418,774	3,367,326	12,195,395	-	28,721	408,144	317,346	-	17,735,706
Employee benefits	1,767,207	4,124,856	8,121,004	-	12,550	186,873	132,322	-	14,344,812
Books and supplies	788,143	109,188	23,058,042	48,662	77,513	3,474	-	-	24,085,022
Contract services and operating expenditures	925,377	371,950	3,049,148	2,492,904	1,165,834	2,933,426	14,050	-	10,952,689
Capital outlay	<u>17,708</u>	<u>-</u>	<u>141,112</u>	<u>-</u>	<u>-</u>	<u>33,847,260</u>	<u>-</u>	<u>-</u>	<u>34,006,080</u>
Total expenditures	<u>7,468,119</u>	<u>12,761,575</u>	<u>46,564,701</u>	<u>2,541,566</u>	<u>1,284,618</u>	<u>37,379,177</u>	<u>463,718</u>	<u>-</u>	<u>108,463,474</u>
Excess (deficiency) of revenues over (under) expenditures	<u>433,971</u>	<u>417,252</u>	<u>7,316,984</u>	<u>(2,539,259)</u>	<u>(279,164)</u>	<u>(37,282,937)</u>	<u>(233,580)</u>	<u>(471)</u>	<u>(32,167,204)</u>
Other financing sources (uses):									
Transfers in	-	-	-	2,539,259	-	44,070,512	189,842	471	46,800,084
Transfers out	<u>(171,272)</u>	<u>(417,252)</u>	<u>(1,570,434)</u>	<u>-</u>	<u>(29,463)</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>(2,188,421)</u>
Total other financing sources (uses)	<u>(171,272)</u>	<u>(417,252)</u>	<u>(1,570,434)</u>	<u>2,539,259</u>	<u>(29,463)</u>	<u>44,070,512</u>	<u>189,842</u>	<u>471</u>	<u>44,611,663</u>
Net change in fund balances	262,699	-	5,746,550	-	(308,627)	6,787,575	(43,738)	-	12,444,459
Fund balances, July 1, 2016	<u>814,781</u>	<u>-</u>	<u>10,776,636</u>	<u>-</u>	<u>1,613,202</u>	<u>10,707,974</u>	<u>5,349,819</u>	<u>-</u>	<u>29,262,412</u>
Fund balances, June 30, 2017	<u>\$ 1,077,480</u>	<u>\$ -</u>	<u>\$ 16,523,186</u>	<u>\$ -</u>	<u>\$ 1,304,575</u>	<u>\$ 17,495,549</u>	<u>\$ 5,306,081</u>	<u>\$ -</u>	<u>\$ 41,706,871</u>

FRESNO UNIFIED SCHOOL DISTRICT
COMBINING STATEMENT OF CHANGES IN ASSETS AND LIABILITIES
ALL AGENCY FUNDS
For the Year Ended June 30, 2017

	Balance July 1, 2016	Additions	Deductions	Balance June 30, 2017
<u>Elementary Schools</u>				
Assets:				
Cash and investments:				
Cash in County Treasury	\$ 464,658	\$ 1,008,009	\$ 1,064,673	\$ 407,994
Cash on hand and in banks	120,977	654,166	633,971	141,172
Stores inventory	<u>453</u>	<u>15,429</u>	<u>13,626</u>	<u>2,256</u>
Total assets	<u>\$ 586,088</u>	<u>\$ 1,677,604</u>	<u>\$ 1,712,270</u>	<u>\$ 551,422</u>
Liabilities:				
Due to student groups	<u>\$ 586,088</u>	<u>\$ 1,677,604</u>	<u>\$ 1,712,270</u>	<u>\$ 551,422</u>
<u>Middle Schools</u>				
Assets:				
Cash and investments:				
Cash in County Treasury	\$ -	\$ -	\$ -	\$ -
Cash on hand and in banks	293,192	918,478	870,808	340,862
Stores inventory	<u>13,472</u>	<u>116,781</u>	<u>118,730</u>	<u>11,523</u>
Total assets	<u>\$ 306,664</u>	<u>\$ 1,035,259</u>	<u>\$ 989,538</u>	<u>\$ 352,385</u>
Liabilities:				
Due to student groups	<u>\$ 306,664</u>	<u>\$ 1,035,259</u>	<u>\$ 989,538</u>	<u>\$ 352,385</u>
<u>Special Programs</u>				
Assets:				
Cash and investments:				
Cash in County Treasury	\$ -	\$ -	\$ -	\$ -
Cash on hand and in banks	8,923	100	633	8,390
Stores inventory	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total assets	<u>\$ 8,923</u>	<u>\$ 100</u>	<u>\$ 633</u>	<u>\$ 8,390</u>
Liabilities:				
Due to student groups	<u>\$ 8,923</u>	<u>\$ 100</u>	<u>\$ 633</u>	<u>\$ 8,390</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
 COMBINING STATEMENT OF CHANGES IN ASSETS AND LIABILITIES
 ALL AGENCY FUNDS
 For the Year Ended June 30, 2017

	Balance July 1, 2016	Additions	Deductions	Balance June 30, 2017
<u>High Schools</u>				
Assets:				
Cash and investments:				
Cash in County Treasury	\$ 20,816	\$ 3,306	\$ 15,263	\$ 8,859
Cash on hand and in banks	1,195,389	2,316,745	2,238,148	1,273,986
Stores inventory	<u>18,624</u>	<u>77,256</u>	<u>65,978</u>	<u>29,902</u>
Total assets	<u>\$ 1,234,829</u>	<u>\$ 2,397,307</u>	<u>\$ 2,319,389</u>	<u>\$ 1,312,747</u>
Liabilities:				
Due to student groups	<u>\$ 1,234,829</u>	<u>\$ 2,397,307</u>	<u>\$ 2,319,389</u>	<u>\$ 1,312,747</u>
<u>Total - All Agency Funds</u>				
Assets:				
Cash and investments:				
Cash in County Treasury	\$ 485,474	\$ 1,011,315	\$ 1,079,936	\$ 416,853
Cash on hand and in banks	1,618,481	3,889,489	3,743,560	1,764,410
Stores inventory	<u>32,549</u>	<u>209,466</u>	<u>198,334</u>	<u>43,681</u>
Total assets	<u>\$ 2,136,504</u>	<u>\$ 5,110,270</u>	<u>\$ 5,021,830</u>	<u>\$ 2,224,944</u>
Liabilities:				
Due to student groups	<u>\$ 2,136,504</u>	<u>\$ 5,110,270</u>	<u>\$ 5,021,830</u>	<u>\$ 2,224,944</u>

FRESNO UNIFIED SCHOOL DISTRICT
ORGANIZATION
June 30, 2017

Fresno Unified School District, a political subdivision of the State of California, was established on July 1, 1948. The District serves grades kindergarten through twelve and operates sixty-five elementary, fourteen middle, eight comprehensive high schools, five alternative schools, one independent study school, and two community day schools. All of the District's schools are located in Fresno County. The District is comprised of approximately 99 square miles. There were no changes to the District's boundaries during the current year.

The Board of Education at June 30, 2017 was comprised of the following members:

<u>Name</u>	<u>Office</u>	<u>Term Expires</u>
Brooke Ashjian	President	2018
Claudia Cazares	Clerk	2020
Valerie F. Davis	Member	2018
Christopher De La Cerda	Member	2018
Lindsay Cal Johnson	Member	2018
Elizabeth Jonasson Rosas	Member	2020
Carol Mills, J.D	Member	2020

The Superintendent's Executive Staff at June 30, 2017 was comprised of the following:

Robert G. Nelson
Interim Superintendent

Ruth F. Quinto
Deputy Superintendent /
Chief Financial Officer
Administrative Services

Katie Russell
Instructional Superintendent
School Leadership

Alex Belanger
Assistant Superintendent
Facilities Management & Planning

Kim Mecum
Chief Academic Officer
School Leadership

Ed Gomes
Instructional Superintendent
School Leadership

Brian Beck
Assistant Superintendent
Special Education & Health Svcs

Paul Idsvoog
Chief Executive
Human Resources/
Labor Relations

Misty Her
Instructional Superintendent
School Leadership

Holland Locker
Assistant Superintendent
School Operations

Jorge Aguilar
Chief of Equity and Access

Brian Wall
Instructional Superintendent
School Leadership

Maria Maldonado
Assistant Superintendent
English Learner Services

Karin Temple
Chief Operations Officer
Operational Services

Melissa Dutra
Instructional Superintendent
School Leadership

Jacquie Canfield
Executive Officer
Fiscal Services

Kurt Madden
Chief Technology Officer
Technology Services

David Chavez
Interim Chief of Staff

Kim Kelstrom
Director, Fiscal Services

Miguel Arias
Executive Director
Communications Office

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF AVERAGE DAILY ATTENDANCE
For the Year Ended June 30, 2017

	<u>Second Period Report</u>	<u>Revised Second Period Report</u>	<u>Annual Report</u>
Elementary:			
Transitional Kindergarten through Third	23,278	23,286	23,234
Fourth through Sixth	16,175	16,179	16,114
Seventh and Eighth	<u>10,035</u>	<u>10,037</u>	<u>9,975</u>
Subtotal Elementary	<u>49,488</u>	<u>49,502</u>	<u>49,323</u>
Secondary:			
Ninth through Twelfth	<u>17,226</u>	<u>17,234</u>	<u>16,971</u>
Subtotal Secondary	<u>17,226</u>	<u>17,234</u>	<u>16,971</u>
District Total	<u><u>66,714</u></u>	<u><u>66,736</u></u>	<u><u>66,294</u></u>

See accompanying notes to supplementary information.

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF INSTRUCTIONAL TIME
For the Year Ended June 30, 2017

<u>Grade Level</u>	Statutory 1986-87 Minutes Require- ment	2016-2017 Actual Minutes	Number of Days Traditional Calendar	<u>Status</u>
<u>District:</u>				
Kindergarten	36,000	47,290	180	In Compliance
Grade 1	50,400	55,340	180	In Compliance
Grade 2	50,400	55,340	180	In Compliance
Grade 3	50,400	55,340	180	In Compliance
Grade 4	54,000	55,340	180	In Compliance
Grade 5	54,000	55,340	180	In Compliance
Grade 6	54,000	55,353	180	In Compliance
Grade 7	54,000	60,713	180	In Compliance
Grade 8	54,000	60,713	180	In Compliance
Grade 9	64,800	64,800	180	In Compliance
Grade 10	64,800	64,800	180	In Compliance
Grade 11	64,800	64,800	180	In Compliance
Grade 12	64,800	64,800	180	In Compliance

See accompanying notes to supplementary information.

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF EXPENDITURE OF FEDERAL AWARDS
For the Year Ended June 30, 2017

<u>Federal Catalog Number</u>	<u>Federal Grantor/Pass-Through Grantor/Program or Cluster Title</u>	<u>Pass- Through Entity Identifying Number</u>	<u>Federal Expend- itures</u>
<u>U.S. Department of Education - Passed through California Department of Education</u>			
	NCLB: Title I Programs:		
84.010	NCLB: Title I, Part A Basic Grants, Low Income and Neglected	14329	\$ 43,895,661
84.010	NCLB: Title I, Part D, Local Delinquent Programs	14357	<u>101,780</u>
	Subtotal NCLB: Title I Programs		<u>43,997,441</u>
	Special Education Cluster:		
84.027	IDEA Basic Local Assistance Entitlement, Part B, Sec. 611 (Formerly 94-142)	13379	11,337,304
84.027	IDEA Local Assistance, Private School ISPs Part B, Sec. 611	10115	23,783
84.027	IDEA Preschool Local Entitlement, Part B, Sec. 611 (Age 3-5)	13682	968,390
84.173	IDEA Preschool Grants, Part B, Sec. 619 Age (3-5)	13430	335,860
84.173	Special Ed: Alternate Dispute Resolution, Part B, Sec. 611	23761	14,759
84.027A	IDEA Mental Health Allocation Plan, Part B, Sec. 611	14468	794,128
84.173A	IDEA Preschool Staff Development, Part B, Sec. 619	13431	<u>2,673</u>
	Subtotal Special Education Cluster		<u>13,476,897</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF EXPENDITURE OF FEDERAL AWARDS
For the Year Ended June 30, 2017

<u>Federal Catalog Number</u>	<u>Federal Grantor/Pass-Through Grantor/Program or Cluster Title</u>	<u>Pass- Through Entity Identifying Number</u>	<u>Federal Expend- itures</u>
<u>U.S. Department of Education - Passed through California Department of Education (Continued)</u>			
	Migrant Ed Programs:		
84.011	NCLB: Title I, Part C, Migrant Ed (Regular and Summer Program)	14326	\$ 344,899
	Title III Programs:		
84.365	NCLB: Title III, Limited English Proficient (LEP) Student Program	14346	1,478,971
84.365	NCLB: Title III, Immigrant Student Program	15146	<u>82,876</u>
	Subtotal Title III Programs		<u>1,561,847</u>
	Adult Education Programs:		
84.002A	Adult Education: Adult Basic Education & ESL	14508	415,287
84.002	Adult Education: Adult Secondary Education	13978	507,313
84.002A	Adult Education: English Literacy and Civics Education	14109	160,254
84.002	Adult Education: Citizenship and Integration Direct Services Grant Program	-	<u>63,095</u>
	Subtotal Adult Education Programs		<u>1,145,949</u>
	Carl D. Perkins Career and Tech Education Programs:		
84.048	Carl D. Perkins Career and Technical Education: Vocational and Applied Technology State Leadership, Section 124 (Vocational Education)	14894	1,082,456
84.048	Carl D. Perkins Career and Technical Education: Adult Section 132 (Vocational Education)	14893	<u>250,841</u>
	Subtotal Carl D. Perkins Career and Tech Education Programs		<u>1,333,297</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF EXPENDITURE OF FEDERAL AWARDS
For the Year Ended June 30, 2017

<u>Federal Catalog Number</u>	<u>Federal Grantor/Pass-Through Grantor/Program or Cluster Title</u>	<u>Pass- Through Entity Identifying Number</u>	<u>Federal Expend- itures</u>
<u>U.S. Department of Education - Passed through California Department of Education (Continued)</u>			
84.350	Teacher Quality Partnership Program	-	\$ 1,592,890
84.367	NCLB: Title II, Part A, Improving Teacher Quality Local Grants	14341	5,879,500
84.287	NCLB: Title IV, Part B, 21st Century Community Learning Centers Program	14349	752,425
84.060	Indian Education	10011	44,699
84.181	Special Ed: IDEA Early Intervention Grants, Part C	23761	95,874
84.411	New Teacher Induction Program	-	304,584
84.330	Advanced Placement Test Fee Reimbursement	-	<u>474,887</u>
Total U.S. Department of Education			<u>70,990,430</u>
<u>U.S. Department of Health and Human Services - Passed through California Department of Education</u>			
93.596	Child Development: Federal General and Preschool, Family Child Care Home (CCDF Cluster)	13609	380,532
93.778	Department of Health Services: Medi-Cal Billing Option (Medicaid Cluster)	10013	<u>2,315,991</u>
Total U.S. Department of Health and Human Services			<u>2,696,523</u>
<u>U.S. Department of Transportation - Passed through California Department of Education</u>			
20.205	Highway Planning and Construction - Highway Planning and Construction Cluster	-	<u>938,575</u>
Total U.S. Department of Transportation			<u>938,575</u>
<u>U.S. Department of Agriculture - Passed through California Department of Education</u>			
10.558	Child Nutrition: CACFP Claims, Centers and Family Day Care Homes	13529	2,751,975
10.555	Child Nutrition: School Programs (NSL Sec. 11)	13396	45,188,523
10.582	Child Nutrition: Fresh Fruit & Vegetable Program	14968	2,051,126
10.579	Child Nutrition: NSLP Equipment Assistance Program	14906	<u>96,520</u>
Total U.S. Department of Agriculture			<u>50,088,144</u>
Total Federal Programs			<u>\$ 124,728,431</u>

See accompanying notes to supplementary information.

FRESNO UNIFIED SCHOOL DISTRICT
RECONCILIATION OF UNAUDITED ACTUAL FINANCIAL REPORT
WITH AUDITED FINANCIAL STATEMENTS
For the Year Ended June 30, 2017

There were no adjustments proposed to any other funds of the District.

See accompanying notes to supplemental information.

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF FINANCIAL TRENDS AND ANALYSIS
For the Year Ended June 30, 2017
(UNAUDITED)

	(Adopted Budget) 2018	2017	2016	2015
<u>General Fund</u>				
Revenues and other financing sources	\$ 900,292,614	\$ 879,014,653	\$ 859,144,168	\$ 721,522,493
Expenditures	927,579,933	816,571,446	822,860,362	719,164,690
Other uses and transfers out	<u>4,856,409</u>	<u>2,539,730</u>	<u>6,142,082</u>	<u>7,088,033</u>
Total outgo	<u>932,436,342</u>	<u>819,111,176</u>	<u>829,002,444</u>	<u>726,252,723</u>
Change in fund balance	<u>\$ (32,143,728)</u>	<u>\$ 59,903,477</u>	<u>\$ 30,141,724</u>	<u>\$ (4,730,230)</u>
Ending fund balance	<u>\$ 123,671,109</u>	<u>\$ 155,814,837</u>	<u>\$ 95,911,360</u>	<u>\$ 65,769,636</u>
Available reserves	<u>\$ 99,240,079</u>	<u>\$ 81,821,965</u>	<u>\$ 57,707,610</u>	<u>\$ 49,597,181</u>
Designated for economic uncertainties	<u>\$ 99,240,079</u>	<u>\$ 81,821,965</u>	<u>\$ 57,707,610</u>	<u>\$ 49,597,181</u>
Undesignated fund balance	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>	<u>\$ -</u>
Available reserves as percentages of total outgo	<u>10.14%</u>	<u>9.99%</u>	<u>6.96%</u>	<u>6.83%</u>
<u>All Funds</u>				
Total long-term liabilities	<u>\$1,746,092,925</u>	<u>\$1,783,729,652</u>	<u>\$1,474,833,962</u>	<u>\$1,275,841,332</u>
Average daily attendance at P-2	<u>66,842</u>	<u>66,736</u>	<u>66,598</u>	<u>66,534</u>

The General Fund fund balance has increased by \$85,314,971 over the past three years. The fiscal year 2017-2018 budget projects a deficit of \$32,143,728. For a district this size, the State of California recommends available reserves of at least 2% of total General Fund expenditures, transfers out, and other uses be maintained. For the year ended June 30, 2017, the District has met this requirement.

The District has incurred operating surpluses in two of the past three years, and anticipates an operating deficit in fiscal year 2017-2018.

Total long-term liabilities have increased by \$507,888,320 over the past two years, as shown in Note 6 to the basic financial statements.

Average daily attendance has increased by 202 over the past two years. An increase of 106 ADA is projected for the 2017-2018 fiscal year.

See accompanying notes to supplementary information.

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF CHARTER SCHOOLS
For the Year Ended June 30, 2017

<u>Charter Schools Chartered by District</u>	<u>Charter #</u>	<u>Included in District Financial Statements, or Separate Report</u>
Morris Dailey Elementary Charter School	1172	Separate Report
Kepler Neighborhood School	1503	Separate Report
School of Unlimited Learning	0149	Separate Report
Carter G. Woodson Public Charter	0378	Separate Report
Valley Preparatory Academy	0662	Separate Report
Valley Arts and Science Academy	0792	Separate Report
University High School	0890	Separate Report
Sierra Charter School	0898	Separate Report
Aspen Public Charter School	1792	Separate Report

See accompanying notes to supplementary information.

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO SUPPLEMENTARY INFORMATION
For the Year Ended June 30, 2017

NOTE 1- PURPOSE OF SCHEDULES

A - Schedule of Average Daily Attendance

Average daily attendance is a measurement of the number of pupils attending classes of the District. The purpose of attendance accounting from a fiscal standpoint is to provide the basis on which apportionments of state funds are made to school districts. This schedule provides information regarding the attendance of students at various grade levels and in different programs.

B - Schedule of Instructional Time

The District has received incentive funding for increasing instructional time as provided by the Incentives for Longer Instructional Day. The District neither met nor exceeded its target funding. This schedule presents information on the amount of instructional time offered by the District, and whether the District complied with the provisions of Education Code Sections 46201 through 46206.

C - Schedule of Expenditure of Federal Awards

The Schedule of Expenditure of Federal Awards includes the federal award activity of Fresno Unified School District, and is presented on the accrual basis of accounting. The information in this schedule is presented in accordance with the requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards (Uniform Guidance)*. Expenditures are recognized following the cost principles contained in the Uniform Guidance, wherein certain types of expenditures are not allowable or are limited as to reimbursement. As a sub-recipient of the State of California the District is using the approved indirect cost rate provided by the California Department of Education rather than the 10-percent de minimis indirect cost rate as allowed under the Uniform Guidance.

The following schedule provides a reconciliation between revenues reported on the Statement of Revenues, Expenditures and Change in Fund Balances and the related expenditures reported on the Schedule of Expenditure of Federal Awards. The reconciling amounts represent Federal funds that have been recorded as revenues that have not been expended by June 30, 2017.

<u>Description</u>	<u>CFDA Number</u>	<u>Amount</u>
Total Federal revenues, Statement of Revenues, Expenditures and Change in Fund Balances		\$ 125,914,202
Add:		
Advanced Placement Test Fee expenditures in excess of funds received	84.330	206,991
Child Nutrition: School Programs expenditures in excess of funds received	10.555	1,741,830
Medi-Cal Billing Option expenditures in excess of funds received	93.778	1,140,041
Highway Planning and Construction expenditures in excess of funds received	20.205	810,933
Less:		
Special Ed: IDEA Basic Local Assistance Entitlement, Part B, Sec 611 funds received in excess of expenditures	84.027	(2,004,898)
Child Nutrition: CACFP Claims, Centers and Family Day Care Homes funds received in excess of expenditures	10.558	<u>(3,080,668)</u>
Total Schedule of Expenditure of Federal Awards		<u>\$ 124,728,431</u>

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
NOTES TO SUPPLEMENTARY INFORMATION

NOTE 1 - PURPOSE OF SCHEDULES (Continued)

D - Reconciliation of Unaudited Actual Financial Report with Audited Financial Statements

This schedule provides the information necessary to reconcile the fund balances of all funds and the total long-term liabilities as reported on the Unaudited Actual Financial Report to the audited financial statements.

E - Schedule of Financial Trends and Analysis - Unaudited

This schedule provides information on the District's financial condition over the past three years and its anticipated condition for the 2017-2018 fiscal year, as required by the State Controller's Office. The information in this schedule has been derived from audited information.

F - Schedule of Charter Schools

This schedule provides information for the California Department of Education to monitor financial reporting by Charter Schools.

NOTE 2 - EARLY RETIREMENT INCENTIVE PROGRAM

Education Code Section 14502 requires certain disclosure in the financial statements of districts which adopt Early Retirement Incentive Programs pursuant to Education Code Section 22714 and 44929. For the fiscal year ended June 30, 2017, the District did not adopt such a program.

INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE WITH STATE LAWS AND REGULATIONS

Audit Committee
 Fresno Unified School District
 Fresno, California

Report on Compliance with State Laws and Regulations

We have audited Fresno Unified School District's compliance with the types of compliance requirements described in the State of California's *2016-17 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* (the "Audit Guide") applicable to the state laws and regulations listed below for the year ended June 30, 2017.

<u>Description</u>	<u>Procedures Performed</u>
Attendance	Yes
Teacher Certification and Misassignments	Yes
Kindergarten Continuance	Yes
Independent Study	Yes
Continuation Education	Yes
Instructional Time	Yes
Instructional Materials	Yes
Ratio of Administrative Employees to Teachers	Yes
Classroom Teacher Salaries	Yes
Early Retirement Incentive	No, see below
Gann Limit Calculation	Yes
School Accountability Report Card	Yes
Juvenile Court Schools	No, see below
Middle or Early College High Schools	Yes
K-3 Grade Span Adjustment	Yes
Transportation Maintenance of Effort	Yes
Mental Health Related Services	Yes
Educator Effectiveness	Yes
California Clean Energy Jobs Act	Yes
After School Education and Safety Program:	
General requirements	Yes
After school	Yes
Before school	No, see below
Proper Expenditure of Education Protection Account Funds	Yes
Unduplicated Local Control Funding Formula Pupil Counts	Yes
Local Control and Accountability Plan	Yes
Independent Study – Course Based	No, see below
Immunizations	No, see below
Attendance, for charter schools	No, see below
Mode of Instruction, for charter schools	No, see below
Nonclassroom-Based Instruction/Independent Study, for charter schools	No, see below
Determination of Funding for Nonclassroom-Based Instruction, for charter schools	No, see below
Annual Instructional Minutes Classroom-Based, for charter schools	No, see below
Charter School Facility Grant Program	No, see below

(Continued)

We did not perform any procedures related to Early Retirement Incentive Program because the District did not offer this program in the current year.

We did not perform any procedures related to Juvenile Court Schools because the District did not operate this program.

We did not perform any procedures related to After School Education and Safety Program: Before School because the District did not offer a Before School program in the current year.

We did not perform any procedures related to Independent Study-Course Based because the District does not offer this program.

We did not perform any procedures related to Immunizations because the District does not have any schools (kindergarten and 7th Grade) that did not submit immunization assessment reports to the California Department of Public Health. In addition, the District did not have any schools that reported a conditional admission rate greater than 25 percent in kindergarten.

We did not perform any procedures related to Charter schools because the District did not include any charter schools in this report.

Management's Responsibility

Management is responsible for compliance with the requirements of state laws and regulations, as listed above.

Auditor's Responsibility

Our responsibility is to express an opinion on Fresno Unified School District's compliance with state laws and regulations as listed above based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in Government Auditing Standards, issued by the Comptroller General of the United States; and the *2016-17 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting* (Audit Guide). Those standards and the Audit Guide require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the compliance requirements referred to above that could have a material effect on Fresno Unified School District's compliance with the state laws and regulations listed above occurred. An audit includes examining, on a test basis, evidence about Fresno Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance with state laws and regulations. However, our audit does not provide a legal determination of Fresno Unified School District's compliance.

Opinion on Compliance with State Laws and Regulations

In our opinion, Fresno Unified School District complied, in all material respects, with the compliance requirements referred to above that are applicable to the state laws and regulations referred to above for the year ended June 30, 2017.

Purpose of this Report

The purpose of this report on compliance is solely to describe the scope of our testing of compliance and the results of that testing based on the requirements of the State of California *2016-17 Guide for Annual Audits of K-12 Local Education Agencies and State Compliance Reporting*. Accordingly, this report is not suitable for any other purpose.

A handwritten signature in black ink that reads "Crowe Horwath LLP". The signature is written in a cursive, flowing style.

Crowe Horwath LLP

Sacramento, California
November 30, 2017

INDEPENDENT AUDITOR'S REPORT ON INTERNAL CONTROL OVER FINANCIAL
REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN
AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH
GOVERNMENT AUDITING STANDARDS

Audit Committee
Fresno Unified School District
Fresno, California

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the governmental activities, each major fund, and the aggregate remaining fund information of Fresno Unified School District as of and for the year ended June 30, 2017, and the related notes to the financial statements, which collectively comprise Fresno Unified School District's basic financial statements, and have issued our report thereon dated November 30, 2017.

Internal Control Over Financial Reporting

In planning and performing our audit of the financial statements, we considered Fresno Unified School District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of Fresno Unified School District's internal control. Accordingly, we do not express an opinion on the effectiveness of Fresno Unified School District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified. We identified a deficiency in internal control that was communicated to management as identified in the accompanying Schedule of Audit Findings and Questioned Costs as Finding 2017-001.

(Continued)

Compliance and Other Matters

As part of obtaining reasonable assurance about whether Fresno Unified School District's financial statements are free of material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Fresno Unified School District's Response to Finding

Fresno Unified School District's response to the finding identified in our audit is described in the accompanying Schedule of Audit Findings and Questioned Costs. Fresno Unified School District's response was not subjected to the auditing procedures applied in the audit of the financial statements and, accordingly, we express no opinion on it.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.



Crowe Horwath LLP

Sacramento, California
November 30, 2017

INDEPENDENT AUDITOR'S REPORT ON COMPLIANCE
FOR EACH MAJOR FEDERAL PROGRAM AND REPORT
ON INTERNAL CONTROL OVER COMPLIANCE

Audit Committee
Fresno Unified School District
Fresno, California

Report on Compliance for Each Major Federal Program

We have audited Fresno Unified School District's compliance with the types of compliance requirements described in the *OMB Compliance Supplement* that could have a direct and material effect on each of Fresno Unified School District's major federal programs for the year ended June 30, 2017. Fresno Unified School District's major federal programs are identified in the summary of auditor's results section of the accompanying schedule of findings and questioned costs.

Management's Responsibility

Management is responsible for compliance with federal statutes, regulations, and the terms and conditions of its federal awards applicable to its federal programs.

Auditor's Responsibility

Our responsibility is to express an opinion on compliance for each of Fresno Unified School District's major federal programs based on our audit of the types of compliance requirements referred to above. We conducted our audit of compliance in accordance with auditing standards generally accepted in the United States of America; the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States; and the audit requirements of Title 2 U.S. Code of Federal Regulations Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards* (Uniform Guidance). Those standards and the Uniform Guidance require that we plan and perform the audit to obtain reasonable assurance about whether noncompliance with the types of compliance requirements referred to above that could have a direct and material effect on a major federal program occurred. An audit includes examining, on a test basis, evidence about Fresno Unified School District's compliance with those requirements and performing such other procedures as we considered necessary in the circumstances.

We believe that our audit provides a reasonable basis for our opinion on compliance for each major federal program. However, our audit does not provide a legal determination of Fresno Unified School District's compliance.

Opinion on Each Major Federal Program

In our opinion, Fresno Unified School District complied, in all material respects, with the types of compliance requirements referred to above that could have a direct and material effect on each of its major federal programs for the year ended June 30, 2017.

(Continued)

Report on Internal Control Over Compliance

Management of Fresno Unified School District is responsible for establishing and maintaining effective internal control over compliance with the types of compliance requirements referred to above. In planning and performing our audit of compliance, we considered Fresno Unified School District's internal control over compliance with the types of requirements that could have a direct and material effect on each major federal program to determine the auditing procedures that are appropriate in the circumstances for the purpose of expressing an opinion on compliance for each major federal program and to test and report on internal control over compliance in accordance with Uniform Guidance, but not for the purpose of expressing an opinion on the effectiveness of internal control over compliance. Accordingly, we do not express an opinion on the effectiveness of Fresno Unified School District's internal control over compliance.

A deficiency in internal control over compliance exists when the design or operation of a control over compliance does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, noncompliance with a type of compliance requirement of a federal program on a timely basis. A *material weakness in internal control over compliance* is a deficiency, or combination of deficiencies, in internal control over compliance, such that there is a reasonable possibility that material noncompliance with a type of compliance requirement of a federal program will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency in internal control over compliance* is a deficiency, or a combination of deficiencies, in internal control over compliance with a type of compliance requirement of a federal program that is less severe than a material weakness in internal control over compliance, yet important enough to merit attention by those charged with governance.

Our consideration of internal control over compliance was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control over compliance that might be material weaknesses or significant deficiencies. We did not identify any deficiencies in internal control over compliance that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

The purpose of this report on internal control over compliance is solely to describe the scope of our testing of internal control over compliance and the results of that testing based on the requirements of Uniform Guidance. Accordingly, this report is not suitable for any other purpose.



Crowe Horwath LLP

Sacramento, California
November 30, 2017

FINDINGS AND RECOMMENDATIONS

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF AUDIT FINDINGS AND QUESTIONED COSTS
Year Ended June 30, 2017

SECTION I - SUMMARY OF AUDITOR'S RESULTS

FINANCIAL STATEMENTS

Type of auditor's report issued: Unmodified

Internal control over financial reporting:

Material weakness(es) identified?	<u> </u> Yes	<u> X </u> No
Significant deficiency(ies) identified not considered to be material weakness(es)?	<u> </u> Yes	<u> X </u> None reported

Noncompliance material to financial statements noted?

	<u> </u> Yes	<u> X </u> No
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FEDERAL AWARDS

Internal control over major programs:

Material weakness(es) identified?	<u> </u> Yes	<u> X </u> No
Significant deficiency(ies) identified not considered to be material weakness(es)?	<u> </u> Yes	<u> X </u> None reported

Type of auditor's report issued on compliance for major programs: Unmodified

Any audit findings disclosed that are required to be reported in accordance with 2 CFR 200.516(a)?

	<u> </u> Yes	<u> X </u> No
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Identification of major programs:

<u>CFDA Number(s)</u>	<u>Name of Federal Program or Cluster</u>
84.010	Title I Program
84.027, 84.027A, 84.173	
84.173A	Special Education Cluster

Dollar threshold used to distinguish between Type A and Type B programs: \$ 3,000,000

Auditee qualified as low-risk auditee? X Yes No

STATE AWARDS

Type of auditor's report issued on compliance for state programs: Unmodified

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF AUDIT FINDINGS AND QUESTIONED COSTS
Year Ended June 30, 2017

SECTION II - FINANCIAL STATEMENT FINDINGS

2017-001 DEFICIENCY - INTERNAL CONTROL - ASSOCIATED STUDENT BODY (30000)

Criteria

Education Code Section 48930 (and California Department of Education's "Accounting Procedures for Student Organizations Handbook") requires student body organizations to follow the regulations set by the Governing Board of the school district.

Condition

At one of the sites selected for visitation, we noted no evidence of approval for school fundraisers.

Effect

ASB funds could potentially be misappropriated.

Cause

Adequate internal control procedures have not been implemented and enforced.

Fiscal Impact

Not determinable.

Recommendation

School fundraisers should be properly approved before occurring.

Corrective Action Plan

The District provides training and on-site visits on the Associated Student Body Handbook, which outlines the issues noted by the auditor's recommendations, some at a greater level than what has been suggested. The District will provide additional training focused on procedures for formal approval of fundraisers.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF AUDIT FINDINGS AND QUESTIONED COSTS
Year Ended June 30, 2017

SECTION III - FEDERAL AWARD FINDINGS AND QUESTIONED COSTS

No matters were reported.

(Continued)

FRESNO UNIFIED SCHOOL DISTRICT
SCHEDULE OF AUDIT FINDINGS AND QUESTIONED COSTS
Year Ended June 30, 2017

SECTION IV - STATE AWARD FINDINGS AND QUESTIONED COSTS

No matters were reported.

STATUS OF PRIOR YEAR
FINDINGS AND RECOMMENDATIONS

FRESNO UNIFIED SCHOOL DISTRICT
STATUS OF PRIOR YEAR FINDINGS AND RECOMMENDATIONS
Year Ended June 30, 2017

<u>Finding/Recommendation</u>	<u>Current Status</u>	<u>District Explanation If Not Implemented</u>
2016-001 <u>Condition at various school sites:</u> • Sub-receipts are not issued for initial receipt of cash by student body clubs. • There is lack of evidence of dual counts of cash when funds are received by the ASB clerk/secretary. <u>Recommendation:</u> • Sub-receipts should be issued for initial receipt of cash by student body clubs. • Evidence of dual count of cash upon receipt should be maintained.	Implemented.	
2016-002 <u>Condition at JE Young Independent School:</u> For one student two extra days were claimed for apportionment for which the student's work did not support. <u>Recommendation:</u> The District should verify that all days used in determining independent study ADA is adequately supported by student work.	Implemented.	
2016-003 <u>Condition:</u> One pupil was incorrectly classified as English Learner (EL). <u>Recommendation:</u> The District should have procedures in place to verify that the records maintained by the District matches what is reported in CalPADS.	Implemented.	

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APPENDIX B

GENERAL AND FINANCIAL INFORMATION ABOUT THE DISTRICT

The information in this and other sections concerning the District's operations and operating budget is provided as supplementary information only, and it should not be inferred from the inclusion of this information in this Official Statement that the principal and Accreted Value of or interest on the Series A Bonds is payable from the general fund of the District. The Series A Bonds are payable solely from the proceeds of an ad valorem property tax required to be levied by the County on taxable property within the District in an amount sufficient for the payment thereof. See "SECURITY FOR THE SERIES A BONDS" in the front portion of this Official Statement.

GENERAL DISTRICT INFORMATION

General Information

The Fresno City School District was formed as an elementary school district on February 6, 1873. Its first school was built in 1875. The Fresno Unified School District became operative as a unified school district on July 1, 1948, following annexation of the Calwa School District to the Fresno City School District, and their consolidation with the Fresno High School District. Since 1947, the District has annexed all or parts of eight other school districts. The District presently serves students from portions of the cities of Clovis and Fresno, California, and from some unincorporated areas of Fresno County. The District's boundary is roughly defined by W. Herndon Avenue on the north, N. Clovis Avenue on the east, E. North Avenue on the south, and N. Brawley Avenue and S. Cornelia Avenue on the west. With 104 schools and approximately 74,000 students (inclusive of students in the District's preschool program) enrolled in fiscal year 2017-18, the District is the fourth-largest public school district in California as measured by enrollment.

Administration

Board of Education. The District is governed by a seven-member Board of Education, with each member elected to a four-year term. Elections for positions on the Board of Education are held every two years, alternating between three and four available positions. Current members of the Board of Education, together with their office and the date their term expires, are listed below:

<u>Name</u>	<u>Office</u>	<u>Term Expires</u>
Elizabeth Jonasson Rosas	President	December 2020
Valerie F. Davis	Clerk	December 2018
Brooke Ashjian	Member	December 2018
Claudia Cazares	Member	December 2020
Christopher De La Cerda	Member	December 2018
Lindsay Cal Johnson	Member	December 2018
Carol Mills, J.D.	Member	December 2020

FPPC Investigation. The Fair Political Practices Commission (the "FPPC") has made public that it is investigating Trustee Brooke Ashjian for possible violations of the Political Reform Act (the "Act"). Enforcement actions for violations of the Act can be pursued in

administrative, civil or criminal proceedings. The investigation relates to potential violations of the Act relating to financial conflicts arising from interests in Board-approved contracts. The District does not believe that the investigation and any subsequent actions, if pursued, have had or will have any material adverse affect on the District's financial condition or its ability to levy and collect taxes for repayment of the Series A Bonds.

Administration. The day-to-day operations are managed by a Board-appointed Superintendent of Schools. Below is recent employment and educational information for both the Superintendent and the Deputy Superintendent/CFO, Administrative Services.

Superintendent: Robert G. Nelson. Mr. Nelson was appointed Superintendent of Fresno Unified School District in September 2017. Mr. Nelson has worked 23 years for the District serving in various roles including teacher, Vice Principal, Principal, Human Resources Administrator and Chief of Staff, making him the first internal employee to serve as superintendent in nearly 30 years. Prior to returning to the District two years ago to serve as Chief of Staff, Mr. Nelson served as the Chawanakee Unified School District Superintendent in Eastern Madera County. Mr. Nelson graduated from the University of Southern California, completed his Masters in Educational Administration and Supervision at California State University, Fresno and is currently finishing his doctoral degree at the University of Southern California.

Deputy Superintendent/CFO, Administrative Services: Ruth F. Quinto. Ms. Quinto joined the District as Associate Superintendent/CFO, Administrative Services in July 2005 and was appointed Deputy Superintendent in September 2009. Ms. Quinto had an auditing career in public accounting for eight years, working for a national CPA firm in Southern California. Before joining the District in 2005, Ms. Quinto served as City Controller for the City of Fresno for four years, and as the Assistant Treasurer and City Controller for the City of Moreno Valley, California also for four years. She received a Bachelor of Science Degree from California State University, Fresno in Business Administration with emphasis in Accounting. She obtained her CPA license from the California State Board of Accountancy in 1994.

Recent Enrollment Trends

The following table shows enrollment history (excluding charter schools) for the District for 2005-06 to 2017-18, with projected figures for 2018-19 and 2019-20.

FRESNO UNIFIED SCHOOL DISTRICT
Annual Enrollment
Fiscal Years 2005-06 through 2019-20 (Projected)

<u>School Year</u>	<u>Enrollment</u>	<u>% Change</u>
2005-06	79,046	--
2006-07	77,555	(1.9) %
2007-08	76,460	(1.4)
2008-09	76,621	0.2
2009-10	75,468	(1.5)
2010-11	74,831	(0.8)
2011-12	74,235	(0.8)
2012-13	73,689	(0.7)
2013-14	73,353	(0.5)
2014-15	73,543	0.3
2015-16	73,460	(0.1)
2016-17	73,356	(0.1)
2017-18	73,916	0.8
2018-19 ⁽¹⁾	73,816	(0.1)
2019-20 ⁽¹⁾	73,816	0.0

(1) Projected.

Source: California Department of Education; Fresno Unified School District for 2017-18 and after.

Employee Relations

The District has 3,829 full-time equivalent (“FTE”) certificated (non-management) positions, FTE 2,653 classified (non-management) positions and 704 FTE management, supervisor and confidential positions. These employees, except management and some part-time employees, are represented by the bargaining units summarized below.

FRESNO UNIFIED SCHOOL DISTRICT
Summary of Labor Organizations

<u>Labor Organization</u>	<u>Contract Expiration</u>
Fresno Teachers Association	6/30/2019
California School Employees Association-125	6/30/2019
California School Employee Association-143	6/30/2019
Service Employees International Union	6/30/2019
Trades	6/30/2019
Fresno Area School Teachers Association	6/30/2019
International Association of Machinist & Aerospace Workers	6/30/2019

Source: Fresno Unified School District.

Insurance

The District has established a self-insurance fund to account for the risk of loss for property and liability, workers' compensation, and employee health benefits. For the year ended June 30, 2017, the District was self-insured up to \$2,000,000 for each workers'

compensation claim and \$350,000 for each liability and property claim. The District purchased commercial excess insurance for claims above the self-insured retention.

The property and liability claims liability of \$1,323,166 is based on an actuarial projected estimate at June 30, 2017, discounted at 0.5%. The workers' compensation claims liability of \$36,150,333 is based on an actuarial projected estimate at June 30, 2017, discounted at 1.5%. The health claims liability of \$18,792,876 is based on an actuarial projected estimate at June 30, 2017, discounted at 3.0% - 6.0%. The liability for all programs include a component for unallocated loss adjustment expenses. Settled claims resulting from these risks have not exceeded insurance coverage in any of the past three fiscal years. Changes in the claims liability for the years ended June 30, 2017 and 2016 were as follows:

	Property and Liability	Workers' Compensation	Health	Total
Claims liability at 6/30/2015	\$869,754	\$36,443,705	\$16,885,055	\$54,198,514
Incurring Claims	3,406,821	8,735,206	136,056,794	148,198,821
Paid Claims	<u>(3,363,333)</u>	<u>(7,514,104)</u>	<u>(135,136,696)</u>	<u>(146,014,133)</u>
Claims liability at 6/30/2016	913,242	37,664,807	17,805,153	56,383,202
Incurring Claims	3,724,793	3,113,715	146,221,395	153,059,903
Paid Claims	<u>(3,314,869)</u>	<u>(4,628,189)</u>	<u>(145,233,672)</u>	<u>(153,176,730)</u>
Claims liability at 6/30/2017	\$1,323,166	\$36,150,333	\$18,792,876	\$56,266,375

Source: Fresno Unified School District Audit Report for fiscal year 2016-17.

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DISTRICT FINANCIAL INFORMATION

Education Funding Generally

School districts in California (the “**State**”) receive operating income primarily from two sources: the State funded portion which is derived from the State’s general fund, and a locally funded portion, being the district’s share of the one percent general *ad valorem* tax levy authorized by the California Constitution. As a result, decreases or deferrals in education funding by the State could significantly affect a school district’s revenues and operations.

From 1973-74 to 2012-13, California school districts operated under general purpose revenue limits established by the State Legislature. In general, revenue limits were calculated for each school district by multiplying (1) the average daily attendance (“**ADA**”) for such district by (2) a base revenue limit per unit of ADA. The revenue limit calculations were adjusted annually in accordance with a number of factors designated primarily to provide cost of living increases and to equalize revenues among all California school districts of the same type. Funding of the District’s revenue limit was provided by a mix of local property taxes and State apportionments of basic and equalization aid. Generally, the State apportionments amounted to the difference between the District’s revenue limit and its local property tax revenues.

The fiscal year 2013-14 State budget package replaced the previous K-12 finance system with a new formula known as the Local Control Funding Formula (the “**LCFF**”). Under the LCFF, revenue limits and most state categorical programs were eliminated. School districts instead receive funding based on the demographic profile of the students they serve and gain greater flexibility to use these funds to improve outcomes of students. The LCFF creates funding targets based on student characteristics. For school districts and charter schools, the LCFF funding targets consist of grade span-specific base grants plus supplemental and concentration grants that reflect student demographic factors. The LCFF includes the following components:

- A base grant for each local education agency per unit of ADA, which varies with respect to different grade spans. The base grant is \$2,375 more than the average revenue limit provided prior to LCFF implementation. The base grants will be adjusted upward each year to reflect cost-of-living increases. In addition, grades K-3 and 9-12 are subject to adjustments of 10.4% and 2.6%, respectively, to cover the costs of class size reduction in grades K-3 and the provision of career technical education in grades 9-12.
- A 20% supplemental grant for English learners, students from low-income families and foster youth to reflect increased costs associated with educating those students.
- An additional concentration grant of up to 50% of a local education agency’s base grant, based on the number of English learners, students from low-income families and foster youth served by the local agency that comprise more than 55% of enrollment.
- An economic recovery target to ensure that almost every local education agency receives at least their pre-recession funding level, adjusted for inflation, at full implementation of the LCFF.

The LCFF was implemented for fiscal year 2013-14 and is being phased in gradually. Beginning in fiscal year 2013-14, an annual transition adjustment was required to be calculated for each school district, equal to each district's proportionate share of the appropriations included in the State budget (based on the percentage of each district's students who are low-income, English learners, and foster youth ("**Targeted Students**")), to close the gap between the prior-year funding level and the target allocation at full implementation of LCFF. In each year, districts will have the same proportion of their respective funding gaps closed, with dollar amounts varying depending on the size of a district's funding gap.

Funding levels used in the LCFF "Target Entitlement" calculations for fiscal year 2017-18 are set forth in the following table. Most school districts and charter schools will receive less than the LCFF Target because LCFF is being phased in. Until the LCFF is fully implemented (currently expected in fiscal year 2018-19), districts will receive an entitlement known as the LCFF Transition Entitlement.

**Fiscal Year 2017-18 Base Grant* Under LCFF by Grade Span
(Targeted Entitlement)**

Grade Span	2016-17 Base Grant Per ADA	2017-18 COLA (1.56%)	Grade Span Adjustments (K-3: 10.4%; 9-12: 2.6%)	2017-18 Base Grant/Adjusted Base Grant Per ADA
K-3	\$7,083	\$110	\$748	\$7,941
4-6	\$7,189	\$112	n/a	7,301
7-8	\$7,403	\$115	n/a	7,518
9-12	\$8,578	\$134	\$227	8,939

*Does not include supplemental and concentration grant funding entitlements.
Source: California Department of Education.

The LCFF included a "hold harmless" provision which provided that a district or charter school would maintain total revenue limit and categorical funding at least equal to its 2012-13 level, unadjusted for changes in ADA or cost of living adjustments.

The LCFF includes an accountability component. Districts are required to increase or improve services for English language learners, low income, and foster youth students in proportion to supplemental and concentration grant funding received. All school districts, county offices of education, and charter schools are required to develop and adopt local control and accountability plans, which identify local goals in areas that are priorities for the State, including pupil achievement, parent engagement, and school climate.

Superintendents of education of the applicable County Office of Education review and provide support to the districts under their jurisdiction, and the Superintendent of Public Instruction performs a corresponding role for county offices of education. In addition, the 2013-14 Budget created the California Collaborative for Education Excellence to advise and assist school districts, county offices of education, and charter schools in achieving the goals identified in their plans. Under the LCFF and related legislation, the State will continue to measure student achievement through statewide assessments, produce an Academic Performance Index for schools and subgroups of students, determine the contents of the school accountability report card, and establish policies to implement the federal accountability system.

District Accounting Practices

The accounting practices of the District conform to generally accepted accounting principles in accordance with policies and procedures of the California School Accounting Manual. This manual, according to Section 41010 of the California Education Code, is to be followed by all California school districts.

District accounting is organized on the basis of fund groups, with each group consisting of a separate set of self-balancing accounts containing assets, liabilities, fund balances, revenues and expenditures. The major fund classification is the general fund which accounts for all financial resources not requiring a special fund placement. The District's fiscal year begins on July 1 and ends on June 30.

District expenditures are accrued at the end of the fiscal year to reflect the receipt of goods and services in that year. Revenues generally are recorded on a cash basis, except for items that are susceptible to accrual (measurable and/or available to finance operations). Current taxes are considered susceptible to accrual. Revenues from specific state and federally funded projects are recognized when qualified expenditures have been incurred. State block grant apportionments are accrued to the extent that they are measurable and predictable. The State Department of Education sends the District updated information from time to time explaining the acceptable accounting treatment of revenue and expenditure categories.

The Governmental Accounting Standards Board ("**GASB**") published its Statement No. 34 "Basic Financial Statements – and Management's Discussion and Analysis – for State and Local Governments" on June 30, 1999. Statement No. 34 provides guidelines to auditors, state and local governments and special purpose governments such as school districts and public utilities, on new requirements for financial reporting for all governmental agencies in the United States. Generally, the basic financial statements and required supplementary information should include (i) Management's Discussion and Analysis; (ii) financial statements prepared using the economic measurement focus and the accrual basis of accounting, (iii) fund financial statements prepared using the current financial resources measurement focus and the modified accrual method of accounting and (iv) required supplementary information.

Financial Statements

General. The District's general fund finances the legally authorized activities of the District for which restricted funds are not provided. General fund revenues are derived from such sources as State school fund apportionments, taxes, use of money and property, and aid from other governmental agencies. The District's Audited Financial Statements for the fiscal year ending fiscal year 2016-17 were approved by the District Board on December 13, 2017, and were prepared by Crowe Horwath LLP, Sacramento, California. Audited financial statements for the District for the fiscal year ended June 30, 2017, and prior fiscal years are on file with the District and available for public inspection at the Superintendent's Office. See Appendix A hereto for the 2016-17 Audited Financial Statements. Copies of such financial statements will be mailed to prospective investors and their representatives upon written request to the District and are also freely accessible online at the Electronic Municipal Market Access website operated by the Municipal Securities Rulemaking Board (emma.msrb.org) in connection with the District's annual report filings for its bonds (see description of annual report filings in the front portion of this Official Statement under the caption "Certain Legal Matters – Continuing Disclosure"). Reference to the foregoing web site does not incorporate its contents herein by reference. The District has not requested nor did the District obtain permission from Crowe Horwath LLP to include the audited financial statements as an appendix to this Official Statement. Accordingly, Crowe Horwath LLP has not performed any post-audit review of the financial condition or operations of the District.

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General Fund Revenues, Expenditures and Changes in Fund Balance. The District's general fund is the District's primary operating fund. It accounts for all financial resources of the District except those required to be accounted for in another fund. The following table shows the audited income and expense statements for the District's general fund for the 2012-13 through 2016-17 fiscal years.

**SUMMARY OF GENERAL FUND REVENUES, EXPENDITURES AND
CHANGES IN FUND BALANCE
Fiscal Years 2012-13 through 2016-17
Fresno Unified School District**

	Audited 2012-13	Audited 2013-14	Audited 2014-15	Audited 2015-16	Audited 2016-17
Revenues					
Revenue limit/LCFF ⁽¹⁾ :					
State apportionment	\$310,331,579	\$426,157,530	\$495,650,968	\$574,800,258	\$616,402,822
Local sources	41,632,883	43,478,797	45,513,018	55,748,589	61,358,140
Total revenue limit/LCFF	351,964,462	469,636,327	541,163,986	630,548,847	677,760,962
Federal revenues	93,071,273	73,697,541	67,636,487	71,954,072	74,761,962
Other state revenues	154,134,523	79,433,152	88,845,704	132,940,713	107,179,798
Other local revenues	11,642,717	17,676,065	18,879,067	18,308,815	15,495,977
Total Revenues	610,812,975	640,443,085	716,525,244	853,752,447	875,197,761
Expenditures					
Certified salaries	289,798,339	304,745,570	326,087,128	354,420,823	357,105,787
Classified salaries	88,796,993	93,204,417	100,616,156	11,908,298	113,871,995
Employee benefits	143,918,242	144,970,824	178,269,035	203,544,169	209,941,329
Books and Supplies	28,243,605	37,496,088	39,452,473	68,881,253	44,244,868
Services, other Operating expenses	55,623,142	60,485,698	65,260,330	75,526,330	83,805,622
Capital outlay	532,959	2,817,374	3,932,703	4,230,303	4,519,116
Other outgo	2,017,818	1,876,664	5,429,781	4,232,102	2,965,645
Debt service: principal	1,001,448	344,087	117,084	117,084	117,084
Total Expenditures	609,932,546	645,940,722	719,164,690	822,860,362	816,571,446
Excess of Revenue Over/(Under) Expend.	880,429	(5,497,637)	(2,639,446)	30,892,085	58,626,315
Other Financing Sources (Uses)					
Operating transfers in	1,794,445	1,963,472	4,997,249	5,391,721	3,816,892
Operating transfers out	(6,736,263)	(4,636,610)	(7,088,033)	(6,142,082)	(2,539,730)
Proceeds from issuance of long-term liabilities	857,202	--	--	--	--
Total Other Financing Source(Uses)	(4,084,616)	(2,673,138)	(2,090,784)	(750,361)	1,227,162
Net change in fund balance	(3,204,187)	(8,170,775)	(4,730,230)	30,141,724	59,903,477
Fund Balance, July 1	81,874,828	78,670,641	70,499,866	65,769,636	95,911,360
Fund Balance, June 30	\$78,670,641	\$70,499,866	\$65,769,636	\$95,911,360	\$155,814,837

⁽¹⁾ Local Control Funding Formula commenced in fiscal year 2013-14.

Source: Fresno Unified School District Audit Reports for fiscal years 2012-13 through 2016-17.

District Budget and Interim Financial Reporting

Budgeting and Interim Reporting Procedures. State law requires school districts to maintain a balanced budget in each fiscal year. The State Department of Education imposes a uniform budgeting and accounting format for school districts.

Under current law, a school district governing board must adopt and file with the county superintendent of schools a tentative budget by July 1 in each fiscal year. The District is under the jurisdiction of the Fresno County Superintendent of Schools, which is part of the organizational structure of the California Department of Education (not the County of Fresno) (the "**County Superintendent**").

The County Superintendent must review and approve or disapprove the budget no later than August 15. The County Superintendent is required to examine the adopted budget for compliance with the standards and criteria adopted by the State Board of Education and identify technical corrections necessary to bring the budget into compliance with the established standards. If the budget is disapproved, it is returned to the District with recommendations for revision. The District is then required to revise the budget, hold a public hearing thereon, adopt the revised budget and file it with the County Superintendent no later than September 8. Pursuant to State law, the County Superintendent has available various remedies by which to impose and enforce a budget that complies with State criteria, depending on the circumstances, if a budget is disapproved. After approval of an adopted budget, the school district's administration may submit budget revisions for governing board approval.

Subsequent to approval, the County Superintendent will monitor each district under its jurisdiction throughout the fiscal year pursuant to its adopted budget to determine on an ongoing basis if the district can meet its current or subsequent year financial obligations. If the County Superintendent determines that a district cannot meet its current or subsequent year obligations, the County Superintendent will notify the district's governing board of the determination and may then do either or both of the following: (a) assign a fiscal advisor to enable the district to meet those obligations or (b) if a study and recommendations are made and a district fails to take appropriate action to meet its financial obligations, the County Superintendent will so notify the State Superintendent of Public Instruction, and then may do any or all of the following for the remainder of the fiscal year: (i) request additional information regarding the district's budget and operations; (ii) after also consulting with the district's board, develop and impose revisions to the budget that will enable the district to meet its financial obligations; and (iii) stay or rescind any action inconsistent with such revisions. However, the County Superintendent may not abrogate any provision of a collective bargaining agreement that was entered into prior to the date upon which the County Superintendent assumed authority.

A State law adopted in 1991 ("**AB 1200**") imposed additional financial reporting requirements on school districts, and established guidelines for emergency State aid apportionments. Under the provisions of AB 1200, each school district is required to file interim certifications with the County Superintendent (on December 15, for the period ended October 31, and by mid-March for the period ended January 31) as to its ability to meet its financial obligations for the remainder of the then-current fiscal year and, based on current forecasts, for the subsequent fiscal year. The County Superintendent reviews the certification and issues either a positive, negative or qualified certification. A positive certification is assigned to any school district that will meet its financial obligations for the current fiscal year and subsequent two fiscal years. A negative certification is assigned to any school district that is deemed unable

to meet its financial obligations for the remainder of the current fiscal year or the subsequent fiscal year. A qualified certification is assigned to any school district that may not meet its financial obligations for the current fiscal year or the two subsequent fiscal years.

Under California law, any school district and office of education that has a qualified or negative certification in any fiscal year may not issue, in that fiscal year or in the next succeeding fiscal year, certificates of participation, tax anticipation notes, revenue bonds or any other debt instruments that do not require the approval of the voters of the district, unless the applicable county superintendent of schools determines that the district's repayment of indebtedness is probable.

District's Budget Approval/Disapproval and Certification History. The District has not received any qualified or negative certifications of its financial reports in the past five years, nor have any of its budgets been disapproved. The District's Budget for fiscal year 2017-18 was approved by the County Superintendent, and the District's most recent interim report, the Second Interim for fiscal year 2017-18, was certified as positive by the District's Board.

Copies of the District's budgets, interim reports and certifications may be obtained upon request from the District Office at 2309 Tulare Street, Fresno, California 93721, Telephone: (559) 457-6225. The District may impose charges for copying, mailing and handling.

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District's Fiscal Year 2017-18 General Fund. The following table shows the general fund budget for the District for fiscal year 2017-18 and Second Interim Report projections for fiscal year 2017-18.

**REVENUES, EXPENDITURES AND CHANGES IN FUND BALANCE
2017-18 (Adopted Budget and Second Interim Projections)
Fresno Unified School District**

	Budgeted Fiscal Year 2017-18	Second Interim Report 2017-18
<u>Revenues</u>		
LCFF Sources	\$699,048,126	\$699,709,865
Federal revenues	81,941,706	88,633,065
Other state revenues	100,846,156	113,407,442
Other local revenues	12,555,310	14,710,213
Total Revenues	894,391,298	916,460,585
<u>Expenditures</u>		
Certificated Salaries	387,372,643	387,472,606
Classified Salaries	118,441,345	119,100,930
Employee Benefits	239,617,801	239,154,429
Books and Supplies	54,124,095	61,870,552
Services and Other Operating Expenditures	97,039,754	95,980,306
Capital Outlay	28,411,443	21,257,348
Other Outgo (excl. transfers of Ind. Costs)	2,572,852	3,547,695
Other Outgo-Transfers of Indirect Costs	(2,526,607)	(2,524,367)
Total Expenditures	925,053,326	925,859,499
Excess of Revenues Over/(Under) Expenditures	(30,662,028)	(9,398,914)
<u>Other Financing Sources (Uses)</u>		
Interfund Transfers In	3,374,709	3,374,709
Interfund Transfers Out	4,856,409	4,856,409
Other Sources/Uses	--	25,200,000
Total Other Financing Sources (Uses)	(1,481,700)	(26,681,700)
Net Change in Fund Balance	(32,143,728)	(36,080,614)
Fund Balance, July 1	131,501,009	155,814,837
Fund Balance, June 30*	\$99,357,281	\$119,734,223

*Totals may not foot due to rounding.
Source: Fresno Unified School District.

District Reserves. The District's ending fund balance is the accumulation of surpluses from prior years. This fund balance is used to meet the State's minimum required reserve of 2% of expenditures, plus any other allocation or reserve which might be approved as an expenditure by the District in the future. The District maintains an unrestricted reserve which meets the State's minimum requirements.

In connection with legislation adopted in connection with the State's fiscal year 2014-15 Budget ("SB 858"), the Education Code was amended to provide that, beginning in fiscal year 2015-16, if a district's proposed budget includes a local reserve above the minimum recommended level, the governing board must provide the information for review at the annual

public hearing on its proposed budget. In addition, SB 858 included a provision, which became effective upon the passage of Proposition 2 at the November 4, 2014 statewide election, which limits the amount of reserves which may be maintained at the school district level. Specifically, the legislation, among other things, enacted Education Code Section 42127.01, which became operative December 15, 2014, and provides that in any fiscal year immediately after a fiscal year in which a transfer is made to the State's Public School System Stabilization Account (the Proposition 98 reserve), a school district may not adopt a budget that contains a reserve for economic uncertainties in excess of twice the applicable minimum recommended reserve for economic uncertainties established by the State Board (for school districts with ADA over 400,000, the limit is three times the amount). Exemptions can be granted by the County Superintendent under certain circumstances.

Effective January 1, 2018, Senate Bill 751, which was signed by the Governor on October 11, 2017, amends Section 42127.01 of the Education Code to raise the reserve cap to no more than 10% of a school district's combined assigned or unassigned ending general fund balance. In addition, the amendment provides that the reserve cap will be effective only if there is a minimum balance of 3% in the Proposition 98 reserve referenced in the preceding paragraph. Basic aid school districts and small districts with 2,500 or fewer ADA are exempted from the reserve cap contained in Education Code Section 42127.01.

Attendance - Revenue Limit and LCFF Funding

General. As described herein, prior to fiscal year 2013-14, school districts in California derived most State funding based on a formula which considered a revenue limit per unit of ADA. With the implementation of the LCFF, commencing in fiscal year 2013-14, school districts receive base funding based on ADA, and may also be entitled to supplemental and concentration funding based on Targeted Student enrollment (unduplicated count) and funding based on an economic recovery target.

Funding Trends per ADA. The following table sets forth historical LCFF funding for the District for fiscal year 2013-14 through 2017-18 (Projected).

AVERAGE DAILY ATTENDANCE AND LCFF FUNDING Fresno Unified School District Fiscal Years 2013-14 through 2017-18 (Projected)

Fiscal Year	ADA⁽¹⁾	LCFF "Phase-In" Entitlement Per ADA⁽²⁾
2013-14	65,542	\$7,165
2014-15	66,197	8,175
2015-16	66,228	9,521
2016-17	66,736	10,156
2017-18	66,836	10,453

(1) P-2 for Fiscal Year 2013-14 through 2017-18.

(2) Represents the average funding per ADA across grade spans.

Source: California Department of Education; Fresno Unified School District.

Targeted Student Enrollment Over 55%. The District has a Target Student unduplicated count of 89.4% in fiscal year 2017-18. As such, it receives supplemental funding based and concentration grant funding under LCFF.

Revenue Sources

The District categorizes its general fund revenues into four sources, being LCFF, Federal Revenues, Other State Revenues and Local Revenues. Each of these revenue sources is described below.

LCFF Sources. District funding is provided by a mix of (1) local property taxes and (2) State apportionments of funding under the LCFF. Generally, the State apportionments will amount to the difference between the District's LCFF funding entitlement and its local property tax revenues.

Beginning in 1978-79, Proposition 13 and its implementing legislation provided for each county to levy (except for levies to support prior voter-approved indebtedness) and collect all property taxes, and prescribed how levies on county-wide property values are to be shared with local taxing entities within each county.

The principal component of local revenues is the school district's property tax revenues, i.e., the district's share of the local 1% property tax, received pursuant to Sections 75 and following and Sections 95 and following of the California Revenue and Taxation Code. Education Code Section 42238(h) itemizes the local revenues that are counted towards the LCFF amount before calculating how much the State must provide in equalization aid. Historically, the more local property taxes a district received, the less State equalization aid it is entitled to.

Federal Revenues. The federal government provides funding for several District programs, including special education programs, programs under Every Student Succeeds Act, the Individuals with Disabilities Education Act, and specialized programs such as Drug Free Schools.

Other State Revenues. The District receives State funds for mandated costs reimbursements. In addition, the District receives State aid from the California State Lottery (the "**Lottery**"), which was established by a constitutional amendment approved in the November 1984 general election. Lottery revenues must be used for the education of students and cannot be used for non-instructional purposes such as real property acquisition, facility construction, or the financing of research. Moreover, State Proposition 20 approved in March 2000 requires that 50% of the increase in Lottery revenues over 1997-98 levels must be restricted to use on instruction material.

For additional discussion of State aid to school districts, see "-State Funding of Education; Recent State Budgets."

Other Local Revenues. In addition to local property taxes, the District receives additional local revenues from items such as interest earnings and other local sources.

District Retirement Systems

Qualified employees of the District are covered under multiple-employer defined benefit pension plans maintained by agencies of the State. Certificated employees are members of the State Teachers' Retirement System ("**STRS**") and classified employees are members of the Public Employees' Retirement System ("**PERS**"). Both STRS and PERS are operated on a Statewide basis. *The information set forth below regarding the STRS and PERS programs, other than the information provided by the District regarding its annual contributions thereto, has been obtained from publicly available sources which are believed to be reliable but are not guaranteed as to accuracy or completeness, and should not to be construed as a representation by the District or the Underwriters.*

Implementation of GASB Nos. 68 and 71. Commencing with fiscal year ended June 30, 2015, the District implemented the provisions of GASB Statement Nos. 68 and 71 which require certain new pension disclosures in the notes to its audited financial statements commencing with the financial statements for fiscal year 2014-15. Statement No. 68 generally requires the District to recognize its proportionate share of the unfunded pension obligation for STRS and PERS by recognizing a net pension liability measured as of a date (the measurement date) no earlier than the end of its prior fiscal year. See "APPENDIX B - AUDITED FINANCIAL STATEMENTS OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2016" for further information.

STRS. All full-time certificated employees participate in STRS, a cost-sharing, multiple-employer contributory public employee retirement system. STRS provides retirement, disability and survivor benefits to plan members and beneficiaries under a defined benefit program. Benefit provisions and contribution amounts are established by State statutes, as legislatively amended. The program is funded through a combination of investment earnings and statutorily set contributions from three sources: employees, employers and the State. The District's employer contributions to STRS for recent fiscal years are set forth in the following table.

**STRS Contributions
Fresno Unified School District
Fiscal Years 2012-13 through 2017-18 (Projected)**

Fiscal Year	Amount
2012-13	\$23,763,908
2013-14	24,289,281
2014-15	28,705,329
2015-16	36,305,716
2016-17	44,207,146
2017-18*	75,496,087

*Projected. Increase attributed to increase in contribution rates and modified accounting reporting requirements, which include reporting the District's proportionate share of the plan's net pension liability and recognizing on-behalf STRS contributions in governmental funds.

Source: Fresno Unified School District.

Historically, employee, employer and State contribution rates did not vary annually to account for funding shortfalls or surpluses in the STRS plan. In recent years, the combination of investment earnings and statutory contributions were not sufficient to pay actuarially required amounts. As a result, as of June 30, 2016 (the date of the last actuarial) the STRS defined benefit program showed an estimated unfunded actuarial liability of approximately \$96.7 billion

(as an actuarial value basis) and \$117.9 billion (on a market value of assets basis). In connection with the State's adoption of its fiscal year 2014-15 budget, the Governor signed into law Assembly Bill 1469 ("**AB 1469**"), which seeks to fully fund the unfunded actuarial obligation with respect to service credited members of the STRS Defined Benefit Program before July 1, 2014, within 32 years, by increasing contributions by employees, employers and the State. In particular, employer contribution rates are scheduled to increase through at least fiscal year 2020-21, from a contribution rate of 8.25% in fiscal year 2013-14 to 19.1% in fiscal year 2020-21. Thereafter, employer contribution rates will be determined by the STRS board to reflect the contribution required to eliminate unfunded liabilities by June 30, 2046.

On February 1, 2017, STRS adopted a new set of actuarial assumptions that reflect member's increasing life expectancies and current economic trends. These new assumptions were first reflected in most recent actuarial valuation, and include, but are not limited to: (i) adopting a generational mortality methodology to reflect past improvements in life expectancies and provide a more dynamic assessment of future life spans, (ii) decreasing the investment rate of return (net of investment and administrative expenses) to 7.25% for the 2016 valuation and 7.00% for the June 30, 2017 actuarial evaluation, and (iii) decreasing the projected wage growth to 3.50% and the projected inflation rate to 2.75%. Based on these changes, recent investment experience and the insufficiency of the contributions received in fiscal year 2015-16 to cover interest on the unfunded actuarial obligation, the 2016 actuarial valuation reports that the unfunded actuarial obligation increased by \$20.5 billion since the last valuation and the funded ratio decreased by 4.8% to 63.7% over such time period. Had the investment rate of return been lowered to 7.00% for the 2016 STRS Actuarial Valuation, the unfunded actuarial obligation and the funded ratio would have been \$105.1 billion and 61.8%, respectively. As a result, it is currently projected that there will be a need for higher contributions from the State, employers and members in the future to reach full funding by 2046.

The District's employer contribution rates for fiscal years 2014-15, 2015-16, and 2016-17 were 8.88%, 10.73%, and 12.58%, respectively. Projected employer contribution rates for school districts (including the District) for fiscal year 2017-18 through fiscal year 2020-21 are set forth in the following table.

PROJECTED EMPLOYER CONTRIBUTION RATES (STRS)
Fiscal Years 2017-18 through 2020-21

Fiscal Year	Projected Employer Contribution Rate⁽¹⁾
2017-18	14.43%
2018-19	16.28
2019-20	18.13
2020-21	19.10

(1) Expressed as a percentage of covered payroll.
Source: AB 1469

PERS. All full-time and some part-time classified employees participate in PERS, an agent multiple-employer contributory public employee retirement system that acts as a common investment and administrative agent for participating public entities within the State. PERS provides retirement, disability, and death benefits to plan members and beneficiaries. The District is part of a cost-sharing pool within PERS known as the "Schools Pool." Benefit provisions are established by State statutes, as legislatively amended. Contributions to PERS are made by employers and employees. Each fiscal year, the District is required to contribute

an amount based on an actuarially determined employer rate. The District's employer contributions to PERS for recent fiscal years are set forth in the following table.

**PERS Contributions
Fresno Unified School District
Fiscal Years 2012-13 through 2017-18 (Projected)**

Fiscal Year	Amount
2012-13	\$10,100,950
2013-14	10,149,474
2014-15	11,799,345
2015-16	13,055,815
2016-17	15,457,728
2017-18*	16,856,044

* Projected.

Source: Fresno Unified School District.

Like the STRS program, the PERS program has experienced an unfunded liability in recent years. The PERS unfunded liability, on a market value of assets basis, was approximately \$21.8 billion as of June 30, 2016 (the date of the last actuarial valuation). To address this issue, the PERS board has taken a number of actions. In April 2013, for example, the PERS board approved changes to the PERS amortization and smoothing policy intended to reduce volatility in employer contribution rates. In addition, in April 2014, PERS set new contribution rates, reflecting new demographic assumptions and other changes in actuarial assumptions. The new rates and underlying assumptions, which are aimed at eliminating the unfunded liability of PERS in approximately 30 years, will be implemented for school districts beginning in fiscal year 2016-17, with the costs spread over 20 years and the increases phased in over the first five years.

The District's employer contribution rates for fiscal years 2015-16, 2016-17, and 2017-18 were 11.847%, 13.888%, and 15.531% respectively. Projected employer contribution rates for school districts (including the District) for fiscal year 2018-19 through fiscal year 2020-21 are set forth in the following table.

**EMPLOYER CONTRIBUTION RATES (PERS)
Fiscal Years 2018-19 through 2020-21**

Fiscal Year	Employer Contribution Rate ⁽¹⁾
2018-19	18.062%
2019-20	20.800
2020-21	23.800

(1) Rates were estimated by PERS in 2018. The PERS board is expected to approve official employer contribution rates for each fiscal year shown during the immediately preceding fiscal year.

(2) Expressed as a percentage of covered payroll.

Source: PERS

California Public Employees' Pension Reform Act of 2013. On September 12, 2012, the Governor signed into law the California Public Employees' Pension Reform Act of 2013 ("PEPRA"), which impacted various aspects of public retirement systems in the State, including the STRS and PERS programs. In general, PEPRA (i) increased the retirement age for public

employees depending on job function, (ii) capped the annual pension benefit payouts for public employees hired after January 1, 2013, (iii) required public employees hired after January 1, 2013 to pay at least 50% of the costs of their pension benefits (as described in more detail below), (iv) required final compensation for public employees hired after January 1, 2013 to be determined based on the highest average annual pensionable compensation earned over a period of at least 36 consecutive months, and (v) attempted to address other perceived abuses in the public retirement systems in the State. PEPRAs applies to all public employee retirement systems in the State, *except* the retirement systems of the University of California, and charter cities and charter counties whose pension plans are not governed by State law. PEPRAs provisions went into effect on January 1, 2013 with respect to new State, school, and city and local agency employees hired on or after that date; existing employees who are members of employee associations, including employee associations of the District, have a five-year window to negotiate compliance with PEPRAs through collective bargaining.

PERS has predicted that the impact of PEPRAs on employees and employers, including the District and other employers in the PERS system, will vary, based on each employer's current level of benefits. As a result of the implementation of PEPRAs, new members must pay at least 50% of the normal costs of the plan, which can fluctuate from year to year. To the extent that the new formulas lower retirement benefits, employer contribution rates could decrease over time as current employees retire and employees subject to the new formulas make up a larger percentage of the workforce. This change would, in some circumstances, result in a lower retirement benefit for employees than they currently earn.

With respect to the STRS pension program, employees hired after January 1, 2013 will pay the greater of either (1) fifty percent of the normal cost of their retirement plan, rounded to the nearest one-quarter percent, or (2) the contribution rate paid by then-current members (i.e., employees in the STRS plan as of January 1, 2013). The member contribution rate could be increased from this level through collective bargaining or may be adjusted based on other factors. Employers will pay at least the normal cost rate, after subtracting the member's contribution.

The District is unable to predict the amount of future contributions it will have to make to PERS and STRS as a result of the implementation of PEPRAs, and as a result of negotiations with its employee associations, or, notwithstanding the adoption of PEPRAs, resulting from any legislative changes regarding the PERS and STRS employer contributions that may be adopted in the future.

Additional Information. Additional information regarding the District's retirement programs is available in Note 10 of the District's audited financial statements attached hereto as APPENDIX B. In addition, both STRS and PERS issue separate comprehensive financial reports that include financial statements and required supplemental information. Copies of such reports may be obtained from STRS and PERS, respectively, as follows: (i) STRS, P.O. Box 15275, Sacramento, California 95851-0275; and (ii) PERS, 400 Q Street, Sacramento, California 95811. More information regarding STRS and PERS can also be obtained at their websites, www.calstrs.com and www.calpers.ca.gov, respectively. *The references to these Internet websites are shown for reference and convenience only and the information contained on such websites is not incorporated by reference into this Official Statement. The information contained on these websites may not be current and has not been reviewed by the District or the Underwriters for accuracy or completeness.*

Other Post-Employment Benefit Obligation

Plan Description. The District provides certain other post-employment retirement benefits (“**OPEB**”) as described herein.

Previous Agreements. Under certain previous agreements with employee groups (the “**Previous Agreements**”), the District was obligated to provide lifetime health care benefits to retired employees who have worked for the District at least 16 years and retire at age 57-1/2 or later. Such coverage includes benefits for dependents of eligible retirees. The Previous Agreements require the District to pay the cost of such benefits, and such costs are not capped.

Amendments to the Previous Agreements. The District approved an agreement to revise the health benefits for teachers and retirees provided under the Previous Agreements. Under the new agreement, the District’s overall contributions for employee health benefits will be capped at the fiscal year 2004-05 level, plus \$1 million, which will increase starting in fiscal year 2006-07 by the net annual cost of living adjustment (“**COLA**”). Any increases in the cost of health benefits above this cap will be the responsibility of the covered employees and retirees. The new agreement also requires increased contributions by the covered employees and retirees. The agreement also provides that for employees hired after July 1, 2005, health care benefits will be provided for such employees only until the age of Medicare eligibility, which is currently age 65, and further requires that an employee have a minimum of 25 service years with the District and retire at age 60 or later, thereby limiting the eligibility for post-employment benefits to a maximum of five years.

Irrevocable Trust for OPEB Liability. Included within the District’s Self-Insurance Fund as non-operating activities are contributions made by the District to an irrevocable OPEB Trust Fund. The District has established an irrevocable trust under the California Employer’s Retiree Benefit Trust Program (“**CERBT**”) to prefund the costs of OPEB. The funds in the CERBT are held in trust and will be administered by the PERS as an agent multiple-employer plan. Benefit provisions are established and may be amended by District labor agreements which are approved by the District Board of Education. The CERBT fund is set up for the purpose of (i) receiving employer contributions to prefund health and other post-employment benefits for retirees and their beneficiaries, (ii) invest contributed amounts and income therein, and (iii) disburse contributed amounts and income therein, if any, to pay for costs of administration of the fund and to pay for health care costs or other post-employment benefits in accordance with the terms of the District’s OPEB plan. For the year ended June 30, 2017, the District’s contribution to the CERBT investment trust fund totaled \$3,500,000. At June 30, 2017, the balance of the CERBT investment fund was \$36,358,826, and is projected to be \$43.3 million as of June 30, 2018. Contributions of \$2.5 million annually are expected to be made by the District.

Annual OPEB Cost and Net OPEB Obligation. The District’s annual OPEB cost (expense) is calculated based on the annual required contribution of the employer (“**ARC**”), an amount actuarially determined in accordance with the parameters of GASB. The ARC represents a level of funding that, if paid on an ongoing basis, is projected to cover normal cost each year and amortize any unfunded actuarial liabilities (or funding excess) over a period not to exceed thirty years. The following table shows the components of the District’s annual OPEB cost for the year, the amount actually contributed to the plan, and changes in the District’s net OPEB obligation:

**Fresno Unified School District
Components of OPEB Cost
Fiscal Year 2016-17**

Annual required contribution	\$72,682,659
Interest on net OPEB contribution	21,037,553
Adjustment to annual required contribution	<u>(18,217,833)</u>
Annual OPEB cost (expense)	75,502,379
Contributions made	<u>(42,593,400)</u>
Increase in net OPEB contribution	32,908,979
Net OPEB obligation- beginning of year	<u>350,625,879</u>
Net OPEB obligation- end of year	\$383,534,858

Source: Fresno Unified School District Audit Report for fiscal year 2016-17.

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The District's annual OPEB cost, the percentage of annual OPEB cost contributed, and the net OPEB obligation in recent years are as follows:

**FRESNO UNIFIED SCHOOL DISTRICT
Schedule of OPEB Funding Progress**

Year Ended June 30	Annual OPEB Cost	Percentage Contributed of Annual OPEB Cost	Net OPEB Obligation
2014	\$66,210,639	45.3%	\$281,486,928
2015	67,918,805	53.9	312,438,148
2016	72,682,659	47.5	350,625,879
2017	75,502,379	56.4	383,534,858

Source: Fresno Unified School District Audit Report.

Actuarial Studies of OPEB. As of July 1, 2015, the most recent actuarial valuation date, the actuarial accrued liability for benefits was \$964.6 million, and the actuarial value of assets was \$26.2 million, resulting in an unfunded actuarial liability (“**UAAL**”) of \$938.4 million and a funded ratio of 2.7%. The covered payroll (annual payroll of active employees covered by the Plan) was \$426 million, and the ratio of the UAAL to the covered payroll was 220%. The OPEB plan is currently operated as a pay-as-you-go plan. For a description of the actuarial methods and assumptions used, see “APPENDIX A – AUDITED FINANCIAL STATEMENTS OF THE DISTRICT FOR FISCAL YEAR ENDED JUNE 30, 2017- Note 10 – Other Post Employment Benefits.” The District is currently having a more updated actuarial valuation performed.

Long-Term Debt

The District has issued general obligation bonds and refunding general obligations bonds pursuant to voter approval received at elections held within the District, as more particularly described below. In addition, the District has incurred other long-term liabilities, which are also described below. The District has never defaulted on the payment of principal or interest on any of its indebtedness.

General Obligation Bonds

1995 Authorization. Qualified electors of the District authorized the issuance of general obligation bonds of the District in the maximum aggregate principal amount of \$215,000,000 (the “**1995 Authorization**”) at an election held on March 7, 1995. The District has issued all of the bonds pursuant to the 1995 Authorization, in multiple series.

2001 Authorization. Qualified electors of the District also authorized the issuance of general obligation bonds of the District in the maximum aggregate principal amount of \$199,000,000 (the “**2001 Authorization**”) at an election held on March 6, 2001. Seven series of bonds were issued pursuant to the 2001 Authorization. There is no 2001 Authorization remaining unissued as of this date.

2010 Authorization. On November 2, 2010, District voters authorized the issuance of up to \$280,000,000 principal amount of general obligation bonds pursuant to Measure Q (the “**2010 Authorization**”). The District has issued six series of bonds in the aggregate principal

amount of \$279,998,646.88 pursuant to the 2010 Authorization. There is no usable amount of 2010 Authorization remaining.

2016 Authorization. In addition, on November 8, 2016, District voters authorized the issuance of up to \$225,000,000 principal amount of general obligation bonds pursuant to Measure X (the “**2016 Authorization**”). The Series A Bonds described herein will be the first issuance under the 2016 Authorization. Following the issuance of the Series A Bonds, \$165,000,000* of the 2016 Authorization will remain.

Summary of Outstanding General Obligation Bonded Debt. Shown in the following tables is the information regarding the outstanding general obligation bonds of the District:

FRESNO UNIFIED SCHOOL DISTRICT
Summary of Outstanding General Obligation Bonds

Issue	Date Issued	Final Maturity Date	Original Par Amount	Principal Outstanding March 1, 2018
1999 GO Refunding Bonds, Series C	October 1999	August 2022	\$40,640,000.00	\$12,135,000.00
2002 GO Refunding Bonds, Series A	December 2002	August 2026	64,485,000.00	35,085,000.00
2004 GO Refunding Bonds, Series B	November 2004	August 2027	58,040,000.00	29,065,000.00
Election 2001, GO Series F ⁽¹⁾	December 2009	August 2025	29,429,022.00	18,859,536.26
2010 Refunding GO Bonds	November 2010	August 2022	12,040,000.00	6,525,000.00
Election 2001, GO Series G	September 2011	August 2041	55,570,915.00	55,570,914.90
Election 2010 Series A GO Bonds ⁽²⁾	September 2011	August 2029	29,561,373.00	28,861,373.08
Election 2010 Series B GO Bonds ⁽³⁾	October 2011	August 2041	50,434,849.00	43,079,849.50
Election 2010 Series C GO Bonds ⁽³⁾	August 2013	August 2046	54,997,540.00	45,105,384.55
2012 GO Refunding Bonds, Series A	August 2012	August 2030	39,895,000.00	33,615,000.00
2012 GO Refunding Bonds, Series B	August 2012	August 2021	32,390,000.00	15,720,000.00
Election 2010 Series D GO Bonds	September 2014	August 2047	59,996,789.00	54,306,789.45
2015 GO Refunding Bonds	July 2015	August 2030	14,555,000.00	13,085,000.00
Election 2010 Series E GO Bonds	September 2015	August 2031	54,998,095.20	49,818,095.20
Election 2010 Series F GO Bonds	October 2016	August 2034	30,010,000.00	25,890,000.00
2016 GO Refunding Bonds, Series A ⁽⁴⁾	October 2016	August 2036	60,480,000.00	60,480,000.00
2016 GO Refunding Bonds, Series B ⁽⁴⁾	October 2016	August 2043	59,590,988.45	59,590,988.45
Total			\$747,114,571.65	\$586,792,931.39

(1) The Election of 2001, GO Bonds, Series F secure the payment of \$41,398,000 principal amount of Central Valley Support Services Joint Powers Agency 2009 General Obligation Revenue Bonds (Fresno Unified School District Qualified School Construction Bonds) (the “2009 QSCBs”). Debt service on 2009 QSCBs is payable from debt service paid on the Series F Bonds and federal subsidy payments received with respect to the all or a portion of interest due on the 2009 QSCBs. Federal subsidy payments are subject to a sequestration rate reduction of 6.6% in the period October 1, 2017 through September 30, 2018.

(2) The Election of 2010, GO Bonds, Series A (the “Underlying Bonds”) secure the payment of \$39,770,000 principal amount of Central Valley Support Services Joint Powers Agency 2011 General Obligation Revenue Bonds (Taxable Direct-Pay) (Fresno Unified School District Qualified School Construction Bonds) (the “2011 QSCBs”). Debt service on 2011 QSCBs is payable from debt service paid on the Underlying Bonds and federal subsidy payments received with respect to the all or a portion of interest due on the 2011 QSCBs. Federal subsidy payments are subject to a sequestration rate reduction of 6.6% in the period October 1, 2017 through September 30, 2018.

(3) Maturity date reflects the redemption date resulting from the 2016 General Obligation Refunding Bonds, Series A and Series B.

(4) Debt service payments on the 2016 Refunding Bonds, Series A and B to and including their crossover dates of August 1, 2021 and 2023, respectively, are payable from escrow funds. Pursuant to Section 53560 of the Government Code of the State of California, these bonds constitute special obligations and while they are not included in any computation of general obligation indebtedness of the District until their respective crossover dates, the principal amounts shown on the table reflect the amounts that would be outstanding.

*Preliminary; subject to change.

Other Long Term Debt of the District

2006 Lease Financing (Fresno Unified School District Central Kitchen). On June 20, 2006, the Central Valley Support Services Joint Powers Agency issued \$23,605,000 total principal amount of Lease Revenue Bonds (Fresno Unified School District Central Kitchen) (the “**2006 LRBs**”). Proceeds of the 2006 LRBs were used to finance the construction of a new central food preparation, distribution and storage facility of the District. The 2006 LRBs are secured by base rental payments to be made by the District which the District has covenanted to budget and appropriate in each of its annual general fund budgets, including applying National School Lunch Program funds for such purpose. As of March 1, 2018, \$16,245,000.00 principal amount remains outstanding. The 2006 LRBs have a final maturity date of June 1, 2036.

PG&E Energy Savings Loan. The District has entered into a long-term agreement with Pacific Gas and Electric (“**PG&E**”) for the installation of energy efficient light fixtures at various school sites. As of June 30, 2017, the schedule of future payments is as follows:

Year ending <u>June 30</u>	<u>Annual Payments</u>
2018	\$96,933
2019	90,216
2020	90,216
2021	51,804
2022	1,155
Total	\$330,324

Investment of District Funds

In accordance with Government Code Section 53600 *et seq.*, the Fresno County Treasurer manages funds deposited with it by the District. The County is required to invest such funds in accordance with California Government Code Sections 53601 *et seq.* In addition, counties are required to establish their own investment policies which may impose limitations beyond those required by the Government Code. For further information concerning County investments, access the County’s website at www.co.fresno.ca.us and access the link to the Department of the Treasurer-Tax Collector, and the links to “Investment Policy” and “Portfolio”. The information contained in such website has not been reviewed by the District or the Underwriters and is not incorporated in this Official Statement by reference. The most recent Investment Policy adopted by the Board of Supervisors of the County and the most recent available quarterly investment report are attached hereto as Appendix G.

Effect of State Budget on Revenues

Public school districts in California are dependent on revenues from the State for a large portion of their operating budgets. California school districts generally receive the majority of their operating revenues from various State sources. The primary source of funding for school districts is LCFF funding, which is derived from a combination of State funds and local property taxes (see “—State Funding of Education; Recent State Budgets – Revenue Limits” above). State funds typically make up the majority of a district’s LCFF funding. School districts also receive funding from the State for some specialized programs such as special education.

The availability of State funds for public education is a function of constitutional provisions affecting school district revenues and expenditures (see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS" below), the condition of the State economy (which affects total revenue available to the State general fund), and the annual State budget process. The District cannot predict how education funding may further be changed in the future, or the state of the economy which in turn can impact the amounts of funds available from the State for education funding. See "STATE FUNDING OF EDUCATION; RECENT STATE BUDGETS" below.

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STATE FUNDING OF EDUCATION; RECENT STATE BUDGETS

State Funding of Education

General. The State requires that from all State revenues there first shall be set apart the moneys to be applied for support of the public school system and public institutions of higher education. School districts in California receive operating income primarily from two sources: (1) the State funded portion which is derived from the State's general fund, and (2) a locally funded portion, being the district's share of the one percent general *ad valorem* tax levy authorized by the California Constitution (see "DISTRICT FINANCIAL INFORMATION – Education Funding Generally" above). School districts in California are dependent on revenues from the State for a large portion of their operating budgets. California school districts receive an average of about 55 percent of their operating revenues from various State sources.

The availability of State funds for public education is a function of constitutional provisions affecting school district revenues and expenditures (see "CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS" below), the condition of the State economy (which affects total revenue available to the State general fund), and the annual State budget process. Decreases in State revenues may significantly affect appropriations made by the legislature to school districts.

The following information concerning the State's budgets for the current and most recent preceding years has been compiled from publicly-available information provided by the State. None of the District, the Underwriters or the County is responsible for the information relating to the State's budgets provided in this section. Further information is available from the Public Finance Division of the State Treasurer's Office.

The Budget Process. The State's fiscal year begins on July 1 and ends on June 30. The annual budget is proposed by the Governor by January 10 of each year for the next fiscal year (the "**Governor's Budget**"). Under State law, the annual proposed Governor's Budget cannot provide for projected expenditures in excess of projected revenues and balances available from prior fiscal years. Following the submission of the Governor's Budget, the Legislature takes up the proposal.

Under the State Constitution, money may be drawn from the State Treasury only through an appropriation made by law. The primary source of the annual expenditure authorizations is the Budget Act as approved by the Legislature and signed by the Governor. The Budget Act must be approved by a majority vote of each house of the Legislature. The Governor may reduce or eliminate specific line items in the Budget Act or any other appropriations bill without vetoing the entire bill. Such individual line-item vetoes are subject to override by a two-thirds majority vote of each house of the Legislature.

Appropriations also may be included in legislation other than the Budget Act. Bills containing appropriations (including for K-14 education) must be approved by a majority vote in each House of the Legislature, unless such appropriations require tax increases, in which case they must be approved by a two-thirds vote of each house of the Legislature, and be signed by the Governor. Continuing appropriations, available without regard to fiscal year, may also be provided by statute or the State Constitution.

Funds necessary to meet an appropriation need not be in the State Treasury at the time such appropriation is enacted; revenues may be appropriated in anticipation of their receipt.

Recent State Budgets

Certain information about the State budgeting process and the State budget is available through several State of California sources. A convenient source of information is the State's website, where recent official statements for State bonds are posted. *The references to internet websites shown below are shown for reference and convenience only, the information contained within the websites may not be current and has not been reviewed by the District and is not incorporated herein by reference.*

- The California State Treasurer Internet home page at www.treasurer.ca.gov, under the heading "Bond Information", posts various State of California Official Statements, many of which contain a summary of the current State budget, past State budgets, and the impact of those budgets on school districts in the State.
- The California State Treasurer's Office Internet home page at www.treasurer.ca.gov, under the heading "Financial Information", posts the State's audited financial statements. In addition, the Financial Information section includes the State's Rule 15c2-12 filings for State bond issues. The Financial Information section also includes the Overview of the State Economy and Government, State Finances, State Indebtedness, Litigation from the State's most current Official Statement, which discusses the State budget and its impact on school districts.
- The California Department of Finance's Internet home page at www.dof.ca.gov, under the heading "California Budget", includes the text of proposed and adopted State budgets.
- The State Legislative Analyst's Office prepares analyses of the proposed and adopted State budgets. The analyses are accessible on the Legislative Analyst's Internet home page at www.lao.ca.gov under the heading "Subject Area – Budget (State)".

Prior Years' Budgeting Techniques. Declining revenues and fiscal difficulties which arose in the State commencing in fiscal year 2008-09 led the State to undertake a number of budgeting strategies, which had subsequent impacts on local agencies within the State. These techniques included the issuance of IOUs in lieu of warrants (checks), the enactment of statutes deferring amounts owed to public schools, until a later date in the fiscal year, or even into the following fiscal year (known as statutory deferrals), trigger reductions, which were budget cutting measures which were implemented or could have been implemented if certain State budgeting goals were not met, among others, and the dissolution of local redevelopment agencies in part to make available additional funding for local agencies. Although the fiscal year 2017-18 State Budget is balanced and projects a balanced budget for the foreseeable future, largely attributable to the additional revenues generated due to the passage of Proposition 30 at the November 2, 2012 statewide election and Proposition 55 at the November 8, 2016 statewide election, there can be no certainty that budget-cutting strategies such as those used in recent years will not be used in the future should the State Budget again be stressed and if projections included in such budget do not materialize.

2013-14 State Budget: Significant Change in Education Funding. As described previously herein, the 2013-14 State budget and its related implementing legislation enacted significant reforms to the State's system of K-12 education finance with the enactment of the LCFF. Significant reforms such as the LCFF and other changes in law may have significant impacts on the District's finances.

2017-18 Adopted State Budget

On June 27, 2017, the Governor signed the 2017-18 State budget (the "**2017-18 State Budget**") into law. The 2017-18 State Budget calls for the spending of \$125.1 billion from the general fund, \$54.9 billion from special funds and \$3.3 billion from bond funds. The 2017-18 State Budget includes a funding increase of \$3.1 billion for K-14 education, an expanded tax credit for low-wage workers and puts an additional \$1.8 billion into the State's budget stabilization reserve, bringing the rainy-day fund balance to \$8.5 billion, or 66% of the constitutional target. Significant features of the 2017-18 State Budget include:

- total funding of \$92.5 billion for K-12 education programs, including an increase in funding of \$1.4 billion to continue the State's transition to LCFF, bringing the formula to 97% of full implementation;
- an increase of \$877 million in one-time discretionary grants to provide school districts, charter schools and county offices of education with funds to be used for items such as deferred maintenance, professional development, induction for beginning teachers, instructional materials, technology, and the implementation of new educational standards;
- an increase in \$7 million to support county offices of education, which funding requires county superintendents of schools to summarize how the county offices of education will support school districts and schools within the county;
- \$1.8 billion to pay down past budgetary borrowing and State employee pension liabilities;
- a \$6 billion supplemental payment to PERS, on top of the actuarially determined annual contribution of \$5.2 billion, through a loan from the State's Surplus Money Investment Fund, which will reduce unfunded liabilities, stabilize the State's contribution rate and save \$11 billion over the next twenty years;
- \$2.8 billion for STRS, which contribution is consistent with the funding strategy of putting STRS on a sustainable path forward and eliminating its current unfunded liability in approximately 30 years;
- new appropriations of \$2.8 billion, distributed evenly between State and local transportation authorities, to implement the Road Repair and Accountability Act of 2017;
- \$84.9 million to address issues from the State's recent drought emergency, including \$41.9 million to extend the fire season and expand the State's

firefighting capabilities to reduce the fire risk from climate change, the recent drought and tree mortality; and

- an increase of \$31.5 million to repair and maintain the aging infrastructure of the State's park system.

2018-19 State Budget

Proposed State Budget. On January 10, 2018, the Governor released the proposed State budget for fiscal year 2018-19 (the "**2018-19 Proposed Budget**"). The 2018-19 Proposed Budget, despite projecting a one-time surplus and assuming continued expansion of the State economy, proposed a \$3.5 billion deposit in order to fully fund the State's "Rainy Day Fund" in order to soften the magnitude of any future budget cuts. The 2018-19 Proposed Budget includes \$131.7 billion in general fund spending and reserves of \$1.2 billion. The 2018-19 Proposed Budget revises the Proposition 98 minimum funding guarantee for school districts, community college districts, and other state agencies that provide direct elementary and secondary instructional programs for kindergarten through grade 14 to \$78.3 billion, reflecting a year-to-year increase of \$3.1 billion from fiscal year 2017-18. This includes an approximately \$3 billion investment to fully implement the LCFF two years earlier than originally projected. Ongoing Proposition 98 per-pupil expenditures in fiscal year 2018-19 are set at \$11,614, an increase of \$465 per-pupil over the revised level for fiscal year 2017-18.

May Revision. On May 11, 2018, the Governor released his May Revision to the 2018-19 Proposed Budget (the "**May Revision**"). The May Revision projects \$137.6 billion in revenue and \$137.6 billion in general fund spending, and directs \$3.2 billion into the State's traditional reserve fund. The May Revision maintains the January proposal to fully fund the Rainy Day Fund, which is projected to have a balance of \$9.4 billion at the end of the 2017-18 fiscal year, and projected to grow to \$13.8 billion at the end of the 2018-19 fiscal year. The Governor continues to focus on one-time spending initiatives, while focusing on the core priorities of increasing K-12 education funding, combating homelessness, investing in infrastructure, and fighting climate change.

In particular, with respect to K-12 education funding, \$74.8 billion of funding is provided for education under Proposition 98, representing an increase of \$68 million from the 2018-19 Proposed Budget. The May Revision maintains the 3% increase in funding for higher education, and also provides each university system with \$100 million in one-time funding for deferred maintenance purposes. The May Revision includes \$359 million of new spending on homelessness programs, and a \$312 million proposal to assist counties with mental health services. Two billion is budgeted for infrastructure funding, including \$1 billion for deferred maintenance, and \$1 billion for improvements to flood control, courts, higher education, and other state facilities. Finally, the May Revision proposes \$96 million to implement the "Forest Carbon Plan" and to take other actions to protect California's forests against the threat of wildfires. This \$96 million is in addition to the \$160 million proposed in the cap-and-trade expenditure plan to support forest improvements and fire protection.

LAO Commentary. On May 12, 2018, the LAO released its report on the May Revision entitled, "The 2018-19 Budget: The May Revision" (the "**LAO Report on the May Revision**"). The LAO notes that compared to January 2018, estimated revenues and transfers have increased by a combined \$7.6 billion across fiscal years 2016-17 through 2018-19, which the LAO notes are primarily driven by higher revenues from personal income taxes and, to a lesser extent, the corporate tax. However, the increased revenues are largely offset by formula-driven

constitutional spending requirements for education, outstanding debt and Medi-Cal. As of the May Revision, the LAO estimates that the Governor had \$4.1 billion in discretionary resources to allocate, which were allocated to reserves and largely one-time spending purposes.

The LAO's initial assessment of the May Revision suggests that there are reasons to believe the State's General Fund could be in a considerably better condition than suggested by the May Revision. The reasons provided by the LAO are that (1) the LAO predicts higher revenue and transfer estimates than the administration's predictions, by \$2.6 billion between fiscal years 2016-17 and 2018-19, largely due to the LAO's projections of high capital gains in 2017 and 2018, and high wages and salaries in 2019, and (2) constitutionally required education spending under Proposition 98 is likely to be lower than suggested by the May Revision due to ADA assumptions which are higher than the LAO predicts, and higher local property tax revenues. In addition, the LAO recommends that the Legislature scrutinize the Medi-Cal Budget and its underlying assumptions which likely result in high end estimates of the costs of deferred claims. Finally, the LAO comments that the total reserve balance shown in the May Revision (\$17 billion) is slightly higher than proposed in January and that the Governor uses available discretionary revenues for spending on largely one-time purposes, both of which are tools used to plan for a recession. The LAO notes that a mild recession occurring after 2018-19 might not require many actions such as spending cuts or revenue increases to bring the budget into balance, but a moderate or severe recession would still require many billions of dollars in actions over many years to bring the budget back into balance.

Availability of 2017-18 State Budget and 2018-19 Proposed Budget (May Revision)

The complete 2017-18 State Budget and the 2018-19 Proposed Budget (including the May Revision) are available from the California Department of Finance website at www.ebudget.ca.gov. The District can take no responsibility for the continued accuracy of this internet address or for the accuracy, completeness or timeliness of information posted there, and such information is not incorporated in this Official Statement by such reference. The information referred to above should not be relied upon in making an investment decision with respect to the Bonds.

Disclaimer Regarding State Budgets. The execution of the foregoing 2017-18 State Budget and future State budgets may be affected by numerous factors, including but not limited to: (i) shifts of costs from the federal government to the State, (ii) national, State and international economic conditions, (iii) litigation risk associated with proposed spending reductions, (iv) rising health care costs and/or other unfunded liabilities such as pension or OPEB and (v) other factors, all or any of which could cause the revenue and spending projections included in such budgets to be unattainable. The District cannot predict the accuracy of any assumptions or projections made in State budgets. Additionally, the District cannot predict the impact that the 2017-18 State Budget, or subsequent state budgets, will have on its own finances and operations. However, the Bonds are secured by *ad valorem* taxes levied and collected on taxable property in the District, without limit as to rate or amount, and are not secured by a pledge of revenues of the District or its general fund.

The State has not entered into any contractual commitment with the District, the County, the Underwriters or the Owners of the Bonds to provide State budget information to the District or the owners of the Bonds. Although they believe the sources of information listed below are reliable, neither the District nor the Underwriters assume any responsibility for the accuracy of

the State Budget information set forth or referred to in this Official Statement or incorporated herein.

Availability of State Budgets. The complete 2017-18 State Budget is available from the California Department of Finance website at www.ebudget.ca.gov. An impartial analysis of the budget is posted by the Legislative Analyst Office at www.lao.ca.gov/budget. The District can take no responsibility for the continued accuracy of these internet addresses or for the accuracy, completeness or timeliness of information posted on these sites, and such information is not incorporated in this Official Statement by these references. The information referred to above should not be relied upon in making an investment decision with respect to the Bonds.

Uncertainty Regarding Future State Budgets. The District cannot predict what actions will be taken in future years by the State Legislature and the Governor to address the State's current or future revenues and expenditures and possible future budget deficits. Future State budgets will be affected by national and state economic conditions and other factors over which the District has no control. The District cannot predict what impact any future budget proposals will have on the financial condition of the District. To the extent that the State budget process results in reduced revenues to the District, the District will be required to make adjustments to its budgets.

Legal Challenges to State Funding of Education

The application of Proposition 98 (as discussed below) and other statutory regulations has been the subject of various legal challenges in the past. The District cannot predict if or when there will be changes to education funding or legal challenges which may arise relating thereto.

CONSTITUTIONAL AND STATUTORY PROVISIONS AFFECTING DISTRICT REVENUES AND APPROPRIATIONS

Principal and Accreted Value of and interest on the Series A Bonds are payable from the proceeds of an *ad valorem* tax levied by the County for the payment thereof. Articles XIII A, XIII B, XIII C, and XIII D of the State Constitution, Propositions 62, 98, 111 and 218, and certain other provisions of law discussed below, are included in this section to describe the potential effect of these Constitutional and statutory measures on the ability of the District to levy taxes and spend tax proceeds for operating and other purposes, and it should not be inferred from the inclusion of such materials that these laws impose any limitation on the ability of the District to levy taxes for payment of the Series A Bonds. The tax levied by the County for payment of the Series A Bonds was approved by the District's voters in compliance with Article XIII A and all applicable laws.

Constitutionally Required Funding of Education

The State Constitution requires that from all State revenues, there shall be first set apart the moneys to be applied by the State for the support of the public school system and public institutions of higher education. School districts receive a significant portion of their funding from State appropriations. As a result, decreases and increases in State revenues can significantly affect appropriations made by the State Legislature to school districts.

Article XIII A of the California Constitution

Basic Property Tax Levy. On June 6, 1978, California voters approved Proposition 13 (“**Proposition 13**”), which added Article XIII A to the State Constitution (“**Article XIII A**”). Article XIII A limits the amount of any *ad valorem* tax on real property to 1% of the full cash value thereof, except that additional *ad valorem* taxes may be levied to pay debt service on (i) indebtedness approved by the voters prior to July 1, 1978, (ii) (as a result of an amendment to Article XIII A approved by State voters on June 3, 1986) on bonded indebtedness for the acquisition or improvement of real property which has been approved on or after July 1, 1978 by two-thirds of the voters on such indebtedness (which provided the authority for the issuance of the Refunded Bonds), and (iii) (as a result of an amendment to Article XIII A approved by State voters on November 7, 2000) bonded indebtedness incurred by a school district or community college district for the construction, reconstruction, rehabilitation or replacement of school facilities or the acquisition or lease of real property for school facilities, approved by 55% of the voters of the district, but only if certain accountability measures are included in the proposition. The 2016 Authorization was approved pursuant to clause (iii). Article XIII A defines full cash value to mean “the county assessor’s valuation of real property as shown on the 1975-76 tax bill under full cash value, or thereafter, the appraised value of real property when purchased, newly constructed, or a change in ownership have occurred after the 1975 assessment”. This full cash value may be increased at a rate not to exceed 2% per year to account for inflation.

Article XIII A has subsequently been amended to permit reduction of the “full cash value” base in the event of declining property values caused by damage, destruction or other factors, to provide that there would be no increase in the “full cash value” base in the event of reconstruction of property damaged or destroyed in a disaster and in other minor or technical ways.

Both the United States Supreme Court and the California State Supreme Court have upheld the general validity of Article XIII A.

Legislation Implementing Article XIII A. Legislation has been enacted and amended a number of times since 1978 to implement Article XIII A. Under current law, local agencies are no longer permitted to levy directly any property tax (except to pay voter-approved indebtedness). The 1% property tax is levied by the county and distributed according to a formula among taxing agencies. The formula apportions the tax roughly in proportion to the relative shares of taxes levied prior to 1979.

Increases of assessed valuation resulting from reappraisals of property due to new construction, change in ownership or from the annual adjustment not to exceed 2% are allocated among the various jurisdictions in the “taxing area” based upon their respective “situation.” Any such allocation made to a local agency continues as part of its allocation in future years.

Inflationary Adjustment of Assessed Valuation. As described above, the assessed value of a property may be increased at a rate not to exceed 2% per year to account for inflation. On December 27, 2001, the Orange County Superior Court, in *County of Orange v. Orange County Assessment Appeals Board No. 3*, held that where a home’s taxable value did not increase for two years, due to a flat real estate market, the Orange County assessor violated the 2% inflation adjustment provision of Article XIII A, when the assessor tried to “recapture” the tax value of the property by increasing its assessed value by 4% in a single year. The assessors in most California counties, including the County, use a similar methodology in raising the taxable values of property beyond 2% in a single year. The State Board of

Equalization has approved this methodology for increasing assessed values. On appeal, the Appellate Court held that the trial court erred in ruling that assessments are always limited to no more than 2% of the previous year's assessment. On May 10, 2004 a petition for review was filed with the California Supreme Court. The petition has been denied by the California Supreme Court. As a result of this litigation, the "recapture" provision described above may continue to be employed in determining the full cash value of property for property tax purposes.

Article XIII B of the California Constitution

Article XIII B ("**Article XIII B**") of the State Constitution, as subsequently amended by Propositions 98 and 111, respectively, limits the annual appropriations of the State and of any city, county, school district, authority or other political subdivision of the State to the level of appropriations of the particular governmental entity for the prior fiscal year, as adjusted for changes in the cost of living and in population and for transfers in the financial responsibility for providing services and for certain declared emergencies. For fiscal years beginning on or after July 1, 1990, the appropriations limit of each entity of government shall be the appropriations limit for the 1986-87 fiscal year adjusted for the changes made from that fiscal year under the provisions of Article XIII B, as amended.

The appropriations of an entity of local government subject to Article XIII B limitations include the proceeds of taxes levied by or for that entity and the proceeds of certain state subventions to that entity. "Proceeds of taxes" include, but are not limited to, all tax revenues and the proceeds to the entity from (a) regulatory licenses, user charges and user fees (but only to the extent that these proceeds exceed the reasonable costs in providing the regulation, product or service), and (b) the investment of tax revenues.

Appropriations subject to limitation do not include (a) refunds of taxes, (b) appropriations for debt service, (c) appropriations required to comply with certain mandates of the courts or the federal government, (d) appropriations of certain special districts, (e) appropriations for all qualified capital outlay projects as defined by the legislature, (f) appropriations derived from certain fuel and vehicle taxes and (g) appropriations derived from certain taxes on tobacco products.

Article XIII B includes a requirement that all revenues received by an entity of government other than the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be returned by a revision of tax rates or fee schedules within the next two subsequent fiscal years. However, in the event that a school district's revenues exceed its spending limit, the district may in any fiscal year increase its appropriations limit to equal its spending by borrowing appropriations limit from the State.

Article XIII B also includes a requirement that 50% of all revenues received by the State in a fiscal year and in the fiscal year immediately following it in excess of the amount permitted to be appropriated during that fiscal year and the fiscal year immediately following it shall be transferred and allocated to the State School Fund under Section 8.5 of Article XVI of the State Constitution.

Unitary Property

Some amount of property tax revenue of the District is derived from utility property which is considered part of a utility system with components located in many taxing jurisdictions (“**unitary property**”). Under the State Constitution, such property is assessed by the State Board of Equalization (“**SBE**”) as part of a “going concern” rather than as individual pieces of real or personal property. State-assessed unitary and certain other property is allocated to the counties by SBE, taxed at special county-wide rates, and the tax revenues distributed to taxing jurisdictions (including the District) according to statutory formulae generally based on the distribution of taxes in the prior year.

Articles XIIC and XIID of the California Constitution

On November 5, 1996, the voters of the State of California approved Proposition 218, popularly known as the “Right to Vote on Taxes Act.” Proposition 218 added to the California Constitution Articles XIIC and XIID (respectively, “**Article XIIC**” and “**Article XIID**”), which contain a number of provisions affecting the ability of local agencies, including school districts, to levy and collect both existing and future taxes, assessments, fees and charges.

According to the “Title and Summary” of Proposition 218 prepared by the California Attorney General, Proposition 218 limits “the authority of local governments to impose taxes and property-related assessments, fees and charges.” Among other things, Article XIIC establishes that every tax is either a “general tax” (imposed for general governmental purposes) or a “special tax” (imposed for specific purposes), prohibits special purpose government agencies such as school districts from levying general taxes, and prohibits any local agency from imposing, extending or increasing any special tax beyond its maximum authorized rate without a two-thirds vote; and also provides that the initiative power will not be limited in matters of reducing or repealing local taxes, assessments, fees and charges. Article XIIC further provides that no tax may be assessed on property other than *ad valorem* property taxes imposed in accordance with Articles XIII and XIII A of the California Constitution and special taxes approved by a two-thirds vote under Article XIII A, Section 4.

On November 2, 2010, Proposition 26 was approved by State voters, which amended Article XIII C to expand the definition of “tax” to include “any levy, charge, or exaction of any kind imposed by a local government” except the following: (1) a charge imposed for a specific benefit conferred or privilege granted directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of conferring the benefit or granting the privilege; (2) a charge imposed for a specific government service or product provided directly to the payor that is not provided to those not charged, and which does not exceed the reasonable costs to the local government of providing the service or product; (3) a charge imposed for the reasonable regulatory costs to a local government for issuing licenses and permits, performing investigations, inspections, and audits, enforcing agricultural marketing orders, and the administrative enforcement and adjudication thereof; (4) a charge imposed for entrance to or use of local government property, or the purchase, rental, or lease of local government property; (5) a fine, penalty, or other monetary charge imposed by the judicial branch of government or a local government, as a result of a violation of law; (6) a charge imposed as a condition of property development; and (7) assessments and property-related fees imposed in accordance with the provisions of Article XIII D. Proposition 26 provides that the local government bears the burden of proving by a preponderance of the evidence that a levy, charge, or other exaction is not a tax, that the amount is no more than necessary to cover the reasonable costs of the governmental activity, and that the manner in which those costs are allocated to a payor bear a fair or reasonable relationship to the payor’s burdens on, or benefits received from, the governmental activity.

Article XIII D deals with assessments and property-related fees and charges, and explicitly provides that nothing in Article XIII C or XIII D will be construed to affect existing laws relating to the imposition of fees or charges as a condition of property development.

While the provisions of Proposition 218 may have an indirect effect on the District, such as by limiting or reducing the revenues otherwise available to other local governments whose boundaries encompass property located within the District (thereby causing such local governments to reduce service levels and possibly adversely affecting the value of property within the District), the District does not believe that Proposition 218 will directly impact the revenues available to pay debt service on the Series A Bonds.

Proposition 98

On November 8, 1988, California voters approved Proposition 98, a combined initiative constitutional amendment and statute called the “Classroom Instructional Improvement and Accountability Act” (the “**Accountability Act**”). Certain provisions of the Accountability Act have, however, been modified by Proposition 111, discussed below, the provisions of which became effective on July 1, 1990. The Accountability Act changes State funding of public education below the university level and the operation of the State’s appropriations limit. The Accountability Act guarantees State funding for K-12 school districts and community college districts (hereinafter referred to collectively as “K-14 school districts”) at a level equal to the greater of (a) the same percentage of general fund revenues as the percentage appropriated to such districts in 1986-87, and (b) the amount actually appropriated to such districts from the general fund in the previous fiscal year, adjusted for increases in enrollment and changes in the cost of living. The Accountability Act permits the Legislature to suspend this formula for a one-year period.

The Accountability Act also changes how tax revenues in excess of the State appropriations limit are distributed. Any excess State tax revenues up to a specified amount

would, instead of being returned to taxpayers, be transferred to K-14 school districts. Any such transfer to K-14 school districts would be excluded from the appropriations limit for K-14 school districts and the K-14 school district appropriations limit for the next year would automatically be increased by the amount of such transfer. These additional moneys would enter the base funding calculation for K 14 school districts for subsequent years, creating further pressure on other portions of the State budget, particularly if revenues decline in a year following an Article XIII B surplus. The maximum amount of excess tax revenues which could be transferred to K 14 school districts is 4% of the minimum State spending for education mandated by the Accountability Act.

Proposition 111

On June 5, 1990, the voters approved Proposition 111 (Senate Constitutional Amendment No. 1) called the "Traffic Congestion Relief and Spending Limit Act of 1990" ("**Proposition 111**") which further modified Article XIII B and Sections 8 and 8.5 of Article XVI of the State Constitution with respect to appropriations limitations and school funding priority and allocation.

The most significant provisions of Proposition 111 are summarized as follows:

Annual Adjustments to Spending Limit. The annual adjustments to the Article XIII B spending limit were liberalized to be more closely linked to the rate of economic growth. Instead of being tied to the Consumer Price Index, the "change in the cost of living" is now measured by the change in California *per capita* personal income. The definition of "change in population" specifies that a portion of the State's spending limit is to be adjusted to reflect changes in school attendance.

Treatment of Excess Tax Revenues. "Excess" tax revenues with respect to Article XIII B are now determined based on a two-year cycle, so that the State can avoid having to return to taxpayers excess tax revenues in one year if its appropriations in the next fiscal year are under its limit. In addition, the Proposition 98 provision regarding excess tax revenues was modified. After any two-year period, if there are excess State tax revenues, 50% of the excess are to be transferred to K-14 school districts with the balance returned to taxpayers; under prior law, 100% of excess State tax revenues went to K-14 school districts, but only up to a maximum of 4% of the schools' minimum funding level. Also, reversing prior law, any excess State tax revenues transferred to K-14 school districts are not built into the school districts' base expenditures for calculating their entitlement for State aid in the next year, and the State's appropriations limit is not to be increased by this amount.

Exclusions from Spending Limit. Two exceptions were added to the calculation of appropriations which are subject to the Article XIII B spending limit. First, there are excluded all appropriations for "qualified capital outlay projects" as defined by the Legislature. Second, there are excluded any increases in gasoline taxes above the 1990 level (then nine cents per gallon), sales and use taxes on such increment in gasoline taxes, and increases in receipts from vehicle weight fees above the levels in effect on January 1, 1990. These latter provisions were necessary to make effective the transportation funding package approved by the Legislature and the Governor, which expected to raise over \$15 billion in additional taxes from 1990 through 2000 to fund transportation programs.

Recalculation of Appropriations Limit. The Article XIII B appropriations limit for each unit of government, including the State, is to be recalculated beginning in fiscal year 1990-91. It is based on the actual limit for fiscal year 1986-87, adjusted forward to 1990-91 as if Proposition 111 had been in effect.

School Funding Guarantee. There is a complex adjustment in the formula enacted in Proposition 98 which guarantees K-14 school districts a certain amount of State general fund revenues. Under prior law, K-14 school districts were guaranteed the greater of (1) 40.9% of State general fund revenues (the “**first test**”) or (2) the amount appropriated in the prior year adjusted for changes in the cost of living (measured as in Article XIII B by reference to *per capita* personal income) and enrollment (the “**second test**”). Under Proposition 111, schools will receive the greater of (1) the first test, (2) the second test, or (3) a third test, which will replace the second test in any year when growth in *per capita* State general fund revenues from the prior year is less than the annual growth in California per capita personal income (the “**third test**”). Under the third test, schools will receive the amount appropriated in the prior year adjusted for change in enrollment and *per capita* State general fund revenues, plus an additional small adjustment factor. If the third test is used in any year, the difference between the third test and the second test will become a “credit” to schools which will be paid in future years when State general fund revenue growth exceeds personal income growth.

Proposition 39

On November 7, 2000, California voters approved an amendment (commonly known as “**Proposition 39**”) to the California Constitution. This amendment (1) allows school facilities bond measures to be approved by 55% (rather than two-thirds) of the voters in local elections and permits property taxes to exceed the current 1% limit in order to repay the bonds and (2) changes existing statutory law regarding charter school facilities. As adopted, the constitutional amendments may be changed only with another Statewide vote of the people. The statutory provisions could be changed by a majority vote of both houses of the Legislature and approval by the Governor, but only to further the purposes of the proposition. The local school jurisdictions affected by this proposition are K-12 school districts, community college districts, including the District, and county offices of education (which are not divisions of the County of Fresno). As noted above, the California Constitution previously limited property taxes to 1% of the value of property. Prior to the approval of Proposition 39, property taxes could only exceed this limit to pay for (1) any local government debts approved by the voters prior to July 1, 1978 or (2) bonds to acquire or improve real property that receive two-thirds voter approval after July 1, 1978.

The 55% vote requirement authorized by Proposition 39 applies only if the local bond measure presented to the voters includes: (1) a requirement that the bond funds can be used only for construction, rehabilitation, equipping of school facilities, or the acquisition or lease of real property for school facilities; (2) a specific list of school projects to be funded and certification that the school board has evaluated safety, class size reduction, and information technology needs in developing the list; and (3) a requirement that the school board conduct annual, independent financial and performance audits until all bond funds have been spent to ensure that the bond funds have been used only for the projects listed in the measure. Legislation approved in June 2000 places certain limitations on local school bonds to be approved by 55% of the voters. These provisions require that the tax rate levied as the result of any single election be no more than \$60 (for a unified school district), \$30 (for an elementary school district or high school district), or \$25 (for a community college district), per \$100,000 of

taxable property value. These requirements are not part of this proposition and can be changed with a majority vote of both houses of the Legislature and approval by the Governor.

Proposition 30 and Proposition 55

Guaranteed Local Public Safety Funding, Initiative Constitutional Amendment (also known as “**Proposition 30**”), which temporarily increases the State Sales and Use Tax and personal income tax rates on higher incomes. Proposition 30 temporarily imposes an additional tax on all retailers, at the rate of 0.25% of gross receipts from the sale of all tangible personal property sold in the State from January 1, 2013 to December 31, 2016. Proposition 30 also imposes an additional excise tax on the storage, use, or other consumption in the State of tangible personal property purchased from a retailer on and after January 1, 2013 and before January 1, 2017. This excise tax will be levied at a rate of 0.25% of the sales price of the property so purchased. For personal income taxes imposed beginning in the taxable year commencing January 1, 2012 and ending December 31, 2018, Proposition 30 increases the marginal personal income tax rate by: (i) 1% for taxable income over \$250,000 but less than \$300,000 for single filers (over \$500,000 but less than \$600,000 for joint filers and over, \$340,000 but less than \$408,000 for head-of-household filers), (ii) 2% for taxable income over \$300,000 but less than \$500,000 for single filers (over \$600,000 but less than \$1,000,000 for joint filers and over \$408,000 but less than \$680,000 for head-of-household filers), and (iii) 3% for taxable income over \$500,000 for single filers (over \$1,000,000 for joint filers and over \$680,000 for head-of-household filers).

The revenues generated from the temporary tax increases will be included in the calculation of the Proposition 98 minimum funding guarantee for school districts and community college districts. See “-Proposition 98” and “-Proposition 111” above. From an accounting perspective, the revenues generated from the temporary tax increases will be deposited into the State account created pursuant to Proposition 30 called the Education Protection Account (the “**EPA**”). Pursuant to Proposition 30, funds in the EPA will be allocated quarterly, with 89% of such funds provided to school districts and 11% provided to community college districts. The funds will be distributed to school districts and community college districts in the same manner as existing unrestricted per-student funding, except that no school district will receive less than \$200 per unit of ADA and no community college district will receive less than \$100 per full time equivalent student. The governing board of each school district and community college district is granted sole authority to determine how the moneys received from the EPA are spent, provided that, the appropriate governing board is required to make these spending determinations in open session at a public meeting and such local governing boards are prohibited from using any funds from the EPA for salaries or benefits of administrators or any other administrative costs.

The California Children’s Education and Health Care Protection Act of 2016, also known as Proposition 55, was a constitutional amendment initiative that was approved on the November 8, 2016 general election ballot in California. Proposition 55 extends the increases to personal income tax rates for high-income taxpayers that were approved as part of Proposition 30 through 2030, instead of the scheduled expiration date of December 31, 2018. Proposition 55 did not extend the sales and use tax increase that was approved as part of Proposition 30. Tax revenue received under Proposition 55 is to be allocated 89% to K-12 schools and 11% to community colleges.

Proposition 1A and Proposition 22

On November 2, 2004, California voters approved Proposition 1A, which amended the State constitution to significantly reduce the State's authority over major local government revenue sources. Under Proposition 1A, the State cannot (i) reduce local sales tax rates or alter the method of allocating the revenue generated by such taxes, (ii) shift property taxes from local governments to schools or community colleges, (iii) change how property tax revenues are shared among local governments without two-thirds approval of both houses of the State Legislature or (iv) decrease Vehicle License Fee revenues without providing local governments with equal replacement funding. Under Proposition 1A, beginning, in 2008-09, the State may shift to schools and community colleges a limited amount of local government property tax revenue if certain conditions are met, including: (i) a proclamation by the Governor that the shift is needed due to a severe financial hardship of the State, and (ii) approval of the shift by the State Legislature with a two-thirds vote of both houses. Under such a shift, the State must repay local governments for their property tax losses, with interest, within three years. Proposition 1A does allow the State to approve voluntary exchanges of local sales tax and property tax revenues among local governments within a county. Proposition 1A also amended the State Constitution to require the State to suspend certain State laws creating mandates in any year that the State does not fully reimburse local governments for their costs to comply with the mandates. This provision does not apply to mandates relating to schools or community colleges or to those mandates relating to employee rights.

Proposition 22, a constitutional initiative entitled the "Local Taxpayer, Public Safety, and Transportation Protection Act of 2010," approved on November 2, 2010, superseded many of the provision of Proposition 1A. This initiative amends the State constitution to prohibit the legislature from diverting or shifting revenues that are dedicated to funding services provided by local government or funds dedicated to transportation improvement projects and services. Under this proposition, the State is not allowed to take revenue derived from locally imposed taxes, such as hotel taxes, parcel taxes, utility taxes and sales taxes, and local public transit and transportation funds. Further, in the event that a local governmental agency sues the State alleging a violation of these provisions and wins, then the State must automatically appropriate the funds needed to pay that local government. This Proposition was intended to, among other things, stabilize local government revenue sources by restricting the State's control over local property taxes. Proposition 22 did not prevent the California State Legislature from dissolving State redevelopment agencies pursuant to AB 1X26, as confirmed by the decision of the California Supreme Court decision in *California Redevelopment Association v. Matosantos* (2011).

Because Proposition 22 reduces the State's authority to use or reallocate certain revenue sources, fees and taxes for State general fund purposes, the State will have to take other actions to balance its budget, such as reducing State spending or increasing State taxes, and school and college districts that receive Proposition 98 or other funding from the State will be more directly dependent upon the State's general fund.

California Senate Bill 222

Senate Bill 222 (“**SB 222**”) was signed by the California Governor on July 13, 2015 and became effective on January 1, 2016. SB 222 amended Section 15251 of the California Education Code and added Section 52515 to the California Government Code to provide that voter approved general obligation bonds which are secured by *ad valorem* tax collections such as the Series A Bonds are secured by a statutory lien on all revenues received pursuant to the levy and collection of the property tax imposed to service those bonds. Said lien shall attach automatically and is valid and binding from the time the bonds are executed and delivered. The lien is enforceable against the issuer, its successors, transferees, and creditors, and all others asserting rights therein, irrespective of whether those parties have notice of the lien and without the need for any further act. The effect of SB 222 is the treatment of general obligation bonds as secured debt in bankruptcy due to the existence of a statutory lien.

Future Initiatives

Article XIII A, Article XIII B, Article XIII C and Article XIII D of the California Constitution and Propositions 98, 111, 22, 26, 30, 39 and 55 were each adopted as measures that qualified for the ballot under the State’s initiative process. From time to time other initiative measures could be adopted further affecting District revenues or the District’s ability to expend revenues. The nature and impact of these measures cannot be anticipated by the District.

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APPENDIX C

GENERAL INFORMATION ABOUT THE CITY OF FRESNO AND THE COUNTY OF FRESNO

*The following information concerning the City of Fresno (the “**City**”) and the County of Fresno (the “**County**”) is included only for the purpose of supplying general information regarding the area of the District. The Series A Bonds are not a debt of the City, the County, the State or any of its political subdivisions (other than the District), and none of the County, the State or any of its political subdivisions (other than the District) is liable therefor. The County, including its Board of Supervisors, officers, officials, agents and other employees, are required, only to the extent required by law, to: (i) levy and collect ad valorem taxes for payment of the Series A Bonds in accordance with the law; and (ii) transmit the proceeds of such taxes to the paying agent for the payment of the principal and Accreted Value of and interest on Series A Bonds at the time such payment is due.*

City of Fresno

The District comprises a large portion of the City in Fresno County (the “**County**”), the heart of California's San Joaquin Valley. The County is predominantly an agriculturally based economy, but is promoting business growth through the expansion of industrial development and through partnerships with the County, the I-5 Business Development Corridor, the Economic Development Corporation serving the County and the Regional Jobs Initiative.

The County of Fresno. The County is California's fifth largest county, covering approximately 6,000 square miles. It is located in the geographic center of the State and is the nation's leading crop-producing county.

Within the County, there are roughly four different agricultural areas. East and south of the City of Fresno, grapes and other fruit and nut crops are grown, harvested and processed for shipment; west of the City of Fresno is the largest melon-producing area, which lies within the Mendota Unified School District. Also to the west, large crops of cotton, alfalfa, barley, rice, wheat and vegetables are produced. In the southwest are oil wells, and extensive cattle and sheep ranches.

The County is the trade, financial and commercial center for many surrounding counties in Central California and is a hub of transportation facilities connecting Central California to all parts of the country. Two major north-south highways, State Highway 99 and Interstate Highway 5, pass through the County. State Highways 180 and 145 run east and west. Railroads, major airlines, bus lines and numerous trucking companies also serve the area.

Population

The most recent estimate of the County's population at January 1, 2018 was 1,007,229 persons according to the State Department of Finance. The City, with an estimated 2018 population of 533,670 persons, is the largest city in the County. The table below shows population estimates for the cities in the County for the last five years, as of January 1.

FRESNO COUNTY
Population Estimates
Calendar Years 2014 through 2018
(As of January 1st)

	2014	2015	2016	2017	2018
Clovis	102,442	105,220	107,958	110,532	113,883
Coalinga	16,383	16,484	16,654	16,987	16,791
Firebaugh	7,951	8,101	8,095	8,047	8,112
Fowler	5,777	5,841	5,918	6,092	6,241
Fresno	519,157	524,938	529,552	533,670	538,330
Huron	6,867	6,895	7,009	7,274	7,302
Kerman	14,354	14,423	14,507	14,743	15,083
Kingsburg	11,809	11,959	12,025	12,215	12,392
Mendota	11,409	11,418	11,560	11,704	12,051
Orange Cove	9,196	9,117	9,141	9,279	9,469
Parlier	14,755	14,815	15,112	15,283	15,493
Reedley	25,286	25,875	25,935	26,023	26,390
Sanger	24,912	25,286	25,878	26,249	26,648
San Joaquin	4,056	4,068	4,076	4,095	4,119
Selma	23,956	24,027	24,288	24,585	24,742
Balance of County	166,301	166,576	166,829	168,455	170,183
	964,611	975,043	984,537	995,233	1,007,229

Source: State Department of Finance, Demographic Research.

Employment and Industry

The District is included in the Fresno Metropolitan Statistical Area (“MSA”). The unemployment rate in the Fresno MSA was 8.7% in January 2018, up from a revised 8.1% in December 2017, and below the year-ago estimate of 10.4%. This compares with an unadjusted unemployment rate of 4.6% for California and 4.5% for the nation during the same period.

The table below provides information about employment by industry type for Fresno County for calendar years 2013 through 2017.

FRESNO COUNTY Civilian Labor Force, Employment and Unemployment, Unemployment by Industry (Annual Averages)

	2013	2014	2015	2016	2017
Civilian Labor Force ⁽¹⁾	437,900	439,100	441,300	446,200	449,700
Employment	379,900	388,300	396,500	404,100	411,600
Unemployment	58,000	50,800	44,800	42,100	38,100
Unemployment Rate	13.2%	11.6%	10.2%	9.4%	8.5%
<u>Wage and Salary Employment:</u> ⁽²⁾					
Agriculture	49,200	48,800	47,300	47,000	46,500
Mining and Logging	300	300	300	300	300
Construction	13,100	13,900	15,000	15,900	17,300
Manufacturing	23,100	23,900	25,300	25,100	25,700
Wholesale Trade	13,600	13,700	13,800	14,400	14,400
Retail Trade	35,100	36,300	37,400	38,700	38,700
Trans., Warehousing, Utilities	12,000	11,900	12,300	12,700	13,100
Information	3,800	3,900	3,900	3,800	3,600
Financial and Insurance	8,700	8,400	8,500	8,700	8,800
Professional and Business Services	28,900	31,000	31,500	31,900	32,000
Educational and Health Services	55,400	57,000	60,400	64,200	67,800
Leisure and Hospitality	29,000	30,600	31,400	32,200	34,000
Other Services	10,900	11,200	11,500	11,900	11,700
Federal Government	9,900	9,800	9,600	9,800	9,800
State Government	10,600	11,400	11,900	12,100	12,400
Local Government	43,600	45,100	47,200	49,200	50,300
Total All Industries ⁽³⁾	351,500	361,500	371,700	382,500	391,000

(1) Labor force data is by place of residence; includes self-employed individuals, unpaid family workers, household domestic workers, and workers on strike.

(2) Industry employment is by place of work; excludes self-employed individuals, unpaid family workers, household domestic workers, and workers on strike.

(3) Calculations may not foot due to rounding.

Source: State of California Employment Development Department.

The largest employers in the City of Fresno for the year ending June 30, 2017 were as follows:

**CITY OF FRESNO
PRINCIPAL EMPLOYERS
Year Ending June 30, 2017
(Ranked by Number of Employees)**

Employer Name	Approximate Number of Employees
Fresno Unified School District	10,552
County of Fresno	6,530
Community Regional Medical Center	5,863
Internal Revenue Service	4,040
City of Fresno	3,575
Saint Agnes Medical Center	2,812
California State University, Fresno	2,542
Kaiser Permanente Medical Center	2,200
State Center Community College District	1,702
Central Unified School District	1,302

Source: City of Fresno, Comprehensive Annual Financial Report for fiscal year ending June 30, 2017.

The following table shows the major employers in the County as of February 2018, in alphabetical order without regard to the number of employees.

**FRESNO COUNTY
Major Employers
(Listed Alphabetically)**

Employer Name	Location	Industry
Aetna	Fresno	Insurance
California Teaching Fellows	Fresno	Employment Service-Govt Co Fraternal
Cargill	Fresno	Meat Packers (Mfrs)
Cargill Meat Solutions	Fresno	Locker Plants
Community Regional Medical Ctr	Fresno	Hospitals
Foster Farms	Fresno	Poultry Farms
Fresno County Economic Comm	Fresno	Pre-Schools
Fresno County Sheriff's Dept	Fresno	Police Departments
Fresno Police Dept	Fresno	Police Departments
Fresno Police Dept	Fresno	Police Departments
Fresno Police-Mgmt Support	Fresno	Police Departments
Fresno State	Fresno	Schools-Universities & Colleges Academic
Fresno Unified School District	Fresno	School Districts
Kaiser Permanente Fresno Med	Fresno	Hospitals
Phebe Conley Art Gallery	Fresno	Art Galleries & Dealers
Pitman Farms	Sanger	Farms
Pleasant Valley State Prison	Coalinga	Government Offices-State
Shehadey Pavilion At St Agnes	Fresno	Diagnostic Imaging Centers
St Agnes Medical Ctr	Fresno	Information & Referral Svcs-Hlth Prgms
St Agnes Medical Ctr	Fresno	Hospitals
Stamoules Produce Co	Mendota	Fruits & Vegetables & Produce-Retail
State Center Community College	Fresno	Schools-Universities & Colleges Academic
Taylor Communications	Fresno	Commercial Printing NEC (Mfrs)
US Veterans Medical Ctr	Fresno	Hospitals
Zacky Farms	Fresno	Poultry & Eggs NEC

Source: State of California Employment Development Department, extracted from The America's Labor Market Information System (ALMIS) Employer Database, 2018 1st Edition.

Construction Activity

The tables below summarize building activity in the City and the County from calendar years 2012 through 2016. Figures for 2017 are not yet available.

FRESNO COUNTY Total Building Permit Valuations (Valuations in Thousands) Calendar Years 2012 through 2016

	2012	2013	2014	2015	2016
Permit Valuation					
New Single-family	\$304,106.2	\$622,066.8	\$169,849.3	\$580,986.1	\$689,016.6
New Multi-family	17,836.2	66,027.4	26,415.8	34,183.6	52,363.2
Res. Alterations/Additions	<u>27,063.5</u>	<u>30,063.8</u>	<u>12,067.7</u>	<u>31,800.5</u>	<u>30,648.8</u>
Total Residential	349,005.9	718,158.0	208,332.8	646,970.2	772,028.6
New Commercial	95,185.4	84,573.3	11,858.2	210,280.3	184,408.2
New Industrial	9,469.7	16,564.2	41,309.9	8,359.4	14,895.8
New Other	3,231.6	37,704.0	47,263.0	121,042.6	147,642.2
Com. Alterations/Additions	<u>77,031.1</u>	<u>53,879.5</u>	<u>24,327.3</u>	<u>88,609.5</u>	<u>80,745.4</u>
Total Nonresidential	184,917.1	192,721.0	124,758.4	428,291.8	427,691.6
<u>New Dwelling Units</u>					
Single Family	1,349	2,310	584	2,153	2,559
Multiple Family	<u>243</u>	<u>773</u>	<u>363</u>	<u>343</u>	<u>339</u>
TOTAL	1,592	3,083	947	2,496	2,898

Source: Construction Industry Research Board, Building Permit Summary.

CITY OF FRESNO Total Building Permit Valuations (Valuations in Thousands) Calendar Years 2012 through 2016

	2012	2013	2014	2015	2016
Permit Valuation					
New Single-family	\$181,300.5	\$316,274.9	\$388,564.8	\$238,651.6	\$169,849.3
New Multi-family	16,323.9	38,251.7	43,654.0	15,082.3	26,415.8
Res. Alterations/Additions	<u>12,876.9</u>	<u>13,673.3</u>	<u>35,354.2</u>	<u>13,111.9</u>	<u>12,067.7</u>
Total Residential	210,501.3	368,199.9	467,573.0	266,845.8	208,332.8
New Commercial	33,925.0	129,117.6	21,368.5	92,814.7	107,282.6
New Industrial	4,836.8	20,967.0	70,566.8	3,820.0	11,567.3
New Other	597.6	49,089.1	98,770.5	13,408.9	37,567.1
Com. Alterations/Additions	<u>45,823.2</u>	<u>77,977.8</u>	<u>49,382.5</u>	<u>66,047.6</u>	<u>57,936.8</u>
Total Nonresidential	85,182.6	277,151.5	240,088.3	176,091.2	214,353.8
<u>New Dwelling Units</u>					
Single Family	809	1,161	1,410	835	925
Multiple Family	<u>221</u>	<u>453</u>	<u>539</u>	<u>161</u>	<u>259</u>
TOTAL	1030	1,614	1,949	996	1,184

Source: Construction Industry Research Board, Building Permit Summary.

Effective Buying Income

“Effective Buying Income” is defined as personal income less personal tax and nontax payments, a number often referred to as “disposable” or “after-tax” income. Personal income is the aggregate of wages and salaries, other labor-related income (such as employer contributions to private pension funds), proprietor’s income, rental income (which includes imputed rental income of owner-occupants of non-farm dwellings), dividends paid by corporations, interest income from all sources, and transfer payments (such as pensions and welfare assistance). Deducted from this total are personal taxes (federal, state and local), nontax payments (fines, fees, penalties, etc.) and personal contributions to social insurance. According to U.S. government definitions, the resultant figure is commonly known as “disposable personal income.”

The following table summarizes the median household effective buying income for the City, the County, the State and the United States for the period 2012 through 2016. Figures for 2017 are not yet available.

FRESNO COUNTY Median Household Effective Buying Income 2012 through 2016

	2012	2013	2014	2015	2016
City of Fresno	\$35,697	\$36,272	\$35,613	\$37,934	\$38,139
County of Fresno	37,735	38,382	38,000	40,819	41,237
California	47,307	48,340	50,072	53,589	55,681
United States	41,358	43,715	45,448	46,738	48,043

Source: The Nielsen Company (US), Inc.

Commercial Activity

A summary of historic taxable sales within the County during the past five years in which data are available is shown in the following table. Total taxable sales during the calendar year 2016 in the County were reported to be \$14,073,246,251 a 0.05% decrease over the total taxable sales of \$14,080,799,795 reported during the calendar year 2015. Annual figures for 2017 are not yet available.

FRESNO COUNTY Annual Taxable Transactions Number of Permits and Valuation of Taxable Transactions (Dollars in Thousands)

	Retail Stores		Total All Outlets	
	Number of Permits	Taxable Transactions	Number of Permits	Taxable Transactions
2012	12,670	\$8,164,919	19,164	\$12,020,630
2013	12,047	8,597,480	18,112	12,618,111
2014	12,268	8,998,182	18,304	13,328,511
2015 ⁽¹⁾	7,298	9,247,617	20,242	14,080,800
2016	13,128	9,567,618	20,530	10,073,246

1) Permit figures for calendar year 2015 are not comparable to that of prior years due to outlet counts in these reports including the number of outlets that were active during the reporting period. Retailers that operate part-time are now tabulated with store retailers.

Source: California State Board of Equalization, Taxable Sales in California (Sales & Use Tax).

A summary of historic taxable sales within the City during the past five years in which data are available is shown in the following table. Total taxable sales during the calendar year 2016 in the City were reported to be \$7,625,682,530a 2.69% increase over the total taxable sales of \$7,426,270,571 reported during the first three quarters of 2015. Annual figures for 2017 are not yet available.

CITY OF FRESNO Taxable Transactions Number of Permits and Valuation of Taxable Transactions (Dollars in Thousands)

	Retail Stores		Total All Outlets	
	Number of Permits	Taxable Transactions	Number of Permits	Taxable Transactions
2012	7,021	\$5,199,262	10,781	\$6,695,043
2013	6,724	5,352,056	10,230	6,947,119
2014	6,883	5,562,107	10,363	7,265,939
2015 ⁽¹⁾	7,285	5,668,560	11,457	7,426,271
2016	7,417	5,881,289	11,674	7,625,683

(1) Permit figures for calendar year 2015 are not comparable to that of prior years due to outlet counts in these reports including the number of outlets that were active during the reporting period. Retailers that operate part-time are now tabulated with store retailers.

Source: California State Board of Equalization, Taxable Sales in California (Sales & Use Tax).

APPENDIX D
FORM OF OPINION OF BOND COUNSEL

[Closing Date]

Board of Education
Fresno Unified School District
2309 Tulare Street
Fresno, California 93721

OPINION: \$59,996,662.85 Fresno Unified School District
 (Fresno County, California) General Obligation Bonds,
 Election of 2016, Series A

Members of the Board of Trustees:

We have acted as bond counsel to the Fresno Unified School District (the "District") in connection with the issuance by the District of its Fresno Unified School District (Fresno County, California) General Obligation Bonds, Election of 2016, Series A in the aggregate principal amount of \$59,996,662.85 (the "Bonds"), under Article 4.5 of Chapter 3 of Part 1 of Division 2 of Title 5 of the California Government Code, commencing with Section 53506 of said Code (the "Bond Law") and under Resolution No. 17-45 adopted by the Board of Education of the District on April 25, 2018 (the "Bond Resolution"), and a Paying Agent Agreement dated as of May 1, 2018 (the "Paying Agent Agreement"), between the District and U.S. Bank National Association, as paying agent. We have examined the law and such certified proceedings and other papers as we have deemed necessary to render this opinion.

As to questions of fact material to our opinion, we have relied upon representations of the District and in the certified proceedings and certifications of public officials and others furnished to us, without undertaking to verify the same by independent investigation.

Based upon the foregoing, we are of the opinion, under existing law, as follows:

1. The District is duly established and validly existing as a unified school district with the power to issue the Bonds and to perform its obligations under the Bond Resolution.
2. The Bond Resolution has been duly adopted by the Board of Education of the District, the Paying Agent Agreement has been duly executed and delivered by the District, and the Bond Resolution and the Paying Agent Agreement constitute valid and binding obligations of the District enforceable against the District in accordance with their respective terms.
3. The Bonds have been duly authorized, issued and sold by the District and are valid and binding general obligations of the District, and the County of Fresno is obligated and authorized under the laws of the State of California to levy *ad valorem* taxes, without limit as to rate or amount (except with respect to certain personal property which is taxable at limited

rates), upon the taxable property in the District for the payment when due of the principal and, as applicable, accreted value, of and interest on the Bonds.

4. The interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax, although, in the case of tax years beginning prior to January 1, 2018, for the purpose of computing the alternative minimum tax imposed on certain corporations, such interest earned by a corporation prior to the end of its tax year in 2018 is taken into account in determining certain income and earnings. The opinions set forth in the preceding sentence are subject to the condition that the District comply with all requirements of the Internal Revenue Code of 1986, as amended, relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Bonds. The District has made certain representations and covenants in order to comply with each such requirement. Inaccuracy of those representations, or failure to comply with certain of those covenants, may cause the inclusion of such interest in gross income for federal income tax purposes, which may be retroactive to the date of issuance of the Bonds.

5. The interest on the Bonds is exempt from personal income taxation imposed by the State of California.

We express no opinion regarding any other tax consequences arising with respect to the ownership, sale or disposition of, or the amount, accrual or receipt of interest on, the Bonds.

The rights of the owners of the Bonds and the enforceability of the Bonds are limited by bankruptcy, insolvency, reorganization, moratorium and other similar laws affecting creditors' rights generally, and by equitable principles, whether considered at law or in equity.

This opinion is given as of the date hereof, and we assume no obligation to revise or supplement this opinion to reflect any facts or circumstances that may hereafter come to our attention, or any changes in law that may hereafter occur.

Respectfully submitted,

Jones Hall,
A Professional Law Corporation

APPENDIX E

FORM OF CONTINUING DISCLOSURE CERTIFICATE

\$59,996,622.85
FRESNO UNIFIED SCHOOL DISTRICT
(Fresno County, California)
General Obligation Bonds
Election of 2016, Series A

CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the "Disclosure Certificate") is executed and delivered by the Fresno Unified School District (the "District") in connection with the issuance of the above-captioned bonds (the "Bonds"). The Bonds are being issued under a resolution adopted by the Board of Education of the District (the "Bond Resolution") and a Paying Agent Agreement, dated as of June 1, 2018, between the District and U.S. Bank National Association, as paying agent thereunder. The District covenants and agrees as follows:

Section 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District for the benefit of the holders and beneficial owners of the Bonds and in order to assist the Participating Underwriter in complying with S.E.C. Rule 15c2-12(b)(5).

Section 2. Definitions. In addition to the definitions set forth in the Bond Resolution or the Paying Agent Agreement, which apply to any capitalized term used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms have the following meanings:

"*Annual Report*" means any Annual Report provided by the District under and as described in Sections 3 and 4.

"*Annual Report Date*" means the date that is nine months after the end of the District's fiscal year (currently March 31 based on the District's fiscal year end of June 30).

"*Dissemination Agent*" means, initially, Keygent LLC, or any successor Dissemination Agent designated in writing by the District and which has filed with the District and the Paying Agent a written acceptance of such designation.

"*Listed Events*" means any of the events listed in Section 5(a).

"*MSRB*" means the Municipal Securities Rulemaking Board, which has been designated by the Securities and Exchange Commission as the sole repository of disclosure information for purposes of the Rule.

"*Participating Underwriter*" means any of the original Underwriters of the Bonds required to comply with the Rule in connection with offering of the Bonds.

"*Rule*" means Rule 15c2-12(b)(5) adopted by the Securities and Exchange Commission under the Securities Exchange Act of 1934, as the same may be amended from time to time.

Section 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to provide, not later than nine months after the end of the District's fiscal year (which currently would be March 31), commencing no later than March 31, 2019 with the report for the 2017-18 Fiscal Year, provide to the MSRB, in an electronic format as prescribed by the MSRB, an Annual Report that is consistent with the requirements of Section 4 of this Disclosure Certificate. Not later than 15 Business Days prior to the Annual Report Date, the District shall provide the Annual Report to the Dissemination Agent (if other than the District). If by 15 Business Days prior to the Annual Report Date the Dissemination Agent (if other than the District) has not received a copy of the Annual Report, the Dissemination Agent shall contact the District to determine if the District is in compliance with the previous sentence. The Annual Report may be submitted as a single document or as separate documents comprising a package, and may include by reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the District may be submitted separately from the balance of the Annual Report, and later than the Annual Report Date, if not available by that date, as provided in section 4(a). If the District's fiscal year changes, it shall give notice of such change in the same manner as for a Listed Event under Section 5(c). The District shall provide a written certification with each Annual Report furnished to the Dissemination Agent to the effect that such Annual Report constitutes the Annual Report required to be furnished by the District hereunder.

(b) If the District does not provide (or cause the Dissemination Agent to provide) an Annual Report by the Annual Report Date, the District shall provide in a timely manner (or cause the Dissemination Agent to provide in a timely manner) to the MSRB, in an electronic format as prescribed by the MSRB, a notice in substantially the form attached as Exhibit A.

(c) With respect to the Annual Report, the Dissemination Agent shall:

- (i) determine each year prior to the Annual Report Date the then-applicable rules and electronic format prescribed by the MSRB for the filing of annual continuing disclosure reports; and
- (ii) if the Dissemination Agent is other than the District, file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, and stating the date it was provided.

Section 4. Content of Annual Reports. The Annual Report shall contain or incorporate by reference the following:

(a) Audited financial statements prepared in accordance with generally accepted accounting principles as promulgated to apply to governmental entities from time to time by the Governmental Accounting Standards Board. If the District's audited financial statements are not available by the Annual Report Date, the Annual Report shall contain unaudited financial statements in a format similar to the financial statements contained in the final Official Statement, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available.

(b) Unless otherwise provided in the audited financial statements filed on or before the Annual Report Date, the following information:

- (i) The District's most recently adopted budget, or most recently

approved interim report showing budgeted figures and projections;

- (ii) Assessed value of taxable property in the jurisdiction of the District as shown on the most recent equalized assessment roll;
- (iii) Changes, if any, in the operation of the County of Fresno's Teeter Plan affecting the District;
- (iv) Property tax collection delinquencies for the District for the most recently completed Fiscal Year, if the District is no longer a participant in the County of Fresno's Teeter Plan;
- (v) The top twenty secured property taxpayers in the District as shown on the most recent equalized assessment roll; and
- (vi) In addition to any of the information expressly required to be provided under paragraphs (i) through (v), of this Section, the District shall provide such further information, if any, as may be necessary to make the specifically required statements, in the light of the circumstances under which they are made, not misleading.

(c) Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which are available to the public on the MSRB's Internet web site or filed with the Securities and Exchange Commission.

Section 5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5, the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds:

- (1) Principal and interest payment delinquencies.
- (2) Non-payment related defaults, if material.
- (3) Unscheduled draws on debt service reserves reflecting financial difficulties.
- (4) Unscheduled draws on credit enhancements reflecting financial difficulties.
- (5) Substitution of credit or liquidity providers, or their failure to perform.
- (6) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the security, or other material events affecting the tax status of the security.
- (7) Modifications to rights of security holders, if material.
- (8) Bond calls, if material, and tender offers.
- (9) Defeasances.

- (10) Release, substitution, or sale of property securing repayment of the securities, if material.
- (11) Rating changes.
- (12) Bankruptcy, insolvency, receivership or similar event of the District.
- (13) The consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material.
- (14) Appointment of a successor or additional trustee or the change of name of a trustee, if material.

(b) Whenever the District obtains knowledge of the occurrence of a Listed Event, the District shall, or shall cause the Dissemination Agent (if not the District) to, file a notice of such occurrence with the MSRB, in an electronic format as prescribed by the MSRB, in a timely manner not in excess of 10 business days after the occurrence of the Listed Event. Notwithstanding the foregoing, notice of Listed Events described in subsection (a)(8) above need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to holders of affected the Bonds under the Resolution.

(c) The District acknowledges that the events described in subparagraphs (a)(2), (a)(7), (a)(8) (if the event is a bond call), (a)(10), (a)(13), and (a)(14) of this Section 5 contain the qualifier "if material" and that subparagraph (a)(6) also contains the qualifier "material" with respect to certain notices, determinations or other events affecting the tax status of the Bonds. The District shall cause a notice to be filed as set forth in paragraph (b) above with respect to any such event only to the extent that it determines the event's occurrence is material for purposes of U.S. federal securities law. Whenever the District obtains knowledge of the occurrence of any of these Listed Events, the District will as soon as possible determine if such event would be material under applicable federal securities law. If such event is determined to be material, the District will cause a notice to be filed as set forth in paragraph (b) above.

(d) For purposes of this Disclosure Certificate, any event described in paragraph (a)(12) above is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent, or similar officer for the District in a proceeding under the United States Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement, or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District.

Section 6. Identifying Information for Filings with the MSRB. All documents provided to the MSRB under the Disclosure Certificate shall be accompanied by identifying information as prescribed by the MSRB.

Section 7. Termination of Reporting Obligation. The District's obligations under this Disclosure Certificate shall terminate upon the legal defeasance, prior redemption or payment in full of all of the Bonds. If such termination occurs prior to the final maturity of the Bonds, the

District shall give notice of such termination in the same manner as for a Listed Event under Section 5(c).

Section 8. Dissemination Agent. The District may, from time to time, appoint or engage a Dissemination Agent to assist it in carrying out its obligations under this Disclosure Certificate, and may discharge any such Agent, with or without appointing a successor Dissemination Agent.

Section 9. Amendment; Waiver. Notwithstanding any other provision hereof, the District may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, provided that the following conditions are satisfied:

(a) if the amendment or waiver relates to the provisions of Sections 3(a), 4 or 5(a), it may only be made in connection with a change in circumstances that arises from a change in legal requirements, change in law, or change in the identity, nature, or status of an obligated person with respect to the Bonds, or type of business conducted;

(b) the undertakings herein, as proposed to be amended or waived, would, in the opinion of nationally recognized bond counsel, have complied with the requirements of the Rule at the time of the primary offering of the Bonds, after taking into account any amendments or interpretations of the Rule, as well as any change in circumstances; and

(c) the proposed amendment or waiver either (i) is approved by holders of the Bonds in the manner provided in the Bond Resolution for amendments to the Bond Resolution with the consent of holders, or (ii) does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the holders or beneficial owners of the Bonds.

If the annual financial information or operating data to be provided in the Annual Report is amended under the provisions hereof, the first annual financial information filed pursuant hereto containing the amended operating data or financial information shall explain, in narrative form, the reasons for the amendment and the impact of the change in the type of operating data or financial information being provided.

If an amendment is made to the undertaking specifying the accounting principles to be followed in preparing financial statements, the annual financial information for the year in which the change is made shall present a comparison between the financial statements or information prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles. The comparison shall include a qualitative discussion of the differences in the accounting principles and the impact of the change in the accounting principles on the presentation of the financial information, in order to provide information to investors to enable them to evaluate the ability of the District to meet its obligations. To the extent reasonably feasible, the comparison shall be quantitative. A notice of the change in the accounting principles shall be filed in the same manner as for a Listed Event under Section 5(c).

Section 10. Additional Information. Nothing in this Disclosure Certificate prevents the District from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the District chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the District shall have no obligation under this

Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

Section 11. Default. If the District fails to comply with any provision of this Disclosure Certificate, any holder or beneficial owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the District to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an Event of Default under the Bond Resolution, and the sole remedy under this Disclosure Certificate in the event of any failure of the District to comply with this Disclosure Certificate shall be an action to compel performance.

Section 12. Duties, Immunities and Liabilities of Dissemination Agent. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate, and the District agrees to indemnify and save the Dissemination Agent, its officers, directors, employees and agents, harmless against any loss, expense and liabilities which it may incur arising out of or in the exercise or performance of its powers and duties hereunder, including the costs and expenses (including attorneys fees) of defending against any claim of liability, but excluding liabilities due to the Dissemination Agent's negligence or willful misconduct. The obligations of the District under this Section shall survive resignation or removal of the Dissemination Agent and payment of the Bonds.

Section 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Dissemination Agent, the Participating Underwriter and holders and beneficial owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Date: May 31, 2018

FRESNO UNIFIED SCHOOL DISTRICT

By: _____
Deputy Superintendent/CFO,
Administrative Services

**ACCEPTANCE OF APPOINTMENT
BY DISSEMINATION AGENT**

KEYGENT LLC, as Dissemination Agent

By: _____
Authorized Officer

EXHIBIT A

NOTICE OF FAILURE TO FILE ANNUAL REPORT

Name of Obligor: Fresno Unified School District

Name of Bond Issue: \$59,996,622.85 aggregate principal amount of Fresno Unified School District (Fresno County, California) General Obligation Bonds, Election of 2016, Series A

Date of Issuance: May 31, 2018

NOTICE IS HEREBY GIVEN that the District has not provided an Annual Report with respect to the above-named Series A Bonds as required by the Continuing Disclosure Certificate, dated as of May 31, 2018. The District anticipates that the Annual Report will be filed by _____.

Dated: _____

DISSEMINATION AGENT:

By: _____

Its: _____

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APPENDIX F

DTC AND THE BOOK-ENTRY SYSTEM

The following description of the Depository Trust Company (“DTC”), the procedures and record keeping with respect to beneficial ownership interests in the Bonds, payment of principal, interest and other payments on the Series A Bonds to DTC Participants or Beneficial Owners, confirmation and transfer of beneficial ownership interest in the Bonds and other related transactions between DTC, the DTC Participants and the Beneficial Owners is based solely on information provided by DTC. Accordingly, no representations can be made concerning these matters and neither the DTC Participants nor the Beneficial Owners should rely on the foregoing information with respect to such matters, but should instead confirm the same with DTC or the DTC Participants, as the case may be.

Neither the District, the Underwriters nor the Paying Agent take any responsibility for the information contained in this Section.

No assurances can be given that DTC, DTC Participants or Indirect Participants will distribute to the Beneficial Owners (a) payments of interest, principal or premium, if any, with respect to the Bonds, (b) Bonds representing ownership interest in or other confirmation or ownership interest in the Bonds, or (c) redemption or other notices sent to DTC or Cede & Co., its nominee, as the registered owner of the Bonds, or that they will so do on a timely basis, or that DTC, DTC Participants or DTC Indirect Participants will act in the manner described in this Appendix. The current “Rules” applicable to DTC are on file with the Securities and Exchange Commission and the current “Procedures” of DTC to be followed in dealing with DTC Participants are on file with DTC.

1. The Depository Trust Company (“DTC”), New York, NY, will act as securities depository for the securities (the “Securities”). The Securities will be issued as fully-registered securities registered in the name of Cede & Co. (DTC’s partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered Security certificate will be issued for each issue of the Securities, each in the aggregate principal amount of such issue, and will be deposited with DTC. If, however, the aggregate principal amount of any issue exceeds \$500 million, one certificate will be issued with respect to each \$500 million of principal amount, and an additional certificate will be issued with respect to any remaining principal amount of such issue.

2. DTC, the world’s largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a “banking organization” within the meaning of the New York Banking Law, a member of the Federal Reserve System, a “clearing corporation” within the meaning of the New York Uniform Commercial Code, and a “clearing agency” registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC’s participants (“Direct Participants”) deposit with DTC. DTC also facilitates the post-trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants’ accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is

a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

3. Purchases of Securities under the DTC system must be made by or through Direct Participants, which will receive a credit for the Securities on DTC's records. The ownership interest of each actual purchaser of each Security ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Securities are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in Securities, except in the event that use of the book-entry system for the Securities is discontinued.

4. To facilitate subsequent transfers, all Securities deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Securities with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Securities; DTC's records reflect only the identity of the Direct Participants to whose accounts such Securities are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

5. Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Securities may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Securities, such as redemptions, tenders, defaults, and proposed amendments to the Security documents. For example, Beneficial Owners of Securities may wish to ascertain that the nominee holding the Securities for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

6. Redemption notices shall be sent to DTC. If less than all of the Securities within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

7. Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Securities unless authorized by a Direct Participant in accordance with DTC's MMI

Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to Issuer as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Securities are credited on the record date (identified in a listing attached to the Omnibus Proxy).

8. Redemption proceeds, distributions, and dividend payments on the Securities will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from Issuer or Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, Agent, or Issuer, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of Issuer or Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

9. A Beneficial Owner shall give notice to elect to have its Securities purchased or tendered, through its Participant, to the Paying Agent, and shall effect delivery of such Securities by causing the Direct Participant to transfer the Participant's interest in the Securities, on DTC's records, to the Paying Agent. The requirement for physical delivery of Securities in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Securities are transferred by Direct Participants on DTC's records and followed by a book-entry credit of tendered Securities to the Paying Agent's DTC account.

10. DTC may discontinue providing its services as depository with respect to the Securities at any time by giving reasonable notice to Issuer or Agent. Under such circumstances, in the event that a successor depository is not obtained, Security certificates are required to be printed and delivered.

11. Issuer may decide to discontinue use of the system of book-entry-only transfers through DTC (or a successor securities depository). In that event, Security certificates will be printed and delivered to DTC.

12. The information in this section concerning DTC and DTC's book-entry system has been obtained from sources that Issuer believes to be reliable, but Issuer takes no responsibility for the accuracy thereof.

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APPENDIX G

FRESNO COUNTY INVESTMENT POLICY AND REPORT

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**Oscar J. Garcia, CPA
Auditor-Controller/Treasurer-Tax Collector**

County of Fresno Treasury Investment Pool

INVESTMENT POLICY

Established: 1984

Current Revision: December 5, 2017

**(559) 600-3496
Room 105
Hall of Records
2281 Tulare Street
Fresno, California 93721**

COUNTY OF FRESNO
AUDITOR-CONTROLLER/TREASURER-TAX COLLECTOR
TREASURY INVESTMENT POOL

INVESTMENT POLICY

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COUNTY OF FRESNO
AUDITOR-CONTROLLER/TREASURER-TAX COLLECTOR
TREASURY INVESTMENT POOL

INVESTMENT POLICY

1.0 Purpose

The Auditor-Controller/Treasurer-Tax Collector's policy is to invest public funds in a manner that will provide a market average rate of return consistent with the objectives included in this Investment Policy while meeting the daily cash flow demands of the County Treasury, and conform to all applicable state laws governing the investment of public funds.

Investments differing from this policy shall be made only in circumstances where market timing or economic trends indicate such investments are beneficial. Such investments must comply with all applicable laws and may only be made with written approval by the Auditor-Controller/Treasurer-Tax Collector.

2.0 Scope

This Investment Policy applies to all financial assets deposited and retained in the County of Fresno Treasury Investment Pool.

3.0 Objective

The primary objectives, in priority order, of the County of Fresno's investment activities shall be the following:

3.1 Legality. Investments shall only be made in securities legally permissible by the California Government Code(GC), Sections 53635, 53635.2 et. al. In recognition of a rapidly changing and expanding marketplace, new concepts or securities shall be reviewed for compliance and possible consideration. Legality issues shall be resolved with County Counsel.

3.2 Safety. Investments shall be undertaken in a manner that seeks to ensure preservation of capital in the overall portfolio. Investments should be made in securities of high quality to avoid credit risk and loss of principal.

3.3 Liquidity. The investment portfolio should remain sufficiently liquid to enable the Treasury Investment Pool to meet all operating requirements which might be reasonably anticipated or respond to opportunities for investments arising from changing market conditions.

3.4 Return on Investment. The investment portfolio shall be designed with the objective of attaining the highest interest revenue, taking into consideration the objectives of this Investment Policy and the cash flow characteristics of the portfolio.

3.5 Local Community Reinvestment. When it is in the best interest of the investment portfolio, and within the confines of other objectives enumerated in this Investment Policy, the Auditor-Controller/Treasurer-Tax Collector may give preference to local investment opportunities.

4.0 **Delegation of Authority**

The authority of the Board of Supervisors to delegate management responsibility for the County of Fresno Treasury Investment Pool is derived from GC 53607. Investment authority, in accordance with this provision, has been delegated to the Auditor-Controller/Treasurer-Tax Collector. The original delegation is in the Ordinance Code of the County of Fresno, Section 2.20.080 and is subject to annual renewal by the Board of Supervisors. The Auditor-Controller/Treasurer-Tax Collector shall establish written procedures for the operation of the investment program consistent with this Investment Policy. Such procedures shall include explicit delegation of authority to persons responsible for investment transactions (GC 53607).

No person may engage in an investment transaction for the Treasury Investment Pool except as provided under the terms of this policy and the procedures established by the Auditor-Controller/Treasurer-Tax Collector. The Auditor-Controller/Treasurer-Tax Collector shall be responsible for all transactions undertaken and shall establish a system of controls to regulate the activities of subordinate staff.

The County of Fresno Treasury Oversight Committee shall annually review and monitor the Investment Policy. The County of Fresno Treasury Oversight Committee shall also cause an annual audit to determine the Auditor-Controller/ Treasurer-Tax Collector's compliance with the Investment Policy. The cost of the audit shall be considered an administrative cost of investing. Audit Reports are available to participants of the Treasury Investment Pool upon request (GC 27133, 27134 and 27135).

5.0 **Ethics and Conflict of Interest**

The Auditor-Controller/Treasurer-Tax Collector, the County of Fresno Treasury Oversight Committee and staff involved in the investment process shall refrain from personal business activity that could conflict with proper execution of the investment program, or which could impair their ability to make impartial investment decisions.

Receipt of honoraria, gifts and gratuities from advisors, brokers, dealers, bankers or other persons with whom the County Treasury conducts business by any member of the County of Fresno Treasury Oversight Committee shall require the completion of an annual Statement of Economic Interests by each member to be filed with the member's respective agency. This policy sets a \$470 per current filing limit on the amount of honoraria, gifts and gratuities that a committee member may receive from a single source in a calendar year.

6.0 **Prudence**

Investments shall be made with judgment and care, under the circumstances then prevailing, which persons of prudence, discretion and intelligence exercise in the management of their own affairs, and not for speculation, but for investment, considering the probable safety of their capital as well as the probable income to be derived.

6.1 The standard of prudence to be used by investment officials shall be the “prudent investor” standard and shall be applied in the context of managing an overall portfolio. Investment officers acting in accordance with the investment policy and exercising due diligence shall be relieved of personal responsibility for an individual security's credit risk of market price changes, provided deviations from expectations are reported in a timely fashion and appropriate action is taken to control adverse developments.

7.0 **Borrowing for Purposes of Making Investments**

The Fresno County Auditor-Controller/Treasurer-Tax Collector is prohibited from the practice of borrowing for the sole purpose of making investments.

8.0 **Authorized Investments and Limits**

The following securities are authorized investments for the County of Fresno Treasury Investment Pool. Securities shall be valued at amortized cost when determining their percentage to the money in the County of Fresno Treasury Investment Pool. Additions or deviations from this list, in addition to being permissible under the Government Code, require approval by the Auditor-Controller/ Treasurer-Tax Collector. Investments not expressly authorized by law are prohibited.

The Auditor-Controller/Treasurer-Tax Collector interprets the authorized investment limits to be based upon the portfolio allocation at the time a security is purchased. The portfolio allocation may temporarily fall outside of

these limits due to maturities and fluctuations in the size of the pool after the purchase of a security. Additionally, the applicable credit ratings are interpreted to be based upon the rating at the time the security is purchased.

8.1 United States Treasury Bills, Notes, Certificates of Indebtedness, or those for which the full faith and credit of the United States are pledged for the payment of principal and interest.

8.2 Obligations issued by Federal Farm Credit Banks, Federal Home Loan Banks, the Federal Home Loan Mortgage Company, or in obligations, participations, or other instruments of or issued by, or fully guaranteed as to principal and interest by, the Federal National Mortgage Association; or in obligations, participations, or other instruments of or issued by a federal agency or a United States Government-sponsored enterprise

8.3 Bills of Exchange or Time Drafts drawn on and accepted by a commercial bank, otherwise known as Bankers Acceptances, both domestic and foreign, which are eligible for purchase by the Federal Reserve System. Any investment in Bankers Acceptances shall be restricted to the top 150 world banks as determined by their total assets and limited to those institutions in this group whose short term debt rating is of prime quality of the highest ranking or of the highest letter and numerical rating as provided for by a nationally recognized statistical-rating service.

Purchases of Bankers Acceptances may not exceed 180 days maturity or 40 percent of the money in the Treasury Investment Pool.

8.4 Commercial Paper of prime quality of the highest ranking or of the highest letter and numerical rating as provided for by Moody's Investors Service, Inc., or Standard and Poor's (P-1; A-1). Eligible paper is further limited to issuing corporations that are organized and operating within the United States and having total assets in excess of five hundred million dollars and having an "A" or higher rating for the issuer's other outstanding debentures by Standard and Poor's, or its equivalent or better ranking by a nationally recognized statistical-rating service and a maximum maturity limit of 270 days.

Additionally GC 53635 limits the assets held by the Treasury Investment Pool in any single issuer to 10 percent and the total Commercial Paper investments may not exceed 40 percent of the total assets in the Treasury Investment Pool.

8.5 Negotiable Certificates of Deposit issued by a nationally or state-chartered bank, savings association, federal association, or state-licensed branch of a foreign bank. Any investment is to be restricted to the top 150 world banks as determined by their total assets and limited to those institutions in this group whose short term debt rating is of prime quality of the highest ranking or of the highest letter and numerical rating as provided for by Moody's Investors

Service, Inc. or Standard and Poor's (P-1; A-1). As an alternative to the credit guidelines above, banks, savings associations or federal associations having a four star rating or higher rating as provided for by Bauer Financial, Inc. or a comparable rating service, shall be considered eligible institutions for these investments.

Investments in Negotiable Certificates of Deposit (in combination with section 8.6.1) may not exceed 30 percent of the money in the Treasury Investment Pool. No more than 5 percent of the money shall be invested in any one institution.

8.6 Non-negotiable Time Certificates of Deposit issued by a nationally or state-chartered bank, savings association or federal association (GC 53601 (n)). Unless fully covered by FDIC insurance, including the interest earned, these investments require full collateralization with government securities totaling 110 percent or mortgages totaling 150 percent of the principal amount (GC 53652). Any investment is to be restricted to those institutions whose short term rating is of prime quality of the highest ranking as provided for by Moody's Investors Service, Inc. or Standard and Poor's (P-1; A-1). As an alternative to the credit guidelines above, banks, savings associations or federal associations having a four star rating or higher as provided for by Bauer Financial, Inc. or a comparable rating service, shall be considered eligible institutions for these investments. Any investment will require the approval and execution of a Contract for Deposit by the Auditor-Controller/Treasurer-Tax Collector.

Investments in Non-negotiable Time Certificates of Deposit may not exceed 50 percent of the money in the Treasury Investment Pool. No more than 15 percent of the money shall be invested in any one institution.

8.6.1 Investments in certificates of deposit at a commercial bank, savings bank, savings and loan association, or credit union that uses a private sector entity that assists in the placement of certificates of deposit. Investments will be made in compliance with GC 53635.8. Investments shall be initially placed with a nationally or state-chartered commercial bank, savings bank, savings and loan association or a credit union in this state, which shall be known as the selected depository institution. Any investment will require the approval and execution of a Deposit Placement Agreement by the Auditor-Controller/Treasurer-Tax Collector. Combined purchases under sections 8.5 and 8.6.1 shall not exceed 30 percent of the portfolio. Additionally, purchases under 8.6.1 shall not exceed 15 percent of the portfolio.

8.7 Investments in Repurchase Agreements representing United States Treasury Securities, United States Agency discount and coupon securities, domestic and foreign Banker's Acceptances, commercial paper, and domestic bank/savings associations or federal associations Negotiable Certificates of Deposit.

Investments shall be made only after the execution of a Repurchase and Custody Agreement (Tri-Party Agreement) between the County or the investment manager (if under contract), the dealer and the Custodian. Investments will consist of overnight Repurchase Agreements, which include weekend placements and maturities; however, securities with longer maturities may be used as collateral for these Agreements. (GC 53635.2)

Excluding circumstances of market-timing and known cash demands, investments in Repurchase Agreements shall be limited to not more than 15 percent of the money in the Treasury Investment Pool. The market value of securities that underlay a repurchase agreement shall be valued at 102 percent or greater of the funds borrowed against these securities. Any exceptions to the maturity or investment amount provisions will require written approval by the Auditor-Controller/Treasurer-Tax Collector.

8.8 Medium-term Notes with a maximum remaining maturity of five years or less issued by corporations organized and operating within the United States or by depository institutions licensed by the United States or any state and operating within the United States. Notes eligible for investment shall be rated in a rating category of "A" or higher, by Standard and Poor's Corporation, or its equivalent or better by a nationally recognized rating service

Investments in Medium-term Notes may not exceed 30 percent of the money in the Treasury Investment Pool.

8.9 Investment of funds in the Local Agency Investment Fund (LAIF) created by law, which the State Treasurer invests through the Pooled Money Investment Account. Money invested in LAIF is available for overnight liquidity; however, it is also subject to a limited number of transactions per month. Money shall be placed in LAIF as alternative liquid investments under the guidelines of this policy pertaining to yield. The County may invest up to the maximum amount permitted by LAIF, not to exceed 10 percent of the portfolio. The Auditor-Controller/ Treasurer-Tax Collector may invest any portion of debt proceeds in the LAIF.

8.10 Shares of beneficial interest issued by diversified management companies, otherwise known as Mutual Funds, investing in the securities and obligations as authorized by the GC 53601 et. seq.

To be eligible for investment, these companies shall either: (1) attain the highest ranking or the highest letter and numerical rating provided by two of the largest nationally recognized rating services, or (2) have an investment adviser registered with the Securities and Exchange Commission with at least five years of experience investing in the securities authorized by the GC sections noted above and with assets under management in excess of \$500,000,000.

Shares of beneficial interest issued by diversified management companies that are money market funds registered with the Securities and Exchange Commission under the Investment Company Act of 1940. To be eligible for investment, these companies shall either: (1) attain the highest ranking or the highest letter and numerical rating provided by not less than two nationally recognized statistical rating organizations, or (2) retain an investment adviser registered or exempt from registration with the Securities and Exchange Commission with not less than five years' experience managing money market mutual funds with assets under management in excess of \$500,000,000 (GC 53601).

Investment in Mutual Funds shall not include the payment of any commission that these companies may charge and may not exceed 20 percent of the surplus funds in the Treasury Investment Pool. Only 10 percent of the surplus funds may be invested in any one mutual fund (GC 53601, 53635.2).

8.11 Any mortgage pass-through security, collateralized mortgage obligation, mortgage-backed or other pay-through bond of a maximum of five years maturity. Securities eligible for investment shall be issued by an issuer having an "A" or higher rating for the issuer's debt as provided by a nationally recognized rating service and rated "AA" or its equivalent or better by a nationally recognized rating service.

Investments in these securities may not exceed 10 percent of the funds in the Treasury Investment Pool.

8.12 Bond proceeds may be invested in accordance with the Government Code provisions, or they may be invested in alternative vehicles if authorized by bond documents (GC 53635.2 and California Debt and Investment Advisory Commission (CDIAC) Local Agency Investment Guidelines).

8.13 External Investment Managers. The Auditor-Controller/Treasurer-Tax Collector may contract with external investment managers to provide investment management services. These managers may be hired to invest funds not needed for liquidity and to increase the rate of return of the pool by employing an active investment strategy. The external investment manager is allowed to make specific investment decisions within the framework of this investment policy.

External investment managers are required to provide timely transaction documentation and investment reports to ensure that the manager's actions comply with the requirements of the law and this investment policy. External investment managers shall remit, at least quarterly, the interest earnings to the Pool to allow these earnings to be apportioned to the pool participants.

Selection of External Investment Managers is subject to section 13.0 of this investment policy. Additionally, after selection, the manager's performance shall be reviewed against the agreed upon benchmark.

8.14 Registered state warrants or treasury notes or bonds of the State of California, including bonds payable solely out of the revenues from a revenue-producing property owned, controlled, or operated by the state or by a department, board, agency, or authority of the state.

Investments in these securities may not exceed 10 percent of the surplus funds in the Treasury Investment Pool.

9.0 Selection of Investments

Investments, with the exception of California registered state warrants in section 8.14, above, shall only be made following a minimum of three competitive comparisons with offerings documented and retained for each type of investment.

10.0 Diversification

The Treasury Investment Pool shall be diversified by security type and institution.

11.0 Maximum Maturities

To the extent possible, investments shall be made to match anticipated cash requirements. Unless matched to a specific cash flow, normal investments will be in securities such that the average weighted maturity of the Treasury Investment Pool shall not exceed 3.5 years. Proceeds of sales or funds set aside for the repayment of any notes issued for temporary borrowing purposes shall not be invested for a term that exceeds the term of the notes.

12.0 Selling Securities Prior to Maturity

Securities purchased shall normally be held until maturity. Occasionally, opportunities will exist to sell securities prior to maturity and purchase other securities (swap/trade). Securities that are no longer in compliance with this Investment Policy may be sold prior to maturity. Securities may also be sold in order to maintain the liquidity of the Treasury Investment Pool.

13.0

Authorized Financial Dealers and Institutions

The Auditor-Controller/Treasurer-Tax Collector shall maintain a list of financial institutions authorized to provide investment services. In addition, a list shall also be maintained of approved security broker/dealers selected by credit worthiness, who maintain an office in the State of California. These may include "primary" dealers or regional dealers that qualify under Securities and Exchange Commission Rule 15c3-1 (uniform net capital rule). No public deposit shall be made except in a qualified public depository as established by state laws.

All financial institutions and broker/dealers who desire to become qualified bidders for investment transactions must supply the following: audited financial statements, proof of Financial Industry Regulatory Authority membership, trading resolution, proof of state registration, completed broker-dealer questionnaire, certification of having read the County's Investment Policy, and if applicable, depository contracts. Broker-dealers are evaluated and selected based upon criteria that include: organization experience and credibility, individual broker-dealer qualifications, compliance, product inventory, and economic research.

An annual review of the financial conditions and registrations of selected brokers shall be conducted by the Auditor-Controller/Treasurer-Tax Collector. A current audited financial statement is required to be on file for each authorized financial institution and broker-dealer.

Investment managers are evaluated and selected based upon criteria that include: organization experience and credibility, staff experience, compliance, and performance.

The selection of any broker, brokerage firm, dealer or securities firm that has, within any consecutive 48 month period following January 1, 1996, made a political contribution in an amount exceeding the limitations contained in Rule G-37 of the Municipal Securities Rulemaking Board, to the Auditor-Controller/ Treasurer-Tax Collector or member of the Board of Supervisors or any candidate for those offices is prohibited. The County will, to the best of its ability, monitor and comply with this requirement.

14.0

Confirmation

Receipts for confirmation of purchase of authorized securities should include the following information: trade date, par value, maturity, rate, price, yield, settlement date, description of securities purchased, agency's name, net amount due, and third party custodian information. Confirmation of all investment transactions should be received by the Auditor-Controller/Treasurer-Tax Collector within five business days of the transaction.

15.0 **Safekeeping and Custody**

Investments, excluding Non-negotiable Time Certificates of Deposit, Repurchase Agreements and investments that are under the management of contracted parties, shall be held in custody with the Service Bank or its correspondent or other institutions approved by the Auditor-Controller/Treasurer-Tax Collector. Investments in Repurchase Agreements shall be held in custody by the Custodian to the Tri-Party Agreement.

16.0 **Performance Standards**

The investment portfolio shall be designed to obtain a market average rate of return during budgetary and economic cycles, taking into account investment risk constraints and cash flow needs.

16.1 Market yield benchmark. The investment strategy is passive. Given this strategy, the basis used by the Auditor-Controller/Treasurer-Tax Collector to determine whether market yields are being achieved shall be the one-year U.S. Treasury note rate.

17.0 **Administrative Cost of Investing**

The Auditor-Controller/Treasurer-Tax Collector may deduct actual administrative costs associated with investing, depositing, banking, auditing, reporting, or otherwise handling or managing of funds. The administrative costs shall be segregated and deducted from the interest earnings of the Treasury Pool each quarter prior to the distribution of interest earnings.

18.0 **Credit of Interest Earnings**

Interest shall be credited based on the average daily cash balance of money on deposit in the County Treasury for the calendar quarter and shall be paid quarterly.

19.0 **Local Agency Deposit of Excess Funds**

The County Auditor-Controller/Treasurer-Tax Collector is authorized to accept deposits of excess funds from local agencies within Fresno County pursuant to Resolution 98-354 and in accordance with Government Code section 53684. Such deposits will be accepted, if at all, subject to the terms and conditions of a written agreement between the depositing agency and the Auditor-Controller/Treasurer-Tax Collector. In deciding whether to accept such deposits, the Auditor-Controller/ Treasurer-Tax Collector considers

factors that may include, but are not limited to, the objectives of this policy, the potential effect of such deposits on the volatility of the investment portfolio, the human resources available to conduct investment activities, and the best interests of current depositors.

20.0

Withdrawal of Funds from the Treasury Pool

The withdrawal of funds by any depositor/participant in the County of Fresno Treasury Investment Pool shall not adversely affect the interests of the other depositors/participants in the County of Fresno Treasury Investment Pool. All withdrawals that are not considered as funds being utilized for operations shall be presented to the Auditor-Controller/Treasurer-Tax Collector for review and approval. The Auditor-Controller/ Treasurer-Tax Collector shall perform an assessment of the effect of a proposed withdrawal on the stability and predictability of the investments in the Treasury Investment Pool as is required by GC 27136 and 27133. Prior to the approving a withdrawal, the Auditor-Controller/ Treasurer-Tax Collector shall find that the proposed withdrawal will not adversely affect the interests of the other depositors in the Treasury Investment Pool. All requests for withdrawals shall be considered in order of receipt and shall in no way affect the ability of the Auditor-Controller/Treasurer-Tax Collector to meet the pool's expenditure requirements.

If the assessment of the effect of the proposed withdrawal does not negatively impact the stability and predictability of the investments and the interests of other depositors, the Auditor-Controller/Treasurer-Tax Collector may authorize a total or partial withdrawal of funds from the Treasury Pool. A total withdrawal of funds from the County of Fresno Treasury Investment Pool by a participant requires a 30 day written notice to the Auditor-Controller/Treasurer-Tax Collector. Withdrawals involving less than the participant's total funds (other than for operational needs) are subject to all of the following constraints:

- each withdrawal shall be limited to a maximum of \$5,000,000
- no more than two withdrawals of a non-operational purpose are allowed per 30 day period
- at least ten days must lapse before the second withdrawal in any 30 day period will be considered by the Auditor-Controller/Treasurer-Tax Collector
- each withdrawal shall be submitted to the Auditor-Controller/Treasurer-Tax Collector at least 2 business days prior to the date of withdrawal

The Auditor-Controller/Treasurer-Tax Collector shall be notified of normal operating expenditures or disbursements in excess of \$1,000,000 as early as possible, preferably three business days in advance of disbursement, in order to adjust the cash position to meet disbursement requirements.

21.0

Reporting

The Auditor-Controller/Treasurer-Tax Collector shall provide the Board of Supervisors with a monthly inventory report and a monthly transaction report of the Treasury Investment Pool. The Auditor-Controller/ Treasurer-Tax Collector shall provide a quarterly investment report to the Board of Supervisors, the County Administrative Officer and the County of Fresno Treasury Oversight Committee. The quarterly report shall be submitted within 30 days following the end of the quarter covered by the report. Monthly inventory reports and quarterly investment reports are available to participants of the pool upon request (GC 53646).

22.0

Internal Control

As part of the County of Fresno's annual independent audit, the investment program shall be reviewed for appropriate internal controls that provide assurance of compliance with policies and procedures.

23.0

Investment Policy Review

This Investment Policy shall be reviewed on an annual basis by the Auditor-Controller/Treasurer-Tax Collector and rendered annually to the Board of Supervisors and the County of Fresno Treasury Oversight Committee, which consists of the following members:

- The County Auditor-Controller/Treasurer-Tax Collector
- A representative appointed by the County Board of Supervisors
- The County Superintendent of Schools or designee
- A representative selected by a majority of the presiding officers of the governing bodies of the school districts and community college districts in the County
- A representative selected by a majority of the presiding officers of the legislative bodies of the special districts in the County that are required or authorized to deposit funds in the County treasury

The Board of Supervisors shall accept and approve the investment policy and any changes thereto at a public meeting (GC 27133, 53646).

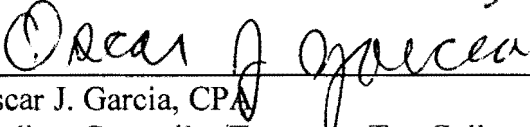
24.0

Disaster/Business Continuity Plan

The County of Fresno Treasurer's banking and investment functions are critical to the function of Treasury Investment Pool and therefore must have a continuity plan to guide operations in the event of a disaster or business interruption.

The objective of the Disaster/Business Continuity Plan is to protect and account for all funds on deposit with the county treasurer and to be able to continue banking and investment functions for all participants in the event of an occurrence; i.e. earthquake, fire, flood, or some other event, which disrupts normal operations. The Plan provides for the ability to perform banking and investment functions at an off-site location under less than optimal conditions.

Approved



Oscar J. Garcia, CPA
Auditor-Controller/Treasurer-Tax Collector

10-9-17
Date

APPENDIX A

<u>Permitted Investments/Deposits</u>	<u>Government Code Limits %</u>	<u>Investment Policy Limits %</u>	<u>Investment Policy Term Limit</u>	<u>Minimum Rating</u>
Securities of the U.S. Government	No Limit	No Limit	5 years	N/A
Securities issued by United States Government Sponsored Enterprises	No Limit	No Limit	5 years	N/A
Bankers Acceptances (1)	40%	40%	180 days	N/A
Commercial Paper	40%	40%	270 days	P-1, A-1
Negotiable Certificates of Deposit (2)	30%	30%	13 months	P-1, or A-1 or 4 Star
Non-negotiable Certificates of Deposit (2)	No Limit	50%	13 months	P-1 or A-1 or 4 Star
Account Registry Service Deposits (2)	30%	15%	13 months	N/A
Repurchase Agreements	No Limit	15%	Overnight/Weekend	N/A
Medium Term Notes	30%	30%	5 years	A
LAIF (3)	No Limit	10%	5 years	N/A
Mutual Funds (4)	20%	20%	5 years	AAA,Aaa
Mortgage-Backed Securities	20%	10%	5 years	AA
State of California Debt	No Limit	10%	5 years	N/A

APPENDIX A
(Continued)

- (1) Investment policy limits any investment in bankers acceptances to the top 150 world banks as determined by their total assets and limited to those institutions in this group whose short term debt is of prime quality and of the highest ranking as provided for by Moody's or Standard and Poor's (P-1, A-1).
- (2) Banks, savings associations or federal associations having a "4 Star" or higher rating as provided by Bauer Financial, Inc. or a comparable rating service. For negotiable certificates of deposit, no more than 5 percent of the money shall be invested in any one institution. Negotiable certificates of deposit and account registry service deposits combined shall not exceed 30% of the portfolio. For non-negotiable certificates of deposit, no more than 15 percent of the money shall be invested in any one institution.
- (3) LAIF Board of Directors currently limits the investment to \$65,000,000, excluding bond and note proceeds. Government Code does not place a percentage limit on the amount of money that may be invested in LAIF.
- (4) Diversified management companies investing in the securities and obligations as authorized by California Government Code, Sections 53601, et seq., shall either (1) attain the highest ranking or the highest letter and numerical rating provided by two of the largest nationally recognized rating services, or (2) have an investment adviser registered with the SEC with at least five years of experience investing in the securities authorized by code sections noted in the policy and with assets under management in excess of \$500,000,000.

Diversified management companies issuing shares of beneficial interest that are money market funds registered with the Securities and Exchange Commission (SEC) under the Investment Act of 1940 shall either (1) attain the highest ranking or the highest letter and numerical rating provided by not less than two nationally recognized statistical rating organizations, or (2) retain an investment adviser registered or exempt from registration with the SEC with not less than five years of experience managing money market mutual funds with assets under management in excess of \$500,000,000. Only 10 percent of the money may be invested in any one mutual fund.

APPENDIX B

RATING SUMMARY

<u>RATING SERVICE</u>	<u>RATING CATEGORY</u>	<u>RATING DEFINITION</u>
Moody's	Aaa	Best Quality
	Aa	High Quality
	A	Upper-medium grade
	Baa	Medium grade obligations
	Ba	Judged to have speculative elements
	B	Lack characteristics of desirable investment
	Caa	Investment in poor standing
	Ca	Speculative in a high degree
	C	Poor prospect of attaining investment standing
Moody's Modifiers	1,2,and 3	Rankings within rating category
Moody's Commercial Paper	Prime-1	Superior ability for repayment
	Prime-2	Strong ability for repayment
	Prime-3	Acceptable ability for repayment
	Not Prime	Do not fall in top 3 rating categories
Standard & Poors	AAA	Highest Rating
	AA	Strong capacity for repayment
	A	Strong capacity for repayment but less than AA category
	BBB	Adequate capacity for repayment
	BB	Speculative
	B	Greater vulnerability to default than BB category
	CCC	Identifiable vulnerability to default
	CC	Subordinated debt of issues ranked in CCC category
	C	Subordinated debt of issues ranked in CCC category
	Cl	Income bonds where no interest is paid
	D	Default
Standard & Poors – Modifiers	(+) or (-)	Rankings within rating category
Standard & Poors – Commercial	A-1	Highest degree of safety
	A-2	Timely repayment characteristics is satisfactory
	A-3	Adequate capacity for repayment
	B	Speculative
	C	Doubtful repayment
	D	Default

APPENDIX B

(Continued)

RATING SUMMARY

<u>RATING SERVICE</u>		<u>RATING CATEGORY</u>	<u>RATING DEFINITION</u>
Fitch		AAA	Highest credit quality
		AA	Very high credit quality
		A	High credit quality
		BBB	Good credit quality
		BB	Speculative
		B	High speculative
		CCC, CC, C	High default risk
		DDD, DD, D	Default
Fitch	Modifiers	“+” or “-”	Relative status within rating categories
Fitch	Commercial Paper	F1	Highest credit quality
		F2	Good credit quality
		F3	Fair credit quality
		B	Speculative
		C	High default risk
		D	Default
Bauer		5 Star	Superior
		4 Star	Excellent
		3 ½ Star	Good
		3 Star	Adequate
		2 Star	Problematic
		1 Star	Troubled
		Zero	Our lowest star rating

APPENDIX C

Glossary of Cash Management Terms

The following is a glossary of key investing terms, many of which appear in County of Fresno Treasury Investment Policy. This glossary has been adapted from the Government Finance Officers Association (GFOA) sample investment policy.

Accrued Interest - The accumulated interest due on a bond as of the last interest payment made by the issuer.

Agency - A debt security issued by a federal or federally sponsored agency. Federal agencies are backed by the full faith and credit of the U.S. Government. Federally sponsored agencies (FSAs) are backed by each particular agency with a market perception that there is an implicit government guarantee. An example of federal agency is the Government National Mortgage Association (GNMA). An example of a FSA is the Federal National Mortgage Association (FNMA).

Amortization - The systematic reduction of the amount owed on a debt issue through periodic payments of principal.

Average Life - The average length of time that an issue of serial bonds term bonds, or both, with a mandatory sinking fund feature is expected to be outstanding.

Bankers' Acceptance – A draft or bill or exchange accepted by a bank or trust company. The accepting institution, as well as the issuer, guarantees payment of the bill.

Basis Point - A unit of measurement used in the valuation of fixed-income securities equal to 1/100 of 1 percent of yield, e.g., 1/4 of 1 percent is equal to 25 basis points.

Bid - The indicated price at which a buyer is willing to purchase a security or commodity.

Book Value - The value at which a security is carried on the inventory lists or other financial records of an investor. The book value may differ significantly from the security's current value in the market.

Callable Bond - A bond issue in which all or part of its outstanding principal amount may be redeemed before maturity by the issuer under specified conditions.

Call Price - The price at which an issuer may redeem a bond prior to maturity. The price is usually at a slight premium to the bond's original issue price to compensate the holder for loss of income and ownership.

Call Risk - The risk to a bondholder that a bond may be redeemed prior to maturity.

Cash Sale/Purchase - A transaction which calls for delivery and payment of securities on the same day that the transaction is initiated.

APPENDIX C

(Continued)

Certificate of Deposit (CD) – A short-term, secured deposit in a financial institution that usually returns principal and interest to the lender at the end of the loan period.

Certificate of Deposit Account Registry System (CDARS) – A private CD placement service that allows local agencies to purchase more than \$100,000 in CDs from a single financial institution (must be a participating institution of CDARS) while still maintaining FDIC insurance coverage. CDARS facilitates the trading of deposits between the California institution and other participating institutions in amounts that are less than \$100,000 each, so that FDIC coverage is maintained.

Collateralization - Process by which a borrower pledges securities, property, or other deposits for the purpose of securing the repayment of a loan security, or both.

Commercial Paper - An unsecured short-term promissory note issued, with maturities ranging from 1 to 270 days.

Convexity - A measure of a bond's price sensitivity to changing interest rates. A high convexity indicates greater sensitivity of a bond's price to interest rate changes.

Coupon Rate - The annual rate of interest received by an investor from the issuer of certain types of fixed-income securities. Also known as the "interest rate."

Credit Quality - The measurement of the financial strength of a bond issuer. This measurement helps an investor to understand an issuer's ability to make timely interest payments and repay the loan principal upon maturity. Generally, the higher the credit quality of a bond issuer, the lower the interest rate paid by the issuer because the risk of default is lower. Credit quality ratings are provided by nationally recognized rating agencies.

Credit Risk - The risk to an investor that an issuer will default in the payment of interest principal on a security, or both.

Current Yield (Current Return) - A yield calculation determined by dividing the annual interest received on a security by the current market price of that security.

Delivery Versus Payment (DVP) - A type of securities transaction in which the purchaser pays for the securities when they are delivered either to the purchaser or his/her custodian.

Discount - The amount by which the par value of a security exceeds the price paid for the security.

Diversification - A process of investing assets among a range of security types by sector, maturity, and quality rating.

Fair Value - The amount at which an investment could be exchanged in a current transaction between willing parties, other than in a forced or liquidation sale.

APPENDIX C

(Continued)

Federal Funds (Fed Funds) - Funds placed in Federal Reserve banks by depository institutions in excess of current reserve requirements. These depository institutions may lend fed funds to each other overnight or on a longer basis. They may also transfer funds among each other on a same-day basis through the Federal Reserve banking system. Fed funds are considered to be immediately available funds.

Federal Funds Rate - Interest rate charged by one institution lending federal funds to the other.

Financial Industry Regulatory Authority (FINRA) is the largest independent regulator for all securities firms in the United States.

Government Securities - An obligation of the U.S. government, backed by the full faith and credit of the government. These securities are regarded as the highest quality of investment securities available in the U.S. securities market. See "Treasury Bills, Notes, and Bonds."

Interest Rate - See "Coupon Rate."

Interest Rate Risk - The risk associated with declines or rises in interest rates which cause in investment in a fixed-income security to increase or decrease in value.

Inverted Yield Curve - A chart formation that illustrates long-term securities having lower yields than short-term securities. This configuration usually occurs during periods of high inflation coupled with low levels of confidence in the economy and a restrictive monetary policy.

Investment Company Act of 1940- Federal legislation which sets the standards by which investment companies, such as mutual funds, are regulated in the areas of advertising, promotion, performance reporting requirements, and securities valuations.

Investment Policy - A concise and clear statement of the objectives and parameters formulated by an investor or investment manager for a portfolio of investment securities.

Investment-grade Obligations - An investment instrument suitable for purchase by institutional investors under the prudent person rule. Investment-grade is restricted to those obligations rated BBB or higher by a rating agency.

Liquidity - An asset that can be converted easily and quickly into cash without significant loss of value.

Local Agency Investment Fund – A voluntary investment fund open to government entities and certain non-profit organizations in California that is managed by the State Treasurer's Office.

Local Government Investment Pool (LGIP) - An investment by local governments in which their money is pooled as a method for managing local funds.

Mark-to-market - The process whereby the book value or collateral value of a security is adjusted to reflect its current market value.

APPENDIX C
(Continued)

Market Risk - The risk that the value of a security will rise or decline as a result of changes in market conditions.

Market Value - Current market price of a security.

Maturity - The date on which payment of a financial obligation is due. The final stated maturity is the date on which the issuer must retire a bond and pay the face value to the bondholder. See "Weighted Average Maturity."

Medium-Term Note – Corporate or depository institution debt securities meeting certain minimum quality standards (as specified in California Government Code) with a remaining maturity of five years or less.

Money Market Mutual Fund - Mutual funds that invest solely in money market instruments (short-term debt instruments, such as Treasury bills, commercial paper, bankers' acceptances, repos and federal funds).

Mortgage Backed Securities – Mortgage-backed securities (MBS) are created when a purchaser of residential real estate mortgages creates a pool of mortgages and markets undivided interest or participations in the pool. MBS owners receive a prorate share of the interest and principal passed through from the pool of mortgages. Most MBS are issued guaranteed, or both, by federal agencies and instrumentalities.

Mortgage Pass-Through Obligations – Securities that are created when residential mortgages are pooled together and undivided interests or participations in the stream of revenues associated with the mortgages are sold.

Mutual Fund - An investment company that pools money and can invest in a variety of securities, including fixed-income securities and money market instruments. Mutual funds are regulated by the Investment Company Act of 1940 and must abide by the following Securities and Exchange Commission (SEC) disclosure guidelines:

1. Report standardized performance calculations.
2. Disseminate timely and accurate information regarding the fund's holdings, performance, management and general investment policy.
3. Have the fund's investment policies and activities supervised by a board of trustees, which are independent of the adviser, administrator or other vendor of the fund.
4. Maintain the daily liquidity of the fund's shares.
5. Value their portfolios on a daily basis.
6. Have all individuals who sell SEC-registered products licensed with a self-regulating organization (SRO) such as the National Association of Securities Dealers (NASD).
7. Have an investment policy governed by a prospectus which is updated and filed by the SEC annually.

APPENDIX C

(Continued)

Negotiable Certificates of Deposit – Short-term debt instrument that usually pays interest and is issued by a bank, savings or federal association, or state or federal credit union, or state-licensed branch of a foreign bank. Negotiable CDs are traded in a secondary market and are payable upon order to the bearer or initial depositor (investor).

Net Asset Value - The market value of one share of an investment company, such as a mutual fund. This figure is calculated by totaling a fund's assets which includes securities, cash, and any accrued earnings, subtracting this from the fund's liabilities and dividing this total by the number of shares outstanding. This is calculated once a day based on the closing price for each security in the fund's portfolio. (See below.) $[(\text{Total assets}) - (\text{Liabilities})]/(\text{Number of shares outstanding})$

Nominal Yield - The stated rate of interest that a bond pays its current owner, based on par value of the security. It is also known as the "coupon," "coupon rate," or "interest rate."

Non-negotiable Certificates of Deposit – CDs that carry a penalty if redeemed prior to maturity. Non-negotiable CDs issued by banks and savings and loans are insured by the Federal Deposit Insurance Corporation up to \$100,000, including principal and interest. Amounts deposited above this amount may be secured with other forms of collateral.

Offer - An indicated price at which market participants are willing to sell a security or commodity. Also referred to as the "Ask price."

Par - Face value or principal value of a bond, typically \$1,000 per bond.

Positive Yield Curve - A chart formation that illustrates short-term securities having lower yields than long-term securities.

Premium - The amount by which the price paid for a security exceeds the security's par value.

Principal - The face value or par value of a debt instrument. Also may refer to the amount of capital invested in a given security.

Prospectus - A legal document that must be provided to any prospective purchaser of a new securities offering registered with the SEC. This can include information on the issuer, the issuer's business, the proposed use of proceeds, the experience of the issuer's management, and certain certified financial statements.

Prudent Person Rule - An investment standard outlining the fiduciary responsibilities of public funds investors relating to investment practices.

APPENDIX C

(Continued)

Regular Way Delivery - Securities settlement that calls for delivery and payment on the third business day following the trade date (T+3); payment on a T+1 basis is currently under consideration. Mutual funds are settled on a same day basis; government securities are settled on the next business day.

Reinvestment Risk - The risk that a fixed-income investor will be unable to reinvest income proceeds from a security holding at the same rate of return currently generated by that holding.

Repurchase Agreement (Repo or RP) - An agreement of one party to sell securities at a specified price to a second party and a simultaneous agreement of the first party to repurchase the securities at a specified price or at a specified later date.

Reverse Repurchase Agreement (Reverse Repo) - An agreement of one party to purchase securities at a specified price from a second party and a simultaneous agreement by the first party to resell the securities at a specified price to the second party on demand or at a specified date.

Rule 2a-7 of the Investment Company Act - The Securities and Exchange Commission regulates money market funds in the United States and this rule restricts quality, maturity and diversity of investments by money market funds in an attempt to provide a safe, liquid alternative to bank deposits, while providing a higher yield.

Safekeeping - Holding of assets (e.g., securities) by a financial institution.

Swap - Trading one asset for another.

Term Bond - Bonds comprising a large part or all of a particular issue which come due in a single maturity. The issuer usually agrees to make periodic payments into a sinking fund for mandatory redemption of term bonds before maturity.

Total Return - The sum of all investment income plus changes in the capital value of the portfolio. For mutual funds, return on an investment is composed of share price appreciation plus any realized dividends or capital gains. This is calculated by taking the following components during a certain time period. $(\text{Price Appreciation}) + (\text{Dividends paid}) + (\text{Capital gains}) = \text{Total Return}$

Treasury Bills - Short-term U.S. government non-interest bearing debt securities with maturities of no longer than one year and issued in minimum denominations of \$10,000. Auctions of three- and six-month bills are weekly, while auctions of one-year bills are monthly. The yields on these bills are monitored closely in the money markets for signs of interest rate trends.

APPENDIX C

(Continued)

Treasury Notes - Intermediate U.S. government debt securities with maturities of one to 10 years and issued in denominations ranging from \$1,000 to \$1 million or more.

Treasury Bonds - Long-term U.S. government debt securities with maturities of ten years or longer and issued in minimum denominations of \$1,000. Currently, the longest outstanding maturity for such securities is 30 years.

Uniform Net Capital Rule - SEC Rule 15c3-1 outlining capital requirements for broker-dealers.

Volatility - A degree of fluctuation in the price and valuation of securities.

Weighted Average Maturity (WAM) - The dollar-weighted average maturity of all the securities that comprise a portfolio.

When Issued (WI) - A conditional transaction in which an authorized new security has not been issued. All "when issued" transactions are settled when the actual security is issued.

Yield - The current rate of return on an investment security generally expressed as a percentage of the security's current price.

Yield-to-call (YTC) - The rate of return an investor earns from a bond assuming the bond is redeemed (called) prior to its nominal maturity date.

Yield Curve - A graphic representation that depicts the relationship at a given point in time between yields and maturity for bonds that are identical in every way except maturity. A normal yield curve may be alternatively referred to as a positive yield curve.

Yield-to-maturity - The rate of return yielded by a debt security held to maturity when both interest payments and the investor's potential capital gain or loss are included in the calculation of return.

Zero-coupon Securities - Security that is issued at a discount and makes no periodic interest payments. The rate of return consists of a gradual accretion of the principal of the security and is payable at par upon maturity.



Quarterly Investment Report

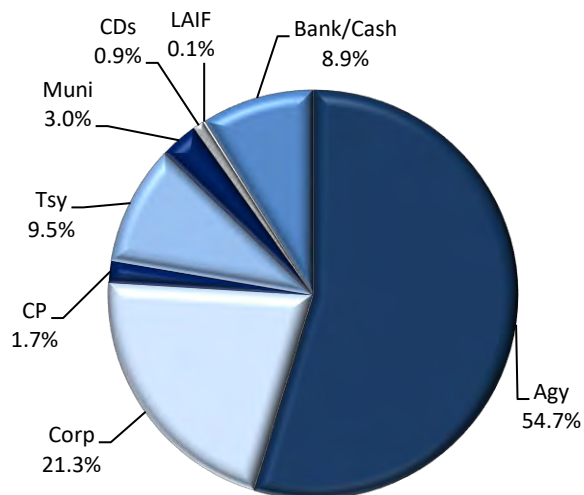
As of March 31, 2018

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Board of Supervisors: Andreas Borgeas, Buddy Mendes, Brian Pacheco, Nathan Magsig, Sal Quintero
County Administrative Officer: Jean Rousseau

SECTOR ALLOCATION



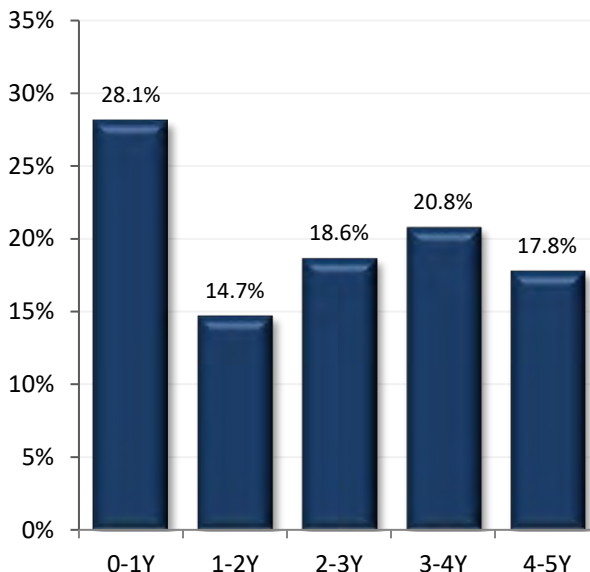
Per Book Value

ACCOUNT SUMMARY

	3/31/18	12/31/17
Market Value	\$3,445,620,926	\$3,507,783,549
Book Value*	\$3,492,422,560	\$3,528,384,784
Unrealized G/L	-\$46,801,634	-\$20,601,235
Par Value	\$3,490,405,122	\$3,523,341,889
Net Asset Value	\$98.660	\$99.416
Book Yield	1.79%	1.70%
Years to Maturity	2.25	2.22
Effective Duration	2.20	2.12

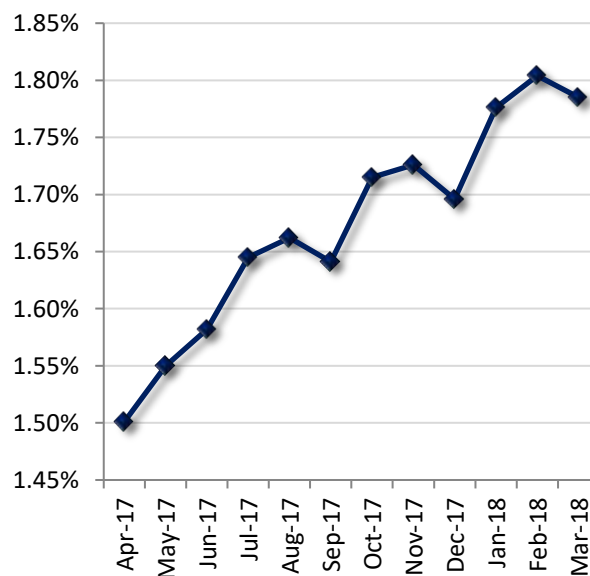
*Book Value is Amortized

MATURITY DISTRIBUTION



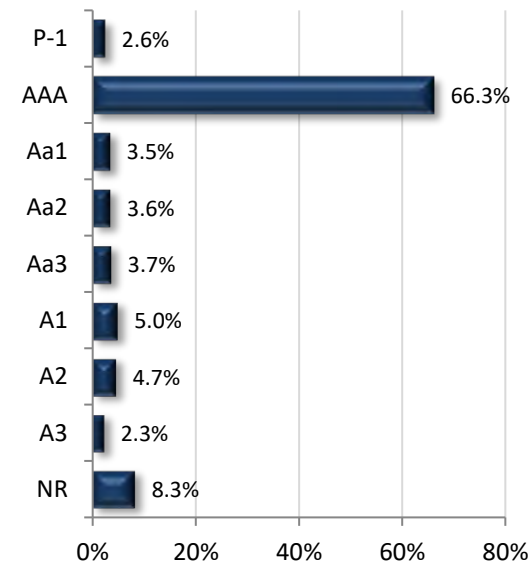
Per Book Value

PORTFOLIO BOOK YIELD HISTORY



NR: Not Rated

CREDIT QUALITY (MOODY'S)



TOP ISSUERS

Issuer	% Portfolio
FHLB	23.5%
FNMA	21.6%
US TREASURY NOTE	9.5%
BANK OF THE WEST MM	5.7%
FFCB	5.5%
FHLMC	4.0%
APPLE INC	3.5%
STATE OF CALIFORNIA	3.0%
BANK OF NEW YORK	2.6%
BANK OF THE WEST	2.5%
TOYOTA MOTOR CREDIT	2.4%
CHEVRON CORP	2.4%
US BANK NA	2.4%
WELLS FARGO	1.7%
JOHN DEERE	1.6%

Per Book Value

Item / Sector	Parameters	In Compliance	
11.0 Weighted Average Maturity	Weighted Average Maturity (WAM) must be less than 3.5 years.	Yes	2.3 Yrs
8.1 U.S. Treasuries	No sector limit, no issuer limit, max maturity 5 years.	Yes	9.5%
8.2 U.S. Agencies	No sector limit, no issuer limit, max maturity 5 years.	Yes	54.7%
8.3 Banker Acceptances	40% limit, Issue is eligible for purchase by Federal Reserve. Issuer is among 150 largest banks based on total asset size; max maturity 180 days; rated A-1 or P-1.	Yes	0.0%
8.4 Commercial Paper	40% limit, corporation organized and operating in the US with total assets of \$500mm. 10% of issuer's CP / 10% in any one issuer; max maturity 270 days; minimum short-term rating of A-1 by S&P or P-1 by Moody's, minimum long-term rating of A by S&P or its equivalent or better ranking by a nationally recognized rating service.	Yes	1.7%
8.5 Negotiable CDs	30% limit (combined with 8.6.1), Issued by national or state chartered bank or savings assoc., or a state licensed branch of a foreign bank that is among 150 largest banks in total asset size; minimum short-term rating of P-1 or A-1 or issuer meets rating requirements; 5% in any one issuer, max maturity 13 months.	Yes	0.9%
8.6 Non-Negotiable CDs	50% limit, Issued by national or state chartered bank or savings association. FDIC insurance OR full collateralization of 110% government or 150% mortgages. Contract for Deposit in place. 15% in any one issuer; short-term rating is a minimum of A-1 by S&P or P-1 by Moody's, max maturity 13 months.	Yes	0.0%
8.6.1 Placement CDs	15% limit (30% combined with 8.5), Issued by national or state chartered bank or savings association or credit union that uses a placement entity. Deposit Placement Agreement in place.	Yes	0.0%
8.7 Repurchase Agreements	15% limit, Tri-party agreement in place. 102% collateralization of US treasuries or agencies, BAs, CP, Negotiable CD's; Overnight or weekend maturities.	Yes	0.0%
8.8 Medium-Term Notes	30% limit, organized and operating in the US or state licensed depository institution; max maturity 5 years; rated A or better by S&P, or its equivalent or better by a nationally recognized rating service.	Yes	21.3%
8.9 L.A.I.F	California State's deposit limit is \$65 million; Current investment policy limit is not to exceed 10% of the portfolio.	Yes	0.1%

Item / Sector	Parameters	In Compliance	
8.10 Mutual Funds/ Money Markets Funds	20% limit, 10% per issuer; Registered with SEC, 5 years experience, \$500mm AUM or rated by AAA-m, Aaa-mf, AAA-m by not less than two nationally recognized rating agencies.	Yes	0.7%
8.11 ABS and MBS	10% limit combined. Security must be AA rated by one rating agency, with an A or better rating for the underlying, max maturity 5 years.	Yes	0.0%
8.12 Money Held from Pledged Assets	Invest according to statutory provision or according to entity providing issuance.	Yes	0.0%
8.13 External Managers	Invest per policy.	Yes	0.0%
8.14 State of California Debt	10% limit, Registered State warrants or CA treasury notes, including revenue producing entities controlled or operated by the State or by a department, board, agency, or authority of the State; 5 years max maturity.	Yes	3.0%
Cash & Bank Account	NA	NA	8.2%

Compliance

The County Treasurer believes the Treasury Investment Pool contains sufficient cash flow from liquid and maturing securities, bank deposits, and incoming cash to meet the next six months of expected expenditures.

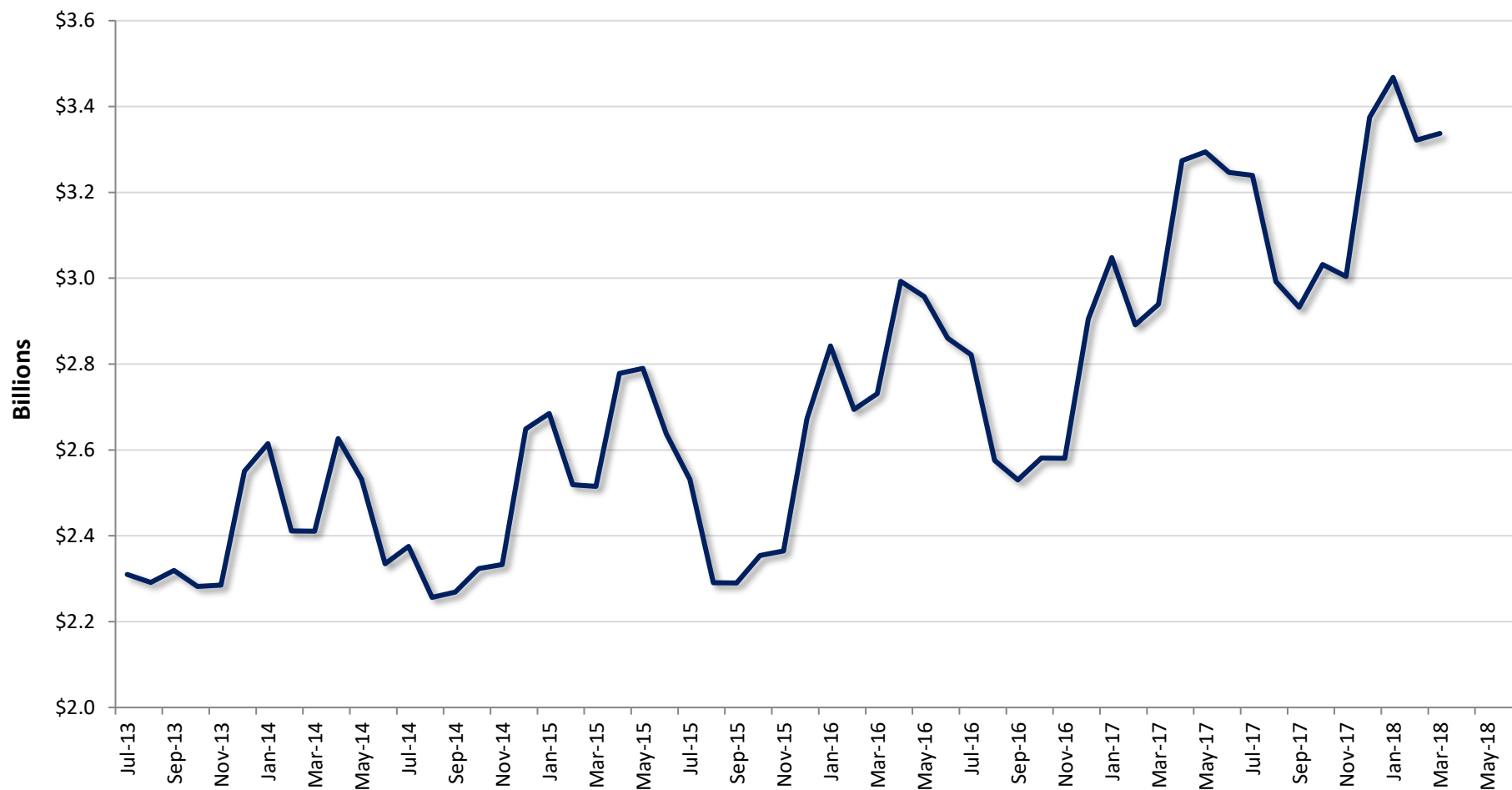
Review and Monitoring

FTN Financial Main Street Advisors, the County's investment advisor, currently monitors the Treasury Department's investment activities.

Additional Information

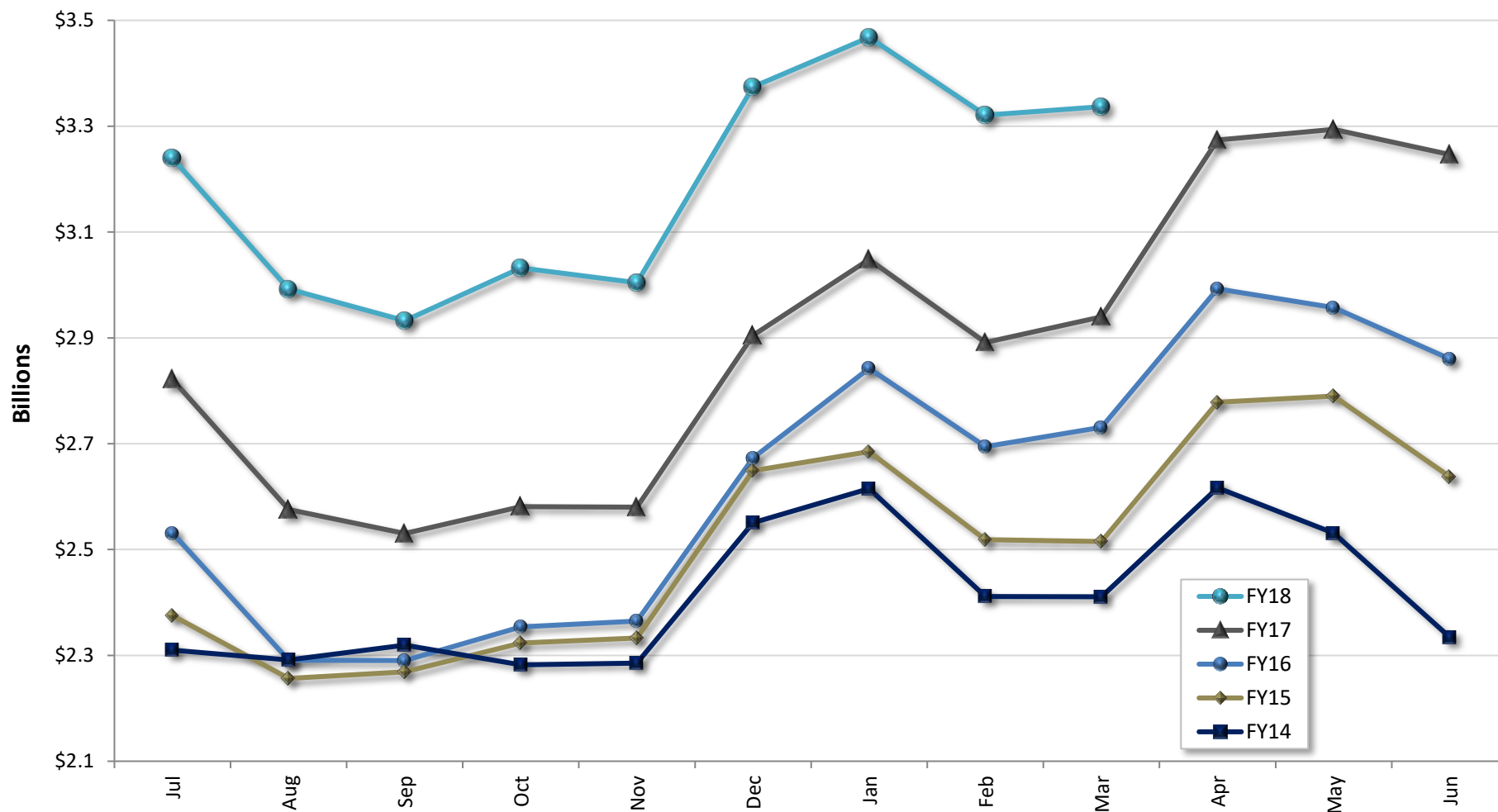
Securities are purchased with the expectation that they will be held to maturity, so unrealized gains or losses are not reflected in the yield calculations.

The market values of securities were taken from pricing services provided by Interactive Data Corporation.



	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun
Fiscal Year 2014	\$2.310	\$2.291	\$2.319	\$2.282	\$2.285	\$2.551	\$2.615	\$2.411	\$2.411	\$2.617	\$2.531	\$2.335
Fiscal Year 2015	\$2.375	\$2.256	\$2.269	\$2.323	\$2.333	\$2.649	\$2.685	\$2.519	\$2.515	\$2.778	\$2.790	\$2.637
Fiscal Year 2016	\$2.531	\$2.291	\$2.290	\$2.354	\$2.365	\$2.673	\$2.842	\$2.695	\$2.731	\$2.993	\$2.957	\$2.860
Fiscal Year 2017	\$2.822	\$2.576	\$2.530	\$2.581	\$2.580	\$2.905	\$3.048	\$2.891	\$2.940	\$3.274	\$3.294	\$3.247
Fiscal Year 2018	\$3.240	\$2.992	\$2.932	\$3.032	\$3.004	\$3.374	\$3.468	\$3.321	\$3.337			

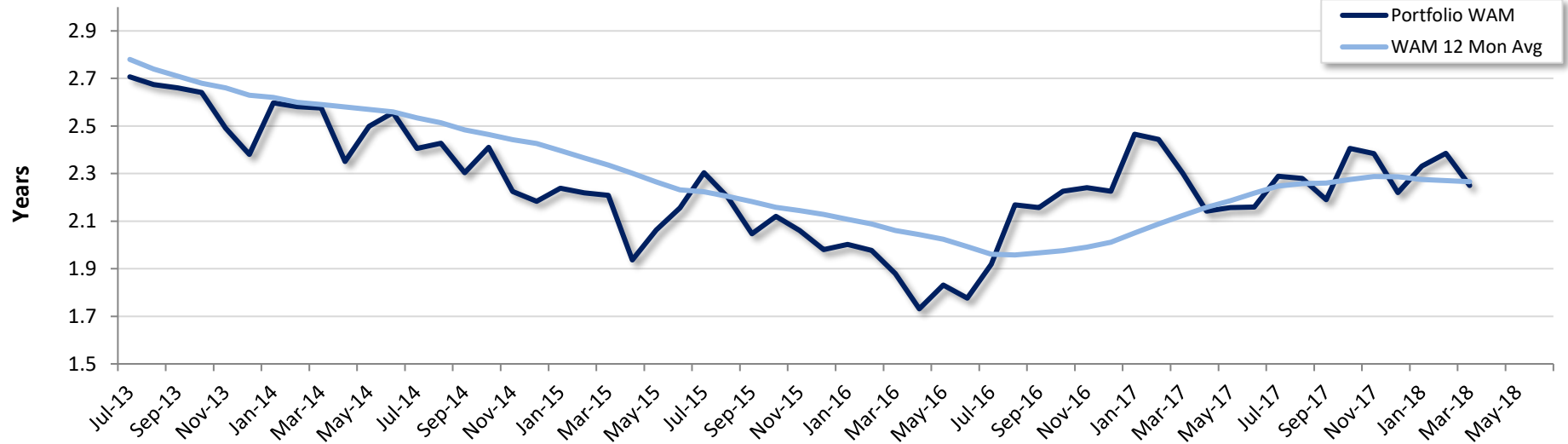
Figures in Billions, Average Daily Balance



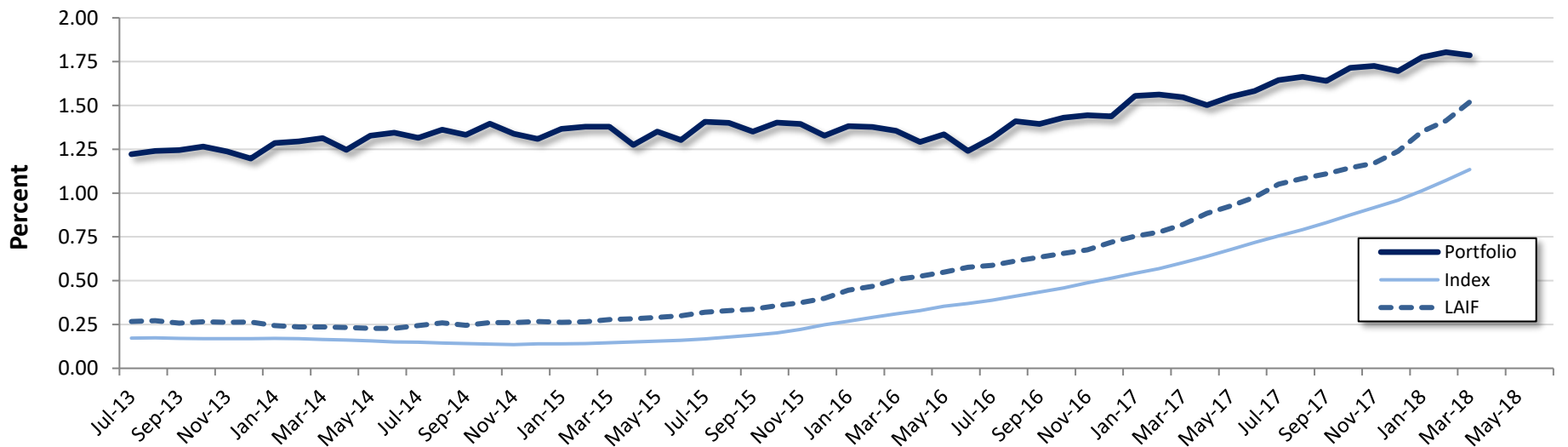
	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun
Fiscal Year 2014	\$2.310	\$2.291	\$2.319	\$2.282	\$2.285	\$2.551	\$2.615	\$2.411	\$2.411	\$2.617	\$2.531	\$2.335
Fiscal Year 2015	\$2.375	\$2.256	\$2.269	\$2.323	\$2.333	\$2.649	\$2.685	\$2.519	\$2.515	\$2.778	\$2.790	\$2.637
Fiscal Year 2016	\$2.531	\$2.291	\$2.290	\$2.354	\$2.365	\$2.673	\$2.842	\$2.695	\$2.731	\$2.993	\$2.957	\$2.860
Fiscal Year 2017	\$2.822	\$2.576	\$2.530	\$2.581	\$2.580	\$2.905	\$3.048	\$2.891	\$2.940	\$3.274	\$3.294	\$3.247
Fiscal Year 2018	\$3.240	\$2.992	\$2.932	\$3.032	\$3.004	\$3.374	\$3.468	\$3.321	\$3.337			

Figures in Billions, Average Daily Balance

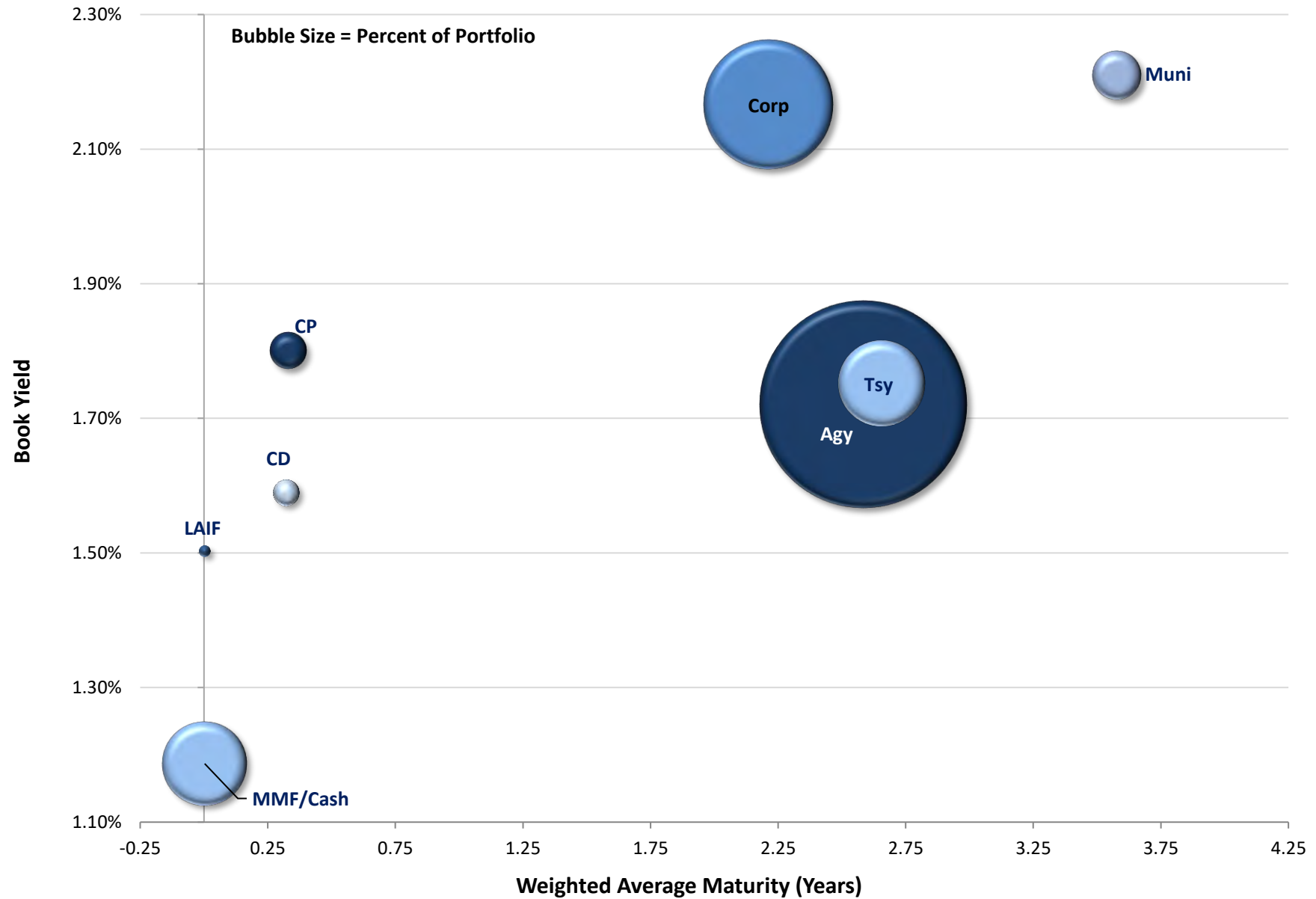
Weighted Average Maturity History



Month-End Book Yield vs 1-Year Treasury Note Index Yield (24 month moving avg)

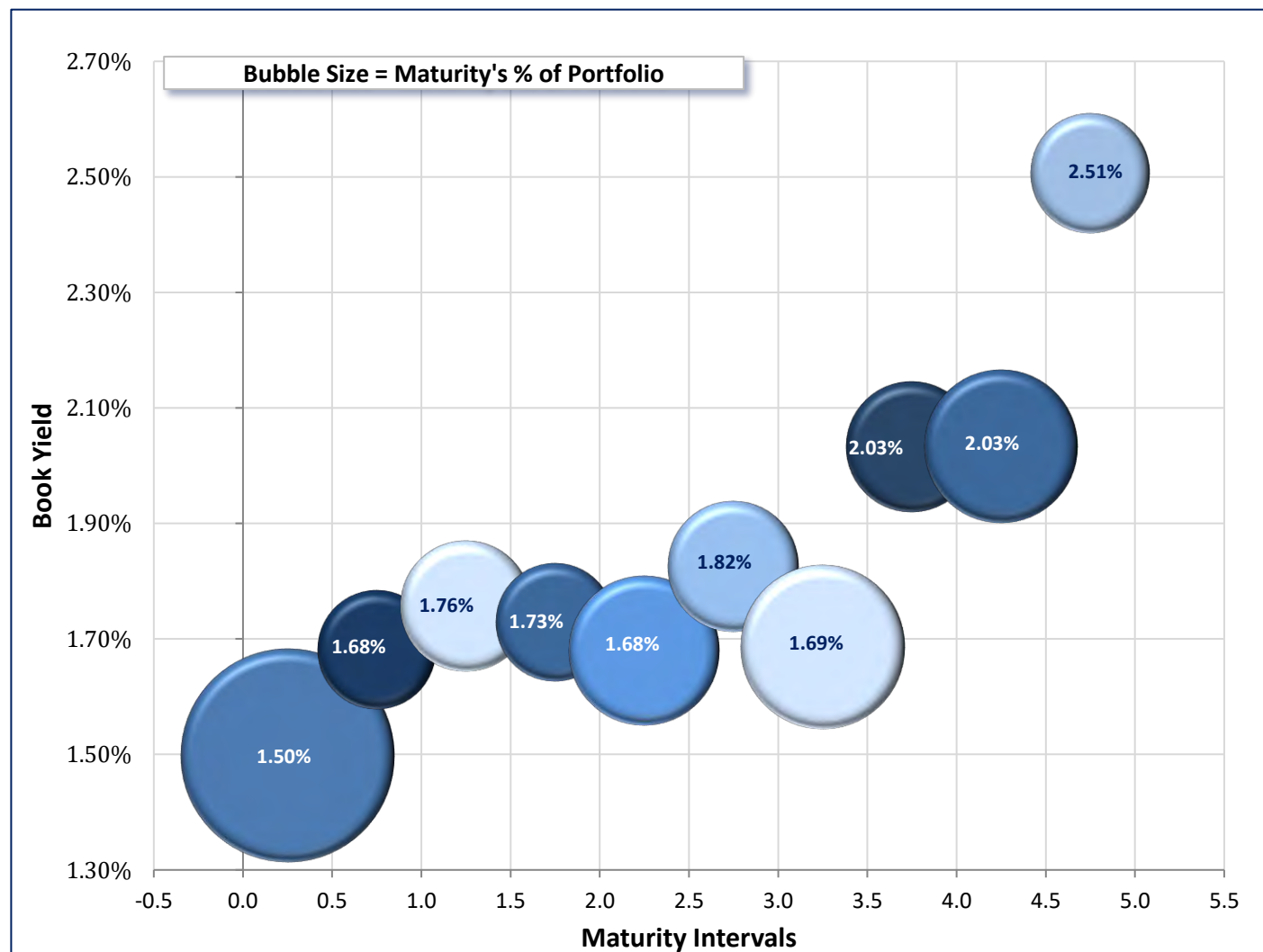


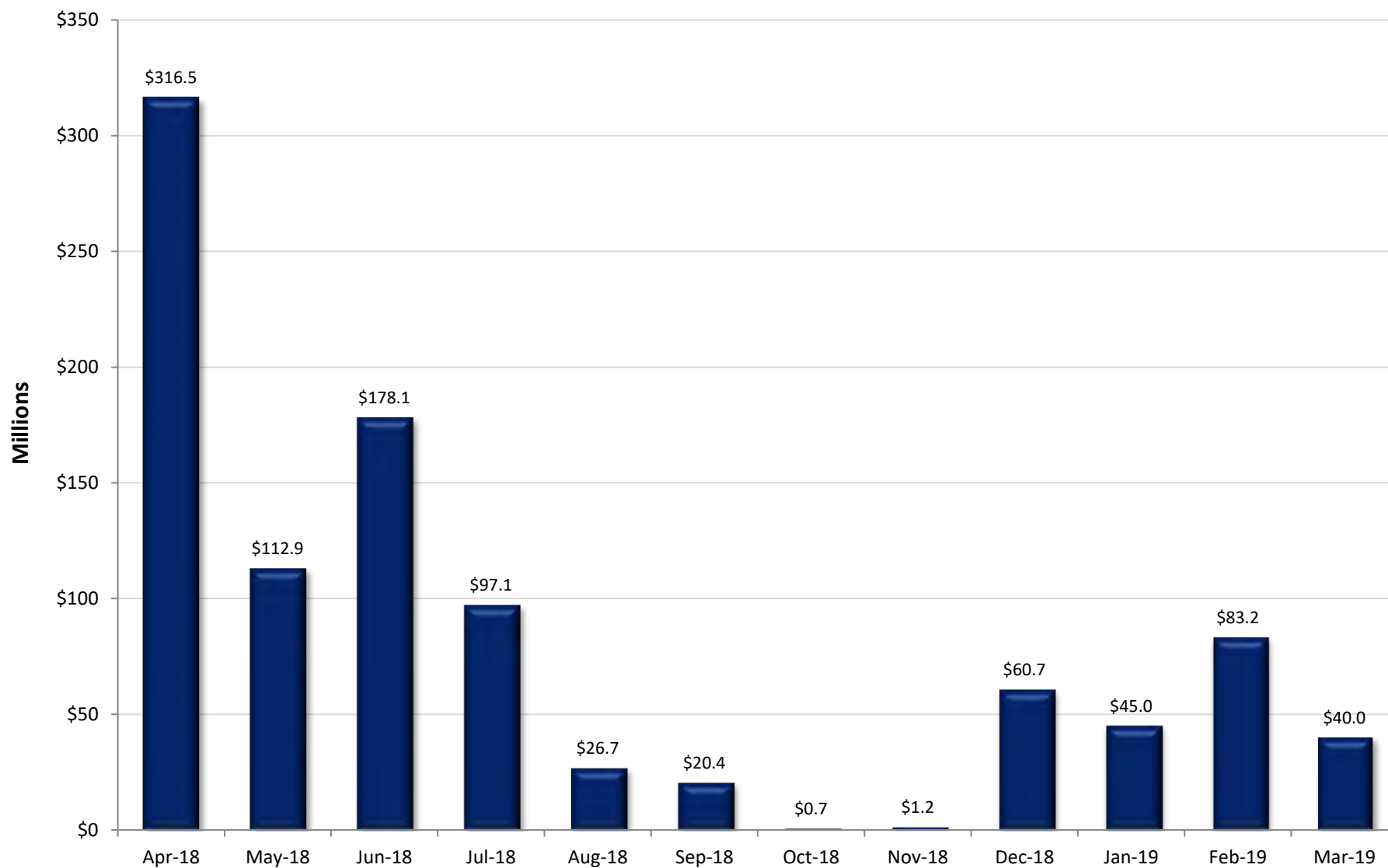
Index: 24 Month Moving Average of the ICE BofAML 1-Year US Treasury Note Index



Years	Book Yield	% of Portfolio*
0 to .5	1.50%	21.53%
.5 to 1.0	1.68%	6.61%
1.0 to 1.5	1.76%	8.09%
1.5 to 2.0	1.73%	6.60%
2.0 to 2.5	1.68%	10.57%
2.5 to 3.0	1.82%	8.06%
3.0 to 3.5	1.69%	12.72%
3.5 to 4.0	2.03%	8.05%
4.0 to 4.5	2.03%	11.11%
4.5 to 5.0+	2.51%	6.67%

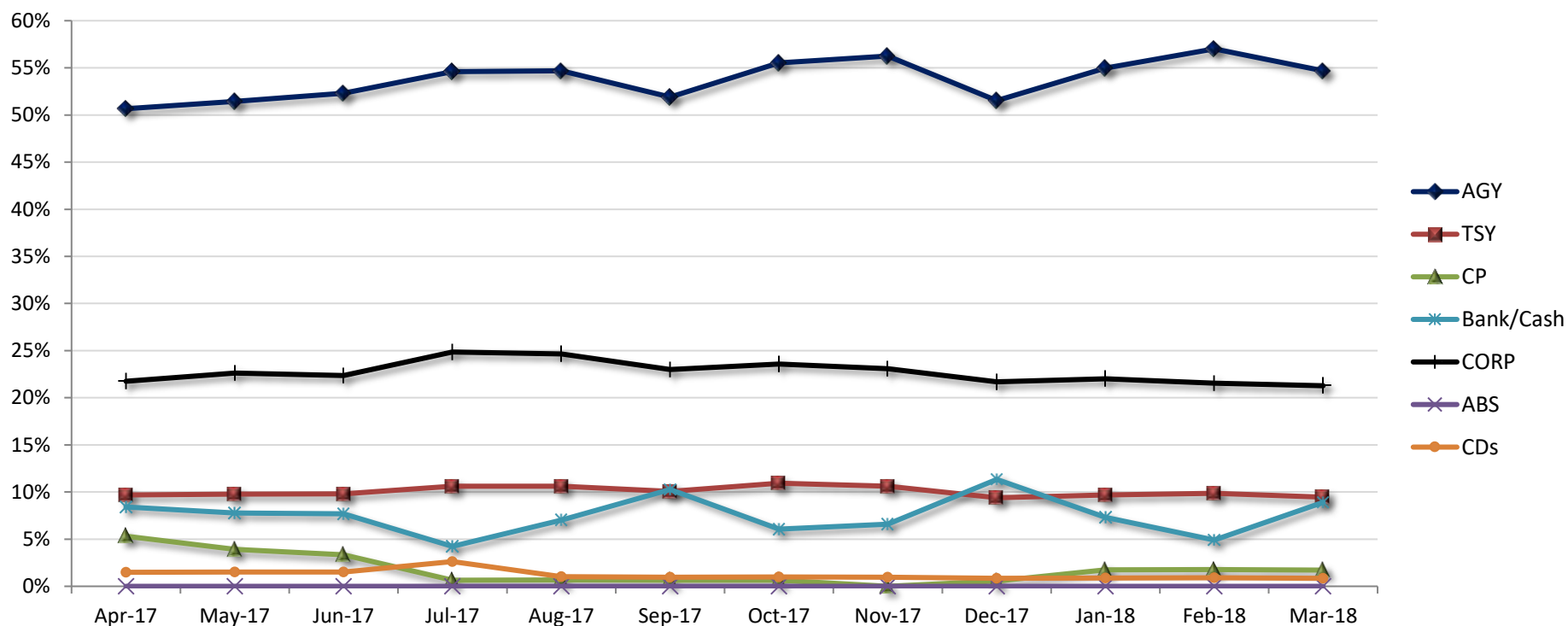
*Based on Book Value



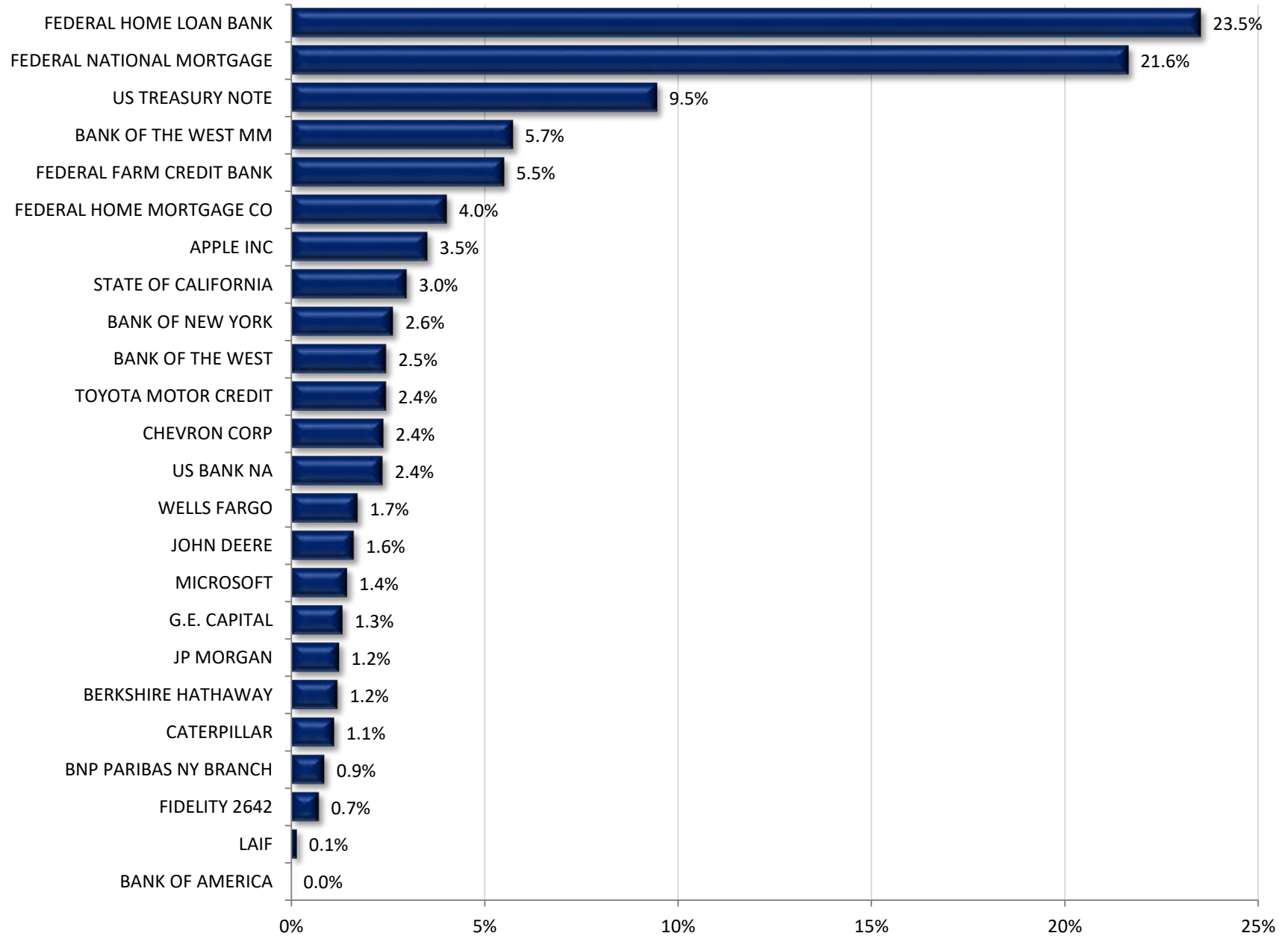


	Apr-18	May-18	Jun-18	Jul-18	Aug-18	Sep-18	Oct-18	Nov-18	Dec-18	Jan-19	Feb-19	Mar-19
Maturities	\$316.5	\$112.9	\$178.1	\$97.1	\$26.7	\$20.4	\$0.7	\$1.2	\$60.7	\$45.0	\$83.2	\$40.0

Par Value in Millions



Sector	Apr-17	May-17	Jun-17	Jul-17	Aug-17	Sep-17	Oct-17	Nov-17	Dec-17	Jan-18	Feb-18	Mar-18
Agency	50.7%	51.4%	52.3%	54.6%	54.7%	51.9%	55.5%	56.3%	51.5%	55.0%	57.0%	54.7%
Treasury	9.7%	9.8%	9.8%	10.6%	10.6%	10.1%	10.9%	10.6%	9.4%	9.7%	9.9%	9.5%
Commercial Paper	5.3%	3.9%	3.3%	0.7%	0.7%	0.6%	0.7%	0.0%	0.6%	1.7%	1.8%	1.7%
LAIF	1.9%	2.0%	2.0%	1.3%	0.2%	2.1%	0.5%	0.8%	1.8%	0.3%	0.9%	0.1%
Muni	0.8%	1.0%	1.0%	1.1%	1.1%	1.1%	1.8%	1.7%	2.8%	3.1%	3.1%	3.0%
Corporates	21.8%	22.6%	22.4%	24.9%	24.7%	23.0%	23.6%	23.1%	21.7%	22.0%	21.5%	21.3%
CDs	1.5%	1.5%	1.5%	2.6%	1.0%	1.0%	1.0%	1.0%	0.9%	0.9%	0.9%	0.9%
ABS	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
Bank/Cash	8.4%	7.8%	7.7%	4.2%	7.0%	10.3%	6.1%	6.6%	11.3%	7.3%	4.9%	8.9%
Total	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%	100.0%

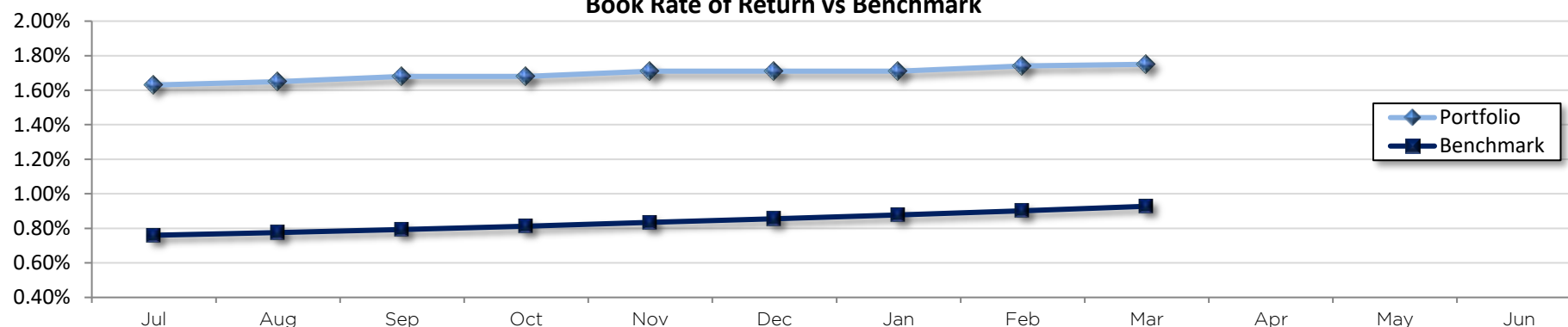


Fiscal Year-to-Date Earnings



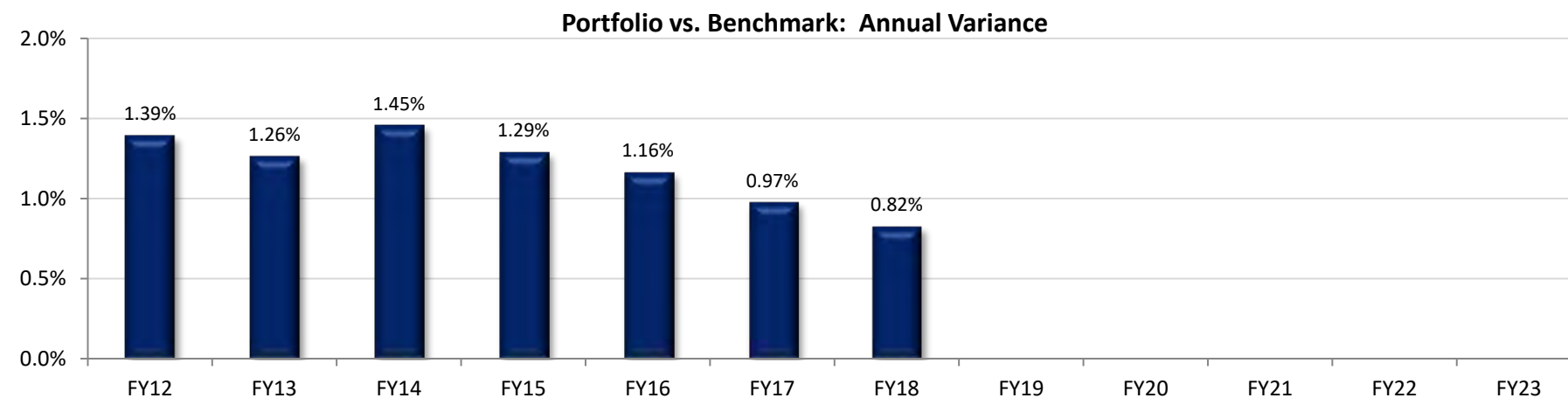
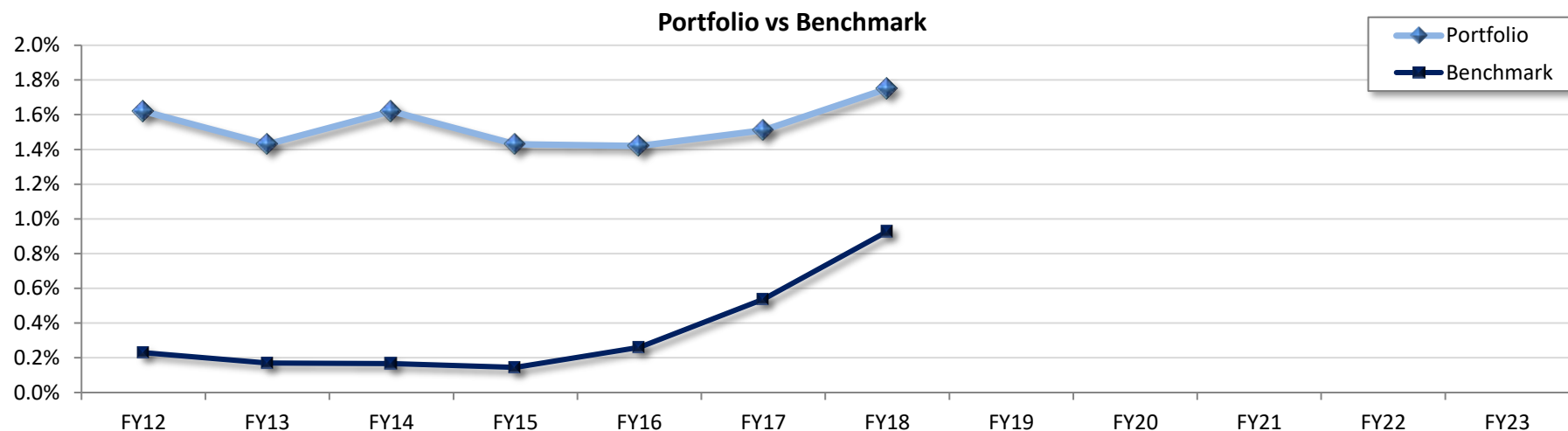
Fiscal YTD (\$Mil)	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun
FY 2014	\$2.3	\$4.7	\$7.3	\$9.8	\$12.2	\$15.0	\$17.7	\$20.7	\$23.4	\$26.2	\$29.0	\$31.6
FY 2015	\$2.3	\$4.9	\$7.5	\$10.5	\$13.3	\$16.2	\$19.2	\$22.1	\$25.8	\$29.0	\$32.5	\$35.5
FY 2016	\$2.3	\$5.1	\$7.8	\$10.6	\$13.4	\$17.2	\$20.5	\$23.7	\$26.9	\$30.5	\$34.2	\$37.3
FY 2017	\$3.0	\$6.0	\$9.0	\$12.1	\$15.3	\$18.9	\$22.7	\$26.5	\$30.5	\$34.8	\$39.2	\$43.5
FY 2018	\$4.5	\$8.7	\$12.9	\$17.3	\$21.6	\$26.7	\$31.7	\$36.7	\$41.9			

Book Rate of Return vs Benchmark



Fiscal YTD	Jul	Aug	Sep	Oct	Nov	Dec	Jan	Feb	Mar	Apr	May	Jun
Book Rate of Rtn	1.63%	1.65%	1.68%	1.68%	1.71%	1.71%	1.71%	1.74%	1.75%			
Benchmark*	0.76%	0.78%	0.79%	0.81%	0.83%	0.86%	0.88%	0.90%	0.93%			
Variance	0.87%	0.88%	0.89%	0.87%	0.88%	0.86%	0.83%	0.84%	0.82%			

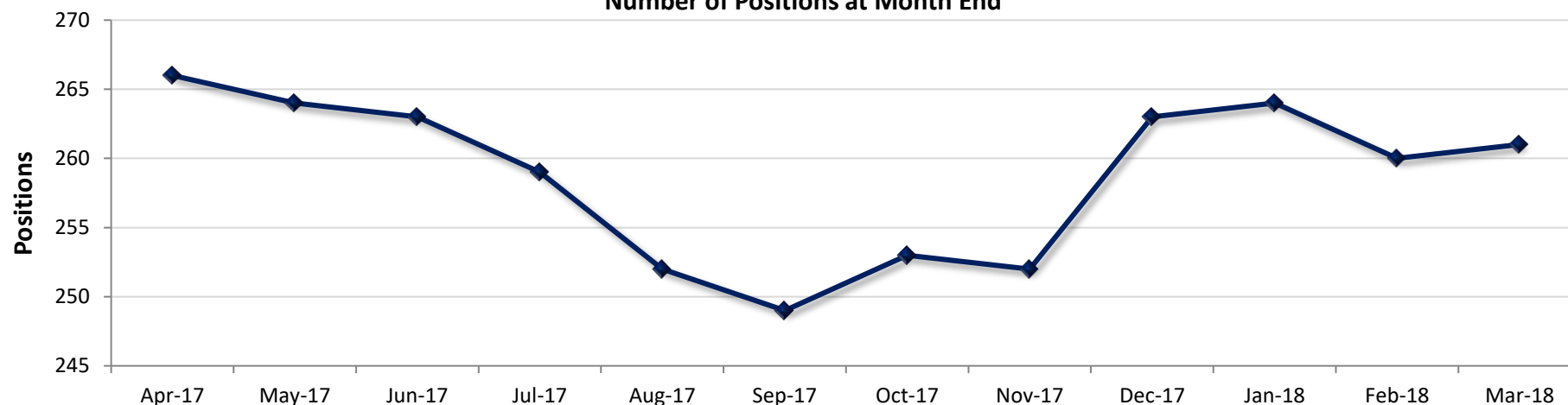
*Benchmark: ICE BofAML 1-Year US Treasury Note Index (24 Month Moving Average)--Average Builds Over the Fiscal Year Period



Fiscal YTD	FY12	FY13	FY14	FY15	FY16	FY17	FY18	FY19	FY20	FY21	FY22	FY23
Portfolio	1.62%	1.43%	1.62%	1.43%	1.42%	1.51%	1.75%					
Benchmark*	0.23%	0.17%	0.17%	0.14%	0.26%	0.54%	0.93%					
Variance	1.39%	1.26%	1.45%	1.29%	1.16%	0.97%	0.82%					

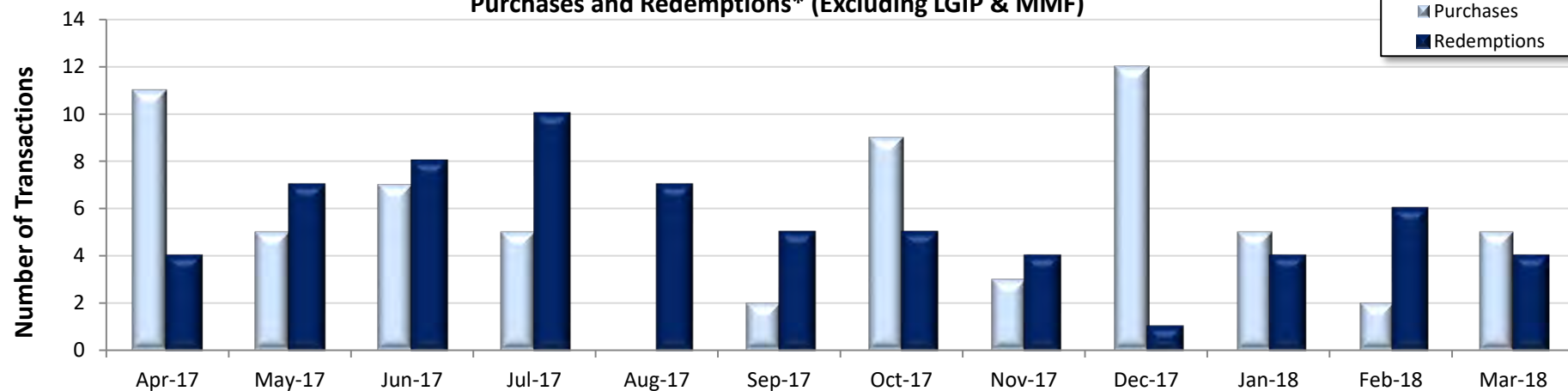
*Benchmark: ICE BofAML 1-Year US Treasury Note Index (24 Month Moving Average)--Average Builds Over the Fiscal Year Period

Number of Positions at Month End



	Apr-17	May-17	Jun-17	Jul-17	Aug-17	Sep-17	Oct-17	Nov-17	Dec-17	Jan-18	Feb-18	Mar-18
Positions	266	264	263	259	252	249	253	252	263	264	260	261

Purchases and Redemptions* (Excluding LGIP & MMF)



*Redemptions include maturities, calls, and sells

	Apr-17	May-17	Jun-17	Jul-17	Aug-17	Sep-17	Oct-17	Nov-17	Dec-17	Jan-18	Feb-18	Mar-18
Purchases	11	5	7	5	0	2	9	3	12	5	2	5
Redemptions	4	7	8	10	7	5	5	4	1	4	6	4
Total Transactions	15	12	15	15	7	7	14	7	13	9	8	9

Summary of Portfolio

	March 2018	December 2017	September 2017	June 2017	March 2017
Market Value	\$3,445,620,926	\$3,507,783,549	\$3,114,636,004	\$3,301,724,919	\$3,099,415,271
Amortize Cost Value	\$3,492,422,560	\$3,528,384,784	\$3,113,978,665	\$3,301,216,209	\$3,100,573,403
Unrealized Gain/Loss % on cost	-1.34%	-0.58%	0.02%	0.02%	-0.04%
Yield (weighted on cost value)	1.79%	1.70%	1.64%	1.58%	1.55%
Years to Maturity (weighted on cost value)	2.25	2.22	2.19	2.16	2.30
Avg Dollar-Weighted Quality Rating	AA+	AA+	AA+	AA+	AA+

Projection of Future Cash Flows

Month	Monthly Receipts (1)	Monthly Disburs.	Difference	Required Mat. Invest	Balance	Actual Inv. Maturities (3)	Available to Invest > 6 Months (4)
Beginning Balance (2)					315.8		
4/18	671.9	507.1	164.8	0.0	480.6	125.7	0.0
5/18	348.0	465.1	-117.1	0.0	363.5	237.9	0.0
6/18	420.2	516.3	-96.1	0.0	267.4	178.1	0.0
7/18	310.0	548.6	-238.6	0.0	28.8	157.1	0.0
8/18	337.0	439.1	-102.1	73.3	0.0	26.7	0.0
9/18	411.0	389.5	21.5	0.0	21.5	20.4	0.0
Totals	2,498.1	2,865.7	-367.6	73.3		745.9	672.6
				10%			90%

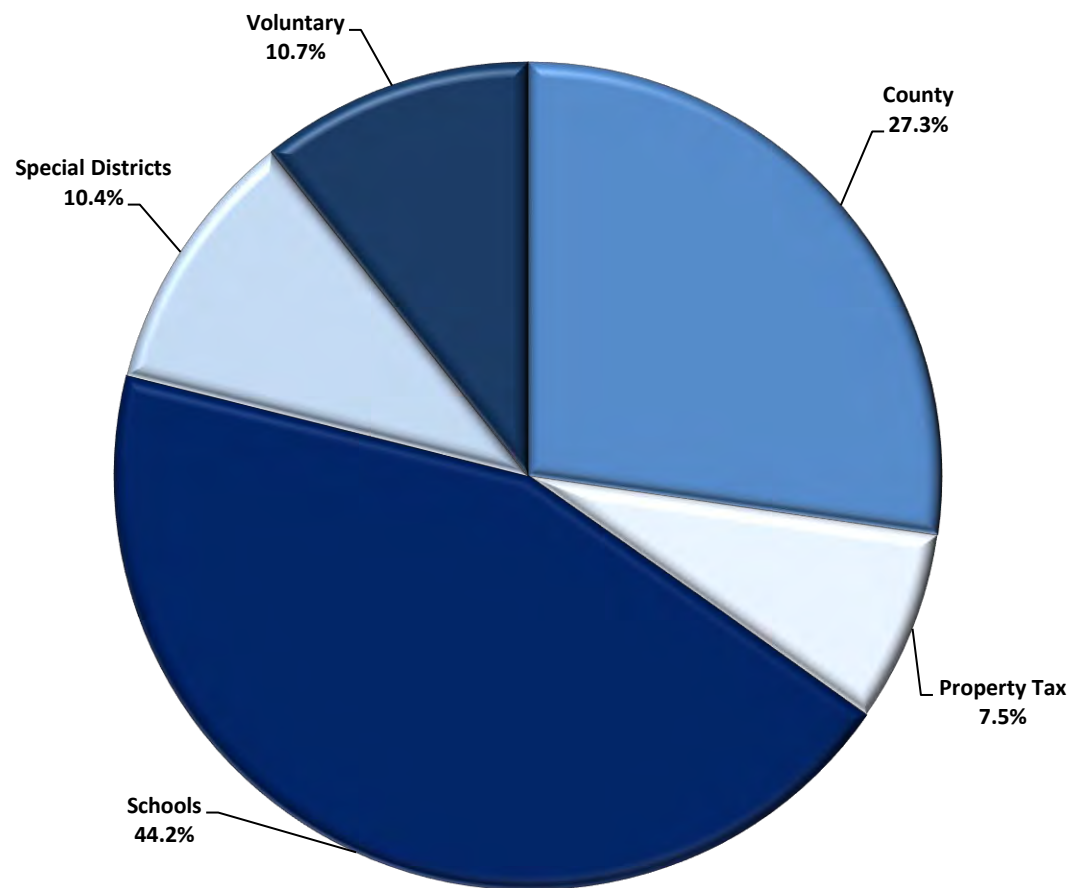
1. Monthly Receipt and Monthly Disbursement amounts are estimates based upon historical cash flows and may change as actual cash flow information becomes available.

2. Beginning balance: is taken from LAIF, Bank of the West MMF, and Bank of the West Service Bank.

3. Actual Investment Maturities: excludes vault.

4. Available to Invest > 6 Months: is calculated as Actual Investment Maturities less Required Investment Maturities.

Entity	Portfolio \$	Portfolio %
County	997,487,514	27.3%
Property Tax	273,027,310	7.5%
Schools	1,614,458,760	44.2%
Special Districts	381,022,585	10.4%
Voluntary	390,210,807	10.7%
Total	3,656,206,975	100.0%





**County of Fresno
Portfolio Management
Portfolio Summary
March 31, 2018**

Fresno County
P.O. Box 1247
Fresno, CA 93715
(559)600-3496

Investments	Par Value	Market Value	Book Value	% of Portfolio	Term	Days to Maturity	YTM 360 Equiv.
Bank Accounts	85,663,888.96	85,663,888.96	85,663,888.96	2.45	1	1	0.444
Federal Agency Coupons	1,909,831,000.00	1,878,724,010.77	1,909,514,060.83	54.68	1,706	943	1.721
Medium Term Notes	741,534,000.00	733,535,757.23	742,969,989.06	21.27	1,630	808	2.166
Treasury Notes	329,740,000.00	325,393,606.10	330,297,479.48	9.46	1,462	970	1.751
Discount Commercial Paper	60,000,000.00	59,543,400.00	59,644,677.77	1.71	214	121	1.800
Mutual Funds	25,000,000.00	25,000,000.00	25,000,000.00	0.72	1	1	1.391
Local Agency Investment Funds	5,000,000.00	5,000,000.00	5,000,000.00	0.14	1	1	1.503
BOW Money Market Account	200,136,232.88	200,136,232.88	200,136,232.88	5.73	1	1	1.479
Negotiable CDs	30,000,000.00	29,932,050.00	30,000,000.00	0.86	365	117	1.590
Municipal Bonds	103,500,000.00	102,691,980.00	104,196,231.19	2.98	1,597	1,306	2.209
	3,490,405,121.84	3,445,620,925.94	3,492,422,560.17	100.00%	1,472	821	1.785
Investments							

Total Earnings	March 31 Month Ending	Fiscal Year To Date
Current Year	5,153,169.63	41,861,748.31
Average Daily Balance	3,337,128,503.56	3,189,131,779.64
Effective Rate of Return	1.82%	1.75%

Oscar J. Garcia, CPA, Treasurer/ Tax Collector

Reporting period 03/01/2018-03/31/2018

Run Date: 04/17/2018 - 09:27

Portfolio FSNO
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PM (PRF_PM1) 7.3.0
Report Ver. 7.3.6.1

County of Fresno
Portfolio Management
Portfolio Details - Investments
March 31, 2018

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CUSIP	Investment #	Issuer	Average Balance	Purchase Date	Par Value	Market Value	Book Value	Stated Rate	YTM 365	S&P Moody's	Maturity Date
Bank Accounts											
SYS03400B	03400B	BANK OF AMERICA			4,865.58	4,865.58	4,865.58	0.220	0.220		
SYS03400A	03400A	BANK OF THE WEST			85,659,023.38	85,659,023.38	85,659,023.38	0.450	0.450		
Subtotal and Average			26,569,785.46		85,663,888.96	85,663,888.96	85,663,888.96		0.450		
Federal Agency Coupons											
31331KNA4	17200	FEDERAL FARM CREDIT BANK		12/18/2013	1,000,000.00	1,001,960.00	1,001,982.95	2.580	1.475	AA+	Aaa 06/08/2018
3133EDLR1	17248	FEDERAL FARM CREDIT BANK		05/27/2014	5,000,000.00	4,967,990.00	5,001,762.42	1.650	1.617	AA+	Aaa 05/15/2019
3133EEW55	17316	FEDERAL FARM CREDIT BANK		06/15/2015	10,000,000.00	9,871,780.00	9,981,768.88	1.800	1.887	AA+	Aaa 06/15/2020
3133EFYZ4	17359	FEDERAL FARM CREDIT BANK		02/29/2016	17,800,000.00	17,265,145.60	17,770,114.05	1.375	1.436	AA+	Aaa 02/10/2021
3133EFW52	17383	FEDERAL FARM CREDIT BANK		06/09/2016	2,060,000.00	2,033,615.52	2,062,501.72	1.150	1.051	AA+	Aaa 07/01/2019
3133EGBR5	17384	FEDERAL FARM CREDIT BANK		06/09/2016	5,000,000.00	4,947,955.00	4,999,204.94	0.950	0.968	AA+	Aaa 02/25/2019
3133EGYQ2	17410	FEDERAL FARM CREDIT BANK		10/27/2016	10,000,000.00	9,604,650.00	9,980,609.37	1.400	1.457	AA+	Aaa 10/14/2021
3133EGZJ7	17411	FEDERAL FARM CREDIT BANK		10/27/2016	10,000,000.00	9,594,100.00	9,971,884.83	1.375	1.457	AA+	Aaa 10/25/2021
3133EG5D3	17447	FEDERAL FARM CREDIT BANK		01/27/2017	50,000,000.00	48,976,850.00	50,000,000.00	2.030	2.030	AA+	Aaa 01/27/2022
3133EHJT1	17479	FEDERAL FARM CREDIT BANK		05/18/2017	5,000,000.00	4,878,605.00	4,995,291.17	2.000	2.024	AA+	Aaa 05/18/2022
3133EEY20	17495	FEDERAL FARM CREDIT BANK		09/21/2017	10,000,000.00	9,908,590.00	10,189,100.12	2.400	1.928	AA+	Aaa 06/17/2022
3133EHVS9	17499	FEDERAL FARM CREDIT BANK		09/28/2017	5,500,000.00	5,317,928.00	5,469,682.07	1.840	1.972	AA+	Aaa 08/23/2022
3133EJBP3	17535	FEDERAL FARM CREDIT BANK		02/07/2018	10,000,000.00	9,925,950.00	9,961,697.92	2.500	2.593	AA+	Aaa 02/02/2023
3133EJBP3	17536	FEDERAL FARM CREDIT BANK		02/28/2018	51,180,000.00	50,801,012.10	50,669,271.13	2.500	2.762	AA+	Aaa 02/02/2023
313373UU4	17117	FEDERAL HOME LOAN BANK		07/01/2013	50,000,000.00	50,085,500.00	50,098,637.42	2.750	1.642	AA+	Aaa 06/08/2018
313373UU4	17129	FEDERAL HOME LOAN BANK		07/12/2013	30,000,000.00	30,051,300.00	30,061,424.71	2.750	1.601	AA+	Aaa 06/08/2018
313373UU4	17135	FEDERAL HOME LOAN BANK		07/26/2013	61,150,000.00	61,254,566.50	61,274,955.35	2.750	1.604	AA+	Aaa 06/08/2018
313373UU4	17191	FEDERAL HOME LOAN BANK		12/12/2013	3,940,000.00	3,946,737.40	3,949,415.72	2.750	1.420	AA+	Aaa 06/08/2018
313379DT3	17192	FEDERAL HOME LOAN BANK		12/12/2013	6,135,000.00	6,128,950.89	6,133,117.74	1.250	1.421	AA+	Aaa 06/08/2018
3133XRFZ8	17199	FEDERAL HOME LOAN BANK		12/18/2013	2,000,000.00	2,010,676.00	2,011,754.55	4.750	1.475	AA+	Aaa 06/08/2018
313376BR5	17205	FEDERAL HOME LOAN BANK		01/03/2014	40,000,000.00	39,914,720.00	39,979,544.08	1.750	1.826	AA+	Aaa 12/14/2018
313379EE5	17250	FEDERAL HOME LOAN BANK		06/18/2014	5,000,000.00	4,967,075.00	4,986,667.65	1.625	1.858	AA+	Aaa 06/14/2019
3130A2FH4	17256	FEDERAL HOME LOAN BANK		09/02/2014	20,000,000.00	19,887,860.00	20,002,011.61	1.750	1.741	AA+	Aaa 06/14/2019
313379EE5	17259	FEDERAL HOME LOAN BANK		09/10/2014	10,000,000.00	9,934,150.00	9,974,409.04	1.625	1.848	AA+	Aaa 06/14/2019
3130A2FH4	17260	FEDERAL HOME LOAN BANK		09/10/2014	10,000,000.00	9,943,930.00	9,988,856.69	1.750	1.847	AA+	Aaa 06/14/2019
3133X72S2	17272	FEDERAL HOME LOAN BANK		12/09/2014	10,000,000.00	10,352,350.00	10,394,887.22	5.375	1.706	AA+	Aaa 05/15/2019
3133X72S2	17279	FEDERAL HOME LOAN BANK		12/19/2014	20,500,000.00	21,222,317.50	21,317,171.26	5.375	1.675	AA+	Aaa 05/15/2019
313383HU8	17315	FEDERAL HOME LOAN BANK		06/12/2015	20,000,000.00	19,712,480.00	19,999,578.13	1.750	1.751	AA+	Aaa 06/12/2020
313383HU8	17317	FEDERAL HOME LOAN BANK		06/26/2015	12,615,000.00	12,433,646.76	12,594,931.33	1.750	1.826	AA+	Aaa 06/12/2020
3130A7CV5	17363	FEDERAL HOME LOAN BANK		03/03/2016	5,000,000.00	4,854,185.00	4,979,123.48	1.375	1.526	AA+	Aaa 02/18/2021
313376XN0	17364	FEDERAL HOME LOAN BANK		03/03/2016	820,000.00	812,932.42	832,240.68	2.100	1.554	AA+	Aaa 02/08/2021

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Run Date: 04/17/2018 - 09:27

Report Ver. 7.3.6.1

County of Fresno
Portfolio Management
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CUSIP	Investment #	Issuer	Average Balance	Purchase Date	Par Value	Market Value	Book Value	Stated Rate	YTM 365	S&P Moody's	Maturity Date
Federal Agency Coupons											
3130A7CV5	17371	FEDERAL HOME LOAN BANK		04/21/2016	10,000,000.00	9,708,370.00	9,992,179.22	1.375	1.403	AA+	Aaa 02/18/2021
313381CA1	17372	FEDERAL HOME LOAN BANK		04/21/2016	5,000,000.00	4,857,755.00	5,000,766.71	1.375	1.369	AA+	Aaa 12/11/2020
3130A7CV5	17376	FEDERAL HOME LOAN BANK		05/20/2016	5,000,000.00	4,854,185.00	4,987,219.64	1.375	1.467	AA+	Aaa 02/18/2021
3130A7CV5	17379	FEDERAL HOME LOAN BANK		05/25/2016	10,000,000.00	9,708,370.00	9,967,812.20	1.375	1.491	AA+	Aaa 02/18/2021
3130A1W95	17386	FEDERAL HOME LOAN BANK		07/15/2016	30,000,000.00	29,662,800.00	30,926,616.08	2.250	1.250	AA+	Aaa 06/11/2021
3130A7CV5	17388	FEDERAL HOME LOAN BANK		08/08/2016	10,000,000.00	9,708,370.00	10,056,214.31	1.375	1.174	AA+	Aaa 02/18/2021
3130A8QS5	17389	FEDERAL HOME LOAN BANK		08/08/2016	15,000,000.00	14,371,260.00	14,943,247.97	1.125	1.244	AA+	Aaa 07/14/2021
313379RB7	17392	FEDERAL HOME LOAN BANK		08/17/2016	10,000,000.00	9,801,750.00	10,175,249.65	1.875	1.307	AA+	Aaa 06/11/2021
3130A8QS5	17399	FEDERAL HOME LOAN BANK		08/29/2016	3,955,000.00	3,789,222.22	3,930,686.42	1.125	1.319	AA+	Aaa 07/14/2021
3130A8QS5	17400	FEDERAL HOME LOAN BANK		09/13/2016	15,000,000.00	14,371,260.00	14,901,928.55	1.125	1.331	AA+	Aaa 07/14/2021
3130A8QS5	17403	FEDERAL HOME LOAN BANK		09/28/2016	10,000,000.00	9,580,840.00	9,963,392.25	1.125	1.240	AA+	Aaa 07/14/2021
3133752P1	17405	FEDERAL HOME LOAN BANK		10/05/2016	5,700,000.00	5,885,785.80	6,095,066.41	3.500	1.342	AA+	Aaa 07/29/2021
3130A8QS5	17408	FEDERAL HOME LOAN BANK		10/13/2016	10,000,000.00	9,580,840.00	9,906,445.51	1.125	1.420	AA+	Aaa 07/14/2021
3130A8QS5	17414	FEDERAL HOME LOAN BANK		11/14/2016	10,000,000.00	9,580,840.00	9,871,989.54	1.125	1.530	AA+	Aaa 07/14/2021
3130A1W95	17420	FEDERAL HOME LOAN BANK		11/29/2016	18,470,000.00	18,262,397.20	18,701,537.07	2.250	1.839	AA+	Aaa 06/11/2021
3130A7CV5	17457	FEDERAL HOME LOAN BANK		03/20/2017	20,000,000.00	19,416,740.00	19,729,437.27	1.375	1.864	AA+	Aaa 02/18/2021
3130AAX45	17460	FEDERAL HOME LOAN BANK		03/28/2017	15,000,000.00	14,785,665.00	15,043,682.80	1.875	1.768	AA+	Aaa 01/28/2021
3130A8QS5	17464	FEDERAL HOME LOAN BANK		04/06/2017	20,000,000.00	19,161,680.00	19,570,405.93	1.125	1.807	AA+	Aaa 07/14/2021
3130AB3M6	17465	FEDERAL HOME LOAN BANK		04/10/2017	5,000,000.00	4,907,375.00	5,003,460.86	1.875	1.853	AA+	Aaa 06/30/2021
313379RB7	17466	FEDERAL HOME LOAN BANK		04/11/2017	15,000,000.00	14,702,625.00	15,013,225.00	1.875	1.846	AA+	Aaa 06/11/2021
313379Q69	17485	FEDERAL HOME LOAN BANK		06/28/2017	5,000,000.00	4,892,420.00	5,046,362.37	2.125	1.892	AA+	Aaa 06/10/2022
313379Q69	17486	FEDERAL HOME LOAN BANK		06/28/2017	5,000,000.00	4,892,420.00	5,046,404.71	2.125	1.892	AA+	Aaa 06/10/2022
313379Q69	17487	FEDERAL HOME LOAN BANK		06/28/2017	3,820,000.00	3,737,808.88	3,856,051.64	2.125	1.888	AA+	Aaa 06/10/2022
313379Q69	17488	FEDERAL HOME LOAN BANK		07/07/2017	13,470,000.00	13,180,179.48	13,535,231.95	2.125	2.003	AA+	Aaa 06/10/2022
3130AC5A8	17494	FEDERAL HOME LOAN BANK		09/19/2017	10,000,000.00	9,677,380.00	9,980,623.58	1.850	1.896	AA+	Aaa 08/15/2022
3130AC5A8	17496	FEDERAL HOME LOAN BANK		09/27/2017	9,280,000.00	8,980,608.64	9,250,720.09	1.850	1.926	AA+	Aaa 08/15/2022
313379Q69	17498	FEDERAL HOME LOAN BANK		09/27/2017	20,000,000.00	19,569,680.00	20,195,554.99	2.125	1.880	AA+	Aaa 06/10/2022
3130ACKC7	17500	FEDERAL HOME LOAN BANK		10/18/2017	50,000,000.00	48,788,550.00	50,000,000.00	1.950	1.950	AA+	Aaa 07/18/2022
3130ACM27	17502	FEDERAL HOME LOAN BANK		10/12/2017	15,000,000.00	14,638,365.00	14,986,212.99	1.950	1.973	AA+	Aaa 07/11/2022
3130ACM27	17509	FEDERAL HOME LOAN BANK		10/19/2017	4,455,000.00	4,347,594.41	4,445,124.14	1.950	2.005	AA+	Aaa 07/11/2022
3130ACUV4	17512	FEDERAL HOME LOAN BANK		11/30/2017	50,000,000.00	49,018,200.00	50,000,000.00	2.070	2.070	AA+	Aaa 07/29/2022
3130ACUZ5	17513	FEDERAL HOME LOAN BANK		11/24/2017	23,000,000.00	22,563,000.00	22,980,074.90	2.060	2.082	AA+	Aaa 05/24/2022
3130ACXH2	17514	FEDERAL HOME LOAN BANK		12/04/2017	25,000,000.00	24,485,575.00	24,922,031.01	2.020	2.099	AA+	Aaa 05/25/2022
3130ACYP3	17515	FEDERAL HOME LOAN BANK		12/05/2017	20,000,000.00	19,634,280.00	19,983,099.90	2.100	2.121	AA+	Aaa 07/27/2022
313379Q69	17516	FEDERAL HOME LOAN BANK		12/01/2017	2,000,000.00	1,956,968.00	1,999,358.98	2.125	2.133	AA+	Aaa 06/10/2022
3130ACUV4	17517	FEDERAL HOME LOAN BANK		12/06/2017	8,890,000.00	8,715,435.96	8,855,659.07	2.070	2.165	AA+	Aaa 07/29/2022

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Federal Agency Coupons											
313379Q69	17527	FEDERAL HOME LOAN BANK		12/20/2017	1,900,000.00	1,859,119.60	1,893,371.46	2.125	2.228	AA+	Aaa 06/10/2022
3130A5P45	17528	FEDERAL HOME LOAN BANK		12/20/2017	1,925,000.00	1,904,471.80	1,937,515.80	2.375	2.228	AA+	Aaa 06/10/2022
3137EABP3	17124	FEDERAL HOME MORTGAGE CO		06/14/2013	575,000.00	578,386.75	578,930.38	4.875	1.331	AA+	Aaa 06/13/2018
3137EADK2	17275	FEDERAL HOME MORTGAGE CO		12/11/2014	15,000,000.00	14,806,350.00	14,924,404.31	1.250	1.644	AA+	Aaa 08/01/2019
3137EADK2	17276	FEDERAL HOME MORTGAGE CO		12/11/2014	20,000,000.00	19,741,800.00	19,900,205.99	1.250	1.640	AA+	Aaa 08/01/2019
3137EADM8	17280	FEDERAL HOME MORTGAGE CO		12/19/2014	20,000,000.00	19,700,120.00	19,856,382.24	1.250	1.750	AA+	Aaa 10/02/2019
3137EADM8	17281	FEDERAL HOME MORTGAGE CO		12/19/2014	20,000,000.00	19,700,120.00	19,856,947.42	1.250	1.748	AA+	Aaa 10/02/2019
3137EADM8	17282	FEDERAL HOME MORTGAGE CO		12/19/2014	10,000,000.00	9,850,060.00	9,928,473.71	1.250	1.748	AA+	Aaa 10/02/2019
3137EADR7	17303	FEDERAL HOME MORTGAGE CO		05/06/2015	10,000,000.00	9,805,110.00	9,948,732.59	1.375	1.632	AA+	Aaa 05/01/2020
3137EADR7	17309	FEDERAL HOME MORTGAGE CO		05/08/2015	10,000,000.00	9,805,110.00	9,945,805.91	1.375	1.647	AA+	Aaa 05/01/2020
3134G44G0	17328	FEDERAL HOME MORTGAGE CO		10/29/2015	5,000,000.00	4,903,910.00	4,997,519.00	1.500	1.524	AA+	Aaa 05/22/2020
3137EAEB1	17391	FEDERAL HOME MORTGAGE CO		08/11/2016	10,000,000.00	9,828,250.00	9,992,303.21	0.875	0.935	AA+	Aaa 07/19/2019
3137EAEC9	17393	FEDERAL HOME MORTGAGE CO		08/17/2016	10,000,000.00	9,552,680.00	9,935,908.08	1.125	1.322	AA+	Aaa 08/12/2021
3134G9M79	17463	FEDERAL HOME MORTGAGE CO		04/06/2017	4,410,000.00	4,317,963.30	4,408,984.67	1.875	1.882	AA+	Aaa 07/26/2021
3134G9N86	17476	FEDERAL HOME MORTGAGE CO		05/11/2017	6,170,000.00	6,041,090.19	6,165,132.37	1.875	1.900	AA+	Aaa 07/27/2021
3135G0WJ8	17108	FEDERAL NATIONAL MORTGAGE		05/30/2013	675,000.00	674,215.65	674,707.78	0.875	1.197	AA+	Aaa 05/21/2018
3135G0WJ8	17116	FEDERAL NATIONAL MORTGAGE		05/30/2013	800,000.00	799,070.40	799,637.74	0.875	1.212	AA+	Aaa 05/21/2018
3135G0WJ8	17164	FEDERAL NATIONAL MORTGAGE		08/30/2013	500,000.00	499,419.00	499,419.61	0.875	1.749	AA+	Aaa 05/21/2018
3135G0YM9	17167	FEDERAL NATIONAL MORTGAGE		09/25/2013	600,000.00	599,671.20	600,624.22	1.875	1.640	AA+	Aaa 09/18/2018
3135G0WJ8	17193	FEDERAL NATIONAL MORTGAGE		12/12/2013	40,000,000.00	39,953,520.00	39,970,702.81	0.875	1.421	AA+	Aaa 05/21/2018
3135G0YM9	17197	FEDERAL NATIONAL MORTGAGE		11/22/2013	1,000,000.00	999,452.00	1,001,659.42	1.875	1.503	AA+	Aaa 09/18/2018
3135G0YM9	17198	FEDERAL NATIONAL MORTGAGE		11/27/2013	165,000.00	164,909.58	165,308.17	1.875	1.456	AA+	Aaa 09/18/2018
3135G0YT4	17221	FEDERAL NATIONAL MORTGAGE		01/31/2014	600,000.00	598,443.60	599,856.44	1.625	1.663	AA+	Aaa 11/27/2018
3135G0ZA4	17222	FEDERAL NATIONAL MORTGAGE		02/25/2014	10,000,000.00	9,977,670.00	10,012,301.67	1.875	1.729	AA+	Aaa 02/19/2019
3135G0ZA4	17223	FEDERAL NATIONAL MORTGAGE		03/03/2014	25,000,000.00	24,944,175.00	25,043,043.95	1.875	1.671	AA+	Aaa 02/19/2019
3135G0ZA4	17224	FEDERAL NATIONAL MORTGAGE		03/03/2014	10,000,000.00	9,977,670.00	10,017,431.24	1.875	1.669	AA+	Aaa 02/19/2019
3135G0YT4	17234	FEDERAL NATIONAL MORTGAGE		03/20/2014	600,000.00	598,443.60	599,476.16	1.625	1.764	AA+	Aaa 11/27/2018
3135G0ZA4	17235	FEDERAL NATIONAL MORTGAGE		03/20/2014	600,000.00	598,660.20	600,104.51	1.875	1.854	AA+	Aaa 02/19/2019
3135G0ZE6	17251	FEDERAL NATIONAL MORTGAGE		06/18/2014	5,000,000.00	4,974,380.00	4,993,860.82	1.750	1.856	AA+	Aaa 06/20/2019
3135G0ZA4	17268	FEDERAL NATIONAL MORTGAGE		10/01/2014	5,000,000.00	4,988,835.00	5,005,753.42	1.875	1.739	AA+	Aaa 02/19/2019
3135G0ZE6	17269	FEDERAL NATIONAL MORTGAGE		10/01/2014	30,000,000.00	29,846,280.00	29,966,125.43	1.750	1.847	AA+	Aaa 06/20/2019
3136FTZZ5	17274	FEDERAL NATIONAL MORTGAGE		12/09/2014	10,000,000.00	9,957,440.00	10,012,714.02	1.750	1.591	AA+	Aaa 01/30/2019
3135G0ZE6	17277	FEDERAL NATIONAL MORTGAGE		12/11/2014	10,000,000.00	9,948,760.00	10,017,570.78	1.750	1.600	AA+	Aaa 06/20/2019
3135G0ZE6	17278	FEDERAL NATIONAL MORTGAGE		12/19/2014	26,000,000.00	25,866,776.00	26,027,383.74	1.750	1.660	AA+	Aaa 06/20/2019
3135G0A78	17299	FEDERAL NATIONAL MORTGAGE		03/04/2015	20,000,000.00	19,767,540.00	19,973,363.69	1.625	1.702	AA+	Aaa 01/21/2020
3135G0A78	17307	FEDERAL NATIONAL MORTGAGE		05/08/2015	10,000,000.00	9,883,770.00	10,000,460.72	1.625	1.622	AA+	Aaa 01/21/2020

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3135G0A78	17308	FEDERAL NATIONAL MORTGAGE		05/08/2015	10,000,000.00	9,883,770.00	10,000,833.14	1.625	1.620	AA+	Aaa 01/21/2020
3135G0A78	17312	FEDERAL NATIONAL MORTGAGE		06/03/2015	15,000,000.00	14,825,655.00	14,997,363.76	1.625	1.635	AA+	Aaa 01/21/2020
3135G0D75	17327	FEDERAL NATIONAL MORTGAGE		10/29/2015	20,000,000.00	19,612,960.00	19,984,966.29	1.500	1.535	AA+	Aaa 06/22/2020
3135G0A78	17329	FEDERAL NATIONAL MORTGAGE		10/29/2015	10,000,000.00	9,883,770.00	10,031,902.10	1.625	1.442	AA+	Aaa 01/21/2020
3135G0RM7	17330	FEDERAL NATIONAL MORTGAGE		10/30/2015	10,060,000.00	9,866,898.30	10,073,395.56	1.630	1.576	AA+	Aaa 10/30/2020
3135G0D75	17331	FEDERAL NATIONAL MORTGAGE		10/30/2015	5,950,000.00	5,834,855.60	5,941,192.11	1.500	1.569	AA+	Aaa 06/22/2020
3135G0A78	17332	FEDERAL NATIONAL MORTGAGE		11/04/2015	10,000,000.00	9,883,770.00	10,017,567.57	1.625	1.524	AA+	Aaa 01/21/2020
3135G0D75	17333	FEDERAL NATIONAL MORTGAGE		11/04/2015	5,000,000.00	4,903,240.00	4,986,529.95	1.500	1.626	AA+	Aaa 06/22/2020
3135G0D75	17334	FEDERAL NATIONAL MORTGAGE		11/04/2015	5,000,000.00	4,903,240.00	4,986,433.90	1.500	1.627	AA+	Aaa 06/22/2020
3135G0A78	17335	FEDERAL NATIONAL MORTGAGE		11/06/2015	10,000,000.00	9,883,770.00	10,006,229.70	1.625	1.589	AA+	Aaa 01/21/2020
3135G0D75	17336	FEDERAL NATIONAL MORTGAGE		11/06/2015	5,000,000.00	4,903,240.00	4,980,936.58	1.500	1.679	AA+	Aaa 06/22/2020
3135G0D75	17338	FEDERAL NATIONAL MORTGAGE		12/17/2015	30,000,000.00	29,419,440.00	29,824,958.09	1.500	1.774	AA+	Aaa 06/22/2020
3135G0D75	17339	FEDERAL NATIONAL MORTGAGE		12/17/2015	20,000,000.00	19,612,960.00	19,875,221.45	1.500	1.793	AA+	Aaa 06/22/2020
3135G0D75	17340	FEDERAL NATIONAL MORTGAGE		12/22/2015	10,000,000.00	9,806,480.00	9,956,904.22	1.500	1.702	AA+	Aaa 06/22/2020
3135G0A78	17341	FEDERAL NATIONAL MORTGAGE		12/22/2015	20,000,000.00	19,767,540.00	20,003,787.61	1.625	1.614	AA+	Aaa 01/21/2020
3135G0A78	17342	FEDERAL NATIONAL MORTGAGE		12/23/2015	10,000,000.00	9,883,770.00	10,001,195.50	1.625	1.618	AA+	Aaa 01/21/2020
3135G0D75	17343	FEDERAL NATIONAL MORTGAGE		12/23/2015	10,000,000.00	9,806,480.00	9,953,493.51	1.500	1.718	AA+	Aaa 06/22/2020
3135G0A78	17344	FEDERAL NATIONAL MORTGAGE		12/23/2015	20,000,000.00	19,767,540.00	20,001,700.27	1.625	1.620	AA+	Aaa 01/21/2020
3135G0H55	17374	FEDERAL NATIONAL MORTGAGE		05/20/2016	10,000,000.00	9,856,050.00	10,121,106.92	1.875	1.417	AA+	Aaa 12/28/2020
3135G0K69	17380	FEDERAL NATIONAL MORTGAGE		05/25/2016	10,000,000.00	9,639,030.00	9,918,844.78	1.250	1.523	AA+	Aaa 05/06/2021
3135G0J53	17390	FEDERAL NATIONAL MORTGAGE		08/11/2016	26,561,000.00	26,282,640.72	26,590,340.47	1.000	0.876	AA+	Aaa 02/26/2019
3135G0N82	17396	FEDERAL NATIONAL MORTGAGE		08/29/2016	10,000,000.00	9,592,370.00	9,985,786.13	1.250	1.294	AA+	Aaa 08/17/2021
3135G0N82	17397	FEDERAL NATIONAL MORTGAGE		08/29/2016	10,000,000.00	9,592,370.00	9,971,504.25	1.250	1.337	AA+	Aaa 08/17/2021
3135G0N82	17398	FEDERAL NATIONAL MORTGAGE		08/29/2016	10,000,000.00	9,592,370.00	9,964,907.38	1.250	1.358	AA+	Aaa 08/17/2021
3135G0K69	17402	FEDERAL NATIONAL MORTGAGE		09/28/2016	25,000,000.00	24,097,575.00	25,011,210.36	1.250	1.235	AA+	Aaa 05/06/2021
3135G0Q89	17406	FEDERAL NATIONAL MORTGAGE		10/07/2016	20,000,000.00	19,220,820.00	19,976,930.67	1.375	1.409	AA+	Aaa 10/07/2021
3135G0Q89	17407	FEDERAL NATIONAL MORTGAGE		10/13/2016	10,000,000.00	9,610,410.00	9,958,364.55	1.375	1.498	AA+	Aaa 10/07/2021
3135G0Q89	17409	FEDERAL NATIONAL MORTGAGE		10/27/2016	5,000,000.00	4,805,205.00	4,986,984.38	1.375	1.452	AA+	Aaa 10/07/2021
3135G0K69	17412	FEDERAL NATIONAL MORTGAGE		11/02/2016	10,000,000.00	9,639,030.00	9,961,084.85	1.250	1.380	AA+	Aaa 05/06/2021
3135G0K69	17413	FEDERAL NATIONAL MORTGAGE		11/14/2016	8,000,000.00	7,711,224.00	7,934,096.03	1.250	1.526	AA+	Aaa 05/06/2021
3135G0K69	17421	FEDERAL NATIONAL MORTGAGE		12/02/2016	25,000,000.00	24,097,575.00	24,511,408.43	1.250	1.911	AA+	Aaa 05/06/2021
3135G0S38	17440	FEDERAL NATIONAL MORTGAGE		01/09/2017	20,000,000.00	19,593,180.00	19,965,848.44	2.000	2.048	AA+	Aaa 01/05/2022
3135G0S38	17441	FEDERAL NATIONAL MORTGAGE		01/09/2017	10,000,000.00	9,796,590.00	9,982,218.57	2.000	2.050	AA+	Aaa 01/05/2022
3135G0S38	17459	FEDERAL NATIONAL MORTGAGE		03/28/2017	10,000,000.00	9,796,590.00	10,005,283.52	2.000	1.985	AA+	Aaa 01/05/2022
3136G2CS4	17461	FEDERAL NATIONAL MORTGAGE		03/28/2017	5,000,000.00	4,896,555.00	5,002,676.91	2.000	1.985	AA+	Aaa 01/27/2022
3135G0S38	17480	FEDERAL NATIONAL MORTGAGE		06/02/2017	5,000,000.00	4,898,295.00	5,030,142.31	2.000	1.832	AA+	Aaa 01/05/2022

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Federal Agency Coupons											
3135G0S38	17481	FEDERAL NATIONAL MORTGAGE		06/12/2017	5,000,000.00	4,898,295.00	5,029,976.06	2.000	1.833	AA+	Aaa 01/05/2022
3135G0T78	17501	FEDERAL NATIONAL MORTGAGE		10/10/2017	20,000,000.00	19,443,580.00	19,984,685.02	2.000	2.023	AA+	Aaa 10/05/2022
3135G0T78	17503	FEDERAL NATIONAL MORTGAGE		10/12/2017	15,000,000.00	14,582,685.00	14,988,289.01	2.000	2.026	AA+	Aaa 10/05/2022
3135G0T78	17531	FEDERAL NATIONAL MORTGAGE		01/11/2018	5,000,000.00	4,860,895.00	4,945,922.74	2.000	2.379	AA+	Aaa 10/05/2022
3135G0T94	17533	FEDERAL NATIONAL MORTGAGE		01/23/2018	50,000,000.00	49,371,550.00	49,713,042.32	2.375	2.503	AA+	Aaa 01/19/2023
Subtotal and Average			1,909,907,586.08		1,909,831,000.00	1,878,724,010.77	1,909,514,060.83		1.745		
Medium Term Notes											
037833AJ9	17123	APPLE INC		07/08/2013	6,579,000.00	6,572,421.00	6,574,286.36	1.000	1.846	AA+	Aa1 05/03/2018
037833AJ9	17142	APPLE INC		08/15/2013	11,000,000.00	10,989,000.00	10,992,970.37	1.000	1.752	AA+	Aa1 05/03/2018
037833AJ9	17147	APPLE INC		08/16/2013	6,265,000.00	6,258,735.00	6,260,351.27	1.000	1.876	AA+	Aa1 05/03/2018
037833AJ9	17148	APPLE INC		08/27/2013	7,000,000.00	6,993,000.00	6,993,535.09	1.000	2.096	AA+	Aa1 05/03/2018
037833AJ9	17154	APPLE INC		09/10/2013	10,000,000.00	9,990,000.00	9,989,594.74	1.000	2.239	AA+	Aa1 05/03/2018
037833BD1	17348	APPLE INC		12/28/2015	10,000,000.00	9,874,020.00	9,998,170.28	2.000	2.009	AA+	Aa1 05/06/2020
037833CC2	17425	APPLE INC		12/13/2016	5,000,000.00	4,791,640.00	4,893,234.65	1.550	2.226	AA+	Aa1 08/04/2021
037833BS8	17443	APPLE INC		01/19/2017	10,000,000.00	9,849,600.00	10,000,000.00	2.250	2.250	AA+	Aa1 02/23/2021
037833CM0	17448	APPLE INC		02/21/2017	15,000,000.00	14,768,325.00	14,971,355.03	2.500	2.553	AA+	Aa1 02/09/2022
037833AY6	17470	APPLE INC		04/18/2017	10,000,000.00	9,731,350.00	9,983,508.14	2.150	2.195	AA+	Aa1 02/09/2022
037833CQ1	17475	APPLE INC		05/11/2017	20,000,000.00	19,476,640.00	19,960,533.33	2.300	2.351	AA+	Aa1 05/11/2022
037833BU3	17540	APPLE INC		03/01/2018	10,000,000.00	9,917,840.00	9,909,973.96	2.850	3.064	AA+	Aa1 02/23/2023
037833DE7	17541	APPLE INC		03/01/2018	2,500,000.00	2,427,697.50	2,445,031.23	2.400	3.060	AA+	Aa1 01/13/2023
084664BY6	17144	BERKSHIRE HATHAWAY		08/15/2013	10,000,000.00	9,979,840.00	10,001,340.00	2.000	1.962	AA	Aa2 08/15/2018
084664BE0	17149	BERKSHIRE HATHAWAY		08/27/2013	5,124,000.00	5,140,150.85	5,143,438.61	5.400	2.121	AA	Aa2 05/15/2018
084664BY6	17152	BERKSHIRE HATHAWAY		08/27/2013	1,000,000.00	997,984.00	999,071.44	2.000	2.265	AA	Aa2 08/15/2018
084670BL1	17264	BERKSHIRE HATHAWAY		10/01/2014	10,000,000.00	9,966,820.00	9,990,269.37	2.100	2.175	AA	Aa2 08/14/2019
084670BF4	17520	BERKSHIRE HATHAWAY		12/14/2017	15,000,000.00	15,168,960.00	15,568,628.70	3.400	2.355	AA	Aa2 01/31/2022
06406HCL1	17151	BANK OF NEW YORK		08/27/2013	5,000,000.00	4,995,705.00	4,998,410.37	2.100	2.201	A	A1 08/01/2018
06406HCL1	17190	BANK OF NEW YORK		12/13/2013	10,000,000.00	9,991,410.00	10,007,014.39	2.100	1.879	A	A1 08/01/2018
06406HCU1	17261	BANK OF NEW YORK		09/16/2014	2,500,000.00	2,490,290.00	2,499,512.75	2.200	2.218	A	A1 05/15/2019
06406HCU1	17262	BANK OF NEW YORK		09/16/2014	5,000,000.00	4,980,580.00	4,999,711.26	2.200	2.205	A	A1 05/15/2019
06406HCW7	17266	BANK OF NEW YORK		10/01/2014	8,501,000.00	8,435,440.29	8,488,086.12	2.300	2.412	A	A1 09/11/2019
06406HCZ0	17297	BANK OF NEW YORK		03/04/2015	3,000,000.00	2,960,094.00	3,003,445.53	2.150	2.086	A	A1 02/24/2020
06406HDD8	17347	BANK OF NEW YORK		12/28/2015	5,000,000.00	4,964,140.00	5,019,874.18	2.600	2.422	A	A1 08/17/2020
06406HBP3	17350	BANK OF NEW YORK		12/28/2015	5,000,000.00	5,151,035.00	5,197,038.81	4.600	2.281	A	A1 01/15/2020
06406HCR8	17373	BANK OF NEW YORK		05/19/2016	30,000,000.00	29,891,520.00	30,182,702.69	2.200	1.525	A	A1 03/04/2019
06406RAA5	17469	BANK OF NEW YORK		04/18/2017	10,000,000.00	9,810,330.00	10,063,865.02	2.600	2.423	A	A1 02/07/2022

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Medium Term Notes											
06406FAB9	17490	BANK OF NEW YORK		07/18/2017	7,500,000.00	7,280,955.00	7,446,721.76	2.050	2.291	A	A1 05/03/2021
14912L5T4	17155	CATERPILLAR		09/10/2013	5,000,000.00	5,001,435.00	4,998,813.34	2.450	2.509	A	A3 09/06/2018
14912L5T4	17187	CATERPILLAR		12/06/2013	7,675,000.00	7,677,202.73	7,693,213.09	2.450	1.871	A	A3 09/06/2018
14912L5T4	17203	CATERPILLAR		12/26/2013	2,500,000.00	2,500,717.50	2,504,267.09	2.450	2.032	A	A3 09/06/2018
14912L6J5	17360	CATERPILLAR		03/04/2016	8,278,000.00	8,151,603.22	8,265,046.99	2.000	2.085	A	A3 03/05/2020
14912L6U0	17401	CATERPILLAR		09/16/2016	15,294,000.00	14,648,333.20	15,179,355.55	1.700	1.935	A	A3 08/09/2021
166764AE0	17121	CHEVRON CORP		07/05/2013	10,000,000.00	9,984,620.00	9,997,847.29	1.718	1.816	AA-	Aa2 06/24/2018
166764AE0	17150	CHEVRON CORP		08/27/2013	3,320,000.00	3,314,893.84	3,317,447.46	1.718	2.070	AA-	Aa2 06/24/2018
166764AE0	17186	CHEVRON CORP		12/06/2013	10,000,000.00	9,984,620.00	10,002,351.16	1.718	1.612	AA-	Aa2 06/24/2018
166764AY6	17346	CHEVRON CORP		12/28/2015	10,000,000.00	9,926,300.00	9,987,146.45	2.419	2.471	AA-	Aa2 11/17/2020
166764BH2	17378	CHEVRON CORP		05/25/2016	20,000,000.00	19,809,960.00	19,977,462.18	1.561	1.664	AA-	Aa2 05/16/2019
166764BH2	17381	CHEVRON CORP		05/27/2016	10,000,000.00	9,904,980.00	9,988,747.90	1.561	1.664	AA-	Aa2 05/16/2019
166764BG4	17471	CHEVRON CORP		04/25/2017	20,000,000.00	19,549,580.00	19,992,761.81	2.100	2.112	AA-	Aa2 05/16/2021
36962G3U6	17141	G.E. CAPITAL		08/15/2013	5,000,000.00	5,011,500.00	5,013,645.05	5.625	2.162	A	A2 05/01/2018
36962G3U6	17153	G.E. CAPITAL		09/10/2013	10,000,000.00	10,023,000.00	10,023,335.73	5.625	2.631	A	A2 05/01/2018
36962G3U6	17189	G.E. CAPITAL		12/13/2013	10,000,000.00	10,023,000.00	10,030,513.31	5.625	1.800	A	A2 05/01/2018
36962G7M0	17296	G.E. CAPITAL		03/04/2015	10,350,000.00	10,191,717.45	10,389,279.23	2.200	1.974	A	A2 01/09/2020
36962G5J9	17511	G.E. CAPITAL		11/16/2017	10,000,000.00	10,440,950.00	10,780,811.98	4.650	2.438	A	A2 10/17/2021
24422EQV4	17156	JOHN DEERE		09/10/2013	3,500,000.00	3,546,452.00	3,546,464.66	5.750	2.531	A	A2 09/10/2018
24422ESF7	17204	JOHN DEERE		12/26/2013	20,000,000.00	19,945,720.00	19,986,462.23	1.950	2.052	A	A2 12/13/2018
24422ESK6	17226	JOHN DEERE		03/05/2014	10,000,000.00	9,943,840.00	10,002,017.62	1.950	1.927	A	A2 03/04/2019
24422ERY7	17349	JOHN DEERE		12/28/2015	9,000,000.00	8,826,444.00	8,911,528.46	1.700	2.278	A	A2 01/15/2020
24422ETF6	17362	JOHN DEERE		03/04/2016	5,000,000.00	4,954,960.00	5,052,293.91	2.550	2.150	A	A2 01/08/2021
24422ERH4	17427	JOHN DEERE		12/13/2016	8,707,000.00	8,739,555.47	8,917,073.92	3.150	2.423	A	A2 10/15/2021
46625HJR2	17217	JP MORGAN		01/28/2014	5,000,000.00	4,993,810.00	4,999,653.50	2.350	2.359	A-	A3 01/28/2019
46625HJR2	17225	JP MORGAN		03/05/2014	10,000,000.00	9,987,620.00	10,010,326.77	2.350	2.217	A-	A3 01/28/2019
46625HHL7	17252	JP MORGAN		07/23/2014	6,740,000.00	6,993,289.20	7,009,246.78	6.300	2.303	A-	A3 04/23/2019
46625HJR2	17263	JP MORGAN		09/16/2014	5,000,000.00	4,993,810.00	5,004,600.48	2.350	2.232	A-	A3 01/28/2019
46625HKA7	17295	JP MORGAN		03/04/2015	10,000,000.00	9,878,490.00	9,983,616.60	2.250	2.346	A-	A3 01/23/2020
46625HNX4	17361	JP MORGAN		03/04/2016	6,181,000.00	6,104,324.70	6,184,218.99	2.550	2.528	A-	A3 10/29/2020
594918BP8	17394	MICROSOFT		08/22/2016	15,000,000.00	14,403,645.00	14,993,208.09	1.550	1.564	AAA	Aaa 08/08/2021
594918BP8	17424	MICROSOFT		12/13/2016	5,000,000.00	4,801,215.00	4,899,116.42	1.550	2.186	AAA	Aaa 08/08/2021
594918BW3	17449	MICROSOFT		02/21/2017	6,725,000.00	6,611,508.90	6,720,606.45	2.400	2.418	AAA	Aaa 02/06/2022
594918BA1	17450	MICROSOFT		02/21/2017	6,450,000.00	6,325,721.40	6,439,941.00	2.375	2.418	AAA	Aaa 02/12/2022
594918BW3	17525	MICROSOFT		12/21/2017	17,375,000.00	17,081,779.50	17,375,000.00	2.400	2.400	AAA	Aaa 02/06/2022
89236TBP9	17265	TOYOTA MOTOR CREDIT		10/01/2014	10,000,000.00	9,938,560.00	9,990,995.31	2.125	2.198	AA-	Aa3 07/18/2019

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Medium Term Notes											
89236TCP8	17321	TOYOTA MOTOR CREDIT		09/11/2015	6,000,000.00	5,989,650.00	5,999,964.07	1.550	1.552	AA-	Aa3 07/13/2018
89233P7F7	17538	TOYOTA MOTOR CREDIT		03/01/2018	5,000,000.00	4,889,045.00	4,924,053.66	2.625	3.054	AA-	Aa3 01/10/2023
89236TEL5	17539	TOYOTA MOTOR CREDIT		03/01/2018	5,000,000.00	4,905,735.00	4,940,691.49	2.700	3.054	AA-	Aa3 01/11/2023
91159HHL7	17395	US BANK NA		08/22/2016	5,000,000.00	4,927,465.00	5,090,762.64	2.350	1.681	A+	A1 01/29/2021
91159HHL7	17426	US BANK NA		12/13/2016	4,634,000.00	4,566,774.56	4,649,142.70	2.350	2.228	A+	A1 01/29/2021
91159HHL7	17431	US BANK NA		12/22/2016	5,000,000.00	4,927,465.00	4,991,525.86	2.350	2.413	A+	A1 01/29/2021
91159HHL7	17432	US BANK NA		12/22/2016	7,522,000.00	7,412,878.35	7,510,283.20	2.350	2.408	A+	A1 01/29/2021
91159HHL7	17458	US BANK NA		03/22/2017	10,000,000.00	9,854,930.00	10,006,532.23	2.350	2.325	A+	A1 01/29/2021
91159HHL7	17482	US BANK NA		06/27/2017	4,803,000.00	4,733,322.88	4,840,953.82	2.350	2.058	A+	A1 01/29/2021
91159HHP8	17483	US BANK NA		06/27/2017	20,000,000.00	19,708,220.00	20,256,926.90	2.625	2.268	A+	A1 01/24/2022
91159JAA4	17529	US BANK NA		12/21/2017	10,004,000.00	9,861,883.18	10,139,858.70	2.950	2.606	A-	A1 07/15/2022
90331HNL3	17534	US BANK NA		01/24/2018	10,000,000.00	9,872,720.00	9,982,980.66	2.850	2.890	AA-	A1 01/23/2023
90331HNL3	17537	US BANK NA		03/01/2018	5,000,000.00	4,936,360.00	4,952,151.00	2.850	3.134	AA-	A1 01/23/2023
94974BFQ8	17207	WELLS FARGO		01/15/2014	15,000,000.00	14,933,940.00	14,991,432.67	2.150	2.227	A-	A2 01/15/2019
949746SA0	17445	WELLS FARGO		01/25/2017	10,000,000.00	9,657,150.00	9,776,112.58	2.100	2.823	A-	A2 07/26/2021
949746SA0	17467	WELLS FARGO		04/17/2017	5,000,000.00	4,828,575.00	4,942,230.02	2.100	2.469	A-	A2 07/26/2021
949746SA0	17477	WELLS FARGO		05/15/2017	13,232,000.00	12,778,340.88	13,076,284.49	2.100	2.475	A-	A2 07/26/2021
949746SA0	17491	WELLS FARGO		07/18/2017	12,275,000.00	11,854,151.63	12,150,093.82	2.100	2.424	A-	A2 07/26/2021
95000U2B8	17508	WELLS FARGO		10/20/2017	5,000,000.00	4,836,470.00	4,997,916.30	2.625	2.635	A-	A2 07/22/2022
Subtotal and Average			744,430,859.04		741,534,000.00	733,535,757.23	742,969,989.06		2.196		
Treasury Notes											
912828UZ1	17109	US TREASURY NOTE		05/30/2013	650,000.00	649,513.15	649,808.98	0.625	1.005	AA+	Aaa 04/30/2018
912828VQ0	17161	US TREASURY NOTE		08/01/2013	490,000.00	489,291.95	489,988.58	1.375	1.382	AA+	Aaa 07/31/2018
912828VQ0	17213	US TREASURY NOTE		12/27/2013	650,000.00	649,060.75	649,576.96	1.375	1.579	AA+	Aaa 07/31/2018
912828WD8	17236	US TREASURY NOTE		03/21/2014	650,000.00	647,232.30	648,674.70	1.250	1.614	AA+	Aaa 10/31/2018
912828RE2	17237	US TREASURY NOTE		03/21/2014	650,000.00	648,933.35	649,857.62	1.500	1.555	AA+	Aaa 08/31/2018
912828C24	17245	US TREASURY NOTE		03/31/2014	1,000,000.00	994,453.00	998,036.15	1.500	1.725	AA+	Aaa 02/28/2019
912828A75	17246	US TREASURY NOTE		04/21/2014	650,000.00	647,181.60	649,201.20	1.500	1.671	AA+	Aaa 12/31/2018
912828ND8	17345	US TREASURY NOTE		12/23/2015	40,000,000.00	40,964,080.00	41,520,273.56	3.500	1.637	AA+	Aaa 05/15/2020
912828XE5	17416	US TREASURY NOTE		11/15/2016	15,000,000.00	14,738,670.00	15,029,392.95	1.500	1.407	AA+	Aaa 05/31/2020
912828XE5	17428	US TREASURY NOTE		12/13/2016	40,000,000.00	39,303,120.00	39,927,700.10	1.500	1.586	AA+	Aaa 05/31/2020
912828N48	17429	US TREASURY NOTE		12/16/2016	40,000,000.00	39,335,920.00	39,821,265.24	1.750	1.919	AA+	Aaa 12/31/2020
912828XM7	17433	US TREASURY NOTE		12/22/2016	40,000,000.00	39,357,800.00	39,892,853.08	1.625	1.744	AA+	Aaa 07/31/2020
912828WN6	17434	US TREASURY NOTE		12/28/2016	40,000,000.00	39,479,680.00	40,005,592.11	2.000	1.995	AA+	Aaa 05/31/2021
912828XM7	17435	US TREASURY NOTE		12/28/2016	40,000,000.00	39,357,800.00	39,874,084.67	1.625	1.765	AA+	Aaa 07/31/2020

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Treasury Notes												
912828L65	17436	US TREASURY NOTE		12/28/2016	30,000,000.00	29,283,990.00	29,678,711.51	1.375	1.820	AA+	Aaa	09/30/2020
912828XR6	17497	US TREASURY NOTE		09/27/2017	20,000,000.00	19,394,540.00	19,927,603.25	1.750	1.841	AA+	Aaa	05/31/2022
912828L24	17510	US TREASURY NOTE		10/23/2017	20,000,000.00	19,452,340.00	19,884,858.82	1.875	2.012	AA+	Aaa	08/31/2022
Subtotal and Average			330,311,936.62		329,740,000.00	325,393,606.10	330,297,479.48		1.776			
Discount Commercial Paper												
89233HGW8	17524	TOYOTA MOTOR CREDIT		12/15/2017	20,000,000.00	19,848,600.00	19,885,333.33	1.720	1.783	A-1+	P-1	07/30/2018
89233HGX6	17530	TOYOTA MOTOR CREDIT		01/04/2018	40,000,000.00	39,694,800.00	39,759,344.44	1.790	1.847	A-1+	P-1	07/31/2018
Subtotal and Average			59,600,511.11		60,000,000.00	59,543,400.00	59,644,677.77		1.825			
Mutual Funds												
09248U718	9267	BLACKROCK PROVIDENT TFUND		07/01/2017	0.00	0.00	0.00	0.920	0.920	AAA	Aaa	
SYS16450	16450	BLACKROCK LIQUIDITY FED FUND		07/01/2017	0.00	0.00	0.00		0.000	AAA	Aaa	
SYS02642	02642	FIDELITY 2642		07/01/2017	25,000,000.00	25,000,000.00	25,000,000.00	1.410	1.410	AAA	Aaa	
SYS05831	05831	FIDELITY 057		07/01/2017	0.00	0.00	0.00	0.070	0.070	AAA	Aaa	
SYS15497	15497	FIDELITY 2644		07/01/2017	0.00	0.00	0.00	1.420	1.420	AAA	Aaa	
Subtotal and Average			14,677,419.35		25,000,000.00	25,000,000.00	25,000,000.00		1.410			
Local Agency Investment Funds												
SYS05291	05291	LAIF			5,000,000.00	5,000,000.00	5,000,000.00	1.524	1.524			
Subtotal and Average			10,483,870.97		5,000,000.00	5,000,000.00	5,000,000.00		1.524			
Cash in Vault												
SYS03399	03399	VAULT		07/01/2017	0.00	0.00	0.00		0.000			
Subtotal and Average			0.00		0.00	0.00	0.00		0.000			
BOW Money Market Account												
SYS16800	16800	BANK OF THE WEST MM			200,136,232.88	200,136,232.88	200,136,232.88	1.500	1.500			
Subtotal and Average			106,944,273.09		200,136,232.88	200,136,232.88	200,136,232.88		1.500			
Negotiable CDs												
05582WZV9	17493	BNP PARIBAS NY BRANCH		07/27/2017	30,000,000.00	29,932,050.00	30,000,000.00	1.590	1.612	A-1	P-1	07/27/2018
Subtotal and Average			30,000,000.00		30,000,000.00	29,932,050.00	30,000,000.00		1.612			

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Municipal Bonds											
13063CKL3	17249	STATE OF CALIFORNIA		06/12/2014	10,000,000.00	10,000,900.00	10,011,839.68	2.250	2.134	AA-	Aa3 05/01/2019
13063DAD0	17472	STATE OF CALIFORNIA		04/27/2017	5,000,000.00	4,946,400.00	5,000,000.00	2.367	2.367	AA-	Aa3 04/01/2022
13063DAD0	17473	STATE OF CALIFORNIA		04/27/2017	10,500,000.00	10,387,440.00	10,546,536.19	2.367	2.249	AA-	Aa3 04/01/2022
13063DAD0	17474	STATE OF CALIFORNIA		05/03/2017	8,000,000.00	7,914,240.00	8,024,304.07	2.367	2.286	AA-	Aa3 04/01/2022
13063DDF2	17504	STATE OF CALIFORNIA		10/26/2017	10,000,000.00	9,905,500.00	10,127,135.77	2.500	2.200	AA-	Aa3 10/01/2022
13063DDF2	17505	STATE OF CALIFORNIA		10/26/2017	10,000,000.00	9,905,500.00	10,127,135.77	2.500	2.200	AA-	Aa3 10/01/2022
13063DDE5	17518	STATE OF CALIFORNIA		12/11/2017	25,000,000.00	24,868,250.00	25,222,023.51	2.300	2.051	AA-	Aa3 10/01/2020
13063DDF2	17519	STATE OF CALIFORNIA		12/14/2017	20,000,000.00	19,811,000.00	20,125,200.54	2.500	2.430	AA-	Aa3 10/01/2022
13063DDF2	17532	STATE OF CALIFORNIA		01/16/2018	5,000,000.00	4,952,750.00	5,012,055.66	2.500	2.574	AA-	Aa3 10/01/2022
Subtotal and Average			104,202,261.84		103,500,000.00	102,691,980.00	104,196,231.19		2.240		
Total and Average			3,337,128,503.56		3,490,405,121.84	3,445,620,925.94	3,492,422,560.17		1.810		

**County of Fresno
Portfolio Management
Portfolio Details - Cash
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CUSIP	Investment #	Issuer	Average Balance	Purchase Date	Par Value	Market Value	Book Value	Stated Rate	YTM 365	S&P Moody's
Average Balance			0.00							
Total Cash and Investments			3,337,128,503.56		3,490,405,121.84	3,445,620,925.94	3,492,422,560.17		1.810	

County of Fresno
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CUSIP	Investment #	Fund	Sec. Type	Issuer	Purchase Date	Book Value	Current Rate	Maturity Date	Maturity Amount	Total Days	Par Value	YTM		Days to Maturity
												360	365	
SYS02642	02642	TREAS	LA1	FIDELITY 2642	07/01/2017	25,000,000.00	1.410		25,000,000.00	1	25,000,000.00	1.391	1.410	1
SYS03399	03399	TREAS	PA2	VAULT	07/01/2017	0.00			0.00	1	0.00			1
SYS03400A	03400A	TREAS	PA1	BANK OF THE WEST	07/01/2017	85,659,023.38	0.450		85,659,023.38	1	85,659,023.38	0.444	0.450	1
SYS03400B	03400B	TREAS	PA1	BANK OF AMERICA	07/01/2017	4,865.58	0.220		4,865.58	1	4,865.58	0.217	0.220	1
SYS05291	05291	TREAS	LA5	LAIF	07/01/2017	5,000,000.00	1.524		5,000,000.00	1	5,000,000.00	1.503	1.524	1
SYS05831	05831	TREAS	LA1	FIDELITY 057	07/01/2017	0.00	0.070		0.00	1	0.00	0.069	0.070	1
SYS15497	15497	TREAS	LA1	FIDELITY 2644	07/01/2017	0.00	1.420		0.00	1	0.00	1.401	1.420	1
SYS16450	16450	TREAS	LA1	BLACKROCK LIQUIDITY	07/01/2017	0.00			0.00	1	0.00			1
SYS16800	16800	TREAS	LA3	BANK OF THE WEST MM	07/01/2017	200,136,232.88	1.500		200,136,232.88	1	200,136,232.88	1.479	1.500	1
09248U718	9267	TREAS	LA1	BLACKROCK PROVIDENT	07/01/2017	0.00	0.920		0.00	1	0.00	0.907	0.920	1
912828UZ1	17109	TREAS	TRC	US TREASURY NOTE	05/30/2013	649,808.98	0.625	04/30/2018	650,000.00	1,796	650,000.00	0.991	1.005	29
36962G3U6	17141	TREAS	MTN	G.E. CAPITAL	08/15/2013	5,013,645.05	5.625	05/01/2018	5,000,000.00	1,720	5,000,000.00	2.132	2.162	30
36962G3U6	17153	TREAS	MTN	G.E. CAPITAL	09/10/2013	10,023,335.73	5.625	05/01/2018	10,000,000.00	1,694	10,000,000.00	2.595	2.631	30
36962G3U6	17189	TREAS	MTN	G.E. CAPITAL	12/13/2013	10,030,513.31	5.625	05/01/2018	10,000,000.00	1,600	10,000,000.00	1.775	1.800	30
037833AJ9	17123	TREAS	MTN	APPLE INC	07/08/2013	6,574,286.36	1.000	05/03/2018	6,579,000.00	1,760	6,579,000.00	1.821	1.846	32
037833AJ9	17142	TREAS	MTN	APPLE INC	08/15/2013	10,992,970.37	1.000	05/03/2018	11,000,000.00	1,722	11,000,000.00	1.728	1.752	32
037833AJ9	17147	TREAS	MTN	APPLE INC	08/16/2013	6,260,351.27	1.000	05/03/2018	6,265,000.00	1,721	6,265,000.00	1.850	1.876	32
037833AJ9	17148	TREAS	MTN	APPLE INC	08/27/2013	6,993,535.09	1.000	05/03/2018	7,000,000.00	1,710	7,000,000.00	2.067	2.096	32
037833AJ9	17154	TREAS	MTN	APPLE INC	09/10/2013	9,989,594.74	1.000	05/03/2018	10,000,000.00	1,696	10,000,000.00	2.208	2.239	32
084664BE0	17149	TREAS	MTN	BERKSHIRE HATHAWAY	08/27/2013	5,143,438.61	5.400	05/15/2018	5,124,000.00	1,722	5,124,000.00	2.092	2.121	44
3135G0WJ8	17108	TREAS	FAC	FEDERAL NATIONAL	05/30/2013	674,707.78	0.875	05/21/2018	675,000.00	1,817	675,000.00	1.181	1.197	50
3135G0WJ8	17116	TREAS	FAC	FEDERAL NATIONAL	05/30/2013	799,637.74	0.875	05/21/2018	800,000.00	1,817	800,000.00	1.195	1.212	50
3135G0WJ8	17164	TREAS	FAC	FEDERAL NATIONAL	08/30/2013	499,419.61	0.875	05/21/2018	500,000.00	1,725	500,000.00	1.725	1.749	50
3135G0WJ8	17193	TREAS	FAC	FEDERAL NATIONAL	12/12/2013	39,970,702.81	0.875	05/21/2018	40,000,000.00	1,621	40,000,000.00	1.402	1.421	50
313373UU4	17117	TREAS	FAC	FEDERAL HOME LOAN	07/01/2013	50,098,637.42	2.750	06/08/2018	50,000,000.00	1,803	50,000,000.00	1.620	1.642	68
313373UU4	17129	TREAS	FAC	FEDERAL HOME LOAN	07/12/2013	30,061,424.71	2.750	06/08/2018	30,000,000.00	1,792	30,000,000.00	1.580	1.601	68
313373UU4	17135	TREAS	FAC	FEDERAL HOME LOAN	07/26/2013	61,274,955.35	2.750	06/08/2018	61,150,000.00	1,778	61,150,000.00	1.582	1.604	68
313373UU4	17191	TREAS	FAC	FEDERAL HOME LOAN	12/12/2013	3,949,415.72	2.750	06/08/2018	3,940,000.00	1,639	3,940,000.00	1.401	1.420	68
313379DT3	17192	TREAS	FAC	FEDERAL HOME LOAN	12/12/2013	6,133,117.74	1.250	06/08/2018	6,135,000.00	1,639	6,135,000.00	1.401	1.421	68
3133XRFZ8	17199	TREAS	FAC	FEDERAL HOME LOAN	12/18/2013	2,011,754.55	4.750	06/08/2018	2,000,000.00	1,633	2,000,000.00	1.455	1.475	68
31331KNA4	17200	TREAS	FAC	FEDERAL FARM CREDIT	12/18/2013	1,001,982.95	2.580	06/08/2018	1,000,000.00	1,633	1,000,000.00	1.455	1.475	68
3137EABP3	17124	TREAS	FAC	FEDERAL HOME	06/14/2013	578,930.38	4.875	06/13/2018	575,000.00	1,825	575,000.00	1.313	1.331	73
166764AE0	17121	TREAS	MTN	CHEVRON CORP	07/05/2013	9,997,847.29	1.718	06/24/2018	10,000,000.00	1,815	10,000,000.00	1.791	1.816	84
166764AE0	17150	TREAS	MTN	CHEVRON CORP	08/27/2013	3,317,447.46	1.718	06/24/2018	3,320,000.00	1,762	3,320,000.00	2.042	2.070	84
166764AE0	17186	TREAS	MTN	CHEVRON CORP	12/06/2013	10,002,351.16	1.718	06/24/2018	10,000,000.00	1,661	10,000,000.00	1.590	1.612	84

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CUSIP	Investment #	Fund	Sec. Type	Issuer	Purchase Date	Book Value	Current Rate	Maturity Date	Maturity Amount	Total Days	Par Value	YTM		Days to Maturity
												360	365	
89236TCP8	17321	TREAS	MTN	TOYOTA MOTOR CREDIT	09/11/2015	5,999,964.07	1.550	07/13/2018	6,000,000.00	1,036	6,000,000.00	1.531	1.552	103
05582WZV9	17493	TREAS	NCB	BNP PARIBAS NY BRANCH	07/27/2017	30,000,000.00	1.590	07/27/2018	30,000,000.00	365	30,000,000.00	1.590	1.612	117
89233HGW8	17524	TREAS	ACP	TOYOTA MOTOR CREDIT	12/15/2017	19,885,333.33	1.720	07/30/2018	20,000,000.00	227	20,000,000.00	1.758	1.783	120
912828VQ0	17161	TREAS	TRC	US TREASURY NOTE	08/01/2013	489,988.58	1.375	07/31/2018	490,000.00	1,825	490,000.00	1.363	1.382	121
912828VQ0	17213	TREAS	TRC	US TREASURY NOTE	12/27/2013	649,576.96	1.375	07/31/2018	650,000.00	1,677	650,000.00	1.558	1.579	121
89233HGX6	17530	TREAS	ACP	TOYOTA MOTOR CREDIT	01/04/2018	39,759,344.44	1.790	07/31/2018	40,000,000.00	208	40,000,000.00	1.821	1.847	121
06406HCL1	17151	TREAS	MTN	BANK OF NEW YORK	08/27/2013	4,998,410.37	2.100	08/01/2018	5,000,000.00	1,800	5,000,000.00	2.171	2.201	122
06406HCL1	17190	TREAS	MTN	BANK OF NEW YORK	12/13/2013	10,007,014.39	2.100	08/01/2018	10,000,000.00	1,692	10,000,000.00	1.853	1.879	122
084664BY6	17144	TREAS	MTN	BERKSHIRE HATHAWAY	08/15/2013	10,001,340.00	2.000	08/15/2018	10,000,000.00	1,826	10,000,000.00	1.935	1.962	136
084664BY6	17152	TREAS	MTN	BERKSHIRE HATHAWAY	08/27/2013	999,071.44	2.000	08/15/2018	1,000,000.00	1,814	1,000,000.00	2.234	2.265	136
912828RE2	17237	TREAS	TRC	US TREASURY NOTE	03/21/2014	649,857.62	1.500	08/31/2018	650,000.00	1,624	650,000.00	1.533	1.555	152
14912L5T4	17155	TREAS	MTN	CATERPILLAR	09/10/2013	4,998,813.34	2.450	09/06/2018	5,000,000.00	1,822	5,000,000.00	2.475	2.509	158
14912L5T4	17187	TREAS	MTN	CATERPILLAR	12/06/2013	7,693,213.09	2.450	09/06/2018	7,675,000.00	1,735	7,675,000.00	1.845	1.871	158
14912L5T4	17203	TREAS	MTN	CATERPILLAR	12/26/2013	2,504,267.09	2.450	09/06/2018	2,500,000.00	1,715	2,500,000.00	2.004	2.032	158
24422EQV4	17156	TREAS	MTN	JOHN DEERE	09/10/2013	3,546,464.66	5.750	09/10/2018	3,500,000.00	1,826	3,500,000.00	2.496	2.531	162
3135G0YM9	17167	TREAS	FAC	FEDERAL NATIONAL	09/25/2013	600,624.22	1.875	09/18/2018	600,000.00	1,819	600,000.00	1.618	1.640	170
3135G0YM9	17197	TREAS	FAC	FEDERAL NATIONAL	11/22/2013	1,001,659.42	1.875	09/18/2018	1,000,000.00	1,761	1,000,000.00	1.482	1.503	170
3135G0YM9	17198	TREAS	FAC	FEDERAL NATIONAL	11/27/2013	165,308.17	1.875	09/18/2018	165,000.00	1,756	165,000.00	1.437	1.456	170
912828WD8	17236	TREAS	TRC	US TREASURY NOTE	03/21/2014	648,674.70	1.250	10/31/2018	650,000.00	1,685	650,000.00	1.592	1.614	213
3135G0YT4	17221	TREAS	FAC	FEDERAL NATIONAL	01/31/2014	599,856.44	1.625	11/27/2018	600,000.00	1,761	600,000.00	1.640	1.663	240
3135G0YT4	17234	TREAS	FAC	FEDERAL NATIONAL	03/20/2014	599,476.16	1.625	11/27/2018	600,000.00	1,713	600,000.00	1.740	1.764	240
24422ESF7	17204	TREAS	MTN	JOHN DEERE	12/26/2013	19,986,462.23	1.950	12/13/2018	20,000,000.00	1,813	20,000,000.00	2.024	2.052	256
313376BR5	17205	TREAS	FAC	FEDERAL HOME LOAN	01/03/2014	39,979,544.08	1.750	12/14/2018	40,000,000.00	1,806	40,000,000.00	1.801	1.826	257
912828A75	17246	TREAS	TRC	US TREASURY NOTE	04/21/2014	649,201.20	1.500	12/31/2018	650,000.00	1,715	650,000.00	1.648	1.671	274
94974BFQ8	17207	TREAS	MTN	WELLS FARGO	01/15/2014	14,991,432.67	2.150	01/15/2019	15,000,000.00	1,826	15,000,000.00	2.196	2.227	289
46625HJR2	17217	TREAS	MTN	JP MORGAN	01/28/2014	4,999,653.50	2.350	01/28/2019	5,000,000.00	1,826	5,000,000.00	2.327	2.359	302
46625HJR2	17225	TREAS	MTN	JP MORGAN	03/05/2014	10,010,326.77	2.350	01/28/2019	10,000,000.00	1,790	10,000,000.00	2.187	2.217	302
46625HJR2	17263	TREAS	MTN	JP MORGAN	09/16/2014	5,004,600.48	2.350	01/28/2019	5,000,000.00	1,595	5,000,000.00	2.201	2.232	302
3136FTZZ5	17274	TREAS	FAC	FEDERAL NATIONAL	12/09/2014	10,012,714.02	1.750	01/30/2019	10,000,000.00	1,513	10,000,000.00	1.569	1.591	304
3135G0ZA4	17222	TREAS	FAC	FEDERAL NATIONAL	02/25/2014	10,012,301.67	1.875	02/19/2019	10,000,000.00	1,820	10,000,000.00	1.705	1.729	324
3135G0ZA4	17223	TREAS	FAC	FEDERAL NATIONAL	03/03/2014	25,043,043.95	1.875	02/19/2019	25,000,000.00	1,814	25,000,000.00	1.648	1.671	324
3135G0ZA4	17224	TREAS	FAC	FEDERAL NATIONAL	03/03/2014	10,017,431.24	1.875	02/19/2019	10,000,000.00	1,814	10,000,000.00	1.646	1.669	324
3135G0ZA4	17235	TREAS	FAC	FEDERAL NATIONAL	03/20/2014	600,104.51	1.875	02/19/2019	600,000.00	1,797	600,000.00	1.829	1.854	324
3135G0ZA4	17268	TREAS	FAC	FEDERAL NATIONAL	10/01/2014	5,005,753.42	1.875	02/19/2019	5,000,000.00	1,602	5,000,000.00	1.715	1.739	324
3133EGBR5	17384	TREAS	FAC	FEDERAL FARM CREDIT	06/09/2016	4,999,204.94	0.950	02/25/2019	5,000,000.00	991	5,000,000.00	0.955	0.968	330
3135G0J53	17390	TREAS	FAC	FEDERAL NATIONAL	08/11/2016	26,590,340.47	1.000	02/26/2019	26,561,000.00	929	26,561,000.00	0.864	0.876	331
912828C24	17245	TREAS	TRC	US TREASURY NOTE	03/31/2014	998,036.15	1.500	02/28/2019	1,000,000.00	1,795	1,000,000.00	1.702	1.725	333
24422ESK6	17226	TREAS	MTN	JOHN DEERE	03/05/2014	10,002,017.62	1.950	03/04/2019	10,000,000.00	1,825	10,000,000.00	1.901	1.927	337
06406HCR8	17373	TREAS	MTN	BANK OF NEW YORK	05/19/2016	30,182,702.69	2.200	03/04/2019	30,000,000.00	1,019	30,000,000.00	1.504	1.525	337
46625HHL7	17252	TREAS	MTN	JP MORGAN	07/23/2014	7,009,246.78	6.300	04/23/2019	6,740,000.00	1,735	6,740,000.00	2.271	2.303	387

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CUSIP	Investment #	Fund	Sec. Type	Issuer	Purchase Date	Book Value	Current Rate	Maturity Date	Maturity Amount	Total Days	Par Value	YTM		Days to Maturity
												360	365	
13063CKL3	17249	TREAS	MUN	STATE OF CALIFORNIA	06/12/2014	10,011,839.68	2.250	05/01/2019	10,000,000.00	1,784	10,000,000.00	2.105	2.134	395
3133EDLR1	17248	TREAS	FAC	FEDERAL FARM CREDIT	05/27/2014	5,001,762.42	1.650	05/15/2019	5,000,000.00	1,814	5,000,000.00	1.595	1.617	409
06406HCU1	17261	TREAS	MTN	BANK OF NEW YORK	09/16/2014	2,499,512.75	2.200	05/15/2019	2,500,000.00	1,702	2,500,000.00	2.188	2.218	409
06406HCU1	17262	TREAS	MTN	BANK OF NEW YORK	09/16/2014	4,999,711.26	2.200	05/15/2019	5,000,000.00	1,702	5,000,000.00	2.175	2.205	409
3133X72S2	17272	TREAS	FAC	FEDERAL HOME LOAN	12/09/2014	10,394,887.22	5.375	05/15/2019	10,000,000.00	1,618	10,000,000.00	1.683	1.706	409
3133X72S2	17279	TREAS	FAC	FEDERAL HOME LOAN	12/19/2014	21,317,171.26	5.375	05/15/2019	20,500,000.00	1,608	20,500,000.00	1.652	1.675	409
166764BH2	17378	TREAS	MTN	CHEVRON CORP	05/25/2016	19,977,462.18	1.561	05/16/2019	20,000,000.00	1,086	20,000,000.00	1.641	1.664	410
166764BH2	17381	TREAS	MTN	CHEVRON CORP	05/27/2016	9,988,747.90	1.561	05/16/2019	10,000,000.00	1,084	10,000,000.00	1.641	1.664	410
313379EE5	17250	TREAS	FAC	FEDERAL HOME LOAN	06/18/2014	4,986,667.65	1.625	06/14/2019	5,000,000.00	1,822	5,000,000.00	1.833	1.858	439
3130A2FH4	17256	TREAS	FAC	FEDERAL HOME LOAN	09/02/2014	20,002,011.61	1.750	06/14/2019	20,000,000.00	1,746	20,000,000.00	1.717	1.741	439
313379EE5	17259	TREAS	FAC	FEDERAL HOME LOAN	09/10/2014	9,974,409.04	1.625	06/14/2019	10,000,000.00	1,738	10,000,000.00	1.823	1.848	439
3130A2FH4	17260	TREAS	FAC	FEDERAL HOME LOAN	09/10/2014	9,988,856.69	1.750	06/14/2019	10,000,000.00	1,738	10,000,000.00	1.822	1.847	439
3135G0ZE6	17251	TREAS	FAC	FEDERAL NATIONAL	06/18/2014	4,993,860.82	1.750	06/20/2019	5,000,000.00	1,828	5,000,000.00	1.830	1.856	445
3135G0ZE6	17269	TREAS	FAC	FEDERAL NATIONAL	10/01/2014	29,966,125.43	1.750	06/20/2019	30,000,000.00	1,723	30,000,000.00	1.822	1.847	445
3135G0ZE6	17277	TREAS	FAC	FEDERAL NATIONAL	12/11/2014	10,017,570.78	1.750	06/20/2019	10,000,000.00	1,652	10,000,000.00	1.578	1.600	445
3135G0ZE6	17278	TREAS	FAC	FEDERAL NATIONAL	12/19/2014	26,027,383.74	1.750	06/20/2019	26,000,000.00	1,644	26,000,000.00	1.637	1.660	445
3133EFW52	17383	TREAS	FAC	FEDERAL FARM CREDIT	06/09/2016	2,062,501.72	1.150	07/01/2019	2,060,000.00	1,117	2,060,000.00	1.037	1.051	456
89236TBP9	17265	TREAS	MTN	TOYOTA MOTOR CREDIT	10/01/2014	9,990,995.31	2.125	07/18/2019	10,000,000.00	1,751	10,000,000.00	2.168	2.198	473
3137EABE1	17391	TREAS	FAC	FEDERAL HOME	08/11/2016	9,992,303.21	0.875	07/19/2019	10,000,000.00	1,072	10,000,000.00	0.922	0.935	474
3137EADK2	17275	TREAS	FAC	FEDERAL HOME	12/11/2014	14,924,404.31	1.250	08/01/2019	15,000,000.00	1,694	15,000,000.00	1.621	1.644	487
3137EADK2	17276	TREAS	FAC	FEDERAL HOME	12/11/2014	19,900,205.99	1.250	08/01/2019	20,000,000.00	1,694	20,000,000.00	1.618	1.640	487
084670BL1	17264	TREAS	MTN	BERKSHIRE HATHAWAY	10/01/2014	9,990,269.37	2.100	08/14/2019	10,000,000.00	1,778	10,000,000.00	2.145	2.175	500
06406HCW7	17266	TREAS	MTN	BANK OF NEW YORK	10/01/2014	8,488,086.12	2.300	09/11/2019	8,501,000.00	1,806	8,501,000.00	2.379	2.412	528
3137EADM8	17280	TREAS	FAC	FEDERAL HOME	12/19/2014	19,856,382.24	1.250	10/02/2019	20,000,000.00	1,748	20,000,000.00	1.726	1.750	549
3137EADM8	17281	TREAS	FAC	FEDERAL HOME	12/19/2014	19,856,947.42	1.250	10/02/2019	20,000,000.00	1,748	20,000,000.00	1.724	1.748	549
3137EADM8	17282	TREAS	FAC	FEDERAL HOME	12/19/2014	9,928,473.71	1.250	10/02/2019	10,000,000.00	1,748	10,000,000.00	1.724	1.748	549
36962G7M0	17296	TREAS	MTN	G.E. CAPITAL	03/04/2015	10,389,279.23	2.200	01/09/2020	10,350,000.00	1,772	10,350,000.00	1.947	1.974	648
24422ERY7	17349	TREAS	MTN	JOHN DEERE	12/28/2015	8,911,528.46	1.700	01/15/2020	9,000,000.00	1,479	9,000,000.00	2.247	2.278	654
06406HBP3	17350	TREAS	MTN	BANK OF NEW YORK	12/28/2015	5,197,038.81	4.600	01/15/2020	5,000,000.00	1,479	5,000,000.00	2.250	2.281	654
3135G0A78	17299	TREAS	FAC	FEDERAL NATIONAL	03/04/2015	19,973,363.69	1.625	01/21/2020	20,000,000.00	1,784	20,000,000.00	1.679	1.702	660
3135G0A78	17307	TREAS	FAC	FEDERAL NATIONAL	05/08/2015	10,000,460.72	1.625	01/21/2020	10,000,000.00	1,719	10,000,000.00	1.600	1.622	660
3135G0A78	17308	TREAS	FAC	FEDERAL NATIONAL	05/08/2015	10,000,833.14	1.625	01/21/2020	10,000,000.00	1,719	10,000,000.00	1.598	1.620	660
3135G0A78	17312	TREAS	FAC	FEDERAL NATIONAL	06/03/2015	14,997,363.76	1.625	01/21/2020	15,000,000.00	1,693	15,000,000.00	1.613	1.635	660
3135G0A78	17329	TREAS	FAC	FEDERAL NATIONAL	10/29/2015	10,031,902.10	1.625	01/21/2020	10,000,000.00	1,545	10,000,000.00	1.422	1.442	660
3135G0A78	17332	TREAS	FAC	FEDERAL NATIONAL	11/04/2015	10,017,567.57	1.625	01/21/2020	10,000,000.00	1,539	10,000,000.00	1.503	1.524	660
3135G0A78	17335	TREAS	FAC	FEDERAL NATIONAL	11/06/2015	10,006,229.70	1.625	01/21/2020	10,000,000.00	1,537	10,000,000.00	1.567	1.589	660
3135G0A78	17341	TREAS	FAC	FEDERAL NATIONAL	12/22/2015	20,003,787.61	1.625	01/21/2020	20,000,000.00	1,491	20,000,000.00	1.592	1.614	660
3135G0A78	17342	TREAS	FAC	FEDERAL NATIONAL	12/23/2015	10,001,195.50	1.625	01/21/2020	10,000,000.00	1,490	10,000,000.00	1.596	1.618	660
3135G0A78	17344	TREAS	FAC	FEDERAL NATIONAL	12/23/2015	20,001,700.27	1.625	01/21/2020	20,000,000.00	1,490	20,000,000.00	1.598	1.620	660
46625HKA7	17295	TREAS	MTN	JP MORGAN	03/04/2015	9,983,616.60	2.250	01/23/2020	10,000,000.00	1,786	10,000,000.00	2.314	2.346	662

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**County of Fresno
Inventory by Maturity Report**

CUSIP	Investment #	Fund	Sec. Type	Issuer	Purchase Date	Book Value	Current Rate	Maturity Date	Maturity Amount	Total Days	Par Value	YTM		Days to Maturity
												360	365	
06406HCZ0	17297	TREAS	MTN	BANK OF NEW YORK	03/04/2015	3,003,445.53	2.150	02/24/2020	3,000,000.00	1,818	3,000,000.00	2.057	2.086	694
14912L6J5	17360	TREAS	MTN	CATERPILLAR	03/04/2016	8,265,046.99	2.000	03/05/2020	8,278,000.00	1,462	8,278,000.00	2.056	2.085	704
3137EADR7	17303	TREAS	FAC	FEDERAL HOME	05/06/2015	9,948,732.59	1.375	05/01/2020	10,000,000.00	1,822	10,000,000.00	1.610	1.632	761
3137EADR7	17309	TREAS	FAC	FEDERAL HOME	05/08/2015	9,945,805.91	1.375	05/01/2020	10,000,000.00	1,820	10,000,000.00	1.624	1.647	761
037833BD1	17348	TREAS	MTN	APPLE INC	12/28/2015	9,998,170.28	2.000	05/06/2020	10,000,000.00	1,591	10,000,000.00	1.981	2.009	766
912828ND8	17345	TREAS	TRC	US TREASURY NOTE	12/23/2015	41,520,273.56	3.500	05/15/2020	40,000,000.00	1,605	40,000,000.00	1.614	1.637	775
3134G44G0	17328	TREAS	FAC	FEDERAL HOME	10/29/2015	4,997,519.00	1.500	05/22/2020	5,000,000.00	1,667	5,000,000.00	1.503	1.524	782
912828XE5	17416	TREAS	TRC	US TREASURY NOTE	11/15/2016	15,029,392.95	1.500	05/31/2020	15,000,000.00	1,293	15,000,000.00	1.388	1.407	791
912828XE5	17428	TREAS	TRC	US TREASURY NOTE	12/13/2016	39,927,700.10	1.500	05/31/2020	40,000,000.00	1,265	40,000,000.00	1.564	1.586	791
313383HU8	17315	TREAS	FAC	FEDERAL HOME LOAN	06/12/2015	19,999,578.13	1.750	06/12/2020	20,000,000.00	1,827	20,000,000.00	1.727	1.751	803
313383HU8	17317	TREAS	FAC	FEDERAL HOME LOAN	06/26/2015	12,594,931.33	1.750	06/12/2020	12,615,000.00	1,813	12,615,000.00	1.801	1.826	803
3133EEW55	17316	TREAS	FAC	FEDERAL FARM CREDIT	06/15/2015	9,981,768.88	1.800	06/15/2020	10,000,000.00	1,827	10,000,000.00	1.861	1.887	806
3135G0D75	17327	TREAS	FAC	FEDERAL NATIONAL	10/29/2015	19,984,966.29	1.500	06/22/2020	20,000,000.00	1,698	20,000,000.00	1.514	1.535	813
3135G0D75	17331	TREAS	FAC	FEDERAL NATIONAL	10/30/2015	5,941,192.11	1.500	06/22/2020	5,950,000.00	1,697	5,950,000.00	1.548	1.569	813
3135G0D75	17333	TREAS	FAC	FEDERAL NATIONAL	11/04/2015	4,986,529.95	1.500	06/22/2020	5,000,000.00	1,692	5,000,000.00	1.604	1.626	813
3135G0D75	17334	TREAS	FAC	FEDERAL NATIONAL	11/04/2015	4,986,433.90	1.500	06/22/2020	5,000,000.00	1,692	5,000,000.00	1.605	1.627	813
3135G0D75	17336	TREAS	FAC	FEDERAL NATIONAL	11/06/2015	4,980,936.58	1.500	06/22/2020	5,000,000.00	1,690	5,000,000.00	1.656	1.679	813
3135G0D75	17338	TREAS	FAC	FEDERAL NATIONAL	12/17/2015	29,824,958.09	1.500	06/22/2020	30,000,000.00	1,649	30,000,000.00	1.750	1.774	813
3135G0D75	17339	TREAS	FAC	FEDERAL NATIONAL	12/17/2015	19,875,221.45	1.500	06/22/2020	20,000,000.00	1,649	20,000,000.00	1.769	1.793	813
3135G0D75	17340	TREAS	FAC	FEDERAL NATIONAL	12/22/2015	9,956,904.22	1.500	06/22/2020	10,000,000.00	1,644	10,000,000.00	1.679	1.702	813
3135G0D75	17343	TREAS	FAC	FEDERAL NATIONAL	12/23/2015	9,953,493.51	1.500	06/22/2020	10,000,000.00	1,643	10,000,000.00	1.695	1.718	813
912828XM7	17433	TREAS	TRC	US TREASURY NOTE	12/22/2016	39,892,853.08	1.625	07/31/2020	40,000,000.00	1,317	40,000,000.00	1.720	1.744	852
912828XM7	17435	TREAS	TRC	US TREASURY NOTE	12/28/2016	39,874,084.67	1.625	07/31/2020	40,000,000.00	1,311	40,000,000.00	1.740	1.765	852
06406HDD8	17347	TREAS	MTN	BANK OF NEW YORK	12/28/2015	5,019,874.18	2.600	08/17/2020	5,000,000.00	1,694	5,000,000.00	2.389	2.422	869
912828L65	17436	TREAS	TRC	US TREASURY NOTE	12/28/2016	29,678,711.51	1.375	09/30/2020	30,000,000.00	1,372	30,000,000.00	1.795	1.820	913
13063DDE5	17518	TREAS	MUN	STATE OF CALIFORNIA	12/11/2017	25,222,023.51	2.300	10/01/2020	25,000,000.00	1,025	25,000,000.00	2.023	2.051	914
46625HMX4	17361	TREAS	MTN	JP MORGAN	03/04/2016	6,184,218.99	2.550	10/29/2020	6,181,000.00	1,700	6,181,000.00	2.493	2.528	942
3135G0RM7	17330	TREAS	FAC	FEDERAL NATIONAL	10/30/2015	10,073,395.56	1.630	10/30/2020	10,060,000.00	1,827	10,060,000.00	1.555	1.576	943
166764AY6	17346	TREAS	MTN	CHEVRON CORP	12/28/2015	9,987,146.45	2.419	11/17/2020	10,000,000.00	1,786	10,000,000.00	2.437	2.471	961
313381CA1	17372	TREAS	FAC	FEDERAL HOME LOAN	04/21/2016	5,000,766.71	1.375	12/11/2020	5,000,000.00	1,695	5,000,000.00	1.350	1.369	985
3135G0H55	17374	TREAS	FAC	FEDERAL NATIONAL	05/20/2016	10,121,106.92	1.875	12/28/2020	10,000,000.00	1,683	10,000,000.00	1.398	1.417	1,002
912828N48	17429	TREAS	TRC	US TREASURY NOTE	12/16/2016	39,821,265.24	1.750	12/31/2020	40,000,000.00	1,476	40,000,000.00	1.893	1.919	1,005
24422ETF6	17362	TREAS	MTN	JOHN DEERE	03/04/2016	5,052,293.91	2.550	01/08/2021	5,000,000.00	1,771	5,000,000.00	2.121	2.150	1,013
3130AAX45	17460	TREAS	FAC	FEDERAL HOME LOAN	03/28/2017	15,043,682.80	1.875	01/28/2021	15,000,000.00	1,402	15,000,000.00	1.744	1.768	1,033
91159HHL7	17395	TREAS	MTN	US BANK NA	08/22/2016	5,090,762.64	2.350	01/29/2021	5,000,000.00	1,621	5,000,000.00	1.658	1.681	1,034
91159HHL7	17426	TREAS	MTN	US BANK NA	12/13/2016	4,649,142.70	2.350	01/29/2021	4,634,000.00	1,508	4,634,000.00	2.198	2.228	1,034
91159HHL7	17431	TREAS	MTN	US BANK NA	12/22/2016	4,991,525.86	2.350	01/29/2021	5,000,000.00	1,499	5,000,000.00	2.380	2.413	1,034
91159HHL7	17432	TREAS	MTN	US BANK NA	12/22/2016	7,510,283.20	2.350	01/29/2021	7,522,000.00	1,499	7,522,000.00	2.375	2.408	1,034
91159HHL7	17458	TREAS	MTN	US BANK NA	03/22/2017	10,006,532.23	2.350	01/29/2021	10,000,000.00	1,409	10,000,000.00	2.293	2.325	1,034
91159HHL7	17482	TREAS	MTN	US BANK NA	06/27/2017	4,840,953.82	2.350	01/29/2021	4,803,000.00	1,312	4,803,000.00	2.030	2.058	1,034

**County of Fresno
Inventory by Maturity Report**

CUSIP	Investment #	Fund	Sec. Type	Issuer	Purchase Date	Book Value	Current Rate	Maturity Date	Maturity Amount	Total Days	Par Value	YTM		Days to Maturity
												360	365	
313376XN0	17364	TREAS	FAC	FEDERAL HOME LOAN	03/03/2016	832,240.68	2.100	02/08/2021	820,000.00	1,803	820,000.00	1.533	1.554	1,044
3133EFYZ4	17359	TREAS	FAC	FEDERAL FARM CREDIT	02/29/2016	17,770,114.05	1.375	02/10/2021	17,800,000.00	1,808	17,800,000.00	1.416	1.436	1,046
3130A7CV5	17363	TREAS	FAC	FEDERAL HOME LOAN	03/03/2016	4,979,123.48	1.375	02/18/2021	5,000,000.00	1,813	5,000,000.00	1.505	1.526	1,054
3130A7CV5	17371	TREAS	FAC	FEDERAL HOME LOAN	04/21/2016	9,992,179.22	1.375	02/18/2021	10,000,000.00	1,764	10,000,000.00	1.384	1.403	1,054
3130A7CV5	17376	TREAS	FAC	FEDERAL HOME LOAN	05/20/2016	4,987,219.64	1.375	02/18/2021	5,000,000.00	1,735	5,000,000.00	1.447	1.467	1,054
3130A7CV5	17379	TREAS	FAC	FEDERAL HOME LOAN	05/25/2016	9,967,812.20	1.375	02/18/2021	10,000,000.00	1,730	10,000,000.00	1.471	1.491	1,054
3130A7CV5	17388	TREAS	FAC	FEDERAL HOME LOAN	08/08/2016	10,056,214.31	1.375	02/18/2021	10,000,000.00	1,655	10,000,000.00	1.158	1.174	1,054
3130A7CV5	17457	TREAS	FAC	FEDERAL HOME LOAN	03/20/2017	19,729,437.27	1.375	02/18/2021	20,000,000.00	1,431	20,000,000.00	1.838	1.864	1,054
037833BS8	17443	TREAS	MTN	APPLE INC	01/19/2017	10,000,000.00	2.250	02/23/2021	10,000,000.00	1,496	10,000,000.00	2.219	2.250	1,059
06406FAB9	17490	TREAS	MTN	BANK OF NEW YORK	07/18/2017	7,446,721.76	2.050	05/03/2021	7,500,000.00	1,385	7,500,000.00	2.260	2.291	1,128
3135G0K69	17380	TREAS	FAC	FEDERAL NATIONAL	05/25/2016	9,918,844.78	1.250	05/06/2021	10,000,000.00	1,807	10,000,000.00	1.502	1.523	1,131
3135G0K69	17402	TREAS	FAC	FEDERAL NATIONAL	09/28/2016	25,011,210.36	1.250	05/06/2021	25,000,000.00	1,681	25,000,000.00	1.218	1.235	1,131
3135G0K69	17412	TREAS	FAC	FEDERAL NATIONAL	11/02/2016	9,961,084.85	1.250	05/06/2021	10,000,000.00	1,646	10,000,000.00	1.361	1.380	1,131
3135G0K69	17413	TREAS	FAC	FEDERAL NATIONAL	11/14/2016	7,934,096.03	1.250	05/06/2021	8,000,000.00	1,634	8,000,000.00	1.505	1.526	1,131
3135G0K69	17421	TREAS	FAC	FEDERAL NATIONAL	12/02/2016	24,511,408.43	1.250	05/06/2021	25,000,000.00	1,616	25,000,000.00	1.885	1.911	1,131
166764BG4	17471	TREAS	MTN	CHEVRON CORP	04/25/2017	19,992,761.81	2.100	05/16/2021	20,000,000.00	1,482	20,000,000.00	2.083	2.112	1,141
912828WN6	17434	TREAS	TRC	US TREASURY NOTE	12/28/2016	40,005,592.11	2.000	05/31/2021	40,000,000.00	1,615	40,000,000.00	1.968	1.995	1,156
3130A1W95	17386	TREAS	FAC	FEDERAL HOME LOAN	07/15/2016	30,926,616.08	2.250	06/11/2021	30,000,000.00	1,792	30,000,000.00	1.233	1.250	1,167
313379RB7	17392	TREAS	FAC	FEDERAL HOME LOAN	08/17/2016	10,175,249.65	1.875	06/11/2021	10,000,000.00	1,759	10,000,000.00	1.289	1.307	1,167
3130A1W95	17420	TREAS	FAC	FEDERAL HOME LOAN	11/29/2016	18,701,537.07	2.250	06/11/2021	18,470,000.00	1,655	18,470,000.00	1.814	1.839	1,167
313379RB7	17466	TREAS	FAC	FEDERAL HOME LOAN	04/11/2017	15,013,225.00	1.875	06/11/2021	15,000,000.00	1,522	15,000,000.00	1.821	1.846	1,167
3130AB3M6	17465	TREAS	FAC	FEDERAL HOME LOAN	04/10/2017	5,003,460.86	1.875	06/30/2021	5,000,000.00	1,542	5,000,000.00	1.828	1.853	1,186
3130A8QS5	17389	TREAS	FAC	FEDERAL HOME LOAN	08/08/2016	14,943,247.97	1.125	07/14/2021	15,000,000.00	1,801	15,000,000.00	1.227	1.244	1,200
3130A8QS5	17399	TREAS	FAC	FEDERAL HOME LOAN	08/29/2016	3,930,686.42	1.125	07/14/2021	3,955,000.00	1,780	3,955,000.00	1.301	1.319	1,200
3130A8QS5	17400	TREAS	FAC	FEDERAL HOME LOAN	09/13/2016	14,901,928.55	1.125	07/14/2021	15,000,000.00	1,765	15,000,000.00	1.313	1.331	1,200
3130A8QS5	17403	TREAS	FAC	FEDERAL HOME LOAN	09/28/2016	9,963,392.25	1.125	07/14/2021	10,000,000.00	1,750	10,000,000.00	1.223	1.240	1,200
3130A8QS5	17408	TREAS	FAC	FEDERAL HOME LOAN	10/13/2016	9,906,445.51	1.125	07/14/2021	10,000,000.00	1,735	10,000,000.00	1.401	1.420	1,200
3130A8QS5	17414	TREAS	FAC	FEDERAL HOME LOAN	11/14/2016	9,871,989.54	1.125	07/14/2021	10,000,000.00	1,703	10,000,000.00	1.509	1.530	1,200
3130A8QS5	17464	TREAS	FAC	FEDERAL HOME LOAN	04/06/2017	19,570,405.93	1.125	07/14/2021	20,000,000.00	1,560	20,000,000.00	1.782	1.807	1,200
949746SA0	17445	TREAS	MTN	WELLS FARGO	01/25/2017	9,776,112.58	2.100	07/26/2021	10,000,000.00	1,643	10,000,000.00	2.784	2.823	1,212
3134G9M79	17463	TREAS	FAC	FEDERAL HOME	04/06/2017	4,408,984.67	1.875	07/26/2021	4,410,000.00	1,572	4,410,000.00	1.856	1.882	1,212
949746SA0	17467	TREAS	MTN	WELLS FARGO	04/17/2017	4,942,230.02	2.100	07/26/2021	5,000,000.00	1,561	5,000,000.00	2.435	2.469	1,212
949746SA0	17477	TREAS	MTN	WELLS FARGO	05/15/2017	13,076,284.49	2.100	07/26/2021	13,232,000.00	1,533	13,232,000.00	2.441	2.475	1,212
949746SA0	17491	TREAS	MTN	WELLS FARGO	07/18/2017	12,150,093.82	2.100	07/26/2021	12,275,000.00	1,469	12,275,000.00	2.390	2.424	1,212
3134G9N86	17476	TREAS	FAC	FEDERAL HOME	05/11/2017	6,165,132.37	1.875	07/27/2021	6,170,000.00	1,538	6,170,000.00	1.874	1.900	1,213
3133752P1	17405	TREAS	FAC	FEDERAL HOME LOAN	10/05/2016	6,095,066.41	3.500	07/29/2021	5,700,000.00	1,758	5,700,000.00	1.324	1.342	1,215
037833CC2	17425	TREAS	MTN	APPLE INC	12/13/2016	4,893,234.65	1.550	08/04/2021	5,000,000.00	1,695	5,000,000.00	2.195	2.226	1,221
594918BP8	17394	TREAS	MTN	MICROSOFT	08/22/2016	14,993,208.09	1.550	08/08/2021	15,000,000.00	1,812	15,000,000.00	1.543	1.564	1,225
594918BP8	17424	TREAS	MTN	MICROSOFT	12/13/2016	4,899,116.42	1.550	08/08/2021	5,000,000.00	1,699	5,000,000.00	2.156	2.186	1,225
14912L6U0	17401	TREAS	MTN	CATERPILLAR	09/16/2016	15,179,355.55	1.700	08/09/2021	15,294,000.00	1,788	15,294,000.00	1.909	1.935	1,226

Portfolio FSNO

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Report Ver. 7.3.6.1

**County of Fresno
Inventory by Maturity Report**

CUSIP	Investment #	Fund	Sec. Type	Issuer	Purchase Date	Book Value	Current Rate	Maturity Date	Maturity Amount	Total Days	Par Value	YTM		Days to Maturity
												360	365	
3137EAEC9	17393	TREAS	FAC	FEDERAL HOME	08/17/2016	9,935,908.08	1.125	08/12/2021	10,000,000.00	1,821	10,000,000.00	1.304	1.322	1,229
3135G0N82	17396	TREAS	FAC	FEDERAL NATIONAL	08/29/2016	9,985,786.13	1.250	08/17/2021	10,000,000.00	1,814	10,000,000.00	1.276	1.294	1,234
3135G0N82	17397	TREAS	FAC	FEDERAL NATIONAL	08/29/2016	9,971,504.25	1.250	08/17/2021	10,000,000.00	1,814	10,000,000.00	1.319	1.337	1,234
3135G0N82	17398	TREAS	FAC	FEDERAL NATIONAL	08/29/2016	9,964,907.38	1.250	08/17/2021	10,000,000.00	1,814	10,000,000.00	1.339	1.358	1,234
3135G0Q89	17406	TREAS	FAC	FEDERAL NATIONAL	10/07/2016	19,976,930.67	1.375	10/07/2021	20,000,000.00	1,826	20,000,000.00	1.390	1.409	1,285
3135G0Q89	17407	TREAS	FAC	FEDERAL NATIONAL	10/13/2016	9,958,364.55	1.375	10/07/2021	10,000,000.00	1,820	10,000,000.00	1.478	1.498	1,285
3135G0Q89	17409	TREAS	FAC	FEDERAL NATIONAL	10/27/2016	4,986,984.38	1.375	10/07/2021	5,000,000.00	1,806	5,000,000.00	1.432	1.452	1,285
3133EGYQ2	17410	TREAS	FAC	FEDERAL FARM CREDIT	10/27/2016	9,980,609.37	1.400	10/14/2021	10,000,000.00	1,813	10,000,000.00	1.437	1.457	1,292
24422ERH4	17427	TREAS	MTN	JOHN DEERE	12/13/2016	8,917,073.92	3.150	10/15/2021	8,707,000.00	1,767	8,707,000.00	2.390	2.423	1,293
36962G5J9	17511	TREAS	MTN	G.E. CAPITAL	11/16/2017	10,780,811.98	4.650	10/17/2021	10,000,000.00	1,431	10,000,000.00	2.404	2.438	1,295
3133EGZJ7	17411	TREAS	FAC	FEDERAL FARM CREDIT	10/27/2016	9,971,884.83	1.375	10/25/2021	10,000,000.00	1,824	10,000,000.00	1.437	1.457	1,303
3135G0S38	17440	TREAS	FAC	FEDERAL NATIONAL	01/09/2017	19,965,848.44	2.000	01/05/2022	20,000,000.00	1,822	20,000,000.00	2.020	2.048	1,375
3135G0S38	17441	TREAS	FAC	FEDERAL NATIONAL	01/09/2017	9,982,218.57	2.000	01/05/2022	10,000,000.00	1,822	10,000,000.00	2.022	2.050	1,375
3135G0S38	17459	TREAS	FAC	FEDERAL NATIONAL	03/28/2017	10,005,283.52	2.000	01/05/2022	10,000,000.00	1,744	10,000,000.00	1.958	1.985	1,375
3135G0S38	17480	TREAS	FAC	FEDERAL NATIONAL	06/02/2017	5,030,142.31	2.000	01/05/2022	5,000,000.00	1,678	5,000,000.00	1.807	1.832	1,375
3135G0S38	17481	TREAS	FAC	FEDERAL NATIONAL	06/12/2017	5,029,976.06	2.000	01/05/2022	5,000,000.00	1,668	5,000,000.00	1.808	1.833	1,375
91159HHP8	17483	TREAS	MTN	US BANK NA	06/27/2017	20,256,926.90	2.625	01/24/2022	20,000,000.00	1,672	20,000,000.00	2.237	2.268	1,394
3133EG5D3	17447	TREAS	FAC	FEDERAL FARM CREDIT	01/27/2017	50,000,000.00	2.030	01/27/2022	50,000,000.00	1,826	50,000,000.00	2.002	2.030	1,397
3136G2CS4	17461	TREAS	FAC	FEDERAL NATIONAL	03/28/2017	5,002,676.91	2.000	01/27/2022	5,000,000.00	1,766	5,000,000.00	1.958	1.985	1,397
084670BF4	17520	TREAS	MTN	BERKSHIRE HATHAWAY	12/14/2017	15,568,628.70	3.400	01/31/2022	15,000,000.00	1,509	15,000,000.00	2.323	2.355	1,401
594918BW3	17449	TREAS	MTN	MICROSOFT	02/21/2017	6,720,606.45	2.400	02/06/2022	6,725,000.00	1,811	6,725,000.00	2.385	2.418	1,407
594918BW3	17525	TREAS	MTN	MICROSOFT	12/21/2017	17,375,000.00	2.400	02/06/2022	17,375,000.00	1,508	17,375,000.00	2.367	2.400	1,407
06406RAA5	17469	TREAS	MTN	BANK OF NEW YORK	04/18/2017	10,063,865.02	2.600	02/07/2022	10,000,000.00	1,756	10,000,000.00	2.390	2.423	1,408
037833CM0	17448	TREAS	MTN	APPLE INC	02/21/2017	14,971,355.03	2.500	02/09/2022	15,000,000.00	1,814	15,000,000.00	2.518	2.553	1,410
037833AY6	17470	TREAS	MTN	APPLE INC	04/18/2017	9,983,508.14	2.150	02/09/2022	10,000,000.00	1,758	10,000,000.00	2.165	2.195	1,410
594918BA1	17450	TREAS	MTN	MICROSOFT	02/21/2017	6,439,941.00	2.375	02/12/2022	6,450,000.00	1,817	6,450,000.00	2.385	2.418	1,413
13063DAD0	17472	TREAS	MUN	STATE OF CALIFORNIA	04/27/2017	5,000,000.00	2.367	04/01/2022	5,000,000.00	1,800	5,000,000.00	2.335	2.367	1,461
13063DAD0	17473	TREAS	MUN	STATE OF CALIFORNIA	04/27/2017	10,546,536.19	2.367	04/01/2022	10,500,000.00	1,800	10,500,000.00	2.219	2.249	1,461
13063DAD0	17474	TREAS	MUN	STATE OF CALIFORNIA	05/03/2017	8,024,304.07	2.367	04/01/2022	8,000,000.00	1,794	8,000,000.00	2.255	2.286	1,461
037833CQ1	17475	TREAS	MTN	APPLE INC	05/11/2017	19,960,533.33	2.300	05/11/2022	20,000,000.00	1,826	20,000,000.00	2.319	2.351	1,501
3133EHJT1	17479	TREAS	FAC	FEDERAL FARM CREDIT	05/18/2017	4,995,291.17	2.000	05/18/2022	5,000,000.00	1,826	5,000,000.00	1.996	2.024	1,508
3130ACUZ5	17513	TREAS	FAC	FEDERAL HOME LOAN	11/24/2017	22,980,074.90	2.060	05/24/2022	23,000,000.00	1,642	23,000,000.00	2.053	2.082	1,514
3130ACXH2	17514	TREAS	FAC	FEDERAL HOME LOAN	12/04/2017	24,922,031.01	2.020	05/25/2022	25,000,000.00	1,633	25,000,000.00	2.070	2.099	1,515
912828XR6	17497	TREAS	TRC	US TREASURY NOTE	09/27/2017	19,927,603.25	1.750	05/31/2022	20,000,000.00	1,707	20,000,000.00	1.816	1.841	1,521
313379Q69	17485	TREAS	FAC	FEDERAL HOME LOAN	06/28/2017	5,046,362.37	2.125	06/10/2022	5,000,000.00	1,808	5,000,000.00	1.866	1.892	1,531
313379Q69	17486	TREAS	FAC	FEDERAL HOME LOAN	06/28/2017	5,046,404.71	2.125	06/10/2022	5,000,000.00	1,808	5,000,000.00	1.866	1.892	1,531
313379Q69	17487	TREAS	FAC	FEDERAL HOME LOAN	06/28/2017	3,856,051.64	2.125	06/10/2022	3,820,000.00	1,808	3,820,000.00	1.862	1.888	1,531
313379Q69	17488	TREAS	FAC	FEDERAL HOME LOAN	07/07/2017	13,535,231.95	2.125	06/10/2022	13,470,000.00	1,799	13,470,000.00	1.976	2.003	1,531
313379Q69	17498	TREAS	FAC	FEDERAL HOME LOAN	09/27/2017	20,195,554.99	2.125	06/10/2022	20,000,000.00	1,717	20,000,000.00	1.854	1.880	1,531
313379Q69	17516	TREAS	FAC	FEDERAL HOME LOAN	12/01/2017	1,999,358.98	2.125	06/10/2022	2,000,000.00	1,652	2,000,000.00	2.104	2.133	1,531

**County of Fresno
Inventory by Maturity Report**

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CUSIP	Investment #	Fund	Sec. Type	Issuer	Purchase Date	Book Value	Current Rate	Maturity Date	Maturity Amount	Total Days	Par Value	YTM		Days to Maturity
												360	365	
313379Q69	17527	TREAS	FAC	FEDERAL HOME LOAN	12/20/2017	1,893,371.46	2.125	06/10/2022	1,900,000.00	1,633	1,900,000.00	2.197	2.228	1,531
3130A5P45	17528	TREAS	FAC	FEDERAL HOME LOAN	12/20/2017	1,937,515.80	2.375	06/10/2022	1,925,000.00	1,633	1,925,000.00	2.197	2.228	1,531
3133EEY20	17495	TREAS	FAC	FEDERAL FARM CREDIT	09/21/2017	10,189,100.12	2.400	06/17/2022	10,000,000.00	1,730	10,000,000.00	1.901	1.928	1,538
3130ACM27	17502	TREAS	FAC	FEDERAL HOME LOAN	10/12/2017	14,986,212.99	1.950	07/11/2022	15,000,000.00	1,733	15,000,000.00	1.946	1.973	1,562
3130ACM27	17509	TREAS	FAC	FEDERAL HOME LOAN	10/19/2017	4,445,124.14	1.950	07/11/2022	4,455,000.00	1,726	4,455,000.00	1.977	2.005	1,562
91159JAA4	17529	TREAS	MTN	US BANK NA	12/21/2017	10,139,858.70	2.950	07/15/2022	10,004,000.00	1,667	10,004,000.00	2.570	2.606	1,566
3130ACKC7	17500	TREAS	FAC	FEDERAL HOME LOAN	10/18/2017	50,000,000.00	1.950	07/18/2022	50,000,000.00	1,734	50,000,000.00	1.924	1.950	1,569
95000U2B8	17508	TREAS	MTN	WELLS FARGO	10/20/2017	4,997,916.30	2.625	07/22/2022	5,000,000.00	1,736	5,000,000.00	2.599	2.635	1,573
3130ACYP3	17515	TREAS	FAC	FEDERAL HOME LOAN	12/05/2017	19,983,099.90	2.100	07/27/2022	20,000,000.00	1,695	20,000,000.00	2.092	2.121	1,578
3130ACUV4	17512	TREAS	FAC	FEDERAL HOME LOAN	11/30/2017	50,000,000.00	2.070	07/29/2022	50,000,000.00	1,702	50,000,000.00	2.042	2.070	1,580
3130ACUV4	17517	TREAS	FAC	FEDERAL HOME LOAN	12/06/2017	8,855,659.07	2.070	07/29/2022	8,890,000.00	1,696	8,890,000.00	2.135	2.165	1,580
3130AC5A8	17494	TREAS	FAC	FEDERAL HOME LOAN	09/19/2017	9,980,623.58	1.850	08/15/2022	10,000,000.00	1,791	10,000,000.00	1.870	1.896	1,597
3130AC5A8	17496	TREAS	FAC	FEDERAL HOME LOAN	09/27/2017	9,250,720.09	1.850	08/15/2022	9,280,000.00	1,783	9,280,000.00	1.899	1.926	1,597
3133EHVS9	17499	TREAS	FAC	FEDERAL FARM CREDIT	09/28/2017	5,469,682.07	1.840	08/23/2022	5,500,000.00	1,790	5,500,000.00	1.945	1.972	1,605
912828L24	17510	TREAS	TRC	US TREASURY NOTE	10/23/2017	19,884,858.82	1.875	08/31/2022	20,000,000.00	1,773	20,000,000.00	1.985	2.012	1,613
13063DDF2	17504	TREAS	MUN	STATE OF CALIFORNIA	10/26/2017	10,127,135.77	2.500	10/01/2022	10,000,000.00	1,801	10,000,000.00	2.170	2.200	1,644
13063DDF2	17505	TREAS	MUN	STATE OF CALIFORNIA	10/26/2017	10,127,135.77	2.500	10/01/2022	10,000,000.00	1,801	10,000,000.00	2.170	2.200	1,644
13063DDF2	17519	TREAS	MUN	STATE OF CALIFORNIA	12/14/2017	20,125,200.54	2.500	10/01/2022	20,000,000.00	1,752	20,000,000.00	2.397	2.430	1,644
13063DDF2	17532	TREAS	MUN	STATE OF CALIFORNIA	01/16/2018	5,012,055.66	2.500	10/01/2022	5,000,000.00	1,719	5,000,000.00	2.539	2.574	1,644
3135G0T78	17501	TREAS	FAC	FEDERAL NATIONAL	10/10/2017	19,984,685.02	2.000	10/05/2022	20,000,000.00	1,821	20,000,000.00	1.995	2.023	1,648
3135G0T78	17503	TREAS	FAC	FEDERAL NATIONAL	10/12/2017	14,988,289.01	2.000	10/05/2022	15,000,000.00	1,819	15,000,000.00	1.998	2.026	1,648
3135G0T78	17531	TREAS	FAC	FEDERAL NATIONAL	01/11/2018	4,945,922.74	2.000	10/05/2022	5,000,000.00	1,728	5,000,000.00	2.346	2.379	1,648
89233P7F7	17538	TREAS	MTN	TOYOTA MOTOR CREDIT	03/01/2018	4,924,053.66	2.625	01/10/2023	5,000,000.00	1,776	5,000,000.00	3.012	3.054	1,745
89236TEL5	17539	TREAS	MTN	TOYOTA MOTOR CREDIT	03/01/2018	4,940,691.49	2.700	01/11/2023	5,000,000.00	1,777	5,000,000.00	3.012	3.054	1,746
037833DE7	17541	TREAS	MTN	APPLE INC	03/01/2018	2,445,031.23	2.400	01/13/2023	2,500,000.00	1,779	2,500,000.00	3.018	3.060	1,748
3135G0T94	17533	TREAS	FAC	FEDERAL NATIONAL	01/23/2018	49,713,042.32	2.375	01/19/2023	50,000,000.00	1,822	50,000,000.00	2.469	2.503	1,754
90331HNL3	17534	TREAS	MTN	US BANK NA	01/24/2018	9,982,980.66	2.850	01/23/2023	10,000,000.00	1,825	10,000,000.00	2.850	2.890	1,758
90331HNL3	17537	TREAS	MTN	US BANK NA	03/01/2018	4,952,151.00	2.850	01/23/2023	5,000,000.00	1,789	5,000,000.00	3.091	3.134	1,758
3133EJBP3	17535	TREAS	FAC	FEDERAL FARM CREDIT	02/07/2018	9,961,697.92	2.500	02/02/2023	10,000,000.00	1,821	10,000,000.00	2.557	2.593	1,768
3133EJBP3	17536	TREAS	FAC	FEDERAL FARM CREDIT	02/28/2018	50,669,271.13	2.500	02/02/2023	51,180,000.00	1,800	51,180,000.00	2.724	2.762	1,768
037833BU3	17540	TREAS	MTN	APPLE INC	03/01/2018	9,909,973.96	2.850	02/23/2023	10,000,000.00	1,820	10,000,000.00	3.022	3.064	1,789
Subtotal and Average						3,492,422,560.17			3,490,405,121.84		3,490,405,121.84	1.785	1.810	821
Net Maturities and Average						3,492,422,560.17			3,490,405,121.84		3,490,405,121.84	1.785	1.810	821



Quarterly Economic and Market Update

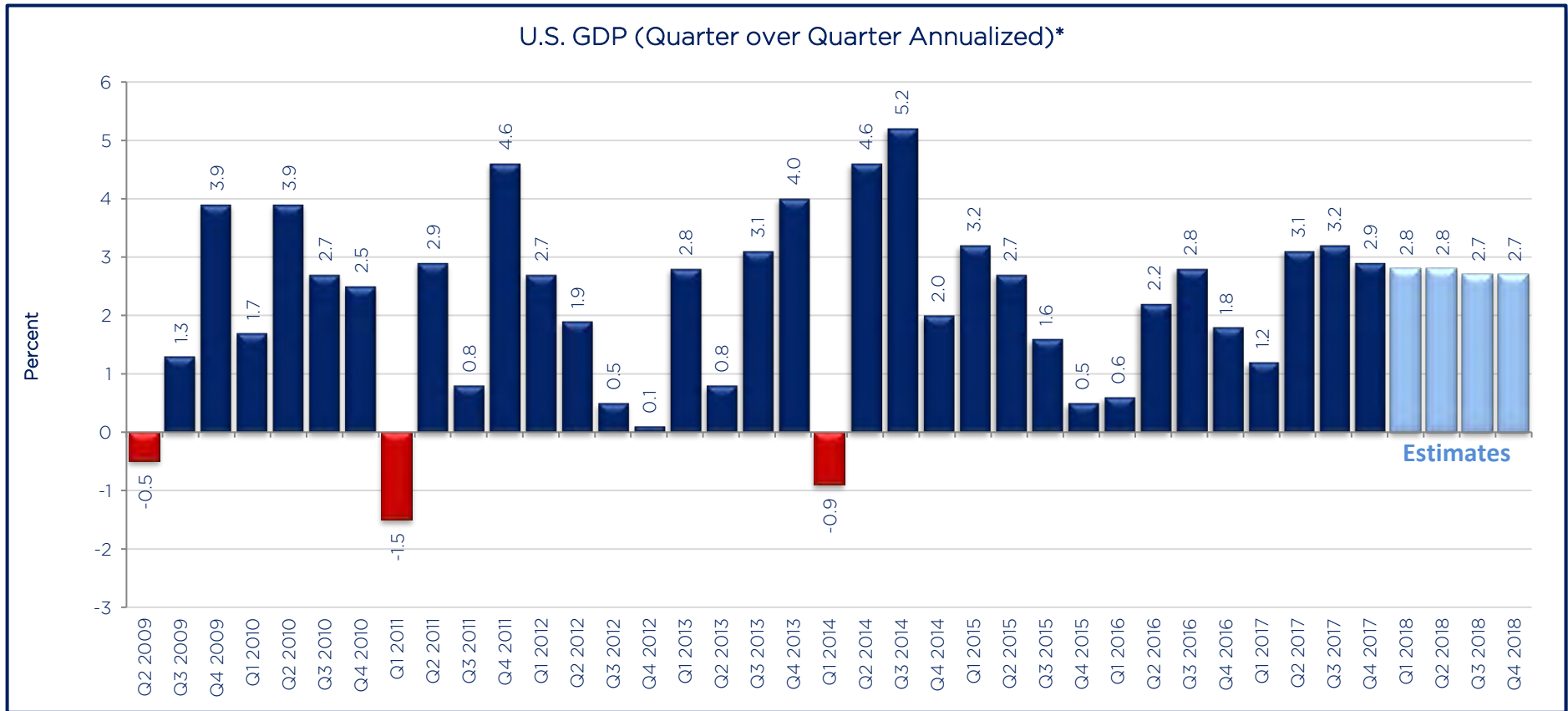
March 2018

Item	3/31/2018	12/31/2017	Change
U.S. Payrolls Monthly Change	103,000	175,000	-72,000
Unemployment Rate	4.1%	4.1%	0.0%
Labor Force Participation	62.9%	62.7%	0.2%
Effective Fed Funds Rate	1.68%	1.33%	0.35%
Next Fed Funds Hike**	Jul 2018	Dec 2018	+5 Months
3 Month T-Bill	1.71%	1.38%	0.32%
2 Year T-Note	2.27%	1.89%	0.38%
3 Year T-Note	2.38%	1.97%	0.41%
5 Year T-Note	2.56%	2.21%	0.36%
10 Year T-Note	2.74%	2.41%	0.33%
U.S. Fed Debt Avg Yield*	2.18%	2.00%	0.18%
30 Year Mortgage Rate	4.27%	3.85%	0.42%
1-5 Yr Agency Spread	0.08%	0.10%	-0.02%
1-5 Yr Corporate Spread	0.69%	0.47%	0.22%
Dow Jones	24,103	24,719	-2.5%
S&P 500	2,641	2,674	-1.2%
Consumer Price Index YOY*	2.2%	2.1%	0.1%
U.S. Avg Regular Unleaded	\$2.66	\$2.49	\$0.17
Retail Sales YOY*	4.0%	5.1%	-1.1%
Case-Shiller Home Prices YOY*	6.4%	6.4%	0.0%
Gold (per ounce)	\$1,325.50	\$1,302.80	\$22.70
Dollar Index	90.15	92.12	-1.97
Consumer Confidence	127.70	123.10	4.60

*Estimates for the current quarter/month, some data are lagged

Sources: FTN Main Street and Bloomberg

**Next Projected Fed Funds Hike is first month Fed Funds Futures are 1.875% or higher

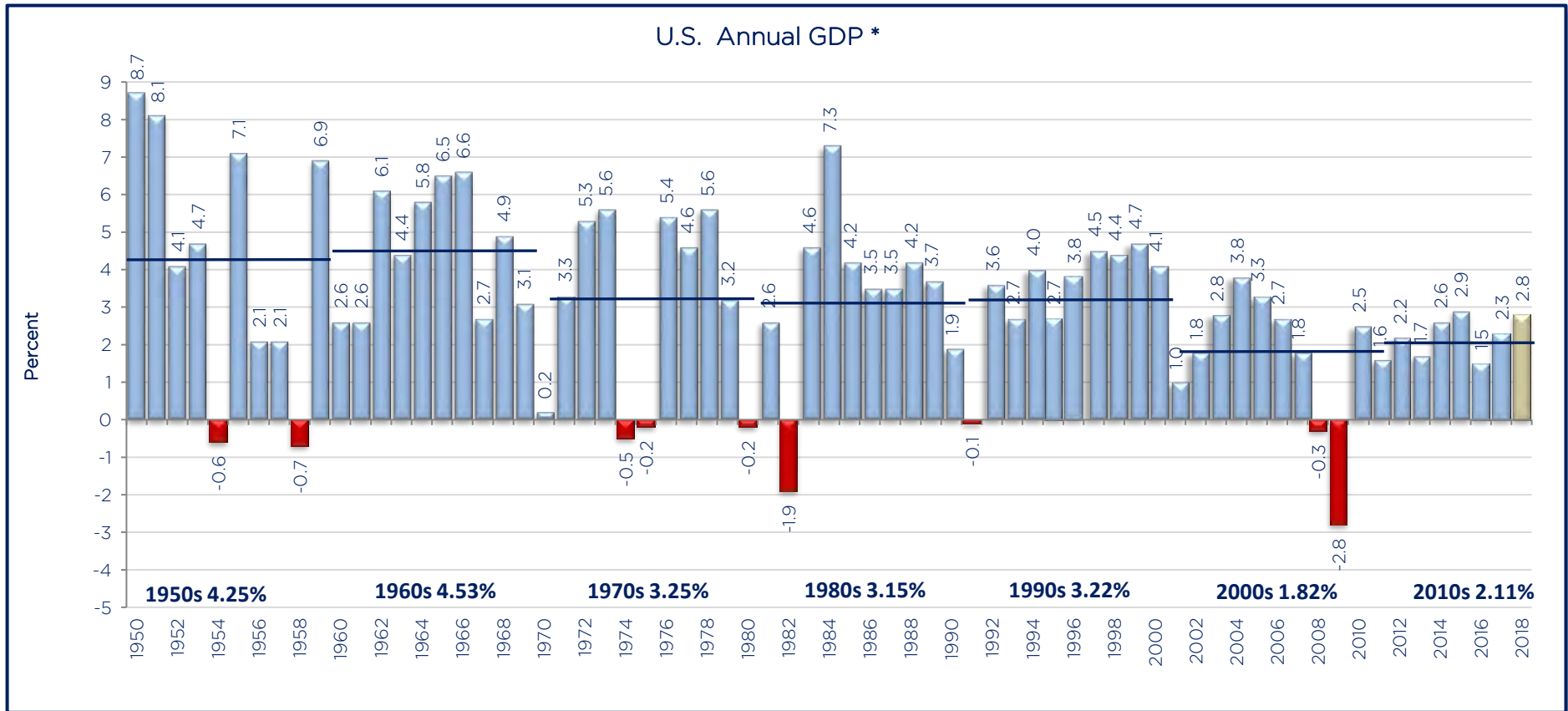


* Real Rate (Inflation Adjusted)

Source: Bureau of Economic Analysis

Estimate: Bloomberg's Survey of Economists

As of: 3/31/18

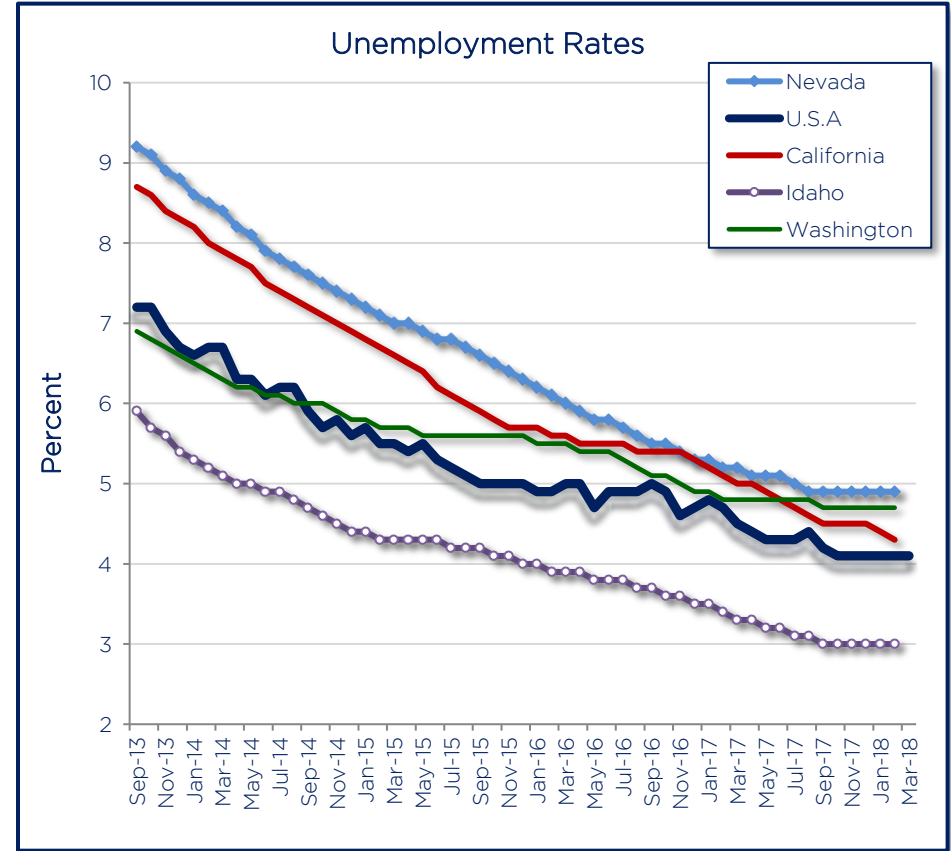
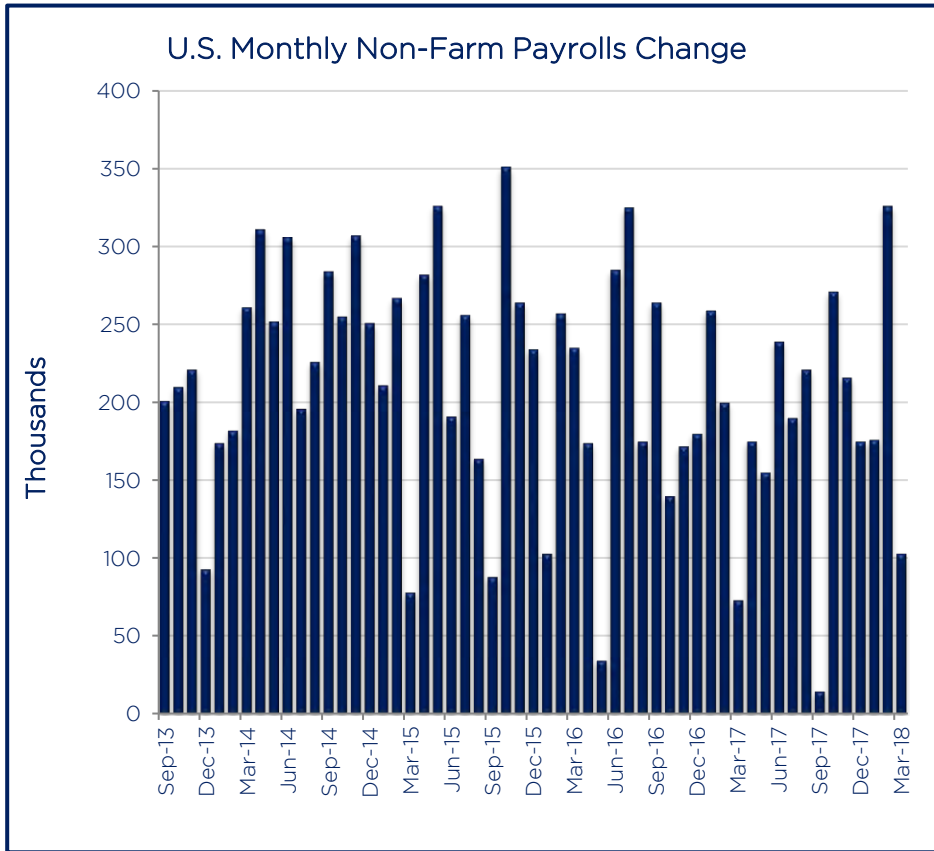


* Real Rate (Inflation Adjusted)

Source: Bureau of Economic Analysis

Estimate: Bloomberg's Survey of Economists

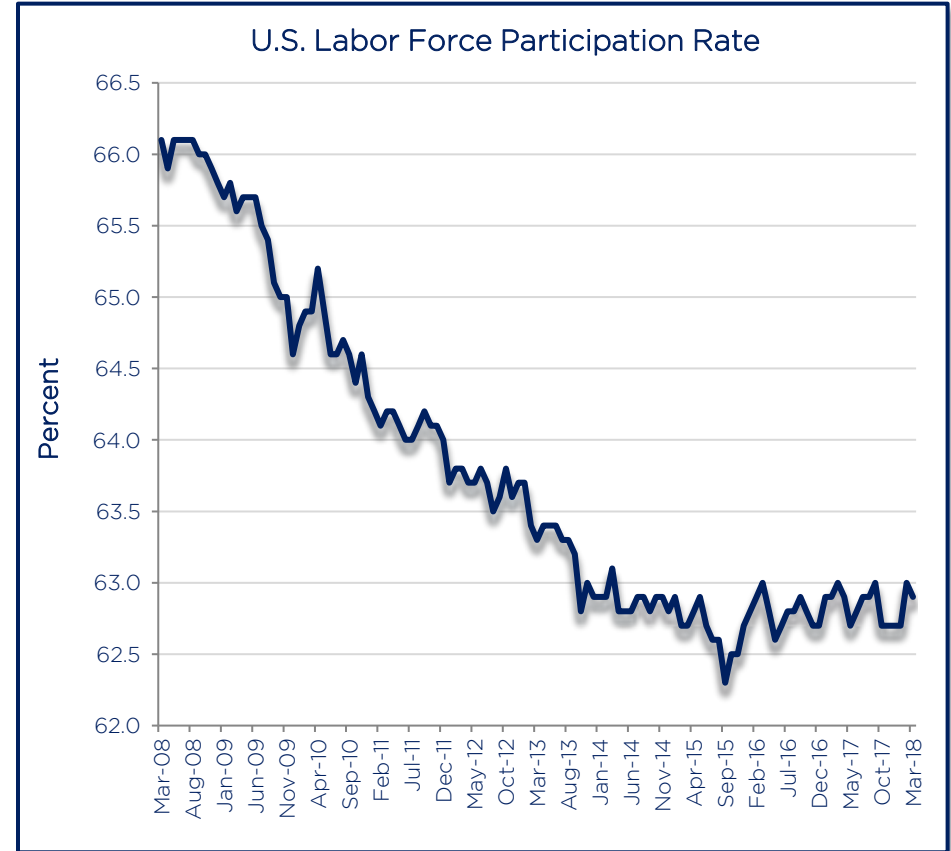
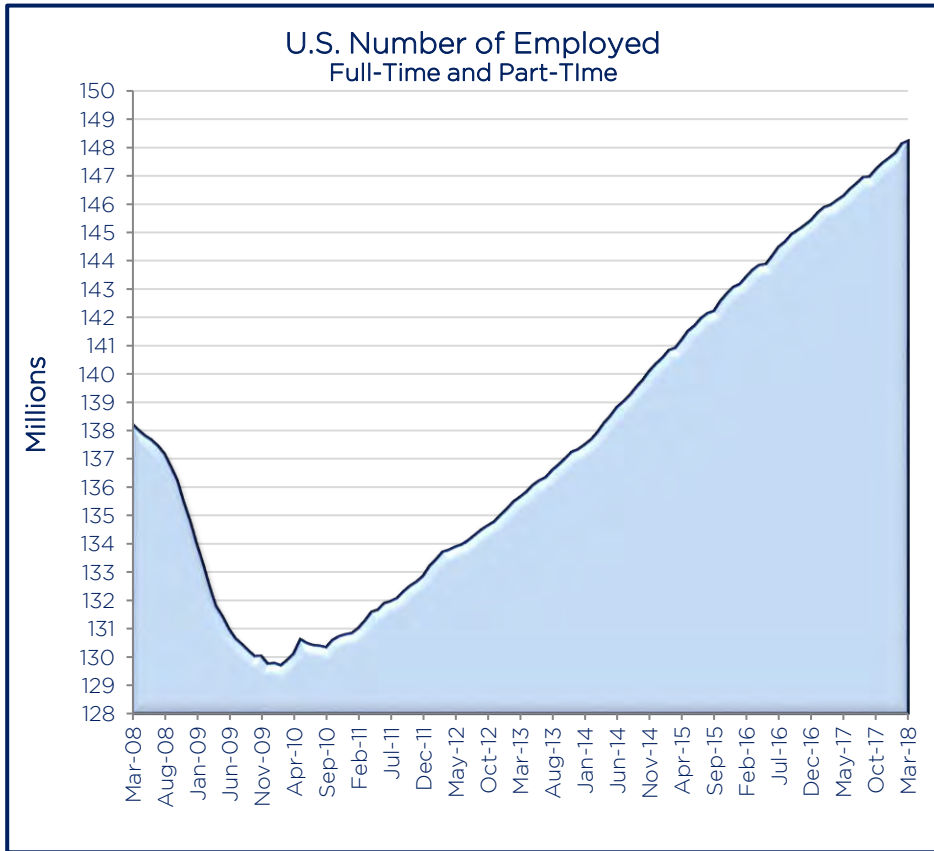
As of: 3/31/18



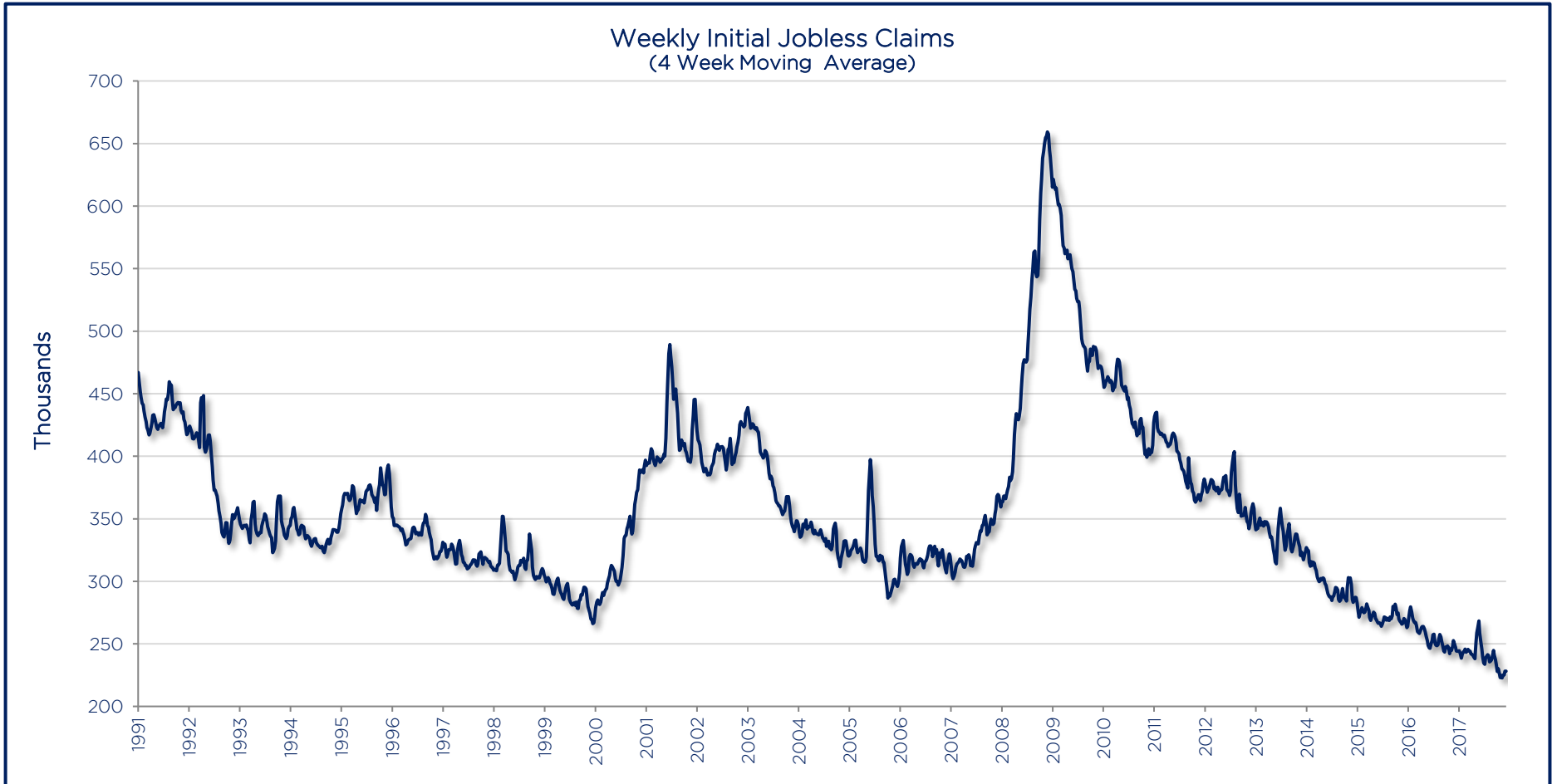
12 Month Average Job Change

188,417

Source: Bureau of Labor Statistics



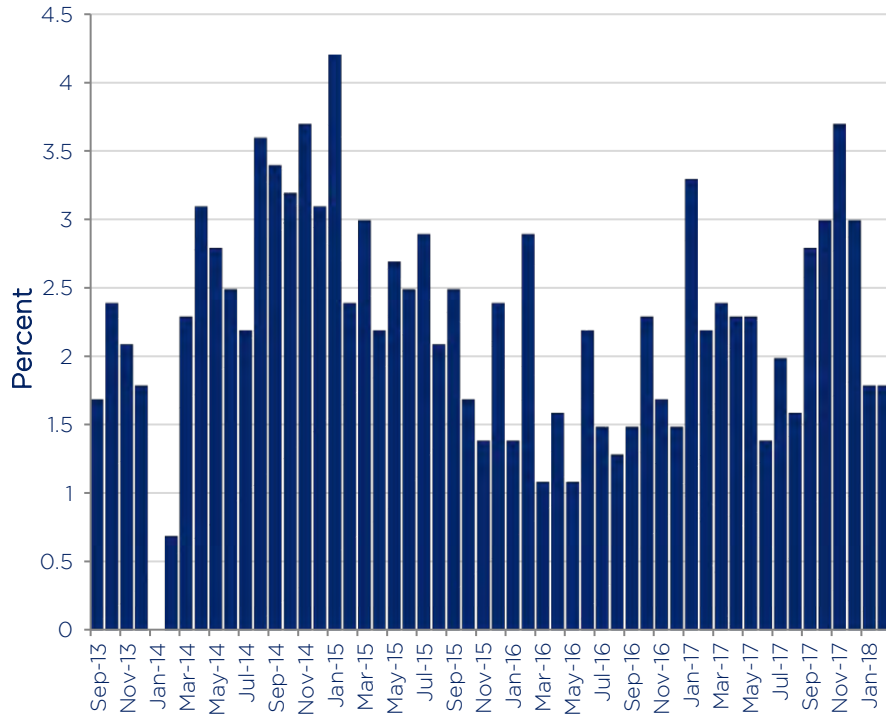
Source: Bureau of Labor Statistics



Weekly Initial Jobless Claims is the actual number of people who have filed for Unemployment benefits for the first time. The following five eligibility criteria must be met in order to file for unemployment benefits: 1. Meet the requirements of time worked during a 1 year period (full time or not). 2. Become unemployed through no fault of your own (cannot be fired). 3. Must be able to work; no physical or mental holdbacks. 4. Must be available for work. 5. Must be actively seeking work.

Source: Department of Labor and Bloomberg

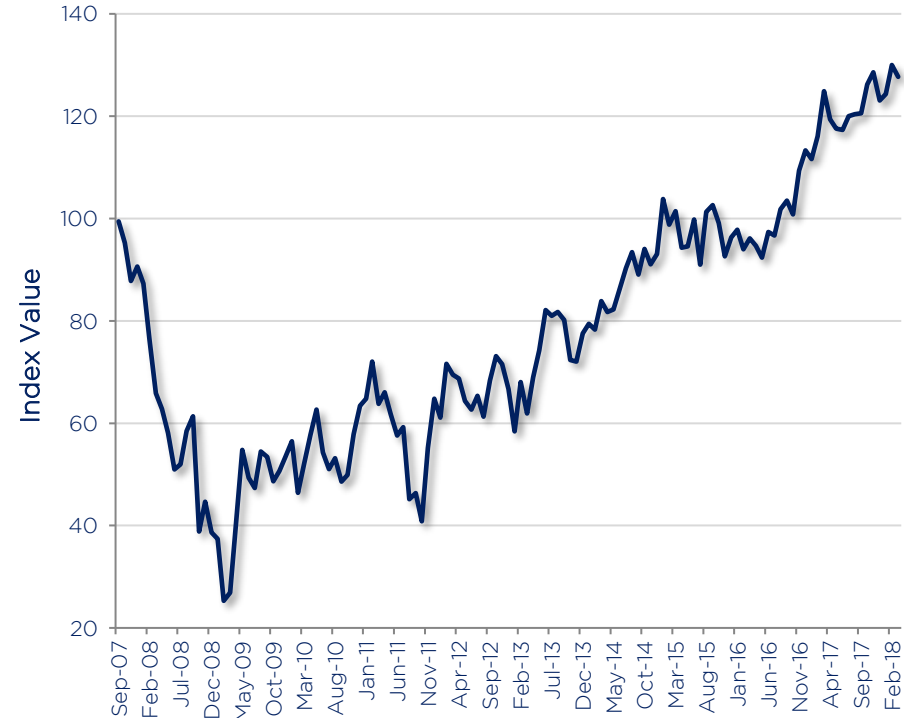
U.S. Real* Retail Sales YOY % Change



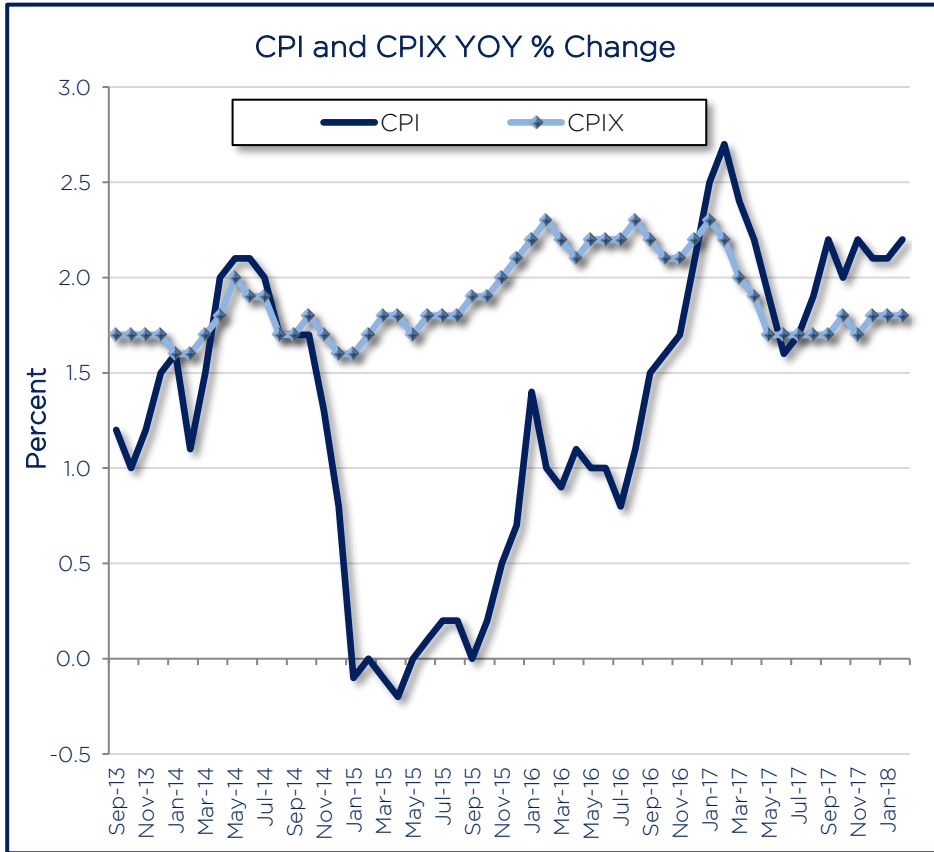
*Real: Inflation Adjusted

Source: U.S. Census Bureau

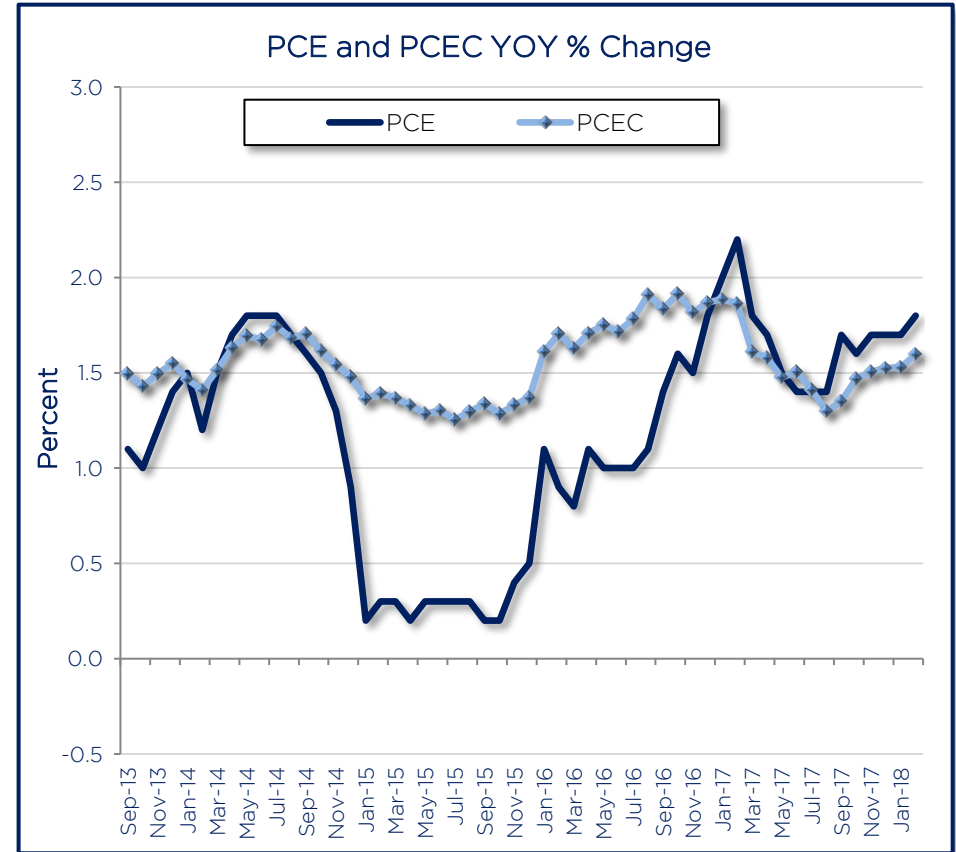
U.S. Consumer Confidence



Source: Conference Board

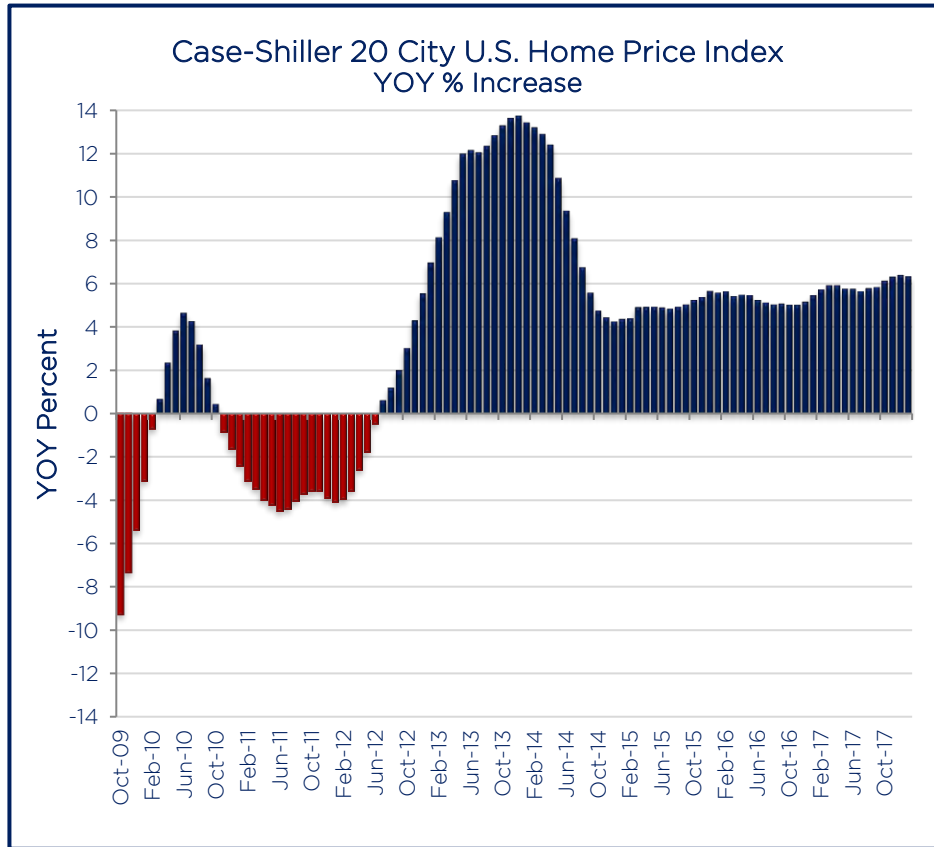


CPIX: Consumer Price Index, excluding food and energy

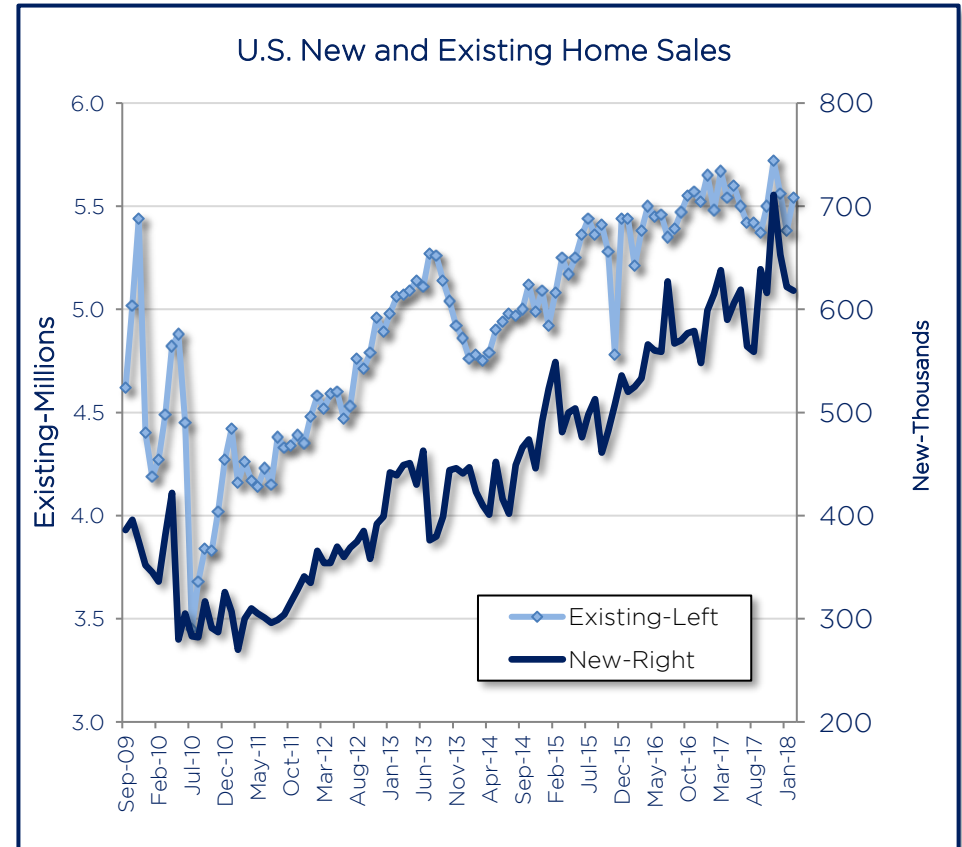


PCEC: Personal Consumption Expenditure Core

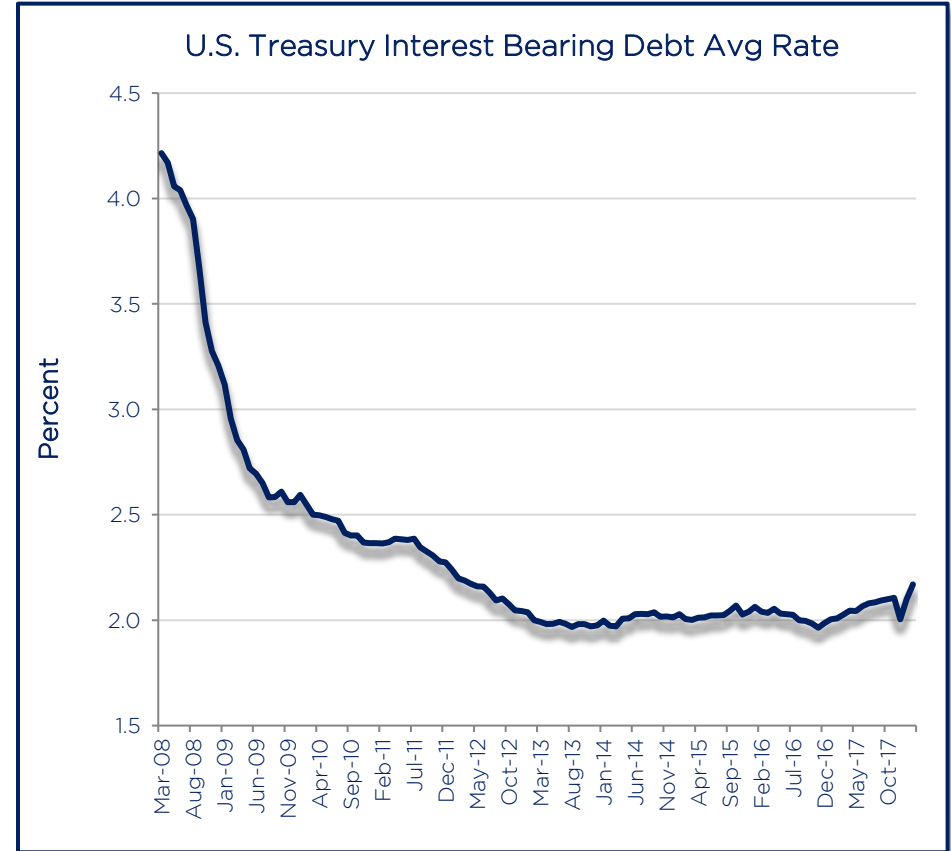
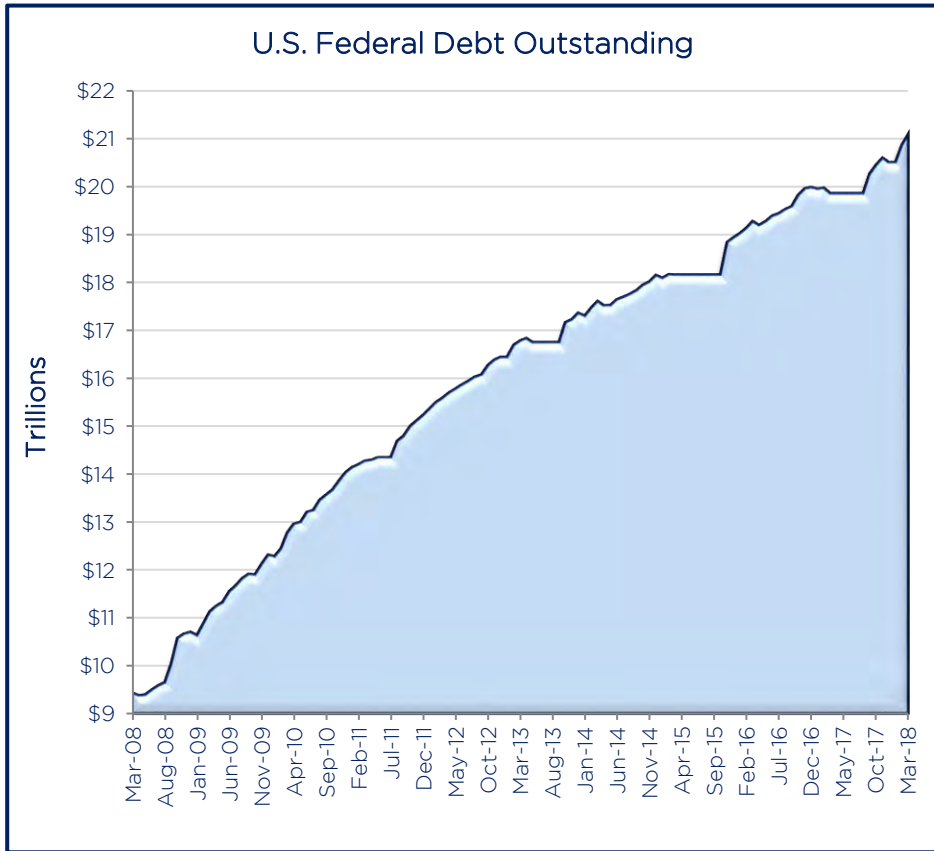
Source: Bureau of Labor Statistics and Bureau of Economic Analysis



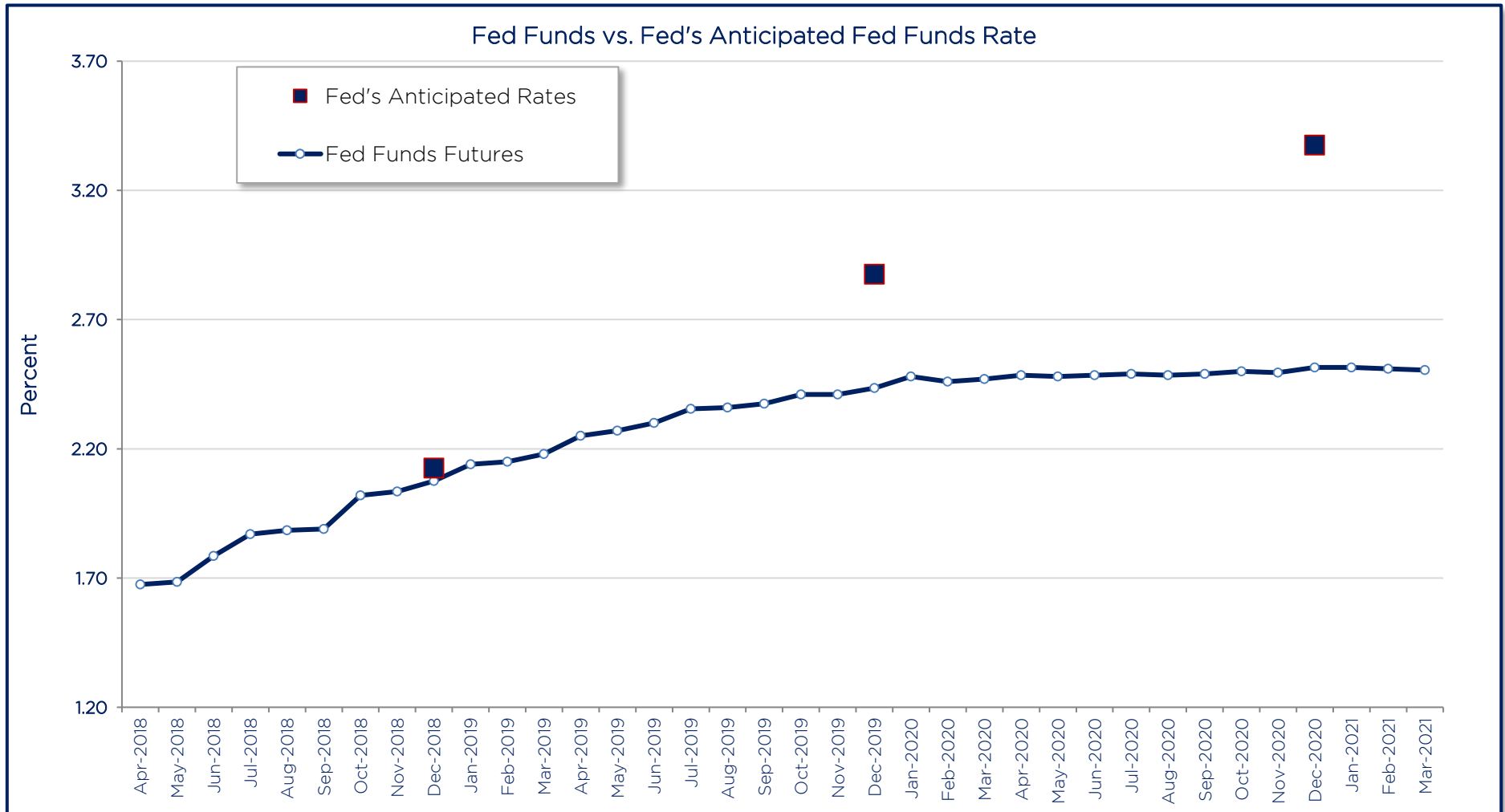
Source: Case-Shiller



Sources: New (U.S. Census Bureau), Existing (National Assoc. of Realtors)
Seasonally Adjusted Annual Rate

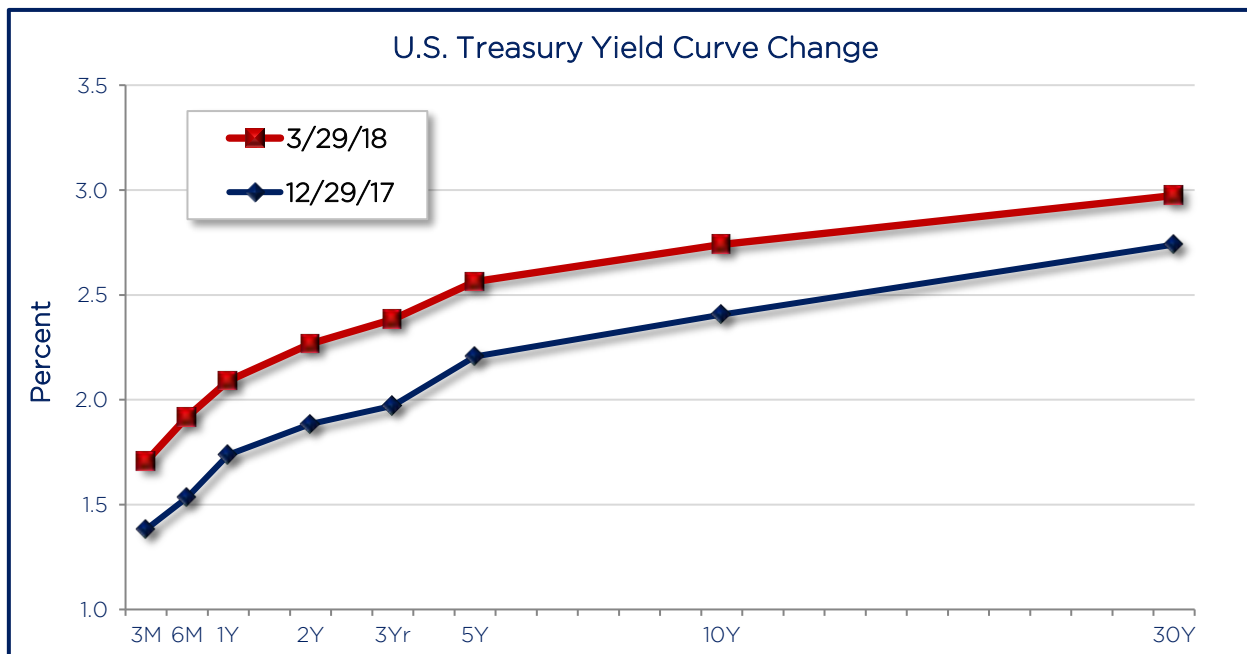


Source: U.S. Treasury

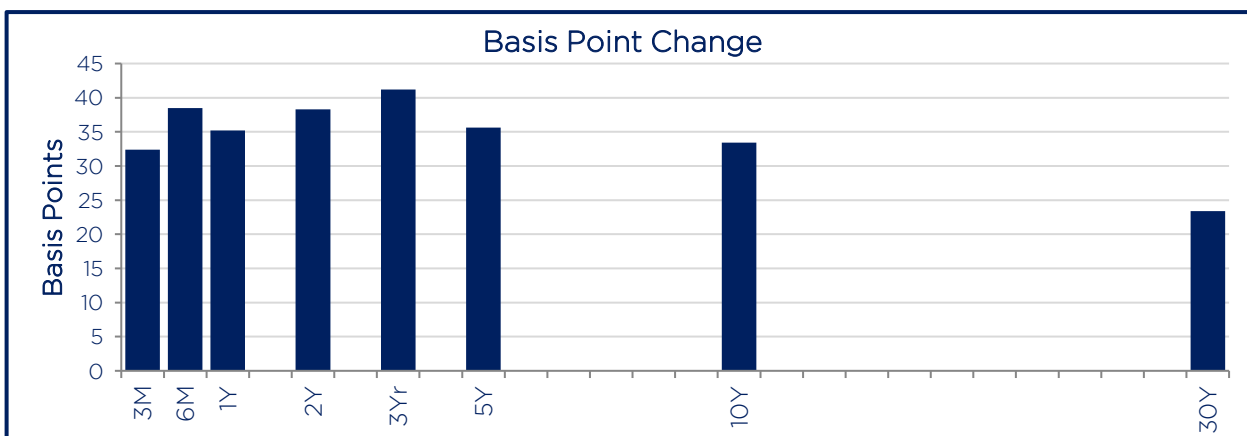


Fed Funds Anticipated Rate from the March 21, 2018 FOMC Meeting

Source: Bloomberg

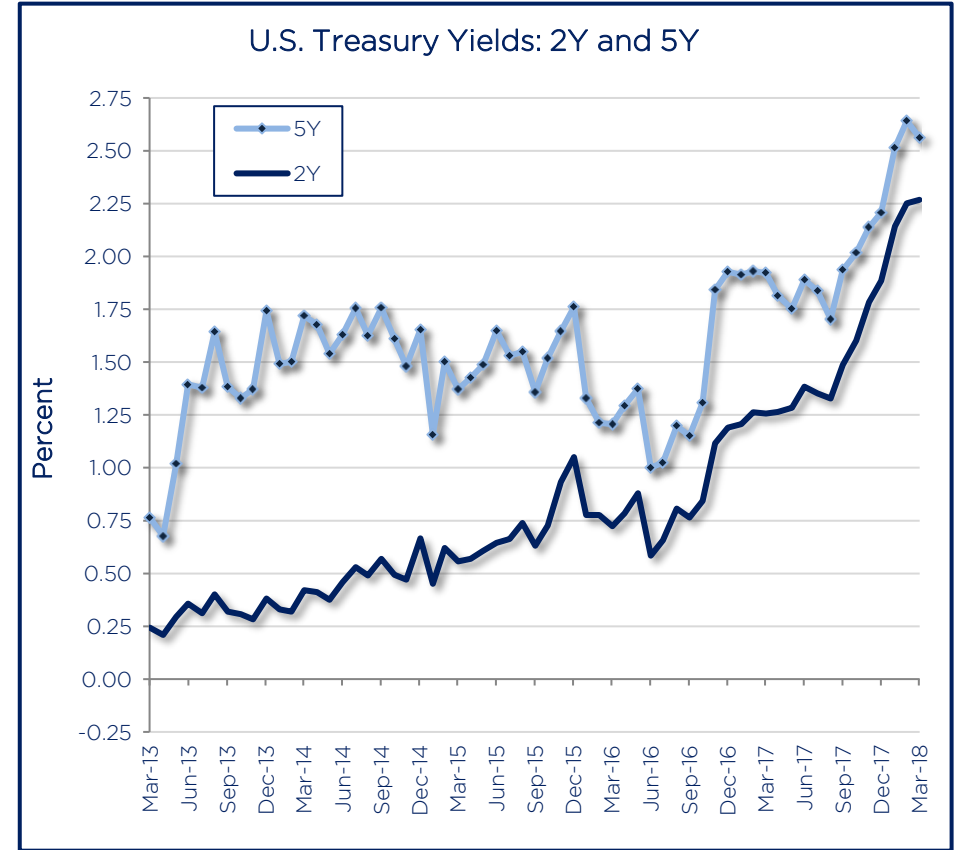
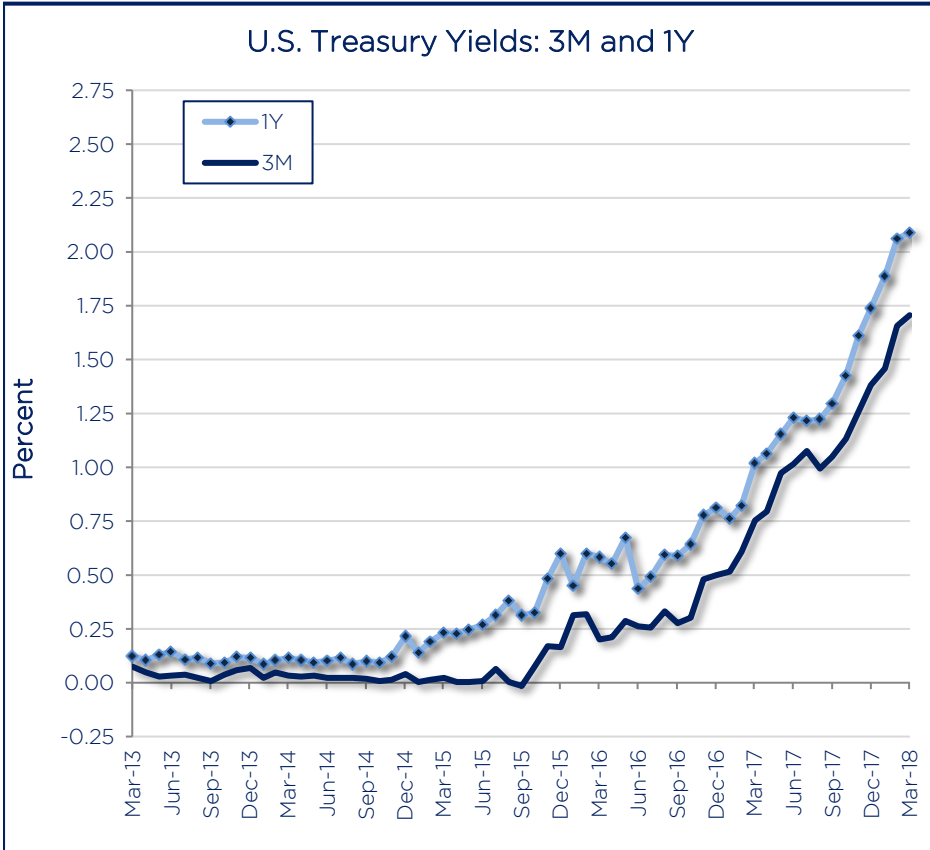


Maturity	12/29/17	3/29/18	Change
3M	1.38	1.71	0.32
6M	1.53	1.92	0.39
1Y	1.74	2.09	0.35
2Y	1.89	2.27	0.38
3Y	1.97	2.38	0.41
5Y	2.21	2.56	0.36
10Y	2.41	2.74	0.33
30Y	2.74	2.97	0.23



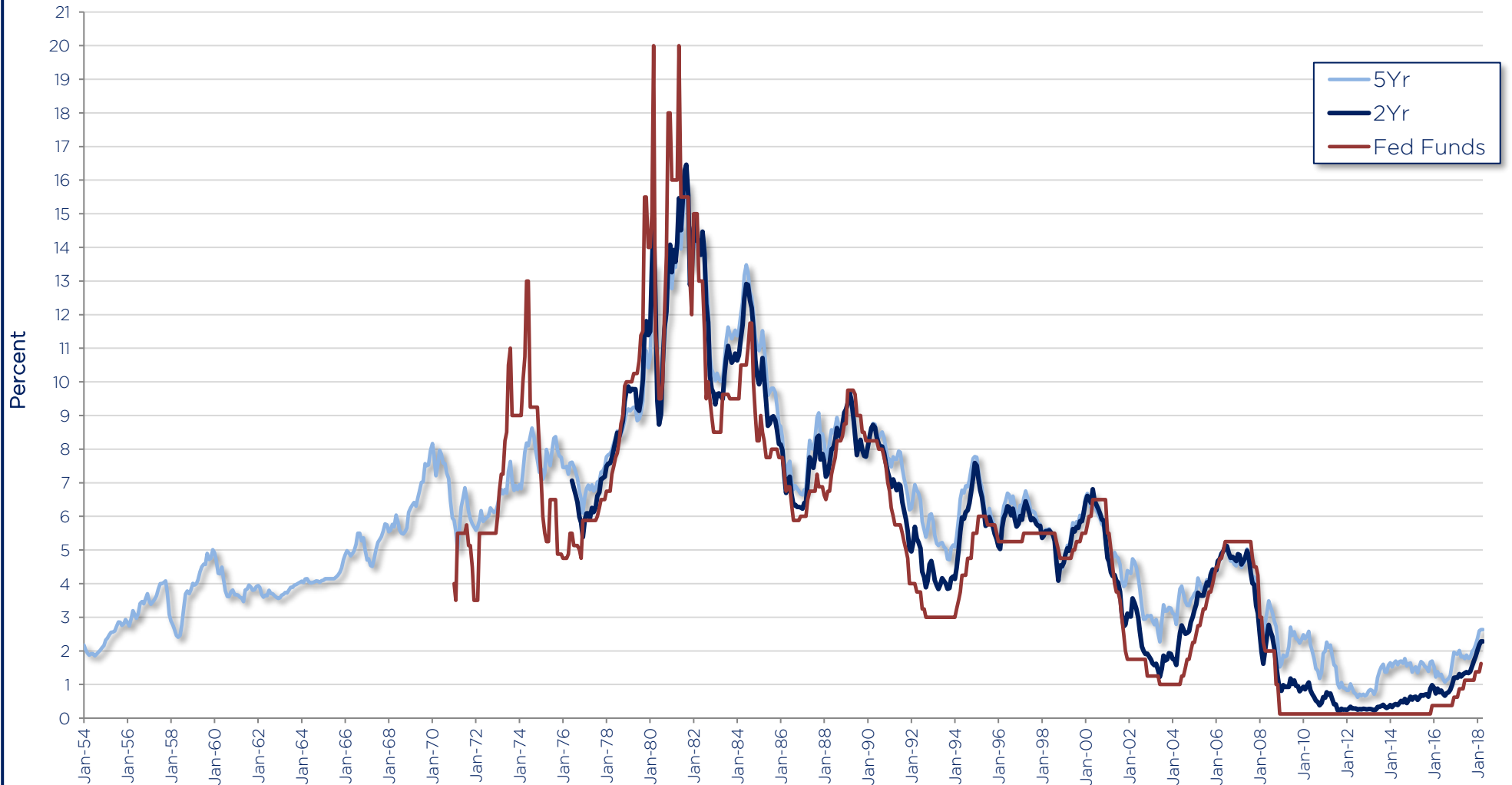
Source: Bloomberg

Figures may not total due to rounding



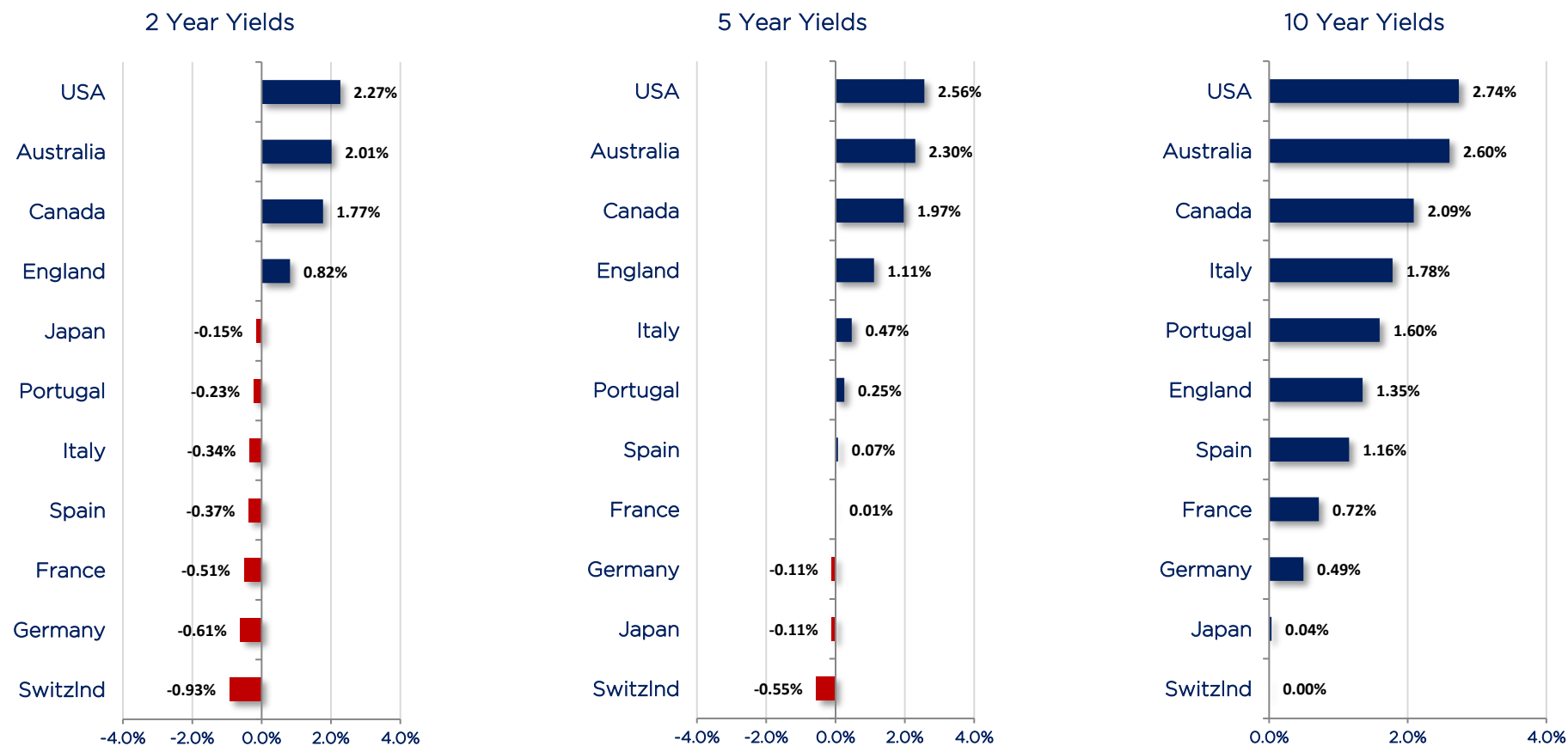
Source: Bloomberg

U.S. Treasury Yields 2Yr and 5Yr - Fed Funds Target Rate



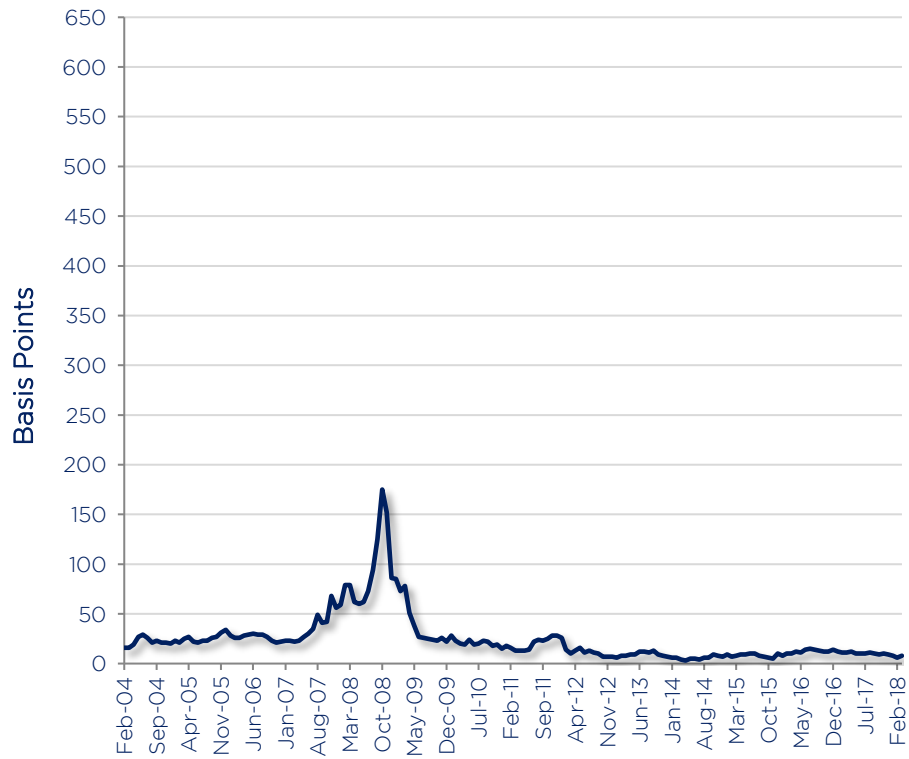
Source: Bloomberg

Global Treasury Rates



Source: Bloomberg

Spread: 1-5Yr Agency* vs Treasury



Current Spread is 8

*BofA/Merrill Index (option adjusted spread vs. Treasury)
Agency (GVP0)

Spread: 1-5Yr A-AAA Corporate vs Treasury

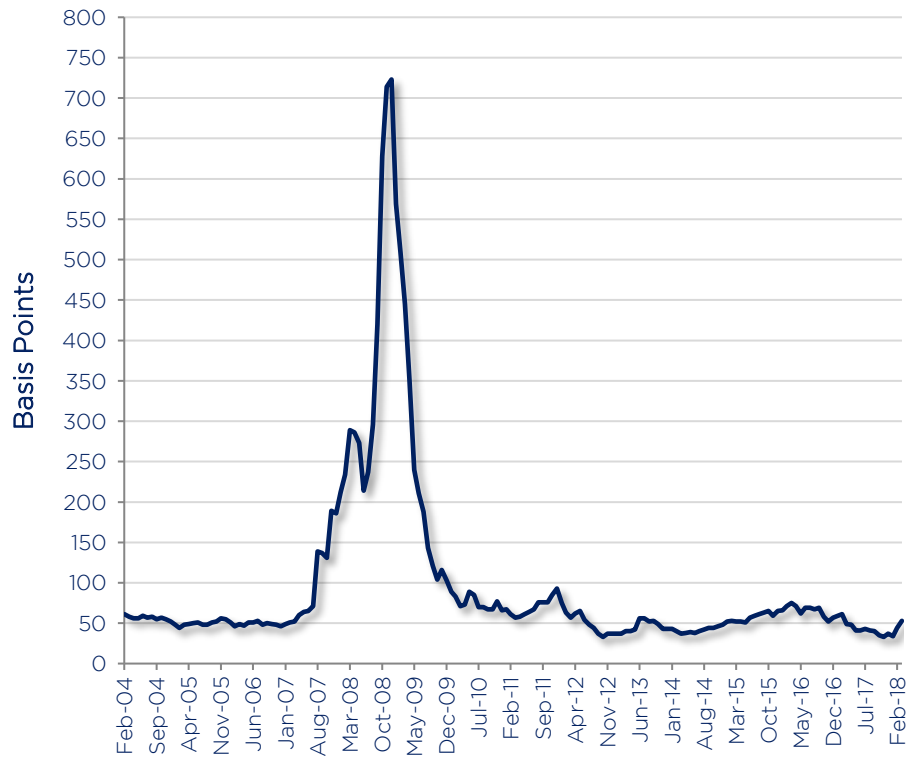


Current Spread is 69

*BofA/Merrill Index (option adjusted spread vs. Treasury)
Corporate A-AAA (CV10)

Source: Bank of America Merrill Lynch Indices

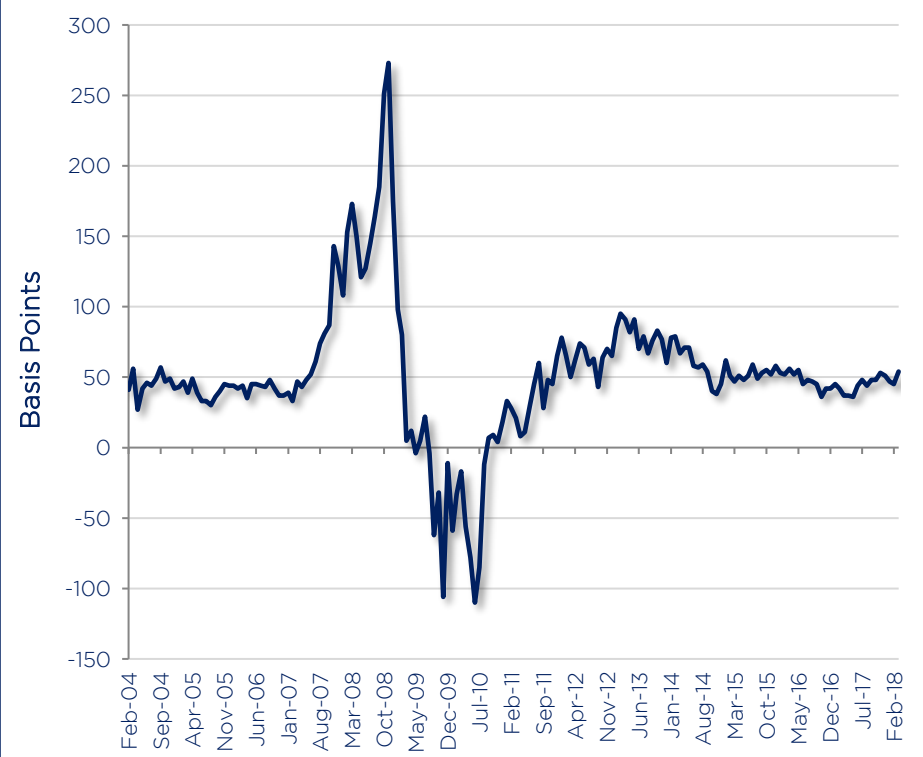
Spread: AAA Asset Backed vs Treasury



Current Spread is 53

*BofA/Merrill Index (option adjusted spread vs. Treasury)
AAA Rated ABS (ROA1)

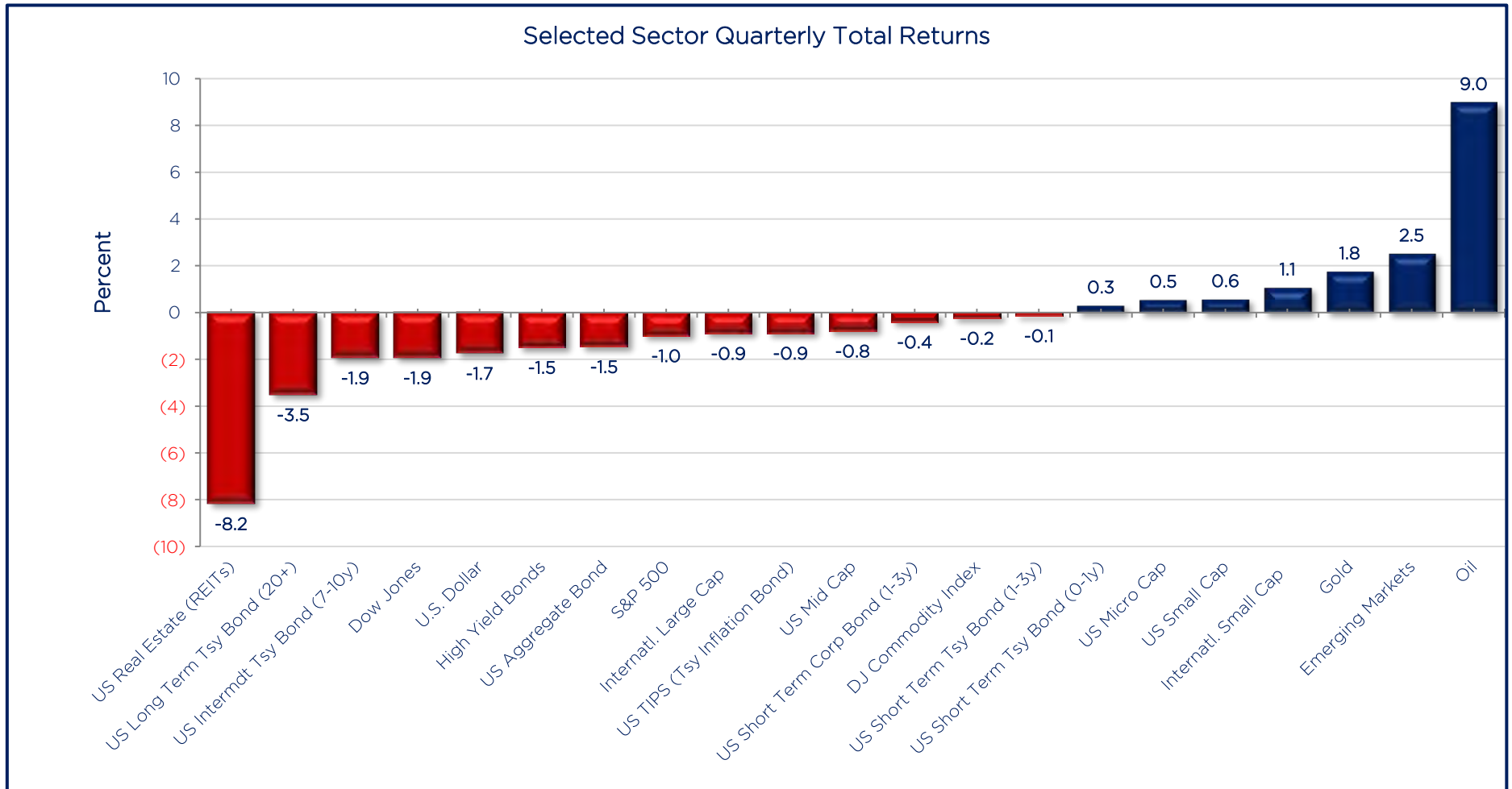
Spread: 0-3Yr Agency CMO vs Treasury



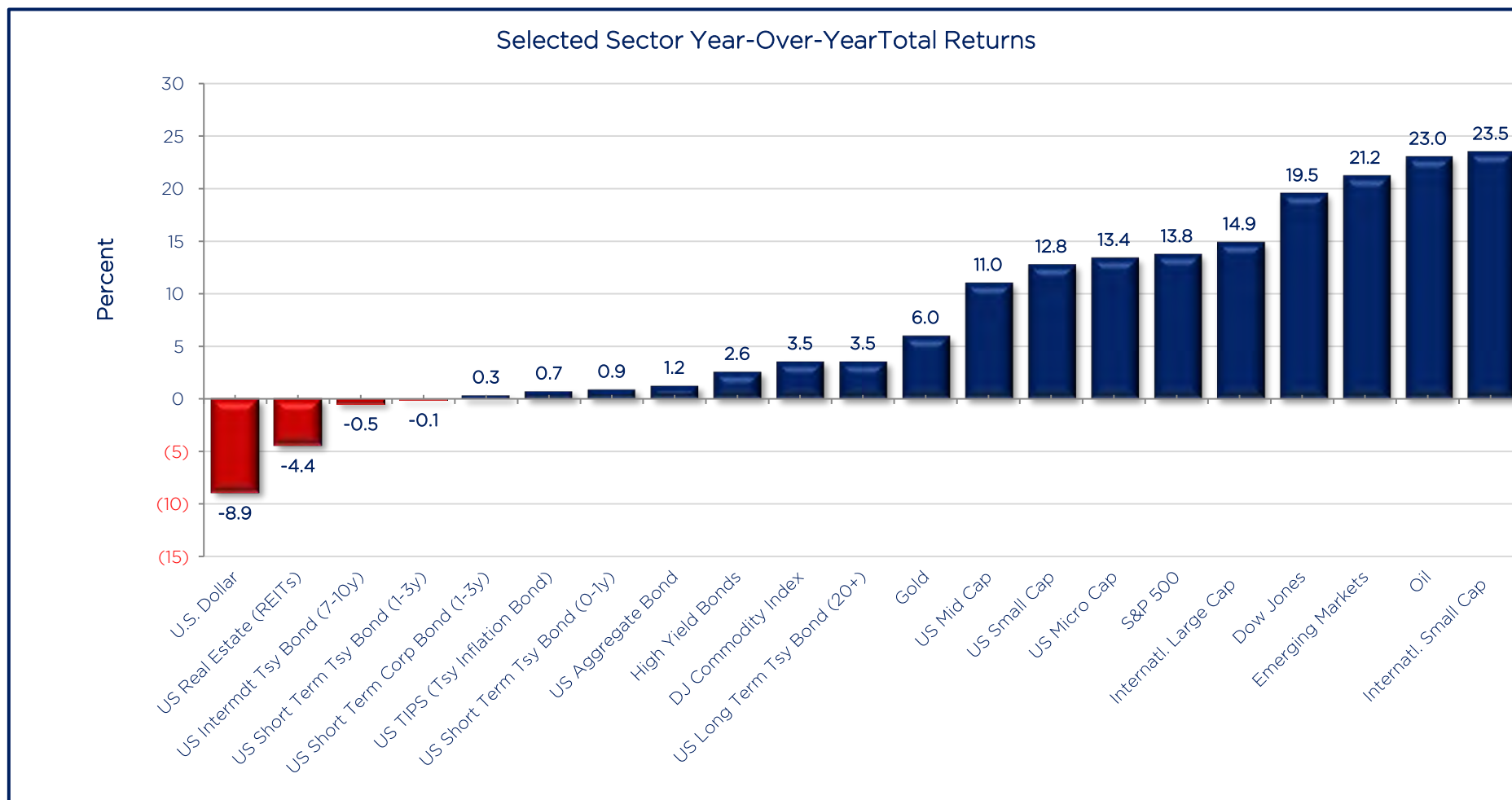
Current Spread is 54

*BofA/Merrill Index (option adjusted spread vs. Treasury)
CMO Agency 0-3Yr PAC (CM1P)

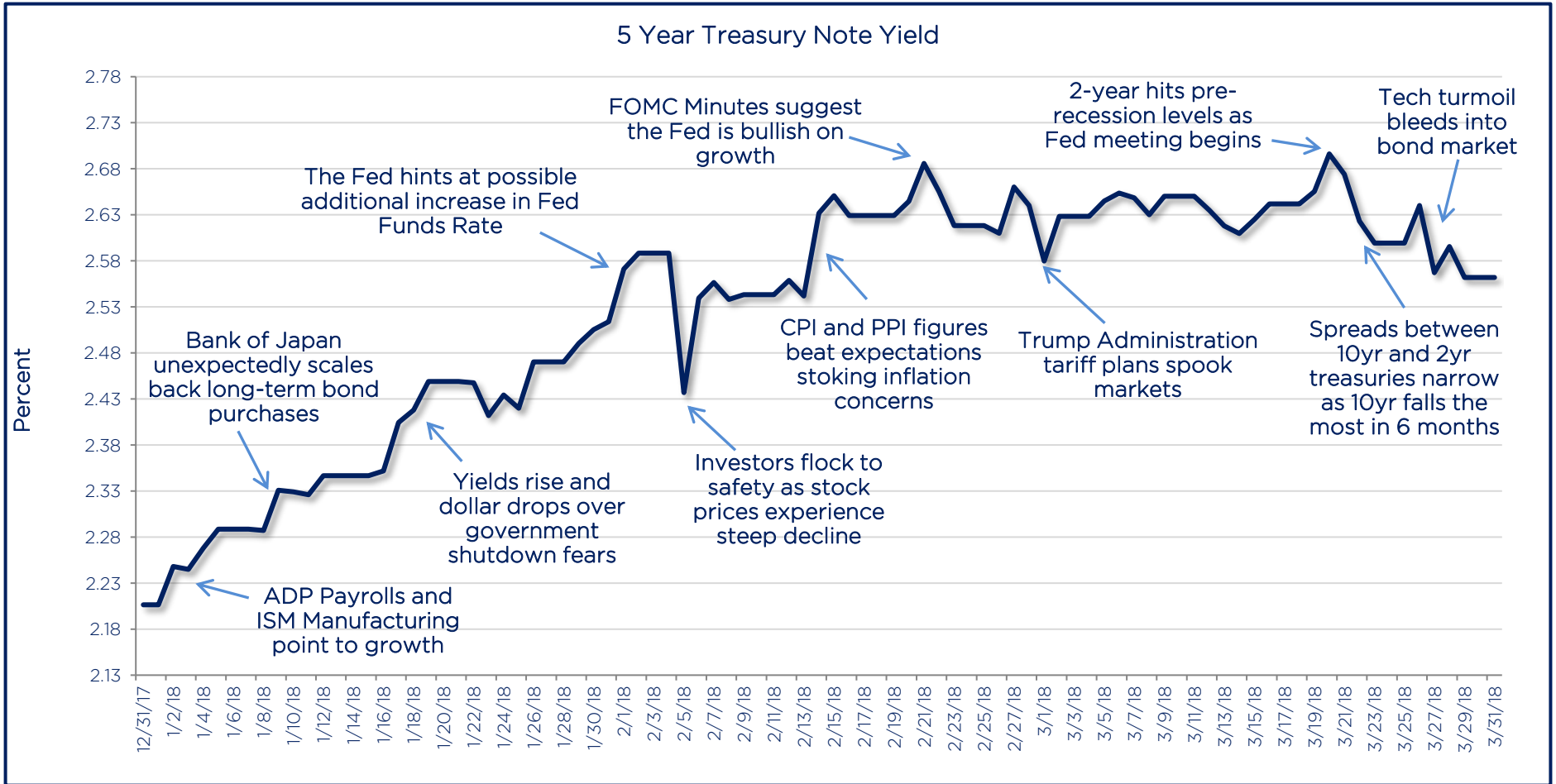
Source: Bank of America Merrill Lynch Indices



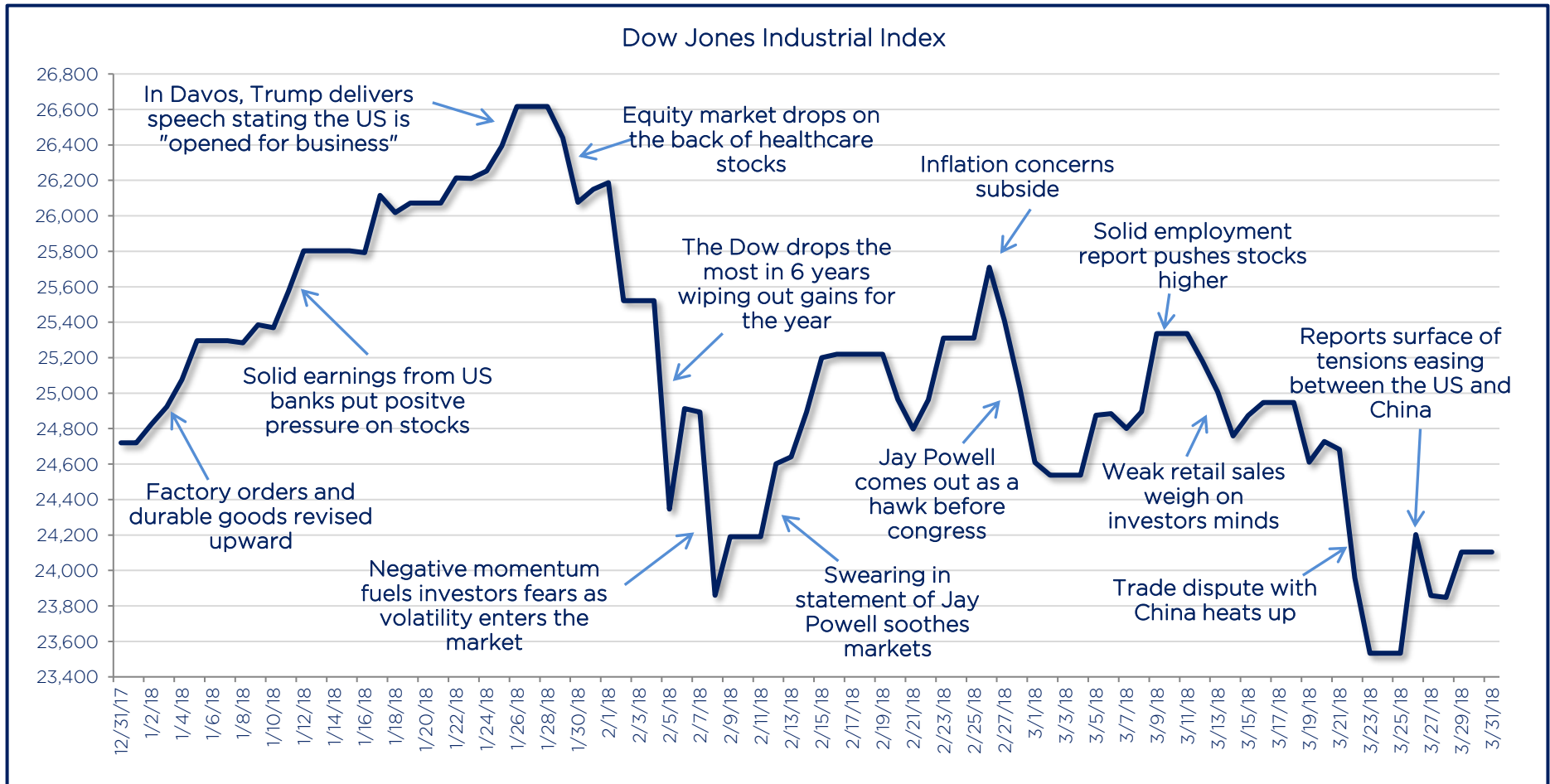
Source: Bloomberg



Source: Bloomberg



Sources: Bloomberg, FTN Main Street



Sources: Bloomberg, FTN Main Street

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APPENDIX H

ACCRETED VALUE TABLE

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	08/01/2027	08/01/2028	08/01/2029	08/01/2030	08/01/2031	08/01/2032	08/01/2033	08/01/2034	08/01/2035	08/01/2036	08/01/2037
Date	3.24%	3.41%	3.56%	3.71%	3.84%	3.99%	4.08%	4.18%	4.25%	4.28%	4.31%
5/31/2018	3,724.05	3,545.45	3,371.60	3,196.90	3,030.20	2,856.90	2,709.75	2,561.60	2,429.00	2,316.60	2,208.05
8/1/2018	3,744.05	3,565.50	3,391.50	3,216.55	3,049.45	2,875.80	2,728.05	2,579.30	2,446.10	2,333.00	2,223.80
2/1/2019	3,804.70	3,626.30	3,451.90	3,276.20	3,108.00	2,933.15	2,783.70	2,633.20	2,498.10	2,382.95	2,271.75
8/1/2019	3,866.35	3,688.10	3,513.30	3,337.00	3,167.65	2,991.70	2,840.50	2,688.25	2,551.15	2,433.90	2,320.70
2/1/2020	3,929.00	3,751.00	3,575.85	3,398.90	3,228.50	3,051.35	2,898.45	2,744.45	2,605.40	2,486.00	2,370.70
8/1/2020	3,992.65	3,814.95	3,639.50	3,461.95	3,290.50	3,112.25	2,957.55	2,801.80	2,660.75	2,539.20	2,421.80
2/1/2021	4,057.30	3,880.00	3,704.30	3,526.15	3,353.65	3,174.35	3,017.90	2,860.35	2,717.30	2,593.55	2,474.00
8/1/2021	4,123.05	3,946.15	3,770.25	3,591.55	3,418.05	3,237.65	3,079.45	2,920.15	2,775.05	2,649.05	2,527.30
2/1/2022	4,189.85	4,013.45	3,837.35	3,658.20	3,483.70	3,302.25	3,142.30	2,981.15	2,834.00	2,705.75	2,581.75
8/1/2022	4,257.70	4,081.85	3,905.65	3,726.05	3,550.55	3,368.15	3,206.40	3,043.45	2,894.25	2,763.65	2,637.40
2/1/2023	4,326.70	4,151.45	3,975.15	3,795.20	3,618.75	3,435.35	3,271.80	3,107.10	2,955.75	2,822.80	2,694.25
8/1/2023	4,396.75	4,222.25	4,045.95	3,865.60	3,688.20	3,503.85	3,338.55	3,172.00	3,018.55	2,883.20	2,752.30
2/1/2024	4,468.00	4,294.25	4,117.95	3,937.30	3,759.05	3,573.75	3,406.65	3,238.30	3,082.70	2,944.90	2,811.60
8/1/2024	4,540.40	4,367.45	4,191.25	4,010.30	3,831.20	3,645.05	3,476.15	3,306.00	3,148.20	3,007.90	2,872.20
2/1/2025	4,613.95	4,441.95	4,265.85	4,084.70	3,904.75	3,717.80	3,547.05	3,375.10	3,215.10	3,072.30	2,934.10
8/1/2025	4,688.70	4,517.65	4,341.80	4,160.50	3,979.75	3,791.95	3,619.45	3,445.65	3,283.40	3,138.05	2,997.35
2/1/2026	4,764.65	4,594.70	4,419.05	4,237.65	4,056.15	3,867.60	3,693.25	3,517.65	3,353.20	3,205.20	3,061.95
8/1/2026	4,841.85	4,673.05	4,497.75	4,316.25	4,134.05	3,944.75	3,768.60	3,591.15	3,424.45	3,273.80	3,127.90
2/1/2027	4,920.25	4,752.70	4,577.80	4,396.35	4,213.40	4,023.45	3,845.50	3,666.20	3,497.20	3,343.85	3,195.30
8/1/2027	5,000.00	4,833.75	4,659.25	4,477.90	4,294.30	4,103.75	3,923.95	3,742.85	3,571.55	3,415.40	3,264.20
2/1/2028		4,916.15	4,742.20	4,560.95	4,376.75	4,185.60	4,004.00	3,821.05	3,647.40	3,488.50	3,334.50
8/1/2028		5,000.00	4,826.60	4,645.55	4,460.80	4,269.10	4,085.65	3,900.95	3,724.95	3,563.15	3,406.40
2/1/2029			4,912.55	4,731.75	4,546.45	4,354.25	4,169.00	3,982.45	3,804.10	3,639.40	3,479.80
8/1/2029			5,000.00	4,819.50	4,633.70	4,441.15	4,254.05	4,065.70	3,884.90	3,717.30	3,554.80
2/1/2030											